

Praj Industries (PRAJIND)

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Dear Sir I Madam, Company Code-PRAJIND

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Please find enclosed Transcripts of Analysts' Call of Praj Industries Ltd. held on 19th October 2022, regarding Un-audited Financial Results (Standalone and Consolidated) approved by the Board of Directors for the quarter and half year ended 30th September, 2022.

This information is given pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time. r

Thanking you,

Yours faithfully,

DATTATRAYA NIMBOLKAR

CHIEF INTERNAL AUDITOR

& COMPANY SECRETARY

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Q2 FY-23 Earnings Conference Call

October 19, 2022

Moderator: Good day, ladies and gentlemen and welcome to the Praj Industries Limited Q2 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you, and over to you sir. Anuj Sonpal: Thank you. Good afternoon everyone and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the investor relations of Praj Industries Limited. On behalf of the company, I'd like to thank you all for participating in the company's Earnings Call for the Second Quarter and Six Months Ended Financial Year 2023.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's call may be forward -looking in nature. Such forward -looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decision.

The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us Mr. Shishir Joshipura, CEO and Managing Director; Mr. Sachin Raole, Chief Financial Officer and Director of Resources. Now, without any further delay, I request Mr. Joshipura to start with his opening remarks. Thank you and over to you sir.

Shishir Joshipura: Thank you, Anuj.

Good day everyone . I welcome you to Praj Industries' Earning Call for Q 2 & H1 FY23. Trust all of you had the opportunity to go through our results presentation for the quarter ended 30th Sept 2022.

It is once again a pleasure to connect with all of you . Let me now briefly take you all through the quarterly business highlights and industry developments. Following which, Sachin will take you through the financials.

Page 2 of 19 We closed Q1 FY 23 on a strong note with a healthy growth in order book and delivery volumes . The challenges around volatile commo

dity prices, global inflation, supply chain imbalance though softened, existed throughout the quarter. However, with continued focus on customers combined with our technology prowess and increasing favorable business environment , we were able to stay the course .

Global economy continued to face headwinds in form of geopolitical situation, high inflation and continued uncertainty and volatility on energy front in several parts of the world. Energy transition is creating several new opportunities for sustainable fuels and we are confident of leveraging and deliver to our potential.

India's EBP 20 program is marching ahead of its target. There is clear recognition that biofuels have increasingly important role to play as they address multitude of issues across economic, social and environmental spectrum. Introduction of flex fuel vehicles, ethanol driven power generators, diesel blending program etc. are likely to drive future demand beyond EBP 20. Earlier this month, country saw launch of pilot vehicle on Flexi -Fuel Strong Hybrid Electric concept . This is a solution that will favorably address several dimensions of the ecosystem in future .

Recently, the Uttar Pradesh government has issued a comprehensive policy to attract big -ticket investments in Biofuels projects and increase agriculture income in the state. The policy aims at supporting and promoting production of compressed biogas as well as other biofuels in the state. The government has also given the go -ahead to the MSME policy that seeks to open and promote such units in all districts.

Now coming on to the business updates,

Our bioenergy business , In 2021 -22 sugar marketing year, India exported 11.2 million tons of sugar which clearly indicates that we have enough sugary feedstock available for ethanol production in sustainable way. Along with this, availability of starchy and cellulosic feedstock will ensure India can address higher ethanol demand in near future.

In domestic market, we continued strong performance on the order book. Our execution activities are at the optimal levels with multiple project sites in different geographies.

On International front , The US Government passed Inflation Reduction Act (IRA) that has significant provisions of support on advancement of biofuels across different modes of mobility. As a result of this development, low carbon ethanol likely to emerge as an interesting business opportunity . With announcement of blending mandates in Canada & Mexico , our market development activities are finding good traction to lead generation . Our first project in Brazil is on schedule for commissioning at the end of this year.

Page 3 of 19 Our services business is receiving positive response from customers for combination of O&M and Performance Enhancers offerings. During our trials at few select plants in Brazil, we have successfully demonstrated performance of our PE solutions.

On the 2G front, our plant at IOCL Panipat was unveiled by the Prime Minister in August 22.

This plant will benefit more than 1,00,000 farmers and is expected to create around 1500 jobs for rural youth. 2G ethanol has higher potential to displace GHG emissions than 1G. This plant alone will help eliminate around 3,20,000 metric ton of CO₂ every year which is equivalent to replacing 63,000 cars on road annually. 2G plant will address the serious concerns arising due to Stubble burning. The success of this project will pave way for many projects in domestic as well as international markets.

On international front, discussions are progressing favourably for establishing 2G plants in Europe . With Russia Ukraine war and Energy Crisis in Europe will further propel need for 2G ethanol which is the most sustainable fuel alternative.

Earlier this month, International Civil Aviation Organization (ICAO) announced that ICAO Member States have adopted a collective long -term g

lobal aspirational goal (LTAG) of net -zero

carbon emissions by 2050. This will give further boost to demand for SAF. In Sept I attended Global Clean Energy Action Forum (GCEAF) organized by U.S. Department of Energy (DOE) . It was widely attended by different ministers, government officials and Global CEOs.

Organizations across the Globe may speak different languages, practice diverse cultures but it was heartening to see everyone talking in unison about 'Clean Energy with Zero Emissions'

On the CBG front, customers are now seeking solutions for different varieties of agriculture residues. Our R&D is working on a program to find optimal solution for addressing this need.

After conducting extensive trials at our demo plant, we are integrating our learnings to enhance scope and performance of our solutions in the field.

On the CPES front, energy transition phenomena is driving development of blue & green hydrogen projects along the globe, creating interesting business opportunity for this business. Our ability to Modularize engineering solutions across the technology platforms is helping us to create significant competitive advantage. Our additional capacity at Kandla is now fully operational and we are exploring further capacity enhancement.

On the brewery front, the beer consumption levels has crossed the pre pandemic levels and we are experiencing healthy flow of enquiries from India as well as Africa. The new capacity formation is expected to catch speed in the latter part of FY23.

Our Zero Liquid Discharge business we see a good business potential mainly from the private sector and expect few important contracts likely to conclude in H2 of FY 23.

Page 4 of 19 On PHS business front, our strategy of focusing on High-Capacity fermenters space is receiving positive response from customers as this enables us to offer enhanced suite of solutions to pharma industry. PHS is also witnessing increasing traction in international markets with healthy inquiry flow.

On RCM front, Praj has entered into an MoU with ICT to establish Center Of Excellence & Innovation (COEI) for Biopolymers. This center will undertake research, promote academic pursuit, and explore newer applications including developing biodegradable plastic as a solution curb plastic menace.

Before I end, I would like to share with you couple of awards we won recently.

- Praj received CAP 2.0 AWARD from CII for contributions in the climate actions initiatives.
- Different industry organizations such as Indo American Chamber of Commerce, Renewable Energy India and Manufacturing Today honored our founder chairman Dr. Pramod Chaudhari with recognitions for his contribution to trade & business and sustainability initiatives

With this, I now hand over to Sachin for his comments on the financial performance.

Sachin Raole: Thank you, Shishir.

Good day everyone. Let me take you through the financial highlights for the quarter and half year ended September 30, 2022

The consolidated income from operations stood at Rs.876.58 crore in Q2FY23 as compared to Rs. 532.41 crore in Q2FY22. PBT has increased by 40.6% and stood at Rs. 65.78 crore in Q2FY23 as compared to Rs. 46.77 crore in Q2FY22. Similarly, Profit after tax stood at Rs. 48.13 crore in Q2FY23 as compared to Rs. 33.34 crore in Q2FY22

For H1FY23, Income from Operations was Rs. 1606.45 crore as against Rs. 918.67 crore in H1FY22. PBT stood at Rs. 120.01 crore in H1FY23 as against Rs. 76.57 in H1FY22. PAT of Rs. 89.39 crore in H1FY23 as against 55.54 crore in H1FY22.

Export revenues accounted for 17% of Q2FY 23. Of the total revenue, 74.7 % is from Bio-energy, 19.5 % from engineering and 5.7% is from PHS business.

The order intake during the quarter was Rs. 981 crore, with 92.8 % from the domestic market. Of the total order

intake, 85.1 % came from Bio-energy, 10.8 % from engineering and balance 4.1% from PHS business.

The order backlog as of September 2022 is at Rs. 3346 crore comprising of 87.5 % of domestic orders.

Cash in hand as on Sept 30, 2022 is Rs. 514 Crores.

I now conclude my remarks and I would like to thank you all for joining us on this call. We would now be happy to discuss any questions, comments, or suggestions you may have.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Dhananjai Bagrodia from ASK Investment Managers Private Limited. Please go ahead.

Page 5 of 19 Dhananjai Bagrodia: Sir, what explains the difference between standalone PBT of 82 crores versus consol PBT of 65 crores?

Shishir Joshipura: Dhananjai, we can't hear you.

Dhananjai Bagrodia: Sir, what explains the difference between standalone PBT of 82 crores versus consol PBT of 65 crores?

Sachin Raole: In other income, we have 20 crores dividend income coming from the subsidiary company, which is standing in our standalone results. But in consolidated, the 20 crores naturally gets knocked off. That's why the consolidated PBT looks lower than standalone.

Dhananjai Bagrodia: Okay. And sir, our operating cash flow is negative this quarter because of higher receivables, any comments on that?

Sachin Raole: More than higher receivables, actually we had gone ahead with the increase in inventory this time, which we have taken in last two quarters that we will go for very calculated inventory accumulation on the commodity side, commodity prices side. That's what has resulted into our inventory going up more than the receivables. Receivables number of days are absolutely flattish as compared to last quarter. This phenomenon of increased working capital is mainly on account of inventory pile up.

Dhananjai Bagrodia: Okay. And, sir, lastly regarding our payables have reduced, are we losing bargaining power in suppliers due to dependence on them now?

Sachin Raole: Sorry, payables were reduced, that's right.

Dhananjai Bagrodia: Are we losing bargaining power with suppliers due to dependence on them?

Sachin Raole: No, there are various means and methodologies in which we are using free cash on our balance sheet. When we have any negotiation happening with the vendors, we also go for early payment with the cash discount for that matter. So these are the three, four measures which we had taken to counter the commodity price increase. One of them was to make the early payment for payables and go for the cash discount.

Dhananjai Bagrodia: Okay, sure. And so lastly regarding your margins, your margin is not improving despite falling RM is there anything which you can read into that, because our margins have been the lowest this quarter?

Sachin Raole: So if you look at even the composition of our sales is majorly, first why majorly its almost tilted towards the domestic sales. Domestic sales it has given the EPC component it is not on the A and B component but C component is also plays a role there. And that component naturally carries little margin as compared to your supply component, one aspect.

Page 6 of 19 Second aspect, if you look at traditionally our exports are more than 25% or 30%, our margins are very different. But today our export sales, as I already mentioned are not in tandem with the growth which we are seeing in the domestic market. They are good, they are definitely better, but they are not running in equal speed with the domestic number and that's the reason why this blended margin looks flat. Otherwise, of course there is a component of commodity prices which we are continuously saying that we will see this impact continuing at least since H1 and that's what has happened to some extent. It is coming down, but it has not completely gone away. So these are the two major reasons.

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Moderator: Thank you. The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Sir, first of all congratulations for clocking, all-time high quarterly revenues. Sir my question is with respect to ethanol current capacity, current production capacity, as per you what is the current capacity in India and domestic business, what is the capacities we are having ethanol production?

Shishir Joshipura: So, Shailesh very clearly government has said that there is now a 10% blending that has been achieved in the country. So from the capacity perspective, that's where we are we need to go to 20%. So we are at the halfway mark as far as capacity is concerned in terms of what is required.

Shailesh Kanani: So, last we checked we were at 850 crore liters and ordering book of further 300 or 400 crores was already tendered, so I just wanted to know the opportunity pending on the order pipeline?

Shishir Joshipura: Correct. So as we had said last time as well, when the EBP -20 program started, we had roughly estimated that 1,000 crores liter will need to get added and we had told we are halfway mark on that right.

Shailesh Kanani: No, just to get some numbers, last time our interactions felt that we were 1,800 crores to 1,900 crores would be the potential capacity requirement to produce something in the range of 1,400 crores liters right where 1,000 crores will

Shishir Joshipura: Correct.

Shailesh Kanani: So just wanted to know.

Shishir Joshipura: Sorry, if you're looking for the straightforward number based on what is the current capacity already deviated and ordered and what is the balance, balance will be in some ways in a range of 500 crores to 600 crores which we saw at the beginning of this year, something has got ordered during this quarter. So still, I believe that balance capacity creation should be in the range of 500 crore of liters.

Page 7 of 19 Shailesh Kanani: Okay. So I just wanted to see till how many more quarters we can see good amount of traction on that front, okay. So that answers that question. And just on your opening remarks, sir had mentioned that post EBP -20 as well we are seeing opportunity coming up, so two questions on that front till what level do you see that kind of opportunity or what capacity you see over there and also on the feedstock availability fund, both of them looking to happen.

Shishir Joshipura: Correct. So, as I said that applications will change. So, right now it's very simple plain vanilla 20% blending, all vehicles on the road that run on petrol kind of market segment. But if you start looking a little differently and let me start, so we just saw the first flex fuel vehicle, which was also strong hybrid connections so which we believe is the ideal solution for India, was launched just last week by an auto company so that is very positive development. So flex fuel vehicles will drive demand, because then it's no longer limited 20% and it can go all the way up to 85%, so that's the first answer to you.

Second, we have talked about the stationary and I am not calling it stationary, what we call is DG sets in the country, switching over to a more sustainable form of fuel which is ethanol. That's the second one.

Third application that is likely to emerge would be about application on mobile diesel engines

and that's where one, railway is one segment and the vehicle automotive is another segment. So there are several other avenues there may even be in future development around the sustainable aviation fuel. So several avenues will open based on application and telecom towers that you said, there are many, many of those which are currently running on diesel, but they can very sustainably shift to ethanol, and one is the EBP -20 program, but all of these will also start to drive and the numbers one need to compute, exact numbers when we can probably connect

back with you on that one, but that is an opportunity even bigger in size.

Shailesh Kanani: So aren't there any question marks on the feedstock availability, I understand last two years have been bumper and this year also, it is expected to be bumper on the sugar production side.

But overall, in general do we have that kind of availability of feedstock on a sustainable basis?

Shishir Joshipura: Yes, you picked the point that I made around excessive sugar production and export, et cetera.

So that is very clearly one feedstock availability indicator to all of us and that is adequate, number one. Number two, the bigger and actually the biggest opportunity is going to be the lignocellulosic feed stocks, which is why we are so positively looking forward to commissioning and handing over of the IOCL project, because that will prove beyond any doubt that the feedstock to stay. Currently, there is no use of that we just burn it off. So there is a huge amount. So, I don't think that we have currently any worries around feedstock availability there is enough and more of course but we'll have to continue to find different feed stocks and their usage as we move forward. But right now, I don't think that's the challenge at all.

Page 8 of 19 Moderator: Thank you. The next question is from the line of Ravi Dharamshi from Value Quest Investment Advisors. Please go ahead.

Ravi Dharamshi: I just wanted to check on the CBG. Are we starting to see any kind of traction on the ordering front?

Shishir Joshipura: We are beginning to see some activities developing. As I mentioned, the policy very, very supportive policy that came out from the UP government is just about two weeks old. So maybe a little later in the time, we will be able to answer this question in a more affirmative way, but we are clearly beginning to see activities beginning to develop in that space.

Ravi Dharamshi: So there were some issues regarding the supply chain, those have been sorted out, policy-wise, supply chain-wise, financing-wise everything is in place and ordering is the only thing left or there's still something that we need to get right?

Shishir Joshipura: No. The supply chains are very local issues in this case, it depends on where the location is very clearly. On the funding basis there is a provision that made available to fund these projects, but as not many projects have come up and that's the key point so of obviously some more ironing out is required on off take, et cetera. But, in general, the environment for setting up an ecosystem involving CBG plants is becoming visibly more favorable.

Ravi Dharamshi: Got it. And just one last follow-up from my end. On the margin front, of course you gave a good explanation of the domestic and exports mix, but just to understand steel prices have fallen almost 60% from the top. And also, our gross margins which had used to be much higher earlier and you have earlier guided that this year we are likely to double-digit, so just wanted to check, first half almost gone and we are still stuck at sub 8% kind of margins. Will we be able to still stick to 10% plus kind of margins guidance?

Shishir Joshipura: So we are not giving any guidance on what exactly it will look like, except to tell you that, #A, we believe that the highly volatile commodity price changes that we saw are hopefully behind us and that should have a clear bearings on what we do forward. Although, there will be some as you can see at about 1,000 crores odd level, so we still have some residual impact left that we will see as we travel through the year. Sachin was also mentioning around improving the mix which will also lead to improvement in margins. So as we move forward, we are setting the past that we expect H2 to get better and that's where we're staying.

Moderator: Thank you. The next question is from the line of Vikram Suryavanshi from PhillipCapital (India) Private Limited. Please go ahead.

Vikram Suryavanshi: What we are looking at is that how or when we can see the pickup in export given the geopolitical situation because I know we are doing extremely well in domestic market, but probably export is an area where we can also do much better and how we can see pickup in

Page 9 of 19 that area that is my first question. And second on bio-CNG side, now informative priced conditional in terms of not only CBG prices but even byproduct prices also, so is that helping to really see the ground level pickup or how is your heading on opportunity?

Shishir Joshipura: So Vikram, on the export side your observation is bang on. So as we had mentioned that we expect the second half at least to start changing on the order booking side and probably that will reflect as we travel through the few next four to six quarters in terms of sales as well. But we first obviously, so already, as Sachin was mentioning, it's not our order book is low, it's just that the domestic is progressing at a very different speed. Having said that, we are also cognizant of the fact that we need to increase the speed of our international order book and that's what we're focused on and we expect that H2 will be different than H1. So, I hope that

answers your question.

Vikram Suryavanshi: Yes, the second this CBG side?

Shishir Joshipura: So on the CBG front, yes there is still, as I said there has been some last-mile connectivity issues to be settled in terms of pricing point for byproducts, off take agreements and policies for fertilizers, because that's an important byproduct out of the CBG plant. On the gas pricing side a lot has been done but so many of these interconnected as I call them the last mile connectivity issues that still need to get addressed. State of UP has tried to address some of these, but not all and as I said that as we move forward we expect to see a more favorable environment in which to come. So maybe next quarter we can talk around this, this is a bit too early.

Moderator: Thank you. The next question is from the line of Isha Agarwal from VT Capital. Please go ahead.

Isha Agarwal: Sir, my question is regarding the BIOSYRUP tech. Can you help me understand what's the update and how people are adopting it, especially sugar companies are you seeing any demand coming from them?

Moderator: Sir, we cannot hear you. Ladies and gentlemen, please stay connected while I try to reconnect the management. Ladies and gentlemen, thank you for your patience. The line of the management has been connected. Sir, kindly proceed.

Shishir Joshipura: Yes. So, Isha, could you please repeat your question?

Isha Agarwal: Yes. Sir, my question was regarding the BIOSYRUP tech, so just wanted to understand how are we seeing the sugar companies adopting the decent tech, are we seeing any good demand coming up on this BIOSYRUP tech?

Shishir Joshipura: So Isha, when we developed the BIOSYRUP technology, it was in the purpose to demonstrate that syrups can become a sustainable feedstock that can enable ethanol plant connected to sugar mill to run right through the year and not be dependent on seasons time. So that was Page 10 of 19 the purpose of demonstration of the technology. Obviously, there are some other dynamics which have to be resolved in terms of establishment of BIOSYRUP as a feedstock, the storage system infrastructure for that, also the dynamics in the sugar market that decide whether we want to produce sugar or we don't want to produce sugar, so there are many other dimensions that also have to play. So our purpose was to demonstrate that the technology is available. As and when the factors align themselves, this is an option that the customers can offer just the way they are to be offering let's say molasses, beetroot juice or anything like that. This is another feedstock that is available.

Isha Agarwal: Sir, my next question was

as regarding the 2G plant. So just wanted to understand the rationale, like, for setting up a 2G plant, if the cost is double, then why would somebody opt for going for a 2G plant setup rather than 1G plant. And also, just wanted to understand if the prices for 2G ethanol is set by the government or it is set by the OMC?

Shishir Joshipura: Okay. So second question first. There is no more notification has yet on 2G ethanol prices. So we don't know as to what the prices are going to look like and what metrics that will come into play that is number one. Number two, why would somebody want to put up 2G plant so there are three or four dimensions. First and foremost, the 2G technology actually reduces emissions of CO₂ by over 85%. That's not possible for a 1G technology to do, because obviously it is limited because of its own inherent limitations, so that's number one. Number two, availability of the feedstock that this question was also previously asked by one of your colleagues. We have to understand that what is the problem that we're trying to solve. Purpose of technology would be what so for example stubble burning is a problem we're trying to solve, this is one way to solve it. If we want to address the CO₂ emission, ethanol is the way to solve it, and 85% reduction in GHG emission is a very definitive way of solving it. Tomorrow when aviation fuel starts to become the norm of the day, the airlines will look for a very low carbon intensity fuel to be put into their wings. And if that happens, then obviously at that time this is the only solution, because this is the way it will go. Next one, this also provides a outlet for farmers to not to burn their trending residues of crop, but actually realize money out of it. So different strokes, different goals, but there are very different set of reasons as to why 2G plants will come up, because what we're not factoring in when we look at only the current one investment perspective. But what you said is correct, it is high investment, but what we're not looking at is the farmers income doubles, the calamity of climate, the amount of health cost that we have to bear now, it just so happens that different stakeholders are bearing this cost and that's why we need an enabling policy environment that sort of brings everybody on the same platform and we are moving in the direction not only here but also outside in rest of the world.

Moderator: Thank you. The next question is from the line of Dikshit Mittal from LIC Mutual Funds. Please go ahead.

Dikshit Mittal: Sir, my question was just on margins itself. So because the kind of growth we have seen on the topline, so at least operating leverage should have played outright in terms of the EBITDA Page 11 of 19 margins. So as you mentioned there, because of export and domestic mix margin is low, but does that mean that domestic orders we are basically taking below 7% kind of margins or there is something else that I haven't seen?

Sachin Raole: So not necessarily. I was only saying that the blended margin will go up only if there is an export

element coming in. And if you look at in this entire revenue mix, export revenue is very miniscule in the first half, because another element, as I was mentioning about the construction activity there is a little less as compared to the supply portion, so the blended is looking like this. It doesn't mean, of course there will be different projects and different businesses carrying different margins investments so not necessarily their domestic is carrying lowest and that's the reason why it is getting reflected in that way.

Dikshit Mittal: Okay. But, sir, what is the impact of this commodity volatility in overall, maybe if you can give a ballpark figure for the first half?

Sachin Raole: First half, it should be in a range of at least 1%.

Dikshit Mittal: Okay. So that 1% can come back in second half and that is a fair assumption, maybe.

Sachin Raole: That's right. Rather last year it was higher than 1%, now at least in H1 we are seeing the lower impact of that, but the impact is still there.

Dikshit Mittal: Okay. But, sir like if I see in your historical margins on a much lower topline you were touching double-digit also in some of the year, so entire form is purely because of 10% dip in the exports, because your exports have been annually 30% historically. So now it's 17% so that much impact is totally because of exports.

Sachin Raole: That's right, because that 13% again, I'm repeating that it is completely from the engineering side or on the equipment supply side and no construction component at all. If that's the mix of the sale and naturally margins should be very different.

Dikshit Mittal: Okay. And sir lastly, as you mentioned this difference of standalone and consolidated basis because of dividends, so that dividend is from Praj HiPurity?

Sachin Raole: Praj HiPurity.

Moderator: Thank you. The next question is from the line of Lokesh Maru from Nippon India Mutual Fund. Please go ahead.

Lokesh Maru: Thank you, sir. Sir, two questions. Number one was on other expenses. So other expenses right now would be 20%, right and it is more or less around the onsite expenses and labor charges and travel and freight, which form major component of it. So it has been trending mostly downwards in last two years, but as our topline goes up, first should remain where it is, but Page 12 of 19 other expenses which is variable in nature should also go up in tandem with the topline. So any guidance or any comments around how would you look at this, this component as percentage of your topline going forward and in this fiscal as well?

Sachin Raole: Your observation is right. Mainly these other expenses, as you mentioned are completely related from the business activity point of view and major component of that is sitting in the project activity. So currently, if we are doing 80 projects and tomorrow if we are going to do 150 projects, the absolute number will change, percentage will remain more or less in the same kind of range, because it's almost 90% variable in that sense.

Lokesh Maru: Can you provide how much volume were we able to do in last quarter, like we have the case number, but could you also provide the volume number in terms of KLPD only for the biofuel space?

Sachin Raole: So we don't provide this breakup. We only provide the breakup on the basis of business segment.

Moderator: Thank you. The next question is from the line of Amish Kanani from JM Financial Services. Please go ahead.

Amish Kanani: Sir, two parts question. So, one you did mention exports might see some traction in the second half at least from the order book side. If you can give us some sense in the past, we were hoping for some 2G orders from EU, but maybe the war has kind of appreciated that environment. So if you can give us some sense of whether that's happening and in that context, you did mention about Brazil, Canada, and Mexico. So if you can give us some sense where is the traction and what is the kind of pipeline or inquiry there?

Shishir Joshipura: So Amish, as I was mentioning, there are driving forces in the market. So we are clearly seeing blending mandates coming in Mexico and Canada. So the illustration was that this energy transition is a phenomenon where all economies and countries are thinking increasingly in terms of being their own producers of their energy needs, is something that is now visible. These are initial proofs, but I think that is the first dimension.

Second is, we clearly see the demand emerging for decarbonized fuel more and more and, as you know biofuels are a clear answer for that, irrespective of the mode of transport, whether it is on the road or surface or air or marine or wherever. So that's the second one. And so we believe that if you look at these mandates,

energy security plus decarbonization as an agenda, then that opens up a completely different canvas on which the demand for biofuels across the globe drastically accelerated in Europe. The driver is the fact that it is directive which says they need to create capacity by 2030 for 2G ethanol. It's a mandate given so that is the driver there. In America, low carbon ethanol, because that's how the market mechanism works, so lower is the intensity of carbon in production of that particular fuel, the better realization it gets, so

Page 13 of 19 that's their driver. Brazil has introduced a renewable bio -program. Right now, because of their political situation maybe there is a bit of a gap there, but I'm sure that they will pick back. It's not an uncertainty just that they have to go through the election process. So different drivers in different markets, but everywhere clearly energy security and decarbonization are two very, very clear drivers for driving the business.

Amish Kanani: Okay. Sure, sir. And sir post this IOCL Panipat plant being commissioned, is there any pipeline of inquiries from the domestic oil and gas companies for say additional plants, I understand it's expensive, but maybe the domestic oil and gas companies would go further as a whole but the way oil prices are volatile and their balance sheets are bit impacted. So any sense of where the traction will be post the commissioning of this plant?

Shishir Joshipura: So Amish, my answer probably is based same as what I gave in the first case. The security and decarbonization is the driver and this is a big decarbonization drive, if you go through the lignocellulosic feedstock route. That's the highest reduction of GHG footprint. So we will clearly see this trend developing. Yes, lot of people are watching with interest the results that come out of the Panipat commissioning we are very, very aware of that and we are working on that and then of course, there'll be two more projects that will get commissioned towards end of next calendar year in itself. So, that will give a very, very clear so, yes it is a 15 month kind of period from now, but in that 15 month we would have actually showcased to the world of what the possibilities are and that will become a very, very definitive anchor for driving this opportunity forward.

Amish Kanani: Sure. And, sir last question, what is the average execution of this outstanding order book and if possible by vertical, that will be helpful. Thanks.

Sachin Raole: The outstanding order book as of September, right?

Amish Kanani: Yes, sir. So say 80% is bioenergy, so what is the average execution there sir if it is different from vertical that you, by verticals?

Sachin Raole: It will be in the range of 12 to 15 months, certain orders are going beyond 18 months, not necessarily of bioenergy. But on an average it will be falling within a basket of 12 to 15 months.

Moderator: Thank you. The next question is from the line of Aman from Goldman Sachs Asset Management. Please go ahead.

Aman: Sir, this is on the CPES segment, if you can highlight what kind of equipment are you supplying and specifically you mentioned something on the hydrogen fuel cells, et cetera side, so what is the equipment, what is the exact play that we have over there?

Page 14 of 19 Shishir Joshipura: So Aman, in case of CPES, as mentioned that modularization is a big offering from that business

and what we do is, given a process and the process is not ours, somebody else's. Given a process, we are able to conceptualize an engineer a plant that gets modularized, so that the site work is reduced to minimum that's the basic concept and for blue and green hydrogen projects, that's becoming a big demand because on multiple counts, #A that many capacities are being set up, #B only a handful of companies globally have the wherewithal and technology to actually give the process licenses for

these. And then we are also working with CPES business, very closely with them to create the solutions and this enables them to go on stream by reducing the site time significantly and obviously cost as well. So that's the driver for this business and we are in a position not only for processes and technologies that are made available on this space, but as I was mentioning also for our own ethanol 1G and 2G technologies we are finding traction in terms of our ability to modernize the plants, which then reduces significantly the site work, especially in the advanced markets of the developed world, this is a very big attraction.

Aman: Got it. And then just what would be the scale of these projects on the hydrogen side what kind of capacities are you able to cater to?

Shishir Joshipura: So depending on the process path and many other factors as to is it co-located project or an isolated project, which part of the world, what's the feedstock for them, there are many variables, I may not be able to give you a rubber stamp answer on that one, but each of these creates this opportunity depending on who the OEM is. So many factors, so I will not be able to give a rubber stamp answer sorry for that.

Aman: Sure. And any tie-ups, which you can highlight in this space which you have done?

Moderator: Mr. Aman, sorry to interrupt, I would request you to rejoin the queue please. There are many other participants who are waiting for their turn. Thank you.

Shishir Joshipura: So Aman, just to very quickly close the answer, yes we are working very closely with several leading technology providers in the world. Our agreements do not permit me to state their names. So that I won't be able to do.

Moderator: Thank you. The next question is from the line of Amit Anwani from Prabhudas Lilladher. Please go ahead.

Amit Anwani: So my question is with respect to exports, as you have already highlighted few things about it and on the bioenergy side anything, just wanted to understand this engineering business which is more export-oriented as I understand. Can you go to what levels in next two, three years and

how if at all we have to see let's say in the next two, 2.5 years how the business mix is going to change. And second point is on the margins obviously I understand that you cannot share the Page 15 of 19 nitty-gritties on that, but anything directionally where the margins are heading in each of these two sub-segments would be helpful to understand?

Shishir Joshipura: So just to be answering the second question first. If I tell you that our effort is anything but to drive it noteworthy in both the segments it will be a wrong answer, so that's what we're attempting to do. Yes, there are factors that we have to, and the challenges that we have to meet and overcome, but fundamentally the effort is to take it not only in the direction. In terms of your question on the engineering businesses, probably this call is too shorter duration for me to ask Sachin to make an explanation. You probably hold our capabilities in too higher regard that we'll be able to do an elevator speech on these. That is not the answer, but maybe we can meet separately and we'll be happy to walk you through those.

Amit Anwani: Sure. And second, sir on the competitiveness, if you could just highlight about the market share and how much premium be if at all we are winning the awards what is the typical gap between the closest competitor you might be facing?

Shishir Joshipura: So as I mentioned on my call, we are actually seeing in this quarter our market share move up, especially for the domestic business. We've moved it significantly upward excess of 66% now. But having said that, on how much premium we get paid back customers, well I don't have a fixed answer for that and maybe I'm not the right guy to answer that. It is for our customers to perceive the value that we deliver and share that with us and

and we are very glad that our customers do see value in what we are delivering and they're able to get our share of that as well from them.

Amit Anwani: Right. So sir this market share increase was because of the value added product or something, if you can just highlight anything you have to?

Shishir Joshipura: What happens is that we built these plants over three decades now and over a period of time sometimes the first price may become attractive, but then experience is not attractive and then that's when you come back and say, no maybe I do understand that there is a value in your experience and technology and knowledge that we deploy and that's the phenomenon that we're seeing. Probably that's the phenomenon that we're seeing people are beginning to value what we are able to deliver in difficult markets with certainties and even if there are some, what we call it, even if there are difficulties, we have the knowledge and the organization will and commitment to set things right and that's what is trending us in good deal.

Amit Anwani: Okay. Sir, last question if I may. About this, yet to be tender out 500 crore to 600 crore liter opportunity, I understand this will be mostly grain based. So if you could just highlight what kind of traction, which kind of customer profile where we are seeing the maximum traction for this grain based plants. Thank you.

Page 16 of 19 Shishir Joshipura: Amit, actually as we had mentioned in the past, the country did go through a phase where grain

based capacity creation became more significant than the sugarcane based, but indications are and as I was mentioning that now that we are exporting so much of sugar. So maybe this was a special year, but as world sugar supply starts to stabilize, maybe we will see a lot more sugar diversion taking place for ethanol production. So probably we will see a balance coming back. I'm not saying shifting back, but at least traveling in the direction of higher share of sugary feed stocks. And as we discussed in the next year, when the lignocellulosic plants are commissioned, maybe even lignocellulosic feed stocks will

Moderator: Thank you. The next question is from the line of Prathamesh Sawant from Axis Securities Limited. Please go ahead.

Prathamesh Sawant: So sir, I have two questions. So one is regarding now that we have launched the second generation IOCL plant, I want to understand what is the commercial feasibility of this 2G plant like, have we achieved commercial feasibility or we are dependent on government subsidies for the thing?

Shishir Joshipura: Okay, Prathamesh so let me tell you this. So first of all, this is a global phenomenon and there are markets where it is feasible to put up a 2G based plant. As I was mentioning in India, the 2G ethanol rates are still not specified and that needs to get specified, obviously and that will determine the viability as well. We need to commission but what's more important is to understand that this is the technology that cuts the emission by 85%. And that no other technology can do so when the focus shifts to GHG reduction or carbon footprint reduction, the cost dynamics because we don't have in India at least not yet the carbon markets but in markets where carbon is priced and valued it's already viable.

Prathamesh Sawant: Okay. So our core focus on 2G front would be on the export front, would you like to say that?

Shishir Joshipura: We are very clear our job is to create solutions for a feedstock and wherever the feedstock is so if we go to Nordic countries the feedstock could be forest residues, if we talk in India it is more like rice straw at least to start with, there could be cotton stock we have to see. If it is in Eastern Europe maybe it is wheat straw so it's depending on where we are if it is in Southeast Asia maybe it is some or the other component of the palm trees.

Prathamesh Sawant: No, I mean to say that, you

see the market coming for this particular product in more in an export scenario not in the domestic front as of now. And, sir, on the Kandla capacity expansion, I wanted to understand, can we put a number of capacity utilization on our business as in we are at what rate are we, because we can see that we usually have an execution run rate of roughly 29% of our order book. So is it to say that we can see this number going above 29% as we can expand our capacities, so our revenue figure start increasing as we have a large order book already?

Page 17 of 19 Sachin Raole: So Prathamesh, the existing capacity which we have already created, which has in-house and outsource both is good enough to take care of the current order book. The comment related to we are looking for expansion of our existing Kandla facility was meant for our export business and we believe that we would like to ramp it up going forward. And mainly it will be required on the critical equipment side more than on a bioenergy side, because in critical equipment the manufacturing has to happen at our end 100%. In the bioenergy, we can actually outsource some non-critical equipment. So that's the reason on the balancing is little different but to answer your question, the current capacity is good enough to take care of our current order book. We are preparing for the next phase in the engineering business especially on the critical equipment side and that's what we're evaluating from capacity expansion point of view.

Moderator: Thank you. The next question is from the line of Harsh Bhatia from IDFC Mutual Fund. Please go ahead.

Harsh Bhatia: Just on this fermentation side, when you're talking about PHS, what is the level that we can see in terms of inquiry pipeline in terms of volume or value anything that you can share for the domestic market where we are currently and if you could provide some metrics for context like where could China possibly be as of today or any other Western country, so that we can gauge the overall opportunity size for the fermentation side, I'm talking in terms of the pharma side for fermentation.

Shishir Joshipura: Mainly in the Praj HiPurity side?

Harsh Bhatia: Yes.

Shishir Joshipura: So I'm sorry we're not in a position to answer the question as compared to China, because the industry itself is at a very nascent stage right now in India as compared to what Chinese fermenter capacities are. So we have to see how the industry develops. We are clearly seeing a trend by which the dialogues as well as some specific capacity is being created by especially the early leaders in the industry. So it is still very early to probably a question is more rooted a year down the line and that's when we'll be able to answer it in a more affirmative way. Right now, it's not that there is a clear visibility in terms of how much of standing capacity is either shifting or being replicated or additional capacity is being created. What we're seeing is that the inquiry levels have significantly changed from very small fermenter size, which few companies are doing to, reasonably large fermenter size to multiple companies and that's what we're seeing right now.

Moderator: Thank you. The next question is from the line of Sagar Kapadia from Anvil Share & Stock Broking Private Limited. Please go ahead.

Sagar Kapadia: Sir, could you please elaborate in your statement you said comprehensive ecosystem is being setup by UP for CBG and other biofuels, because whatever I have inquired with people, they say to get even the rice straw and other agricultural raw material there is a lot of problems here, the farmers are not giving their due.

Shishir Joshipura: So, your question is correct Sagar, that it has to happen. So first and foremost there needs to be a policy which sort of encourages people to do the right thing right. And that's what where the government can do. The actual action on

on the ground will have to be translated by industry,

by farmer cooperatives, maybe a more action even on a state level. So, what I meant to say was that the depth and the quality changes are indicative of government's desire to make this into a successful program. Today we are all talking about the ethanol program with such because the 2018 biofuel policy actually enabled that. But we have been at this ethanol for over 30 years and we have seen that this ecosystem development does take time. We know that in that scale hopefully it will not take that long. But the fact is that it has also taken four, five years and maybe a couple more before it becomes a very robust operating system, just the way ethanol market is today. And that has to be the case and to be understood that, yes sometimes some very new we are not even a gas economy yet. So for our lot of other our infrastructure around that is not there, we are in dialogue with a very leading automotive manufacturers and they have a strategic to roll-out, engines that are gas based. So it's a whole ecosystem that has to move in tandem and come to a minimal inflection point and after that it takes off.

Sagar Kapadia: Okay. But anything you want to highlight sir, in UP government policy you said they are doing something which will help the setting up of plants to get such a raw materials, agricultural raw materials?

Shishir Joshipura: Yes. So, as I said the policy is there and now that needs to get action on the ground. So there is a lot of push that is taking place to create predictable supply chain. This is new business, there is new application and we need to give it some time before we can get to a stable answer.

Moderator: Thank you. The next question is from the line of Ravi Nadar, an individual investor. Please go ahead.

Ravi Nadar: Sir, what is the progress on diesel blending, we are developing a binder, so I wanted to know.

Shishir Joshipura: Yes. That is still a project that is under progress and we will let you know once we are ready with it very soon.

Ravi Nadar: Okay. And sir in sustainable aviation fuel, when will you get the first order?

Shishir Joshipura: It's not about getting the first order Ravi, it's about understanding that what needs to happen.

So there's still dialogue going on as to, because even if I put up a plant there must be an agreement to buy as SAF and use it in the aircrafts. So, we have to go through that phase in US, which is a leading market in the world right now. I was there two weeks ago and even they do not have any capacities today, but they have said that by 2030 they want to create a certain capacity, which is still at about 5%, 6% of the overall market that they need the fuel for. So, what I'm trying to share with you is that, maybe SAF is in a little early for us to talk about, but in setting capacities, but what we are definitely seeing is, as I mentioned the ICAO announcement is one positive step. The US IRA program is the next definitive step and as you would all know an aircraft when it flies from point A it has to land at point B and there also it needs to have the fuel availability. So it will develop, but maybe this is still very early days.

Ravi Nadar: And sir any order update from second generation ethanol from Europe sir?

Shishir Joshipura: So as I mentioned that because of the war it has got a little pushed, but the heightened awareness on energy security and the need to fulfill the directives on the RED3 program in 2030, we are into very active and very advanced dialogue with the few developers in European based on 2G.

Ravi Nadar: And sir last question. Sir, do you have any plan to buyback share or give bonus to shareholders?

Shishir Joshipura: So there is nothing on our plate right now. This is a matter to be discussed with at the Board level and if it happens naturally exchange end people will be communicated, but right

now this

is not on our card.

Moderator: Thank you. Ladies and gentlemen that was the last question that the management could answer today. I now hand over the conference to the management from Praj Industries Limited for closing comments.

Sandip B hadkamkar : Hello, everyone. Thanks a lot for your time today. If you have any more questions, please feel free to write us at info@praj.net. Thanks again for your time today. Wish you a very Happy Diwali. Thanks.

Moderator: Thank you. On behalf of Praj Industries Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

DATE: 09th February, 2023

REF. : PIL/DVN/L 164/2022-23

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Please find enclosed Transcripts of Analysts' Call of Praj Industries Ltd. held on 6th February 2023, regarding Un-audited Financial Results (Standalone and Consolidated) approved by the Board of Directors for the third quarter and nine months ended 31st December, 2022.

This information is given pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time.

Thanking you,

Yours faithfully,

DATTATRAYA NIMBOLKAR

CHIEF INTERNAL AUDITOR

& COMP ANY SECRET ARY

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Q3 2023 Earnings Conference Call

February 06, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the Praj Industries Limited Q3 FY'23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you, and over to you, Mr. Sonpal

Anuj Sonpal: Thank you, Dhwani. Good afternoon, everyone, and a very warm welcome to you all.

My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Praj Industries Limited. On behalf of the company, I'd like to thank you all for participating in the company's earnings call for the third quarter and 9 months ended of financial year 2023.

Before we begin, let me mention a short cautionary statement as always. Some of the statements made in today's earnings call may be forward -looking in nature. Such forward -looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by information currently available to management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's Earnings Call is purely to educate and bring awareness about the company's fundamental business and financial quarter note.

Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks.

We have with us Mr. Sachin Raole – Chief Financial Officer and Director of Resources; and Dr. Ravindra Utgikar – Vice President of Corporate Strategy and Marketing. Without any further delay, I request Mr. Raole to start with his opening remarks. Thank you, and over to you, sir.

Page 2 of 23 Sachin Raole: Thank you, Anuj. Good day everyone. I welcome you to Praj Industries' Earning Call for Q3 & 9M FY23. Trust all of you had the opportunity to go through our results & investors presentation for the quarter ended 31st Dec 2022.

As a company involved in Accelerating Energy Transition as Sustainable Climate Action, Praj's initiatives are showing definitive results. This quarter we successfully commissioned Asia's largest single train in 510 KLPD syrup to ethanol plant and I am pleased to share that all performance parameters were achieved within 72 hrs of plant commissioning.

After successful demonstration of our RenGas technology, we are now building a large scale commercial CBG plant for one of the leading business conglomerates in India. Praj's MoU with Axens of France, for Sustainable Aviation Fuel projects, to decarbonize aviation sector in India is yet another milestone development.

India's transportation fuel mix scenario is changing as evidenced from exclusive biofuels pavilion set up at India Auto Expo held in Delhi in January. Praj was invited by SIAM to participate in this flagship automobile event. This clearly manifests Praj's growing prowess as technology solutions provider. In fact Praj is also invited to be part of exclusive SAF pavilion set up by IOCL at India Energy Week, which is being inaugurated by Hon. Prime Minister today in Bangalore. Our CEO & MD, Shishir Joshipura is leading Praj delegation for this important event.

We find union budget 2023-24 to be growth oriented with sustained focus on infrastructure development. Hon. Finance minister has given adequate focus on building sustainable industry ecosystem with provision for MSME segments. Green Growth as a part of Saptarshi priorities has emerged a strong development agenda. Hon. Finance minister has made several provisions that will bolster nation's bioeconomy and agritech sector in particular. This Budget provides INR 35,000 crore for priority capital investments towards achieving India's goal of net zero carbon emission.

The budget has made specific announcement to give further momentum to development of CBG projects. 500 new 'waste to wealth' plants under GOBARdhan (Galvanizing Organic Bio-Agro Resources Dhan) scheme will be established for promoting circular economy. These will include 200 compressed biogas (CBG) plants, including 75 plants in urban areas, and 300 community or cluster-based plants at total investment of INR 10,000 crore. 5% CBG mandate has been introduced for all Page 3 of 23 organizations marketing natural and bio gas. To avoid cascading effect of taxes on blended compressed natural gas, the budget has proposed to exempt excise duty on GST-paid compressed biogas as contained in it. Removal of GST on blended CNG will help to create demand for biogas from oil marketing companies. It was also announced that appropriate fiscal support will be provided for collection of bio-mass and distribution of bio-manure.

As a welcome measure for the financially stressed sugar sector, budget provided a relief of INR 10,000 crore. Sugar mills will be allowed to claim payments made to sugarcane farmers for the period prior to assessment year 2016-17 as expenditure under tax assessment.

In another major policy development, recently, the Jharkhand government has issued Ethanol Production Promotion Policy -2022. It has a provision for a subsidy of 25% or a maximum of Rs 30 crore for setting up ethanol plant to encourage the ethanol capacity creation.

While India's EBP 20 program is marching ahead of its target, there are clear indications for further demand for ethanol by way of flex fuel vehicles. At India Auto Expo of last month, number of automobile companies showcased vehicles that can run on ethanol blend up to 85%.

Now coming to our business operations, we closed Q3 FY 23 on a strong note with a healthy performance in terms of revenue and profitability.

Our bioenergy business, In domestic market, we continued strong performance on the order book. Around 75% of the orders came for ethanol plants based on the starch feedstock. We are observing that Sugar sector is more optimistic for its ethanol capacity enhancement and same trend is visible in our enquiry basket. Going forward we expect sugary feedstock based ethanol plants to dominate the future capacity creation. Our execution activities are at their optimal levels with multiple project sites in different geographies.

On International front, low carbon ethanol has emerged

ged as an interesting business

opportunity in the USA. We are working on few leads which are maturing beyond enquiry stage. We have recently completed engineering audit for few ethanol plants in USA. These audits will help ethanol producers to finalize their investment decisions. Page 4 of 23 for deploying our low carbon ethanol technology solutions. Our services business is receiving promising response from customers in both domestic and international markets.

On 2G front, pre-commissioning activities are underway in full swing at IOCL Panipat plant. On international front, in Europe, our discussions are advancing in a positive way with various prospects regarding our technology offering.

As for CBG, our first rice straw based commercial plant is under final stages of commissioning. We expect the mechanical completion by end of March 2023. Based on the learnings from the two commercial scale CBG plants commissioned earlier this year and the expectations from the customers, we are investing in R&D for processing different feedstock combinations for enhanced efficiency and yield. With series of affirmative announcements about CBG in the union budget, we expect the sector to gather momentum.

On the CPES front, Energy Transition and Climate Action (ETCA) is emerging as a strong development agenda globally. Our Kandla facility will continue to serve the current market of Oil & Gas and Fertilizers. To address the growing business opportunity in ETCA sector, we are investing in a new manufacturing facility to be housed in a new subsidiary.

Talking about PHS business, our efforts of expanding offering basket is yielding the results. We are witnessing increasing traction for offerings in the High-Capacity fermenters, which accounts for 20% of the total OB in this year. We have also booked our first order in the Semiconductor sector. PHS has a healthy inquiry basket from international markets too.

Let me now take you through the financial highlights for the quarter and 9 month ended December 31, 2022

- Total income from operations for the quarter stood at Rs. 909.97 crore as compared to Rs. 585.64 crore in Q3FY22, delivering a growth of 55%. EBITDA grew by 69%, stood at Rs. 86.16 Crore as against Rs. 51.0 crore in the corresponding period last year. PBT came in at Rs. 85.90 crore in Q3FY23 as compared to Rs. 50.25 crore in Q3FY22, up by 71%. Profit after tax stood at Rs. 62.31 crore in Q3FY23 as compared to Rs. 37.05 crore in Q3FY21

Page 5 of 23 • For 9MFY23, Income from Operations was Rs. 2,516.42 crore as against Rs. 1,504.31 crore in 9MFY22, up by 67%. EBITDA for the period under review stood at Rs. 209.67 crore as against Rs. 127.7 crore. PAT stood at Rs. 151.68 crore in 9MFY23 as against Rs. 92.60 crore in 9MFY22.

- Export revenues accounted for 17% of Q3FY23. Of the total revenue, 72.7% is from Bio-energy, 19.6% from engineering and 7.7% is from PHS business.

- The order intake during the quarter was Rs. 944 crore, with 83.4% coming from the domestic market. Of the total order intake, 81.9% came from Bio-energy, 9.6% from engineering and balance 8.5% from PHS business.

- The order backlog as of December 2022 stood at Rs. 3380 crore comprising of 87.5% of domestic orders.

- As mentioned earlier, to address growing opportunity basket from Energy Transition and Climate Actions agenda, we are planning to setup a new subsidiary with an investment of Rs. 100 crores. We have already started working on this expansion program.

- Cash in hand as on December 31, 2022 is Rs. 604 Crs.

I now conclude my remarks and I would like to thank you all for joining us on this call. We would now be happy to discuss any questions, comments, or suggestions you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. Ladies and gentlemen, we will wait for a moment while

the question queue assembles.

The first question is from the line of Amit Anwani from Prabhudas Lilladher Private Limited. Please go ahead.

Amit Anwani First question is on the CBG announcement, which was made, sir. So, what would be our addressable market? Anything you have worked out on this? And will this be a viability gap funding for the projects? And how much portion of the plant we typically do? What kind of percentage you can provide while the CBG plant has made?

Sachin Raole: Okay. So, when we take up the CBG plant, is it to construct the entire plant. That is

realistically kind of a thing. But instead of doing the entire plant, we prefer to do only the processing part of that plant, which is almost 50% to 55% kind of a number for any Greenfield CBG project. The opportunity right now, the details are still awaited. How this budget has spilled out around INR 10,000 crores of investment. How it is going to be made, whether it will be in a form of any kind of a subsidy or viability funding, we are still awaiting the details on this front and from our point of view, we can actually address the entire market, and that's the reason why we mentioned that we are investing to understand different feedstocks because the combination of feedstock is going to be very, very different than what we are looking at. So, technically, the addressable market is the entire market from our side, depending on what will be the nature, what will be the size of plants, we will decide how we would like to take up or participate in this kind of a program.

Amit Anwani: Right sir. My next question is, sir, on the ethanol order intake, which I can see we peaked with INR 997 crores in 4Q and post that it is actually declining on a sequential basis. And this quarter, it is about INR 774 crores. So, how to read this? Are we seeing this peaked out and second thing is on the 2G, what is the visible orders which are expected to come in FY '24 and in 1G, what is the yet to be tendered out opportunity?

Sachin Raole: Okay. On the Bioenergy segment, the order book which you have mentioned is right, but you need to also understand this is a project business. So, orders closures need not necessarily happen the way in which we expect it to happen. So, there is no necessity that we will see a sequential growth or degrowth or whatever to conclude what is happening in that particular segment of business. It is a long kind of a fall, and we have to see from a longish nature how the order closures are happening. We are seeing a trend continuously, mainly from the inquiry basket point of view, that inquiry basket is absolutely robust. Yes, sometimes it takes some time from the closure of those orders and that's what is actually happening.

On the 2G side, your another question was related to 2G. Right now, in our order book, a very small component is still pending for servicing the existing orders. We are not seeing any new order intake, and we hope and expect that once the first commercial plant starts its operation, we will see a moment happening on the order book going forward. But right now, there is no additional order book which we have booked in the last quarter.

Page 7 of 23 Amit Anwani: Right. So, my last question is on the INR 100 crore investment, which you talked about. I think this is into engineering business, if I'm not wrong and I think it is hydrogen.

Sachin Raole: Okay.

Amit Anwani: And I think this is hydrogen? Any clarity on what exactly it is?

Sachin Raole: Equipment business, which basically shows the industry which I just mentioned, like petrochemical and gas that basket is getting increased to address the energy transition-related investment. We are putting up a manufacturing capacity to serve this market. So, we will be serving our critical equipment customers in a different way. We've seen that the demand for the equipment is absolutely

increasing not

only the equipment, but the modularization is actually taking a very definitive state and we believe that the demand which we have currently or what we are witnessing our existing facility at Kandla will not be sufficient to serve that kind of a demand and that's the reason we are putting up this additional manufacturing facility.

Amit Anwani: Sir, my last thing, if I can squeeze in. On the gross margin, what is your view for the coming quarters on the gross margin, [indiscernible] this quarter?

Sachin Raole: Okay, so the gross margin, what you have seen, yes, we are seeing that our whole orders where the fixed price contracts were having some kind of a pressure because of the commodity prices. They are coming to a closure. We believe that all the old orders should get over by quarter 4 and some portion in quarter 1. So, the trajectory of margin, if all things remain the way in which they are right now, especially the external factors, we will see the change in the margin trajectory from the next financial year. Thank you.

Moderator: The next question is from the line of Vivek Ganguly from Nine Rivers Capital.

Vivek Ganguly: My question is regarding the Bio CNG policy. So, we have not read too much about it, but is it likely to be along the ethanol policy where there was a mandate and then there was also a buyback arrangement with the oil marketing companies so on and so forth? Is it -- how do you all see that panning out? And also, this INR 10,000 crore support that they are talking of, is this likely to be in the form of subsidy or a liability gap funding. If you can shed some light on that, it would be very helpful.

Sachin Raole : Okay. So, Vivek, thank you for your question. But you must have noticed in this budget announcement, a very clear indication is already given by the finance minister that going forward, there will be some kind of a mandate on blending CBG too. When and how that will happen, we'll have to wait and watch. Technically, it is not a blending, you can actually replace CBG with CNG. But they said that at least a minimum of 5% of the CBG should be used and that is what the measures been discussed in the announcement in the budget. So, your point is right, whether it will take a policy like ethanol, we'll have to see whether this is the beginning in that direction. From our point of view, it has been said very clearly that the government is also interested in introducing CBG, the way in which it is introduced on the ethanol side. So, there is a focus on CBG, which is very, very clear and got highlighted in this budget. It is a very positive note for CBG because that's what was required to create some kind of a positive ecosystem for CBG. So, yes, your point is right. It might happen in that direction, but we'll have to wait and watch.

On the scenario of this INR 10,000 crores of investment, we are also awaiting the details on that front, whether it will be in the form of viability funding or it will be in the form of a subsidy. What kind of modus operandi will be there for funding, we will have to see and we will have to wait for more details on this front.

Moderator: The next question is from the line of Vikram Suryavanshi from PhillipCapital. Please go ahead.

Vikram Suryavanshi : Yes. Just wanted clarity on this INR 100 crore investment. We recently completed our expansion in Kandla, an additional layer of capabilities to manufacture. So, this additional INR 100 crore investment what you are talking about, will be of particular specific opportunity or it will be agnostic to products even there will be opportunity to say a renewable chemical material we can do in this subsidy or it is like a specifically for some particular opportunity?

Sachin Raole : Thank you, Vikram, for your question. Yes. We have recently done the expansion in Kandla and we realized that the expansion in Kandla is not good

enough to take

care of the demand which is coming up from this segment of critical equipment

Page 9 of 23 because the investment which is happening across in the green energy over and above what was happening on the CNG or LNG side, the investment is very, very huge which will require some kind of an investment from our side because here, the manufacturing has to happen at our end. We cannot outsource manufacturing to a third party and that is why this investment is being planned. Naturally, it is backed by some kind of inquiries, which we have seen in our hands. We are seeing the demand, which is going to get developed over a period of next 2 to 3 years and we feel that it is very, very necessary for us or it is the right thing for us to make this investment.

Vikram Suryavanshi : And this sustainable aviation with the joint venture, our efforts with the France, we already have G.O. for U.S. So, any specific differentiation here we have in terms of technology or it is more about the geographical markets there?

Sachin Raole : So, Vikram, this is actually a complementary arrangement which we are having. The Gevo arrangement is for other Gevo, MoU was for adopting their technology on the conversion of molasses into isobutanol. But beyond isobutanol, when we want to convert into SAF, Axens is going to play a role there. Axens is also going to play a role when we are converting ethanol to SAF. So, this is the last leg of SAF manufacturing, where the Axens is going to play a role and Gevo is in the first leg where there is a conversion of molasses to isobutanol. So, 2 different roles, but the last leg is going to be taken care of by Axens.

Moderator: We move to the next question from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani : Congratulations sir on good set of numbers. Sir, a couple of questions from my side. One is that I wanted to know if there has been any change in our strategy in the market wherein we are concentrating more on margins than market share and what would be your current market share?

Sachin Raole : That's a good question, Shailesh. And this is a question or rather the strategy is actually based on the input which we are receiving from all the well-wishers like all the analyst and people like you. We always kept on debating whether we should concentrate more on the market share or more on the margin side and actually, we are trying to balance between these 2 instead of bringing too much attention
Page 10 of 23 on the market share we decided that we need to pay more attention on the margin, and we are getting very, very selective in the selection of the orders especially from the new segment where the promoters or entrepreneurs are completely new. So, we are actually evaluating and figuring out what kind of seriousness is there in the game, and we are selecting those orders only. So, to that extent, yes the market

share will look very different because we used to talk about market share of 60%.

Today, we are looking at a market share of somewhere around 50%.

Shailesh Kanani : Sir, if you can elaborate more on this. What has been the reason and when is the strategy changed because is it both a coming up strategy or it has been implemented, say, a couple of quarters behind?

Sachin Raole : We are working on this strategy in this quarter where we decided that we need to be more choosy on the order booking intake especially when the starchy feedstock is becoming a prominent one . So, this was going on since the last couple of quarters, but actual implementation we did in this quarter.

Shailesh Kanani : So, the positive impact on margin is yet to come, right, of course because of this?

Sachin Raole : That's right. That's right. Because, as I mentioned in the earlier question also, we are still executing the old orders, where we are still having some kind of a backlog. Hopefully, that should get

over in quarter 4 and from the next quarter, we will see the normal orders with the normal margins playing its role.

Shailesh Kanani : And in terms of 1G ethanol if you can just tell me -- tell us the opportunity, which is spending or tendering in quantum terms, what is the quantum of orders you see in next, say, 2 years by the time we reach EBP20 ?

Sachin Raole : So, frankly, the market is very, very dynamic Shailesh and we just cannot see from a lens of EBP20 only because the way this market will evolve is not necessarily remain EBP20 oriented market. Flexi fuel vehicles as I mentioned in my opening remarks is going to be a big contributor going forward. These vehicles are not only for the segment of 4 -wheelers, but even 2 -wheeler segment is also coming up in this kind of where ethanol is going to get used. So, the demand scenario is still not completely what I can say, emerged on the backdrop of all these developments parallelly which are happening.

Page 11 of 23 So, if you look at only from the EBP20 angle , yes it is myopic according to me. We will have to see the additional channels, which will get opened up on the convention of ethanol will put up canvass of demand on a very, very different platform. We are evaluating all these scenarios, trying to figure out how the consumption is going to play through and prepare ourselves for the capacity creation going forward. I will not be able to give you a specific number, saying that this is what we are going to contribute to. But you can get an idea of what we are talking about because it's not going to be only EBP20 related market.

Shailesh Kanani : Okay. Fair enough. Sir, last question, if I can ask. Sir, we have partnerships on various new products we have been working on various new products. Can you please categorize the potential opportunity quantum wise and also period -wise, like in short term, medium term and long term work when we can see some fruits or some order booking or some revenue coming in?

Sachin Raole : So, all these MoUs which we have actually entered into or we are still entering into are meant from the medium to long -term kind of a scenario. They are not meant from quarter -to-quarter or very short term. This is a development which we have undertaken to keep our growth trajectory on the positive side going forward, too.

So, these are the three system if something goes wrong, EBP20 or if anything happens, and no, no further demand coming up on the ethanol side, we are keeping all our options ready with all other avenues which will actually give up the growth trajectory which we are looking for. But just to answer your question in short, we are looking for all these avenues to be developed into some kind of a commercialization from medium to long term.

Moderator: The next question is from the line of Amish Kanani from JM Financial Services. Please go ahead.

Amish Kanani: Sir congrats on a good execution as well as the improvement in margins. About CBG, sir, if you can remind us, my old note suggests that the typical CBG investment is of the size of INR 35 crores, INR 40 crores and with this GOBARdhan scheme talking about 500 plants, does it mean that we are talking about, say, initially INR 20,000 crore kind of a market opportunity? And is it possible to guesstimate how soon they can come up? I understand budget is not clear about viability funding

Page 12 of 23 versus where the government is making investment of that. But some thoughts will help us.

Sachin Raole: So, it's very difficult just to what I can say, guess the number, but let me just try to figure it out. INR 10,000 crores is the investment which is being talked about by the Honorable Finance Minister in her budget, but it is divided between 2 segments. One is on the CBG side and 1 on the cluster segment. Cluster segment investment might be on a lower side. Now what will be the percentage of allocation

of fund to

that side and what will be the on the CBG side, still we will have to see. But taking a cue, so me kind of a cue or some kind of an estimate, actually one plant is going to cost INR 30 crores on an average I am just putting a number because small plants will cost a little lower than that number. We are talking about the investment number which you mentioned more or less in that kind of a direction. Yes, it can be in the range of INR 20,000 crores, but we would like to still wait to see how this is going to be evolved over a period of time. So, today, it might be a little premature to give you some kind of a number over there.

Amish Kanani: Okay. Okay and sir, is it fair to assume that your market share the way you are dominating in ethanol, is it fair to assume that our market share here will only be in the similar size? Can we assume a market share in excess of 50% or it's again too early? My point is what is the competitive landscape in this market beyond Praj?

Sachin Raole : So, as compared to ethanol, CBG competition market or others, the landscape is very, very different. In ethanol, they were very few players in that sense. So, we are playing a very serious role on ethanol but in CBG we are seeing multiple kind of a competition number. So, it is completely -- the entire market if you look at including the competition is completely evolving. So, it is too early to say that our market share is going to be 50 or 10. We would like to play a meaningful and a leading role in that segment. That is what I can say at this point of time.

Amish Kanani : And sir, on the flex fuel side, you did mention about SIAM calling us and also a lot of manufacturers offering their products. Here, sir, how do you see the evolution?

One, in terms of a lot of players are showing the E85 kind of vehicle. So, the question is, how do you see that market evolving and is there a role where the government will again mandate that you have to introduce this vehicle with the next time line and stuff like that, sir?

Page 13 of 23 Sachin Raole : So, this is what the auto industry is looking for by introducing vehicles, which can run on ethanol blended ethanol or on ethanol . This is what the plan they have actually announced in the Auto Expo. We will have to see to what extent these numbers are coming up. But the encouraging part was there are multiple players who actually talk about it. It is not only 1 player or 2 players. So, this gives confidence to us that the population or the percentage of flex fuel vehicle is going to be on a higher side, which will add to the demand which is required for ethanol.

Amish Kanani : Sure, sir. And last question if I can ...

Moderator: Sorry to interrupt sir, we request you to please come back in the queue. The next question is from the line of Kunal Sheth from B&K Securities. Please go ahead.

Kunal Sheth : Congratulations on a great set of number. Sir, my question is what is our sense and how much of 1G ordering would have been already completed by now?

Sachin Raole : So, are you referring this to EBP20?

Kunal Sheth : Yes, that's right.

Sachin Raole : Yes. So, if you are only considering the capacity creation requirement for EBP20, somewhere around balanced capacity of maybe INR 450 crores to INR 500 crores is still remaining to be created.

Kunal Sheth : Okay. And sir, as far as 2G is concerned, you were saying that we have already completed the pilot projects and now inquiries for 2G are active?

Sachin Raole : So, Kunal, yes, what we mentioned that there were 3 orders, commercial scale orders we are currently executing. They are in the final leg. One is in the advanced stage, two might be a year down the line. Apart from these 3 orders, we said that there are no new orders which have been announced in the domestic market. But at the same time, I was referring to Europe market, where we are dealing with couple of inquiries

and being a complex kind of a nature of this entire 2G story itself, its taking time, but it is moving in a very positive way because we need to have the right promoters and the right investors to commit to this 2G story and which is what is happening right now in the Europe side.

Page 14 of 23 Kunal Sheth : Sure and sir, while we have been maintaining this 950 to 1,000 kind of a run rate for several quarters now. So, do we think there is enough visibility in the short term? I understand there are a lot of triggers in the medium term to maintain this run rate for the next few quarters.

Sachin Raole : Our endeavor is naturally to maintain that kind of a run rate. But we will have to see, as I mentioned earlier also that this is a project business. The order finalization sometimes takes time. The positive input which I can give you on the order book that we are right now looking at a very all -rounded kind of order book and not making concentrated only on 1 business, that's the effort which we are right now doing. So, it will help us in maintaining this kind of a run rate, but it is completely what I can say is our endeavor to keep this run rate on.

Moderator: Sorry to interrupt sir. Please join the queue back. The next question is from the line

of Prashant Shah from Serum Institute of India Private Limited. Please go ahead.

Prashant Shah : My first question was on just a follow-up of what you indicated right now. If you can just give us a trend or your view on the trend in the order book for the last 3-4 quarters. I think it picked up somewhere in Q4 and Q1 and has been on a slightly softening trend over the last Q2 and Q3. And my other question was a slightly book keeping question. If you see the difference between console numbers and stand-alone numbers. If you can just explain why Q3 last year, the stand-alone PAT of INR 64 crores turned out to a PAT of INR 37 crores at consol level. And this year, why the trend is reversed? If you can just explain that much?

Sachin Raole : Okay. Prashant, first, to your question related to order book, I already said that we are trying to see how the composition of order in take from different businesses should give us the run rate which we are looking at. Yes, composition may change the order placement scenario may change and quarter-on-quarter, it will be a little difficult for us to comment what is going to happen. I see that on the annualized basis, our order booking is going to be on the healthy side. That's what our plan is to maintain the growth momentum, which we have already achieved. The second question is related to the difference between the standalone and the consolidated numbers between the September quarter versus December quarter. in the standalone...

Page 15 of 23 Prashant Shah : I think December quarter to December quarter.

Sachin Raole : December quarter to December quarter. So, if you look at in the stand-alone you are talking about only quarter?

Prashant Shah : I'm talking about the quarter last year, Q3 quarter to the end this year, Q3 quarter.

Sachin Raole : On a standalone number?

Prashant Shah : On a standalone number, if you see last year, Q3, we reported a profit of INR 64 crores, which on a consolidated number turned out to be INR 35 crores.

Sachin Raole : Okay. So, if you look at INR 64 crores of the last 31st December '21 quarter, we were having the dividend income from a subsidiary company to the tune of INR 30 crores. So, technically, if you remove the dividend, the profit should have been in the range of INR 34 crores. So, profit has moved actually from INR 34 crores to INR 55 crores in this quarter.

Prashant Shah : Okay. Okay. So, that was the only component there?

Sachin Raole : That's right.

Moderator: The next question is from the line of Krisha Kansara from Molecule Ventures PMS. Please go ahead.

Krisha Kansara : Sir, my question was regarding the recent

news flow. The government has

preponed the ethanol blending target by 2 years. Sir, just wanted to know your take on it? Is it practically possible for the industry to achieve this 20% target in 1 year?

Sachin Raole : So, Krisha, thank you for your question. The target was more first from 30% to 25% from the blending target point of view. Now what is the announcement, which you have heard or read in the newspaper is related to availability of ethanol of 20% blended with the gasoline will be made available from '23 onwards itself. So, this is going to be like on a trial basis because it has to start so that we can actually see this EBP20 program catching up in 2025. So, this is what is going to happen from OMC side, they will be putting up a few pumps, it would be 20% blended petrol.

Krisha Kansara: Correct, so the 20%...

Page 16 of 23 Sachin Raole : So, the entire target is advanced. It is not that the entire 20% target is advanced by 2 years, but it is the availability, which is going to happen from 2023.

Krisha Kansara : Correct. So, basically, they will initiate this 20% blending from 2023 itself, but only on selected petrol pump.

Sachin Raole : That is right. That's right.

Moderator: The next question is from the line of Jay Shah from Capital PMS. Please go ahead.

Jay Shah: Yes. Congratulations, sir, for a great set of numbers. Sir, my question was bit on the macro side. If you can explain us some moving parts in the whole hydrogen chain that what is happening? And secondly, sir, on the last call, you mentioned about the Inflation Reduction Act, the bill that was passed in the U.S., are we getting some traction there and attention there from even the U.S. players on the clean energy front?

Sachin Raole : Second question, can you please repeat? The first question, I got it, but second question, if you can repeat?

Jay Shah : The second question is, sir, Inflation Reduction Act, the IRA bill that was passed.

Sachin Raole : Okay, understood. Yes. So, the first part hydrogen is according to us, it's a little early to mention what is going to happen, what I can say, the road map is going to come up for hydrogen because there is a talk around it in a big way, but we will have to figure it out how it is going to get actually played out in the near future. We are

definitely preparing ourselves on multiple fronts including for that matter, the investment which you have mentioned for putting up the manufacturing facilities basically to provide critical equipment required for hydrogen manufacturing. So, we are preparing on all the fronts, one on the energy side; second, on the equipment side also. I think at the cost of repetition, I will say that in the equipment side, we are actually making everything to find out how it can be offered in a modularized way. So, we are investing a lot on that side. So, that is on hydrogen side.

Second thing on IRA, I also mentioned that in the international front, we are seeing especially from U.S.A., demand which will emerge on the low -carbon ethanol. This Page 17 of 23 is nothing but an outcome of this IRA which you just mentioned, where we have already started providing our services. We have already done audit for at least 3 plants at this point of time, and there will be stages of these audits, and we are moving from 1 stage to a second to prove that what can be done with our technology solutions for reducing the carbon intensity in their ethanol. So, yes, action is going on based on what is happening on the IRA front too.

Jay Shah : Okay. Okay, sir. And sir, just the last question, you had mentioned that a lot of European companies and the U.S. companies, they are waiting for how our Panipat plant turns out to be because you said that a lot of eyes were there on how we are able to ramp up there. So, what is the progress on that?

Sachin Raole : So, as I mentioned in my remarks, Jay, that our pre-commissioning activities going

on. So, we have completed the mechanical completion. So, the plant is technically ready, but it has multiple sections. So, we are actually going to section by section checking of that. Checking out how it is going to perform. So, when we are taking up the entire plant from the commercial production point of view, we should not have any surprises. So, we are getting that completely done in the next couple of months' time. That's the first development, which is going on the Panipat side. Yes, we mentioned that based on the visibility of commercial production from a commercial plant, the other markets are naturally going to react to it and that is what is going to happen in Europe. It is going to be a long story. It is not going to be a short story, and that we always maintain that it is not going to be in the short term. It is going to evolve only in the medium term. But every step, I can tell you as feedback to you guys that on a quarter-on-quarter basis, we are very definitely progressing in a positive direction. The investors and the promoters both made to be completely comfortable before they commit the investment into 2G piece. In Europe, the investment for 1 particular plant is not going to be less than EUR 200 million to EUR 250 million. So, this is a huge investment. And that is why it is going to be traded a little bit more cautiously where the Panipat plant will definitely help us in exhibiting that and our work, which we have already started working with these prospects is going to give us some kind of an edge in the European market. Moderator: Next question is from the line of Divyanshu Sachdeva from White Oak . Please go ahead.

Page 18 of 23 Divyanshu Sachdeva : So, first question, I mean, I'm sorry, I joined the call a bit late. Can you please explain your -- this new MoU that you have signed with the Axens? Like what kind of role, Praj is playing? And what does this mean ?

Sachin Raole : For SAF, there is a long, what I can say manufacturing phase starting either from molasses or ethanol to SAF. So, there are 2 parts, first leg and second leg. The second leg is related to SAF manufacturing. We have joined hands with Axens, where we will be using Axens technology for conversion of whether isobutanol to SAF or conversion of ethanol to SAF. So, that's the leg where Axens is going to play a role. We are going to play a role for isobutanol and ethanol. And that ethanol is going to be low -carbon ethanol. So, it's a change where both of us are going to play a role first part by Praj; second part by Axens.

Divyanshu Sachdeva : Okay. And this isobutanol to ethanol is also something which we have tied with Gevo?

Sachin Raole : Yes. So, isobutanol is from molasses to isobutanol, where Gevo is the one whose technologies we have adopted. They have corn technology. We adopted their corn technology in molasses to isobutanol.

Divyanshu Sachdeva : Okay. Okay. Understood. And just 1 more thing, like if I see Gevo's commentary, like Gevo and other, in fact, airline commentary, let's say, for example, British airline has committed around 10% SAF by 2030. Gevo has tied up for an offtake agreement of 350 million gallons and tied up with various airlines like American Airlines, Alaska Airlines, Japanese airlines. So, it seems like Gevo is very, very positive in terms of SAF to be the next growth driver. So, anything like they have indicated or something like towards us like how they would pan this thing and

how this thing should be very much incremental for Praj itself because this seems very incremental and very positive. Let's say they have also mentioned that the entire SAF space would be worth more than 30 billion gallons over the next 2 decades or something. So, is it something that we are seeing going forward from the Gevo side?

Sachin Raole : So, if you look at European market and U.S. market, they have already started committing on the S

AF front, which has not happened in India. There is no commitment in the sense, there is no blending mandate per se for the SAF in Indian Page 19 of 23 market, but that has already started happening in European and American markets. Why are airlines committing? Because they have seen this commitment, they would like to meet with going forward. And that's why they are committing their requirement of SAF from the Gevo side. So, that's a big development that market is happening. In our market also, it will have its own impact and we will see some kind of mandates coming up going forward on the SAF blending in India too which will create opportunity for us have manufacturing facilities for SAF in India. Right now, the facilities, manufacturing facilities are going to be outside India and not in India immediately, at least for some time. But we will see that kind of development happening in the medium term.

Moderator: The next question is from the line of Ankur Kumar from Alpha Capital. Please go ahead.

Ankur Kumar: Sir my question is on the order books and execution. So, if I see while our order book has been growing, growth has slowed down a little bit. So, can you comment more on that and our execution has been quite good. So, given such a high order book, what is the kind of guidance on revenue and margin front you would like to give?

Sachin Raole : Ankur, I have already mentioned about how the order book is standing for us and how it is going to get evolved over a period of time. As I said, in the short term, I mean if I just bucket it in the short, medium and long term, I think in the short term, ethanol is definitely going to play its big role; short to medium term role in the Bioenergy segment we will see CBG playing its role; from medium to long term, we see SAF is going to play a big role. So, in the Bioenergy segment from short to long term, we see very definitive candidates sitting with us in our Bioenergy offering. This is on the short, medium and long-term for the Bioenergy segment. If I look at engineering, engineering has started picking up beautifully well for us. It will span out once we have the manufacturing facility coming up. It will give us some kind of a fillip if there is any kind of a blip in the Bioenergy segment, and it will give us complete filling up kind of an effect on the engineering side from the medium to long term.

So, this is how the trajectory for us from the order booking or from the business growth kind of a thing which we are seeing going forward. Revenue and margins, it Page 20 of 23 will be too early, generally. We don't give any kind of a futuristic statement or a guideline of date. But I'm sure that it will be in line with the order booking which we are going to have in these business segments.

Ankur Kumar: Sure, sir. And in terms of execution, the fourth quarter is the best quarter. So, can we expect that to continue here also?

Sachin Raole : See the way in which we have seen this year getting evolved, we are seeing more or less. More or less, we are seeing quarter-on-quarter, the execution is falling in place, your point is valid, but first 6 months used to be on the lower side and the next 6 months used to be on a higher side, but we are now seeing that some kind of a trend length is coming up in our quarterly performance. So, yes, quarter 4 is generally good. It will remain good, if I'm not wrong. But more or less, we will see going forward, the scenario that more or less quarter-on-quarter numbers are going to be in some kind of a range.

Moderator: The next question is from the line of Hemant, Individual Investor.

Hemant: Sir, congratulations on a very good set of numbers. Sir, a couple of questions from my side, sir. Firstly, what is the current ethanol blending?

Sachin Raole : Current ethanol blending?

Hemant: In terms of percentage?

Sachin Raole : It has almost reached 12%.

Hemant:

12%. So, sir, what kind of revenue visibility we have for the remaining 8%?

Sachin Raole : See some kind of capacity is already either got created or already got contracted. In another question, I was mentioning that another capacity of almost INR 450 crores to INR 500 crores of liters is still pending. So, that capacity creation will come

up over a period of time.

Hemant: So, what kind of revenue we can expect from the 450 to 500 kilo liters of ethanol in the next 2 to 3 years?

Page 21 of 23 Sachin Raole : So, if you want me to say what is the total CAPEX around this capacity is going to be there, then if it is 450 to 500 makes almost 100 to 150 plants can come up. The total investment will be in the range of around INR 10,000 crores to INR 15,000 crores. From the addressable market point of view, if you look at Praj, it will be somewhere around INR 6,000 crores to INR 7,000 crores.

Moderator: The next question is from the line of Sanjeev Kumar Damani from SKD Consulting.

Sanjeev Kumar Damani : Namaskar, congratulations, and thanks for giving me opportunity to speak. My straight question is regarding the likely internal projection of yours in this quarter sales? I mean, can you quantify the turnover that you are likely to achieve in this quarter, if at all?

Sachin Raole : So, you are asking me what will be the numbers for the coming quarter?

Sanjeev Kumar Damani : Top line for this quarter, existing quarter ending on March '23.

Sachin Raole : Sorry, we don't give any kind of guidance . I am extremely sorry.

Sanjeev Kumar Damani : No problem. But it has to be 20%, 30% higher, sir, than the existing one?

Sachin Raole : We don't give this guidance directly or indirectly. I am extremely sorry.

Sanjeev Kumar Damani : Okay, sir. Would you like to give name to the 3 plants that you are already coming up for making ethanol from syrup? This company's name for whom you are executing, if it all you can share?

Sachin Raole : Yes, sure, it is Mirani Industries based out of Karnataka.

Sanjeev Kumar Damani : Sir, you have written 510 -liter per day single plant is being commissioned for them or has been commissioned?

Sachin Raole : Yes.

Sanjeev Kumar Damani : It is for Mirani Industry. Is it a private limited company sir or a listed company?

Sachin Raole : So, you can have a look at them, this full entity is also within them. And there are multiple 2 or 3 set ups they have within their own group.

Page 22 of 23 Moderator: I'm sorry to interrupt Sanjeev . We will request you to please come back in queue.

The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani : Sir, I just wanted to understand if we have booked any after -sales service revenues in this quarter and given that the ethanol production capacity in the last 3 years have kind of leap frogged from, say, 4x to 5x. So, if you can shed some light going ahead, what kind of opportunity we can get from this?

Sachin Raole : From the segment of services?

Shailesh Kanani : Yes, right?

Sachin Raole : So, services, we are very cautiously treading that business. And that business has 2 or 3 segments. One is the consumables or the bio solutions, which we sell under that, which basically act like a performance in assets for the plant. We are seeing a good traction for that business within the domestic and international. International is taking some time because that market needs a demonstration to be done of our performance enhances there. So, 1 by 1, we are actually tackling that kind of demonstrations for those people, whenever the sugar season is available. So, last year, we did for almost 4 or 5 customers in Brazil for the testing of this demonstration and we will continue that kind of a scenario going forward also. So, we see a good growth kind of traction to come up for the consumables business, which we call as performance enhancers in the

domestic and international business both.

There is another segment on the operations and maintenance O&M. We have started offering those services within the Bioenergy segment especially on the 1G plant. And the idea was to get used to understanding this segment very well. because this business, O&M business within 1G may not have that kind of an opportunity, but it will come up in a good amount of way in the C BG side and on the second generation or even for the 1G plant, which are coming up on the starchy based feedstock. So, this was like a preparedness from our side to understand how this business can come up and we are doing at least 2 or 3 specific orders on the O&M at this point of time. To some extent, yes, that kind of an order is book is already booked in this quarter of December.

Page 23 of 23 Shailesh Kanani : And sir, 1 more thing. If you can just shed some light on Bio -Prism RCM front, if anything, you can like to highlight the status or opportunity, anything on the RCM front?

Sachin Raole : Yes. So, RCM front, I did not specifically mention because it's not on the short -term kind of a scenario, it is going to be medium term to long term. We are already

marching on our product development phases in a very, very positive way. The results for the first couple of products which we have started working on are encouraging. This business is going to be a little different, and we are aware about the nature of this business because this business is not going to be as traditional like the ethanol business of CBG. So, we are working on what kind of mechanism and business models will emerge and we are trying to figure out how to get into that kind of a stage. But it is going to be more on the medium to long-term kind of a phase, not short term.

Moderator: Thank you. As there are no further questions, I now hand the conference over to management from Praj Industries Limited for closing comments.

Sandip Bhadkamkar : First of all, thank you very much for your time today. If you have any more questions, feel free to write us at info@praj.net and we look forward to interacting with you again. Have a nice day. Thank you.

Moderator: On behalf of Praj Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

DATE: 3Qth May, 2023

REF. : PIL/DVN/L031/2023-24

Security Code No.: 522205

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Dear Sir I Madam, ~ pra)

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2659 8237 I 38

Please find enclosed Transcripts of Analysts' Call of Praj Industries Ltd. held on 26th May, 2023 regarding Audited Financial Results (Standalone and Consolidated) for the year ended 31st March, 2023.

This information is given pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time.

Thanking you,

Yours faithfully,

For PRAJ INDUSTRIES LIMITED

,

DATTATRAYA NIMBOLKAR

CHIEF INTERNAL AUDITOR

& COMPANY SECRETARY

(M. No. 4660)

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Page 1 of 18 Praj Industries Limited

Q4 FY23 Earnings Conference Call

May 26 , 2023

Moderator: Ladies and gentlemen, good day and welcome to Praj Industries Limited Q4 FY23 Earnings Conference Call. As a reminder all participants' lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I would hand the conference over to Mr. Anuj Sonpal from Valorem Advisor. Thank you and over to you.

Anuj Sonpal: Good afternoon, everyone and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor relations of Praj Industries Limited. On behalf of the Company, I would like to thank you all for participating in the Company's earnings call for the 4th Quarter and financial year ending 2023.

Before we begin, let me mention a short cautionary statement :

Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions.

The purpose of today's Earnings Call is purely to educate and bring awareness about the Company's fundamental business and financial cost under review.

Let me now introduce you to the Management participating with us in today's Earnings Call and hand it over to them for opening remarks.

First we have with us Mr. Shishir Joshipur – CEO and Managing Director and Mr Sachin Raole – Chief Financial Officer and Director of Resources.

Now without any further delay, I request Mr. Joshipura to start with his opening remarks. Thank you, and over to you, sir .

Page 2 of 18 Shishir Joshipura: Thank you, Anuj. Good afternoon everybody . I welcome you to Praj Industries' Earning Call for

Q2 & H1 FY23. Trust all of you had the opportunity to go through our results presentation for the quarter ended 31st of March 2023 .

I would like to start today's call with the news of an historic development in sustainable aviation fuel.

Last week, Praj Air Asia and Indian oil partners for India's first commercial flight powered by a blend of indigenously produced sustainable aviation fuel that flew the aircraft from Pune to New Delhi. The SAF blended in the ATF was used by Praj

using indigenous feedstock, leveraging its relationship with the United States.

In another significant development , Minister of Petroleum and Natural Gas Shri Hardeep Singh Puri received this special flight at the New Delhi Airport . During the event , Mr. Puri had mentioned that the Government has plans to come up with mandates on SAF in near future. As India becomes signatory to CORSIA mandatory blending of SAF from 2027 in accordance with the agreement will create significant opportunity. If we target to blend 1% SAF blending in jet fuel, India will require around 14 crore liters of SAF per annum and this will translate to an additional requirement of 28 crores liter per annum of ethanol when things move on the ATJ pathway.

In another significant development, our board has given us principle approval for formation of joint venture with Indian oil for production of variety of biofuels. Production of sustainable aviation fuel is likely to be the first project out of this JV. India's EBP 20 program is moving ahead as per the plan. Over and above the EBP 20 targets OMCs have floated expression of interest for signing long term off take agreement with upcoming dedicated Ethanol plant for additional capacity of 300 crore liters from 8 ethanol deficit states, namely Tamil Nadu, Kerala, Andhra Pradesh, Telangana, Gujarat, Rajasthan, Goa, Odisha and Union territories of Jammu and Kashmir and Ladakh. This creates an additional potential opportunity for Rs 4000 crore. The Government has launched 20% ethanol branded petrol at select outlets in 11 states in February, 2 months ahead of the scheduled 1st April launch, and it is expected that this will go nationwide by '25-26. India currently has the capacity to produce nearly 10 billion liters, which is expected to increase to 12.5 billion liters by end of 2023. Several state Governments have started to create supportive policies to drive ethanol production in respective states. The Tamil Nadu Government unveiled its TN ethanol blending policy 2023 in March 2023 with a mission to improve farmer income, revive the super industry in the state and to attract investments worth 5000 crore in molasses or grain -based ethanol production capacity. The targets for the policy term are to be self -sufficient and meet the estimated ethanol blending requirement of 130 crore liters.

Page 3 of 18 Our board has given final approval for a CAPEX proposal of Rs. 200+ crores considering the potential presented by several positive developments in different business areas. We are setting up a modern manufacturing facility to be housed into a new subsidiary Praj GenX Limited. This unit will address the business needs arising out of significant developments in energy transition and climate action segment. We have a very strong pipeline of inquiries building continuously. The new facility will be set up near a major port with CAPEX of nearly 100 crores. We are moving ahead with project development and expect to start commercial production by last quarter of FY24.

To accelerate commercialization of bioplastics, we are setting up first of its kind demo plant for Polylactic Acid (PLA) with capex of around Rs. 60 crore at Jejuri on the outskirts of Pune. This pilot facility will be used for scaled production of Food Grade Lactic Acid and Polylactic Acid. We are also setting up new catalytic lab at our R&D center Praj Matrix that will need investment of around INR 15 crore. This facility will be operational in August 23.

Now coming to our business performance, our domestic bioenergy business continued to build on its leadership position as we had discussed in the past . The majority of orders came for ethanol plants based on the starchy food stock. Sugar mills are also setting up dual feed plants now and are adding starchy feed stock modules to their existing ethanol, facility . Our inquiry pipeline is showing a strong

continued demand for starchy and sugary feed stock -based ethanol plants.

On international front , low carbon ethanol is developing as an interesting business opportunity in the United States, owing to slow down in the US market this activity , while developing very healthily , might be a little shift in timeline for project finalization. We are in the process of completing FEL studies for several projects which would then translate into firm business

opportunities as soon as the economy returns to normal. In Europe region, we are discussing few potential opportunities for Greenfield 1G projects in non-EU countries.

Our services business is receiving promising response from customers in both domestic and international markets. Our strong offering of an entire suite comprising of Enzymes, Yeast and Performance enhancers is finding a high acceptance in the market. With a view to enhance our reach and service to customers we are building a strong distributor network in both domestic and international market.

On the 2G front, I am pleased to share that we have produced the first ethanol from our IOCL Panipat project. Our team is now focusing its efforts in establishing continuous operation and reliability enhancement of the plant along with the IOCL team.

Page 4 of 18 As for CBG, our first rice drop based commercial plant for FCL has commenced bio gas generation and flaring. This high yield plant is now under stabilization and should start regular dispatch of CBG by end of June 2023.

The business landscape is developing favorably for our engineering business basket.

On the ETCA front, the opportunities arising out of increasing demand for sustainable energy and decarbonization of energy and downstream chemicals, blue/green hydrogen, green ammonia coupled with growing demand for waste to energy solutions is driving the demand for Modularized solutions in significantly positive way. Our traditional energy businesses of Oil & Gas, fertilizers etc is also seeing good traction, driving demand for our CPES solutions.

On the ZLD front, we are working on bringing Modularization approach to our offerings. We have already received first order for a modularized ZLD system. This augurs well for future business development.

The brewery & beverage business has reached pre-covid levels and we expect it to translate to capacity enhancement soon.

Fermentation is one of our key capabilities. We are capitalizing it to explore opportunities for PHS business in large size - High -Capacity fermenters space. We have received an interesting order for large -size fermenters for the pharma application from Oman. We have also booked our first order in the Semiconductor sector for ultra -high purity water. PHS has a healthy inquiry basket from international markets too.

The Union government is currently working on a policy - Bio-E3 (biotechnology for environment, economy and employment) that will boost biotechnology -based manufacturing for green growth. It aims to reduce dependence on petrochemicals in multiple sectors and attract over ₹10,000 crore investments. As a key stakeholder, Praj will be involved in developing National Bio -Chemical policy as a knowledge partner.

Overall, we remain very positive on continued development of potential across our bioenergy and engineering businesses. In spite of global economic challenges, we expect a favorable business environment aided by stabilized commodity prices and an ever increasing awareness to decarbonize global economy.

Before I conclude, I would like to share that our Chairman Dr. Pramod Chaudhari was bestowed with Eminent Engineer Award by Engineering Council of India (ECI) in the industry category for his exemplary contributions in engineering field.

With this, I will now hand over to Sachin for his comments on the financial performance.

Page 5 of 18 Sachin Raole: Thank you, Shishir. The consolidated income from operations came to 10 billion in Quarter 4

of FY23 as compared to 8 billion in Quarter 4 of FY22. PBT for the quarter stood at 1 billion as compared to 718 million in the corresponding period of last year's. Profit after tax came to 881 million as compared to 576 million in Quarter 4 of FY22.

For the full year ended March 31st, 2023; income from operations stood at 35 billion as against 23 billion in FY23. PBT stood at 3 billion in FY23 as against 2 billion in FY22. The PAT of FY23 came at 2.3 billion as against 1.5 billion of FY22. Export revenue accounted for 17.4% of FY23, and out of the total revenue 73.8 came from Bioenergy, 19.3 from engineering and 6.9% from the PHS business.

Order intake during the quarter was 10 billion with 76.5% from the domestic market. Of the total order intakes 82.3% came from bioenergy and 10% from engineering and balance 7.8 from PHS business. As compared to last year, export order intake has seen 9% growth, almost 743 crores as compared to 679 of the last year. The order backlog of March 23 is 34 billion, comprising of 84.7% of domestic orders and 84% from bioenergy, 11.2 from engineering and balance 4.6% from PHS business.

Cash in hand as of 31st of March 2023 stood at 6910 million, that is 6 billion. The Board of Directors proposed the final dividend of Rs 450 that is Rs 4.50 paise per equity share, that is 225% of the shares value of Rs 2 per equity share for the financial year ended 31st March 2023. It is subject to the approval of shareholders at the forthcoming annual general meeting. With this I will conclude my remarks.

Thank you all for joining. We would now be happy to discuss any questions, comments or suggestions you may have.

Moderator: We will now begin the question -and-answer session. The first question comes from the line of Prathamesh Sawant from Axis Securities Limited. Please go ahead.

Prathamesh Sawant: Yes sir, congratulations for great set of numbers. So, just wanted to ask my first question with respect to your JV with IOC, just wanted to understand what would be your capital allocation policy for the same? What kind of IRRs would you be expecting in this project and what kind of rate on can you expect?

Sachin Raole: If you are asking what are the plans of the JV with Indian oil. To give the answer, currently we have both the boards have accorded in principle approval for this joint venture to go forward.

When the joint ventures between public and private sector, there is a whole process that needs to be put in place that needs to be going through and therefore, we expect it to become functional only towards the end of this financial year and as per the agreement, the joint venture will then obviously make out its business plans as it is not to go forward as I mentioned the purpose is to propagate the cause of bioenergy in the country, and they will we are Page 6 of 18 expecting that they will start out on a SAF project to begin with and as the development and the business model evolves, we will know what kind of investments will be called for, what role they will play in the SAF facility etcetera, but it is probably too early for me to make comments on internal rate of return for that joint venture that is little out in future. I hope I answered your question.

Prathamesh Sawant: Yes, sir and then secondly sir, some more light on the high purity business. So, do we see this demand for semiconductor positive for the high purity business?

Shishir Joshipura: Semiconductor manufacturing facilities also need more or less similar grade of high purity water, that of thermal application needs and that is why I had specifically mentioned that that is the first contract that came through for and of course not only for semiconductor or even their supply chain as well.

Prathamesh Sawant: Okay and finally sir, one last question from my end

is with respect to the engineering segment.

So, do we see good traction for the CPES and the business .. CPES modules?

Shishir Joshipura: As I mentioned the both the traditional sectors of CPES that CPES has been serving, oil and gas, fertilizers, chemical and on the other hand, the entire which will be served by CPES and Praj GenX, the new subsidiary which will be specifically addressing the ETC opportunities, both of them are seeing very good pipeline build for inquiry and traction and many of the solutions that either of them would offer to different segments would involve mobilization.

Prathamesh Sawant: And sir what portion of it would be going towards green hydrogen or the booming sectors?

Shishir Joshipura: So, we are right now not saying that I will only go and chase down hydrogen opportunities because our aim is to ensure that we are able to serve the needs of our customers. These are very focused customers. We do not have a very finite set of customers. So, if they have a specific need for meeting a challenge or the solution for either green hydrogen it could be a green ammonia project, it could be an LNG project. So, the nature of the project is one dimension, but what is important for us is that we are able to add value. So, we are not going to restrict ourselves to only green hydrogen or anything like that. It depends on how the overall progress of the project develops, but across the broad spectrum, and not necessarily limited waste to energy green hydrogen, blue hydrogen, green ammonia, there are different segments which are different needs and we will be serving all these segments.

Prathamesh Sawant: Okay sir. Thank you Sir, that is from my end.

Moderator: Before we take the next question. A reminder to all the participants, please restrict yourself to two questions. Next question comes from the line of Levin Shah from Motilal Oswal AMC.

Please, go ahead.

Page 7 of 18 Levin Shah: Congratulations on good set of numbers, sir. My first question is on the exports opportunity and specifically, you mentioned in your opening comments that the US market has seen some delay, but as we understand, there is a timeline under which this IRA benefits should be given to the companies who basically modularize their plant. So, is this a very short-term delay that we are seeing or there is the inquiries, how will we see this order inflow coming in from these inquiries?

Sachin Raole: Yes, great question so. When the IRA announcements were made, there was also for the industry-based energy, they are also seeking some clarifications on the laws that have been rolled out from the IRS because there are some tech breaks and credits that are announced there. So, how to avoid double counting? How do you go about specific counting, etc. So, some of those issues are being resolved that's number one, the banking crisis in United States has. So, this delay is not that we are everything is done by three years or anything like that, but at least definitely for two three quarters we see a delay.

Levin Shah: Ok and sir, some of the projects we were already at a like an advanced stage in terms of doing the project work. So, for that also have you seen some pause in the activity or progressing and it is only on the new inquiries that we are seeing something?

Sachin Raole: So, the way the US projects progress is that they go through an FEL levels of studies they call them and these studies are three stage some customers can go for two stages, but definitely two stage nobody goes for less than that. So, those studies have moved forward. However,

once the studies are over, the next step of creating the big capital investment is something that is taking a little more time, obviously because of the funding issues, high interest rates in the economy, etc. So, I think those are what I would call as not long-lasting situation. So, as

I said

as soon as the situation turns we expect that this will come back on the table because as you rightly said, the IRS program still stay same they are not changing.

Levin Shah : Understood and sir the second question is on the CAPEX . So, interestingly, we had announced around I think 100 crores kind of CAPEX last quarter and now we are saying that we will do 200 crores with addition of this polylactic acid and the R&D CAPEX . So, this will be a polylactic acid plant would be this will be a pilot plant, right? We are not seeing any commercial sales coming out of this plant.

Shishir Joshipura : No, this will be a pilot plant and the idea is to demonstrate the technology for PLA. Just very briefly, I won't go into details, but that there are only couple of companies in the world who have the technology today and they are not letting it out external to themselves, so they are only using it for their own capacities and our attempt is to bring a very different dimension to this whole field and bring Praj's competence to play in terms of our understanding of the entire biological processes and ensure that we are able to provide a viable solution for PLA.

Page 8 of 18 Levin Shah : Got it, sir and this 100 crore CAPEX on the ET CA part under part GenX, what kind of revenue potential will this hundred crore CAPEX entitle?

Sachin Raole : So, the idea is that of course 100 crores CAPEX as in the module business we have to create a basic facility which can lift and shift heavy material. So, that is why a lot of investment goes into that and then once the basic infrastructure is set up, we are in a position to then leverage that for making multiple modules over a period of time. So, we are this 100-crore investment could actually potentially be able to do almost 30 to 40 X kind of sale out of that facility , but over a period of time, some more automation will walk in, some specific machines can walk in so that will happen as the facility starts to develop , but the first installment of the first branch of 100 crores as we start to invest our expectation is by end of this financial year, we will be able to make it functional from a customer perspective.

Levin Shah : Thank you sir. I will come back in the queue and all the best.

Moderator : Thank you. Next question comes from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani : Thanks for the opportunity and congratulations for excellent set of numbers sir. Sir first, I would like to know the outlook on CBG orders, how we are seeing the pipeline and have we booked any orders in this quarter? Additional orders on the CBG plant .

Sachin Raole : So, CBG activity is still not at a very high level in the , I am talking about now market activity level , is still not very high. We are beginning to see an increasing interest from customers, but we still not somewhere where I can say, you know what, there's a very healthy pipeline that is building up for enquiry . As I mentioned and also one of the facts is that there have been lot of expectation around different feedstocks, the fact is that there is no proven capacity on ground which customers can rely upon and that is why the HPC L Commissioning takes a very important dimension, as I mentioned that by end of June, we will be in a position to start dispatching gas from there, which will clearly establish a high yield technology, which is one of the key requirements to go forward and become effective because there are also some more what I would call the last mile connectivity issues that need to get sorted out and I think everyone all the elements in the value chain are working on resolving these issues .

Shailesh Kanani: So, the traction is slow as of now, but when we expect it to pick up.

Shishir Joshipura : So, I think I am probably the better place to answer this question down the next quarter, somewhere around,

because we need to see this performance establish and see how many of the issues are being resolved. We are very confident that our technology will showcase that we are able to produce best in class performance. Having said that we need to wait till the proof of the pudding is there on the ground, which is not too far also.

Page 9 of 18 Shailesh Kanani : Fair enough, Sir. Just wanted to understand the accounting treatment of the 100 crores demo plants what we are putting in place which I think two plants in total for bioplastic as well? So, how would that accounting treatment go? That would be debited to premium or that would be capitalized in the book, I think that will be debited to premium , right?

Sachin Raole : Yes, so this investment is actually meant for not one product, but it is like a multi-product kind of a facility. So, it will sit in our assets and 100 crore will not come to P&L. For example, the way in which we have built up our demo plant for 2G or the demo plant for CBG for testing different feedstocks is sitting in our fixed assets and naturally the depreciation and operating expenses are getting debited to P&L and the asset block will sit on the balance sheet side and not on the P&L side.

Shailesh Kanani : I thought there would be amortization in the year, Sir. Only one more question Sir. Our book-to-bill ratio has reiterated obviously because we had excellent execution in FY23. So, it is directly now 1X TTM basis. So, how does the management view this and as we are entering are

we entering into a territory where this can enter growth growing right growth rate going ahead? Last question for my side . Thanks a lot.

Shishir Joshipura : I couldn't get the question clearly Shailesh, are you saying?

Shailesh Kanani : Our book-to-bill ratio on TTM basis has deteriorated right? It is barely 1X in FY23 revenue terms from 1.2 what we had in FY.

Sachin Raole : So, your question is that our revenue booking versus the outstanding order booking that ratio is deteriorating, am I right?

Shailesh Kanani : Yes. Because the FY23. Yes.

Shishir Joshipura : Speaking the way the execution capabilities or capacities get built up, we have we started to build this capacity. GenX is one such example that I gave you. We are very confident that we will be in a position to continue to build. So, I don't see that to be concern point at all, whether we will be able to book and bill higher or lower number probably we will do a better performance. So, capacity is not the constraint. Having said that, as we go through the year this year, obviously there were some as I mentioned in the past as well, that the year of two halves one and the commodity prices were completely different than in the second half where they were stabilized well, the movement of labor force , etc. So, we are now in a position to say that we have reached capacity built and where we have been able to serve even higher book and bill. If we book during the year, we will bill that of course that also depends on A) Customer cycle times because as I am mentioning , especially for our 1G business where we are building more Starch based plants. Those project cycles are slightly different than a super based plant for the simple fact that there are many first time who are putting up these projects and therefore sometimes the timeline may get stretched.

Page 10 of 18 Moderator : Thank you. Next question comes from the line of Vikram Suryavanshi from Phillip Capital. Please go ahead.

Vikram Suryavanshi: Good afternoon sir and congratulations for good number. I just wanted to take this question from levin forward that low carbon opportunity, what we are talking about here is it more linked to the, say, 3-billion-gallon requirement of SAF only or is there a possibility that apart from SAF there could be increased demand for existing Ethanol base also just to get the landscape of t

his low carbon opportunity .

Shishir Joshipura : So, Vikram for production of SAF very clearly, and especially on the ATJ pathway where ethanol becomes the feedstock for SAF the requirement is clearly for low carbon ethanol , that's number one. So, all such applications where one wants to follow an ATJ pathway, a low carbon ethanol is the necessary input that is required. So plant will have to decarbonize the process that is number #1. #2 the process of decarbonization is also a process for improving efficiencies of the existing plants. It is not only decarbonizing; it also improves the efficiency significantly. So, there are plants who are not talking to us because it makes economic sense for them. Forget about the low carbon argument for the time being, they are saying it makes sense for me, for example one of the solutions will cut their steam consumption by up to 90%. Now when that kind of a thing happens, their operating costs go down and margins improve. So, obviously they producers who are who are thinking in terms of being cost efficient, improving their margins, improving the energy efficiencies they are differently focused and please remember that a lot of capacities in United States were built at least 20 years and before that. Okay and the refore those lot of those plants are now coming up for refurbishment of SAF because they will need to improve, a benefit of all these would also be that they will be able to go to a low carbon ethanol and also there are different levers that would drive that market for low carbon ethanol . The big lever among them is obviously the requirements there.

Vikram Suryavanshi : Okay , got it and one more question on this CBG you highlighted about take SAF infrastructure will take some time to pick up, but just to get within that, if you look at the sugar Company side, particularly from press mud opportunity to CBG, how is the feedback coming from that?

Probably they can have their own requirement for transportation requirement of the sugar factory and all that. So, can that ecosystem work in a closed loop or sugar companies from like press mud to CBG and used within their factories. How is that opportunity?

Shishir Joshipura : Yes Vikram. So, for the sugar companies, very clearly the press mud to CBG also offers a very attractive opportunity now on multiple counts and also let us understand because there is a proven commercial working model on the ground proven on both North and South of India.

Having said that, I think what is also very important is to understand that for the last two years or so lot of mill owners and the customers were also busy setting up the ethanol capacities. So, this is also a question of prioritization at their end as to what they want to start first and then start next. The third is that press-mud based plants have a very positive thing in their favor that that the output, which also includes fermented fertilizer organic fertilizer that is of a high grade

Page 11 of 18 and that becomes very easy for them then to create an additional revenue stream as we move through the year we expect that a lot of our companies start thinking positively about setting up their own capacities.

Vikram Suryavanshi : Got it and before closing, can you share what was the grain and sugar order for this quarter?

Shishir Joshipura : Sorry is the question how much what percentage for our booking was starch based, is that the

question.

Vikram Suryavanshi : Yes and sugar based this quarter.

Shishir Joshipura : So, sugary feed stock versus that was about 60% on the yearly basis, 60% of the capacity came on starchy feed stocks and 40 % on sugary feed stock .

Vikram Suryavanshi : Got it and thank you very much.

Moderator : Thank you. Next question comes from the line of Lokesh Maru from Nippon India Mutual funds. Please go ahead.

Lokesh Maru : Thank you. Congratulations sir on an excellent set

of numbers and execution. My first question

is on the same breakup of sugar and starchy feedstock -based orders within bioenergy for the quarter Q4.

Shishir Joshipura : Sorry. So, what is the question Lokesh ?

Lokesh Maru: Sir the same break up which you gave for the year 60 -40, what would that breakup be for the quarter?

Shishir Joshipura : Pretty similar I mean nothing much to choose, fairly similar.

Lokesh Maru: 60 on starch and 40 on sugar. So, also sir one question on this side sugar side like you had highlighted last day in that India had the production of cane was at all time high levels of 40 million metric ton side , right year. Last year this time it has come down by 10% or so are you seeing any moderation on the sugar side and at the same time given that broken rice prices are quite contained at this point in time, is it helping you on the starchy on enquiries on the starchy feedstock order inflows by any chance? But how is it shaping up at this point I mean ?

Shishir Joshipura : Yes, so Lokesh one clear thing is that in a manner of speaking, the sugary feedstock gets restricted to few states while starchy feedstock does not have that kind of a restriction, right?

and as I mentioned, the Government is also pushing for "Ethanol" drought states to starchy feedstock. All these eight states that I mentioned are starchy feedstock, there is no sugarcane there. So, as we start to spread the E BP 20 program reach more and more ethanol would be required also to be served into non -sugary states which are not the traditional producers of Page 12 of 18 ethanol. So, we do believe that there will be a push or there will be continued higher share of business for that starchy feedstock. Having said that, I think sugar mills are also understanding their very -very important role that they will play in this overall program and I do not think we are going to stop at EBP 20 is going to go. Ethanol is going to become a very important element of our overall energy mix and therefore they could get a very important dimension for us to remember. We have not talked about it before it is the fact that sugar -based ethanol is low carbon intensity ethanol as far as India is concerned so this is a very important dimension in favor of sugary ethanol. Sugary feed stock based all, and we will have to see as to how it goes. There are many other questions to be so. But I am sure that as we go forward, we will see a different dynamic emerge on this page. As of today as we see it in the immediate future, yes, that starchy feed stock will be higher.

Lokesh Maru : Okay sir given that, if let us say the monsoons are lower than expected, the precipitation is lower than expected in that scenario, how is it? Are you expecting any policy from the Government to, so that these projects on starchy feedstock side as well and both sugar as well, they don't. They are not hurt from a margin point of view, if at all there is inflation within both these commodities, Agri commodities.

Shishir Joshipura : I have no view to give you on this as to what Government should or will do because we do not know that we are still forecasting normal monsoon. We will have to see how that thing develops out. I think what is very important though, that it should such a situation arise I think that is when we will start to understand the value of 2G ethanol that we have been talking about for quite some time, that the eventual solution lies in our ability to use the waste feedstock and I think that by that time, of course we have also, as I was mentioning earlier in my opening remarks, we will have stabilized IOCL Panipat Plant as well and I think that could be a very, very big test for us. All I mean, say, as with all of us, not only Praj, but all of us, who are the involved entities to ensure that we are in a position to create a sustainable path forward and we clearly see

that as and when as we start to move to the future and not only for this monsoon, I am talking in general that there will be a definitive play for the 2G feed stock based ethanol production as well, because that is the lowest carbon intensity ethanol .

Lokesh Maru : That's also nice. Thank you.

Moderator : Thank you. Next question comes from the line of Amish Kanani from JM Financial. Please go ahead.

Amish Kanani : Congrats on a good set of numbers, Sir, our outstanding order book, if you see on a year -on-year basis has grown by 20% and our win rate on order in flow if you see last five quarters it had more jump from 700 crores say six quarters back to now between 900 to 1050 crores . The question is sir, what is the kind of pipeline that you are seeing sir, which gives us some idea of the growth coming for us on a short to medium term, the long -term growth we have been Page 13 of 18 seeding a lot of technologies which gives us comfort that there will be a growth but on a short

to medium term on a high base if you can give us some sense of how the growth will pan out?

Shishir Joshipura : I will tell you a little bit of a story kind of an answer on this one. So, our Chairman always tells us that we have to move in terms of our mental thinking of being a single feedstock single product kind of an approach which was you put a one feedstock at one end and you get a ethanol at the other end to a multi feed stock, multi product thinking and I think that is what is going to play out in future as we go . We have already started to see some signs of it, CBG plants produce fertilizers . If we have ethanol plants, they produce energy they also produce CB G depending on how you treat, I think there are multi feedstock was no longer sugary . It is also starchy, it is also cellulosic. So, we are beginning to see a different dimension and once there are multiple feedstocks on one end and multiple products at the other end and I think that is what is going to be the future . Future is not what we have seen in the past . Future is very different than what we have seen, but it is very exciting. It is very big and therefore we believe that we will be in a position to see a completely different game play out, different segments will emerge . Coming back to the specific question that you had, as I have said in opening remarks as well for our 1G business, for 2G business, for our CPS business specially modularization and for the ETCA related business where which is completely different landscape opening, we see a very -very healthy if I say so . So, we see no reason why we should be going down in any case.

Amish Kanani : Thanks sir that helps and sir, on the margin front, we have seen double digit margin which we are always aspiring for the question is, two-fold if you can explain us if possible between you know what was helping richer product mix versus say commodity price inflation which is you know slowing down and in that context on a yearly basis, how should we look at the sales margins of FY 24? Thanks.

Shishir Joshipura : So, Amish as I had mentioned year of two halves. First half where we did not have we still had the impact of the ever -increasing commodity prices in a volatile fashion and second of the year saw that moderate and cool down and I think that is been let me not say anything and that has been a good big factor for us to be able to manage. The second is the fact that we are also in a position to move to a healthier product mix and by establishing higher value we have taken some tough decisions internally to ensure that we are able to protect our margins. Our teams are focused . We call it not just the growth but healthy growth and that is how many of our efforts have been focused in the direction both in terms of how we improve internal processes. We are not going to talk about it, but there is a big effort in the way and digital

lization of our

operations , driving standardization for our plants. So, there are different levers that we are using to ensure that we are able to become not only big but also healthy.

Amish Kanani : Okay , that helps and all the best.

Page 14 of 18 Moderator : Thank you. Next question comes from the line of Utsav Mehta from Edelweiss AMC. Please go ahead .

Utsav Mehta: Thank you for taking my question. I just wanted to know the amount of customer advances on our balance sheet and what is the quantum of retention money?

Sachin Raole : So, the customer advance is in the range of almost 700 crores and retention amount out of the receivable should be in the range of 110 to 120 crores.

Utsav Mehta: So, just wanted to understand, we have seen almost a 300 crore increase in receivables that is as much as our EBIT DA. So, is it primarily happening? I mean could not be happening only because of retention. So, if you could just throw some color as to why such a sharp increase in receivables?

Sachin Raole : Because that you are looking at in the absolute number , but if you look at in terms of number of days, receivable number of days rather there is a reduction of almost you can call it as a flattish, but from 86 days now it has reduced to 83 days . So 1000 crore turnover happening in the last quarter naturally because of the payment term that money is supposedly to start coming in this quarter. So, that is the reason why you are saying that jump can be absolute number of receivable but in number of days terms it is 83 days versus 86 days of the last year.

Utsav Mehta: Understood last bit on retention, so if you could just throw some color on what are your typical kind of retention clauses in your contracts?

Sachin Raole : So, we are actually trying to do away with retention to a great extent whenever there is a new contract, new customer, new territory, there might be an issue coming up on the retention . But otherwise, as a policy we are going away with retention and that is the reason we are seeing reduction in the number of retention over a period of time, even though the turnover is the top line has grown to this extent as compared to last year. Our retention absolute number has remained very -very range bound . Generally, we try not to have a retention, but yes, if there is a loss for retention, this money is linked to mechanical completion of our project and doing the trial run and subsequent to that retention money coming back to us .

Utsav Mehta: So, it is not typically 6 months or 12 months in terms of running.

Sachin Raole : No

Utsav Mehta : Okay , understood. This is very useful. Thank you so much for your time.

Moderator : Thank you. Next question comes from the line of Arpita Gupta from Nivesh Mitra. Please go

ahead.

Page 15 of 18 Arpita Gupta : Hi, congratulations on a great set of numbers. So, my question was regarding volume. So, when we look at the order book numbers there, I am sure affected by inflation and prices too. If you could give any clarity on what kind of volumes may be in terms of number of plants that were commissioned or you know any other way?

Shishir Joshipura : Arpita the problem is that there are six business areas and I find it very difficult to give you an equivalent unit number but just to give some idea, and I am not saying that is the correct measure or anything like that. But we also so you can imagine, have a similar problem on our shop floor . How do I determine what capacity I have got? So, one of the things that we did was to create an equal equivalent unit concept where we sort of reduced everything to in what we make. Okay , that is part of what we actually deliver to our customers in what we make and we saw on a yearly basis doubling of our output volume from the previous year on equivalent unit basis . I do not know whether that answer s. Different businesses were going on and explain t

o

you what is the equivalent capacity.

Arpita Gupta : No, that helps. So, doubling from previous year, that means FY22 versus FY23, right?

Shishir Joshipura : That is correct. Now again, that is what we make. So, again, the order list can change where what we make has a higher content compared to what we buy and sell because when we put our project there are lot of things that we buy for them pumps and valves , instrumentation that we just have to, but we have to integrate it into our system, but we do not make them .

So, there are different. So, depending on the nature of the project, where are we putting it up? What is feedstock ? What is the customer level of competence ? I think there are too many of variables there so you can come and ask me. So, you double the unit then how come your sales did not double but that is not the way to look at it.

Arpita Gupta : So, I understand. Yes, fair enough , understood . So, any guidance for the next 3 to 5 years either in terms of volume, like the common unit that you mentioned or the top line or EPS estimates, any guidance for the next 3 -5 years.

Shishir Joshipura : So, we would not be able to give you guidance of three to five years. I mean then I have a very different job if I could do that correctly , but having said that, I mentioned that the new investment that we are making in the Praj GenX facility for example, and that is just one of the things that we are doing though is likely to lead it will create a capacity equivalent to 30-40 times of the investment that we have made over a period of time and we will continue to do that in our other parts as well. So, where I need not do a Greenfield project, but a brownfield expansion of our own capacities and that is something that we have worked on a model where we have created some very highly dedicated vendor base for some of our technologies. For some of our offerings so they it is not my own work , but it is still they only work for me under my quality program under my supervision, even under my material. So, there are different models that we are deploying to see how we can use our capital .

Page 16 of 18 Arpita Gupta : Alright, just the last question. Please go on.

Sachin Raole : Additionally, as a practice, we do not give a guidance. We talk about what are the business prospects and possibilities and opportunities. But we do not give guidance as a practice, alright?

Arpita Gupta : Just the last question from my side and pardon me for a basic question . But how do you compare ethanol blending versus the upcoming EV revolution in the Indian vehicles?

Shishir Joshipura : So, this is something on which we will be very happy to dialogue with you. Maybe you can set up a separate call and we have a very definitive view on why broadly one line for India or for that matter, any agrarian economy , the right solution is a flex fuel vehicle and not EV unless the electricity comes entirely from renewable sources, there is absolutely no case for electric vehicle, at least not on the grounds of pollution free and you know it reduce it does not reduce the pollution.

Arpita Gupta : But the targets of EV set up by the Government s will not affect our industry growth ?

Shishir Joshipura : The point is, is that the industry is moving in direction and I think somewhere along the line we as consumers become more and more aware of this issue . I am sure that there will be a lot and I am not saying that there is no space for electric vehicles. Please do not read it that way. For that they will coexist along with the new technology , please appreciate that today we already have a huge vehicle park on the ground of nearly 100 million vehicles in India, which are based on IC engines, so we cannot just switch them away. They are already there. There is a whole setup in the infrastructure in the country to distribute fuel, we do not have for electricity

. There

are many -many things at the same time. We have to the enemy is not its engine. The enemy is greenhouse gas emission and that is the problem that we need to solve.

Arpita Gupta : Alright, that really helps. Thanks a lot.

Moderator : Thank you. Next question comes from the line of Aashav Patel from Molecule Ventures BMS . Please go ahead.

Aashav Patel : Sir, congratulations to the team for a robust set of numbers. So, over the last three years, our

revenue base has shifted from close to 1000 crores top line annually to 1000 crores quarterly, which reflects our excellent execution skills. But in the meantime, margins have remained same around 9% range in other crude companies what we see is because of lean manufacturing structure as in when the top line increases multi fold, the operating leverage kicks in and margin expansion is visible but due to our steel RM increases, especially the steel prices we have not seen our margins increasing in line over last two years, so now as newer orders comes into the execution and proportion of older orders get reduced. How do you see margins going forward, Page 17 of 18 say in FY24 and FY25, assuming the steel cycle remains, steel prices consolidate around the current level?

Shishir Joshipura : So, Ashraf, as Sachin said, we will not give you guidance for future numbers or anything like that is not the policy of the Company, but obviously the period that you described, we came through a very highly volatile and increasing price strength for commodity that is hopefully right now in front of us, so that obviously will help and it was damaging our project life cycles are long. So, when we get the order to the time we actually buy the material, there is a significant gap because we are engineers of the plant first. So, there was a COVID period. So, there are different what was the external adverse sectors? They have all sort of went away, so we expect that as we move forward, we will be able to manage a better performance. This is something that I said at the beginning of this year that as we go through the year, we will see year of two halves, first half again, on the lower side and you can see that from our quarterly margins as well and I had mentioned that we will move to a more healthier regime in the second half of the year and that is what we have been able to do.

Aashav Patel : So, that is all from me.

Moderator : Thank you. Next question comes from the line of Ajit Muroor, an individual investor. Please go ahead.

Ajit Muroor : So, congratulations on great set of numbers. First, my question is on the strategy. Are you as Praj Industries trying to get into actually making the biofuels versus just being the process consultants and process manufacturers process equipment manufacturers? Is that the strategic direction?

Shishir Joshipura : So, let me answer it like this. So, in our current businesses, our basic business model is from technology, engineering, manufacturing, production and in some cases in India even help customers with their operations, so we call it a tempo model and that is what has driven us so far and we have no reason to believe that anything else is required to be done for these businesses, but if a new business or horizon opens up, then that has a different set of dynamics in the market. We will have to react to that, right. We cannot say this is our model. Market dynamics can be anything. So, what we have said is that in our current businesses with our current business model, we are very confident that we will continue to grow that we have. However, if a new horizon opens up and that has a different set of requirements, just like I was mentioning to you, if you come to my Company three years ago, we would not have heard the word distributor in our Company at all, that is not who we were, but now I talked about a distribution channel being set up both in India and inter

national markets for our services business, for our

PHS business, because that is the need of the hour. So, that business model will evolve with period of time. There is no such thing that we want to become producers of fuel, not at all. No, we have no plans right now to compete with our customers.

Page 18 of 18 Ajit Muroor : Okay, got it. I think that was it from my side. Thank you for answering the question. Thank you.

Moderator : Thank you. Ladies and gentlemen, we have reached the end of question-and-answer session. I would now like to hand the conference over to the Management of Praj Industries Limited for closing comments.

Sandip B hadkamkar : So, thank you everyone for your time today. In case you have any more questions, feel free to write us at info@praj.net and we look forward to seeing you again next quarter for this interaction and have a nice day. Thank you.

Moderator : Thank you. On behalf of Praj Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2023

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Praj Industries Limited Q1 FY24 Earnings Conference Call
July 27, 2023

Moderator: Ladies and gentlemen, good day and welcome to Praj Industries Limited Q 1 FY24 Earnings Conference Call.

As a reminder all participants' lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr. Anup Sonpal from Valorem Advisor. Thank you and over to you sir.

Anup Sonpal: Good afternoon, everyone and a very warm welcome to you all. My name is Anup Sonpal from Valorem Advisors. We represent the Investor relations of Praj Industries Limited. On behalf of the company, I would like to thank you all for participating in the Company's Earnings Call for the 1st Quarter of the financial year ending 2024.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's Earnings Call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review. Let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks.

First we have with us Mr. Shishir Joshipura – CEO and Managing Director and Mr Sachin Raole – Chief Financial Officer and Director of Resources. Now without any further delay, I request Mr. Joshipura to start with his opening remarks. Thank you, and over to you, sir.

Shishir Joshipura: Thank you, Anuj. Good morning everybody. I welcome you to Praj Industries' Earnings Call for Q1 & FY24. Trust all of you had the opportunity to go through our results for the quarter ended 30th June 2023.

Page 2 of 22 Last week, Praj participated in the 14th Clean Energy Ministerial and the 8th Mission Innovation Dialogue on the margins of the G20 Energy Transition Ministerial meeting.

Deliberations during the conference were also extended to discuss the formation of a global biofuel alliance for worldwide development and deployment of sustainable biofuels, several national governments, agencies, industries and other stakeholders will be the part of this alliance. I am happy to share that our ongoing partnership with Indian Oil to accelerate India's energy transition towards the greener future stands further reinforced. In October 2021 we had entered into an MOU with Indian Oil to form a 50/50 joint venture for production of various variety of biofuels. Based on approvals from both the boards we are now signed a term sheet for the joint venture formation.

Coming to business performance, we started the FY24 on a positive note with robust order intake and improvement in profitability. This quarter, we saw an increase in share of international order reaching 35% of the total order book, which is definitely a positive development. We started this year with the healthy order book and it continued to build during the quarter as well, owing to differentiated delivery cycles of the order book that we had, the 1st Quarter revenue is not reflecting the annual growth potential of the revenue cycle.

On our domestic bioenergy business capacities are continuing to be built around both starchy and sugary feedstocks. Food Corporation of India has stopped issue of rice to ethanol distilleries till

I further notice. However, the said distilleries can procure rice from the open market. We are evaluating the impact of this decision and watching the developments closely since the government has clarified that the EBP 20 program continues as per the original timelines. Domestic inquiry pipeline continues to be strong.

On International front, low carbon ethanol opportunity in the United States continues to develop positively. Currently we are completing FEL studies for several projects that will translate into firm business opportunities in near future. Argentina has advanced the ethanol blending from 10% to 15% while, Mexico and several countries in Africa are coming up with specific mandates. Indonesia is another opportunity arising with announcement of 5% EBP mandate for premium gasoline.

Our services business is receiving good traction in both domestic and international markets especially Brazil. We are building a strong distributor network in different markets to offer

entire suite of solutions comprising of Enzymes, Yeast and Performance enhancers.

On 2G front, we have established successful demonstration of our infinity process at IOCL plant. Owing to availability of different speced feedstock, our team is working with IndianOil to define necessary modifications in feedstock supply system for the process plant.

Page 3 of 22 As for CBG, we are beginning to witness constructive movement in the market. IndianOil has sought EOI to set up 30 CBG plants in the country. We have received business confirmation for setting up five projects from a leading business conglomerate to be set over next 15 to 18 month with an option for 5 more plants. The execution of the first project has already begun.

The business landscape is developing very favourably for our Engineering business basket.

On CPES front, we have received significant orders from leading T-EPC companies focussed on oil & gas and fertilizers segments. We are taking special efforts to improve the productivity at Kandla unit to deliver higher loads starting from H2.

On Praj Genx, we have finalized the location for the manufacturing plant to be set up near Mangalore port. A strong inquiry pipeline is building up from ETCA segment to be served by this facility.

Our PHS business has built a very healthy order book for the year FY23-24. High-capacity fermenters are witnessing strong traction. With semiconductors space rapidly evolving in India, it will open up increasing opportunities for our ultra-high purity water solutions. I am happy to share that the PHS team has received Bio Spectrum Award for 'Most Promising Company for Engineering Solutions & Services for Pharma, Biopharma and Nutraceuticals Industry'. Overall, the business outlook is very positive for our bioenergy, engineering and high purity businesses.

Before closing, it gives me immense pleasure to inform you that Dr. Pramod Chaudhari has been appointed as the Chairman of the Board of Governance of the College of Engineering Pune (COEP) Technological University. Dr. Chaudhari will lead the first-ever full-term Board of Governance formed after CoEP became autonomous and got the status of a Technical University.

With this, I will now hand over to Sachin for his comments on the financial performance.

Sachin Raole: Thank you Shishir. The consolidated income from operations stood at Rs. 7.36 billion in Q1 FY24 as compared to 7.31 billion in Q1 of last year. PBT for the quarter stood 777.03 million as compared to 542 million in the corresponding period of the last year showing the growth of 43%. Profit After Tax stood at 586.72 million as compared to 412.63 million in quarter 1 of last year. Export revenues accounted for 17.2% of the quarter. Of the total revenue, 79.7% is from bioenergy 13.6% from engineering and 6.7% from PHS business. The order intake during the

Page 4 of 22 quarter was 11 billion with 64.7% from domestic market of the total order intake 60% came from bioenergy, 31% from engineering and balance 9% from PHS business.

The order backlog as of 30th June 2023 stood at 37.78 billion comprising 78.1% of the domestic orders. Cash in hand as on June 30 is Rs 8.13 billion. I now conclude my remarks and I would like to thank all of you for joining us on this call and would now be happy to discuss any questions, comments or suggestions you may have. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question comes from the line of Prathamesh Sawant from Axis Securities. Please go ahead sir.

Prathamesh Sawant: Thank you for the opportunity, Sir so quickly one question, Sir, I wanted to understand the export book. So, what are the kind of customers do we have? What is the average order book size that we get and what are the kind of margins compared to the domestic orders.

Shishir Joshipura: So, Prathamesh if you look at our international business, essentially I would put in two categories. One is business that we get for our bioenergy segment and the second is for our engineering segment. Within the bioenergy segment, the customers are obviously those who are putting up ethanol facilities or upgrading the ethanol facilities or putting up any of the new facilities around you. As of today, it is restricted to ethanol. On the other hand, if equal to engineering, then we work very selectively with some very large technology and EPC companies, which are global leaders in their field, especially in field of oil and gas, fertilizer, natural gas, etc. So, they are setting up facilities for their customers, so we are not actually serving the end customer. We are serving in between the technology & EPC companies. So, there are two segments that we serve.

Prathamesh Sawant: Okay and the average order size for the ethanol segment would be higher and the margin.

Shishir Joshipura: So, that depends. I mean in terms of what is the size of the value. So, if I do an FEL study, it probably would be running to a million dollars - two million dollars like that. It is just the study part. If I go ahead and supply the whole Winfield project, then of course it could run into closer to 150 crores kind of level. Remember that in export markets, we don't do any side activities at all. We just supply the critical equipment, technology and engineering. Now on the other hand, if you go to the engineering side of business, there again the order size can vary between

five million dollar on the lower end to on the upper end it can even go to as high as maybe 20 million dollars , 20-30 million dollars per contract.

Prathamesh Sawant: Okay and Sir on the CBG front again so we are seeing we are gaining traction and we have just got the order for five projects. So, what is the average order size in this segment and how do we play it? Are we just the technology partners or we are in EPC construction and setup of this project as well?

Page 5 of 22 Shishir Joshipura : So, the CBG project in India, the model that is emerging in India, is that the customers are looking to companies to set up the full project for them. Some other customers may have a different requirement, but this particular customer had this requirement that we do the whole thing for them. So, for them the project size is of the order of 100 crores per project.

Prathamesh Sawant : Okay and then finally just one last question from my side. So, in the current quarter, we saw a slightly lower run rate on order execution. So, is it because of the cyclicity or was there some other reason?

Shishir Joshipura : No, there is no other reason. It is just that the way our order book that line lined up and you know the project nature of the business. So, given the site preparedness

project triggered the

customers end and the progress of the project in its entirety is just that the execution cycle got so defined that in this quarter, we could not there is no other reason at all.

Prathamesh Sawant : Okay . Thank you, sir. That's it from my side. I will get back in the queue.

Moderator : Thank you ladies and gentlemen. Please limit your questions to two questions per participant and one follow up question. Thank you. We shall move to the next questioner. The next question comes from the line of Levin Shah from Motilal Oswal Asset Management. Please go ahead.

Levin Shah: Yeah. Thanks for the opportunity, Sir, Sir, very encouraging to see this order inflow from the international side. So, we have around 35%, which is close to 38.5 crores coming from international business and this has come. So, this does not include anything on the ETCA , right, so how we are seeing this ETCA pipeline now developing. How far are we from getting that our breakthrough order which we have been talking for some time and second on this if you can throw some light on this oil and gas and fertilizer segments is what we have highlighted, what is the nature of this order and do you see more such orders from this same industry or there are other industries where we are in the fray for more orders from the international market?

Shishir Joshipura: So, Levin when it comes to ETCA orders, which will be served by the GenX facility, as you would appreciate, there we have a sort of synchronization act to do to ensure that the order intake and the absolute preparedness and start of production at the facility are completely

synchronized. There are also steps involved in terms of approval of facilities from customers as we are going through those steps. So, we expect that in the second half of the year we will start seeing the ETCA order book built up. So, then that can get start to get executed from the GenX facility because once contract comes we do the engineering. We expect this facility to be ready for the fourth quarter of this year, but obviously the order book has to start at least a quarter before that. In terms of the orders from oil, gas and fertilizer, I think these are the orders where these are segments from these orders come, but orders are again for what I would call as when they are for example one of the projects is there in which this is a LNG terminal being set up in United States or there is another one in which the technology is available for improving the

Page 6 of 22 recovery from the bottom of the cracker units for existing oil refinery. So, there are different applications that are coming through. Again, all of them are largely aimed at ensuring that there is better recovery of the end product. There is sustainability angle or angle to the sustainable fuel so that goes without saying we will make more of these applications as move forward

Levin Shah: Sure . So, Sir, even within this industry, the orders that we would be getting would be for basically carbon capture or getting the emissions in check, right?

Shishir Joshipura : No, these contracts are plants and depends I can't share these many details with you on the phone because it is difficult for me to explain, but fundamentally these could be equipments which are heat exchangers, pressure vessels or skids as the case may be or a combination of these special purpose vessels which then go on to be part of the overall process of the plant, which is then put together for either better recovery or a different kind of catalyst manufacturing. It could be different applications depending on what the technology is all about. Essentially, these are all focused on clean technology. As I was mentioning to earlier, all these solutions from our customers are focused on enhancing recovery on reducing the footprint of energy or of carbon and there are different steps, right? Biofuel is o

ne step. These

are different steps within the existing setup without changing the feedstock and refinery, what can they do and these kind of solutions are offered there. So, there could be opportunities for many more such solutions.

Levin Shah: Sure, Sir and my second question was on CBG front . So, finally, now we have seen some order inflow after a long wait and we have been working on this for some time. So, these five plants, the order that we have got is it already in the order book or it is yet to be booked in the order?

Shishir Joshipura : It is not in the order book that we reported.

Levin Shah: Okay and also you mentioned in your opening remarks that IOCL has indicated that they would be looking at setting up 30 plants. So, is there any MOU that we have signed with them or any timeline and all these 30 plants will flow to us or is it that this is their mission statement in the sense that they would want to put up 30 plants.

Shishir Joshipura : So, Levin right now they have come up with an EOI. You know, it's a public sector, so it has to be open to everybody. So, they have come up with an EOI for setting up 30 plants in 30 locations in India and after the expression of interest, they have specified a criteria for selection of technology and partners. So, I think we have to go through those steps to see how this develop, but the key point which I actually wanted to indicate was the fact that there is now a definitive movement happening in the CBG market as you mentioned that for last almost 18 to 24 months, we have been talking about possibility of development and now we can clearly see this is a step in that direction as we see that.

Levin Shah: Sure, sure. Thanks, Sir. I will come back in the queue. Thank you.

Page 7 of 22 Moderator : Thank you. The next question comes from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Good afternoon, everyone. Congratulations, Sir. It seems that we have been working on margin accretive orders for some time and we have been successful this quarter around. I hope this momentum continues. Sir, my question is with respect to CBG only. So, can you share some more details like what kind of margins you will be getting? Are they margin accretive to the current order book what we have and is there any pending thing with respect to why we have not booked it in the current order book.

Shishir Joshipura : So, Shailesh, I will answer the in the reverse order. So, we have a very strict rule about how we book a contract. So, if I do not get it till 30th of June in a certain advances and contract time we don't, even though we may have agreement with the customer, we will not reflect that into our order book. We have very strict policy on that. So, that is how it is now moving as I speak with you we have spent three weeks from 30th June. So, now the movement is there, so I am happy to share this with you. In terms of obviously these we expect that when we build these programs and these projects there will be value accretive to the company goes without saying. How much? I am not at liberty to say.

Shailesh Kanani: Fair enough Sir. Thanks a lot that was useful. So, my second question with respect to our tie up with IOCL. So, after some duration we have been able to sign the term sheet. So, can you share some further details like what kind of key capital would be allocated or when this tie up will start specifying in terms of order in flows probably FY24-FY25, you can shed some more light on this term sheet.

Sachin Raole : Okay. So, this term sheet is signed for the umbrella JV, the idea is that under this umbrella JV, we can take up the projects for different bioenergy products, It may be it SAF, CBG or be it ethanol for that matter. So, it is an umbrella JV. The term sheet is right now signed. Actual formation of this JV will take somewhere between

five months to six months because there are multiple formalities which we need to take care of and at the same time we will utilize this period to figure it out what will be the first project which can be taken up under this JV. As I said, it is a umbrella JV and the structure which we are working out will be having an element of product by product of bioenergy. different SPVs coming this JV so right now the capital outlays are not yet finalized. It is going to be dependent on which first project we are going to take up under this JV but umbrella JV is going to be 50 :50 between Praj and IOCL.

Shailesh Kanani: So, is it safe to assume that this will fructify in say FY25 most likely?

Sachin Raole : Project actually execution will take that kind of a period.

Page 8 of 22 Shailesh Kanani: Okay sir if I can squeeze in last question sir on benefit on margins, how long do we expect this

margins, benefit of commodity price to continue for us since we have fixed price contracts if you can shed some light on that. Thanks a lot.

Sachin Raole : So, on the raw material side, we have started this muddling of the prices and if it is continuing for at least last two quarters and we were saying that our old orders are getting executed now rather we have completed all our old orders which we are having this impact of raw material, almost all the orders got executed now. Now the new orders are coming up with the new pricing formula and new margin formula. So, till the raw material prices are not going to behave the way in which they behaved we do not see any impact coming up on account of raw material going forward, negative impact I am saying. So, margins should start smoothing on account of raw material going forward.

Shishir Joshipura : That's not the only reason why you see this margin up, there is also a concentrated effort we took to ensure that we improve our order book and our execution efficiencies etc, which all get reflected our supply chain. We have taken many steps to ensure that we are able to improve these margins, smoothing of raw material prices, definitely helps.

Shailesh Kanani: Yes sir. Thanks a lot, Sir. Thank you.

Moderator : Thank you. The next question comes from the line of Dhananjai Bagrodia from ASK Investment

Managers Private Limited. Please go ahead.

Dhananjai Bagrodia : So, congratulations for good set of numbers, just this might be a little longer term broader question. After ethanol is there any one like particular segment like how we have cracked in ethanol where we see a very long term opportunity where we can have the same scale up as we have seen in ethanol. So, that where we are excited.

Shishir Joshipura : So, Dhananjai you probably recall my opening statement where I mentioned about this conference in Goa and the Global Biofuels Alliance and the delegations that were being held there. I came back extremely excited about the future of biofuels in general and yeah, so there were more than 18 senior level ministers from different governments, countries, bilateral institutions and the deliberations were very, very rich and one thing was very clear that biofuels are here to stay and grow and grow in a very, very definitive manner. Having said that I think molecule of ethanol obviously has and by itself ethanol has multiple pathways still opening out for it in terms of the E 27 Program, the flex fuel vehicle advance, the biodiesel and the ethanol based chemical. So, there are multiple fuels and then getting very specific to question that you asked in a longer term that you asked, one of the biggest applications that we see globally for ethanol, is its conversion to sustainable aviation fuel because that is a very clear understanding across all agencies that alcohol ATJ that is the pathway on which you convert ethanol to SAF is the pathway here to stay with its maximum potential. So, that there

is going

to be one Big application. CBG or RNG also is developing very -very positively, not only in India Page 9 of 22 but also outside India. So, we will see this and many other iteration comes then the third iteration that would come through would be around what happens on the different side of the equation and that is the renewable chemicals and materials, because what we have talked about so far is only on the energy side of or the bio mobility side of the equation. So, bio mobility will be here and the next platform that that we call as Bio Prism which is the renewable chemical material that also will expand and where ethanol and ethylene both will have a very, very long -term role to play in terms of what happens with conversion efficiency etc. So, I personally believe that we will see an expanding canvas which will continue to expand into these different dimensions of bio mobility as well as on Bio Prism or renewable chemical front.

Dhananjai Bagrodia : Sure sir fantastic and sir where would we be placed, let's say, and obviously ethanol, we have managed to crack, but let us say in the size of, let's say bio mobility or the other programs, where would we be in the segment? Have we proof of concept has been done or how would that be looking?

Shishir Joshipura: So, Dhananjai we have obviously it puts a great responsibility on our shoulders that if you are leaders in ethanol then ethanol starts to branch out to different application and different molecules. We do not give up our leadership position easily, right, so we are very focused on working on that to ensure that we also have our place in the front when it comes to the other solutions that I mentioned about, so we have no intention to give up actually, we are working both at our R&D center matrix and with our teams and our customers to ensure that we continue to build on the position.

Dhananjai Bagrodia : Okay, sure and would there be like be or is the opportunities so big that is not able to quantify well or is it too early to even get into all of that?

Shishir Joshipura: It is a little early for me to quantify because we do not know, but just to give you some idea just to give an idea and this is I am probably trying to think on the run now as you ask this question, let us say 1% blend happens for SAF and I am using 1% blend. So that will create opportunity for about 14 crores liters of SAF in India I am talking not globally, just in India and when it comes to aviation markets, India is growing market fast growing market we are not a big market yet. So, SAF 1% blending will need 14 crores liters of SAF that would need 28 crores liters of ethanol. Okay so that is the equation for every 1% in India. In United States already a program is announced for 3 billion gallons, which is 1200 crore liters over the next five years. So, we will see a very vastly expanding landscape for SAF which is by far the largest application is going to be even bigger than Ethanol itself because it is two-step process if you need ethanol and you also need conversion of ethanol to SAF.

Dhananjai Bagrodia: Okay. Perfect, Sir. Thank you so much.

Moderator : Thank you. The next question comes from the line of Lokesh Maru from Nippon India Mutual funds. Please go ahead.

Page 10 of 22 Lokesh Maru: Thank you for the opportunity and congratulations sir for the excellent set of numbers that you posted again. Sir just one thing we wanted to get sense on in our previous con-calls, you had highlighted that since our base is quite heavy, right because of the EBP20 waves that we have seen in the last two years. This year it would be kind of flattish on order intake, but we are seeing growth yet again and you have also highlighted 5 CBG projects which could come up to 500 crores confirmation already to be in our next order include for the quarter, right? We are also seeing traction. W

e are basically seeing traction across all our segments, be it C PES or could be by end of year 1G ethanol in US. So, is it fair to assume or understand that we might

outdo our own expectations and rather post 4000 plus crores of order inflow for the year? Is it safe to assume that or how would you portray the picture going forward since everything is falling in place for us again within adjacent segments of 1G itself for the year?

Shishir Joshipura: So, Lokesh, thank you. As we have been talking that the horizon and the canvas is expanding from a single feed stock single product to multiple feedstock, multiple product horizon and we talked about different molecules, ethanol, we talked about CBG, we have talked about SAF, we talk about renewable chemicals and materials, the applications that they expand so both in India as well as international market, the ETCA segment that we talked about. The cleantech segment that we have mentioned even this quarter, the order book, the gone quarter order book is reflective of that. So, we have seen that we are no longer restricting ourselves just to one segment or one market, but we are actually expanding our what was our offerings and our solutions to a much wider market with wider product range, wider solutions range with wider feedstocks. So, it is a multiplier effect. So, you are right that so we do not want to be the EBP20 is of course a very important program to which we are very proud participant but at the same time, we are also ensuring that as we start to grow forward, we are also able to build alternate avenues which will then take us even further ahead and that's the game plan that we have and that is what we are working on because we strongly believe and that is why I am telling that here as well that there will be expanding applications of ethanol, which will create multiple opportunities for us both here as well as outside India.

Lokesh Maru: So, it is safe to assume the recurring 1000 crores or plus order improved for the year subsequent contacts.

Shishir Joshipura: Sorry I couldn't get your question.

Lokesh Maru: So, sir fair to assume 4000 crores order improved for the year?

Sachin Raole: So, that is our aim, that is our target, but we cannot commit whether that is the number which you like to consider from your point of view. But yes, we are not looking for degrowth, we are looking for growth and we are looking for higher numbers.

Lokesh Maru: Got that, Sir. Thank you so much.

Page 11 of 22 Shishir Joshipura: Okay, Lokesh.

Moderator: Thank you. The next question comes on the line of Amit Anwani from Prabhudas Lilladher. Please go ahead.

Amit Anwani: So, thanks for taking my question. My first question is I just would like to understand what is the current status on OMCs when we get to be tendered out in core literacy if you could throw some color on that and second thing is FCI ban and I assume now I think the yet to be tendered out plant would be more focused on grain based. So, can we expect the near term at least quarter one impact will be there for the domestic bioenergy?

Shishir Joshipura: So, you know when the EBP20 program was started then obviously as the program started to roll out, two factors happened. One of course, as you are aware that feed stocks were liberalized to add not only molasses, but the sugar cane-based feed stocks were expanded as to molasses B, the juice etcetera, but also starchy feed stocks and cellulosic feedstock. So, the feed stock got expanded on one hand, and when we went to the first phase, the government is now evaluating as to where are these capacities coming up in which states of India, what kind of fuel and ethanol requirement are there and then we know that we mentioned last time that they realized that in nine states of India there is still going to be deficit capacity production because not enough capacity is being built.

It on those nine States and other 400 crore liters came from there. As we move forward, I think the next stage is what capacities that got ordered out are actually getting built on the ground and that will be the next test that will be put through and I think from there it will start to move forward because it is also our understanding that not everything that got ordered out may get built or may perform at its design plant capacity level. I would like to believe that starch plants will work at the same capacity level that would be different factors that could lead to that from a customer operations perspective. So, I think that will further drive capacity creation. There is another dialogue that we have not talked about yet, but it will start to become material in time to come and that is the carbon intensity of this ethanol that is getting produced as I was mentioning that we will need ethanol as a feedstock for SAF production and there the carbon intensity of the ethanol being produced will become a very, very important step, and that itself could create another set of opportunities for low carbon ethanol production in the country. So, while I do not have a number, but I think this is a rolling ball and right now we do not see as I was mentioning in my opening remark as well that we are not seeing any slowdown in the enquiry pipeline given the fact that there is a temporary blip right now because of the FCI decision on rice, but we believe that that would not be the supply chains will to realign themselves for our customers and that is what they will do in a short period of time and that is how we will move forward in the country.

Amit Anwani: That is yet to be tendered out if you would like to throw some color there.

Shishir Joshipura: So, there is no tendering of the projects Amit. What the government does is they look for supply confirmations from the producers. The confirmations that these oil companies get then they

Page 12 of 22 map and see in which state this deficiency or they are going to get it? So, it is a very what I

would call it, it is a very on the ground reality check kind of process. So, once that check happens then we will know what is the deficit in which state or in which part of the country and where is the capacity and then it gets sort of readjusted again.

Amit Anwani: Yeah. Sir just actually was trying to understand to meet EB P20 how much crore liters is pending for to be tendered out if you have any sense.

Shishir Joshipura: So, as I mentioned, so this is what I am going to explain. There is no tendering out when we right now we are EBP10 right as a country just between 10 and 12. Now when that starts to move forward from 10 and 12 up to 20, so there is stepwise process through which it will go. So, the first aim of the government is to actually make sure that E BP10 is available across the country and at all the outlets. So, there is the first step. So, depending on this volume development across the country and availability, they will decide how much they want. So, this is not a fixed number right now we are at right now the current production capacity is able to meet E BP10 our target is to go to E BP20.

Amit Anwani : All right. Sir my second question on CBG , already you highlighted that there will be 5 plants in pipeline and 100 crore each. Wanted to understand more with respect to viability of CBG plants and second thing on our market share, any competition there what is addressable market out of 100 crore each plant and what are the capacities in each plant?

Shishir Joshipura: So, Amit, there are very different factors right now. So, as we were mentioning earlier for over the last one and half or two years we have been talking about how the CBG market will come into being, given the fact that whole ecosystem needs to co - develop and some of it has to happen before some of it happened along with

the plants , etc. So, we are seeing that

movement happen now because obviously some of the very important players have started as I mentioned, Indian Oil is already taking taken out an EOI for 30 plants. So, that ecosystem will start to roll out in a structured sort of fashion and that is what would lead to creation of this capacity. The five plants that we have talked about, as I mentioned earlier, each plant for us is of sort of 100 crores and we will build these 5 over the next 12 to 18 months.

Amit Anwani : Right and this SAF opportunity , are we expecting any orders in next 12 to 18 months, 24 months? Any color on that?

Shishir Joshipura : Yeah, well, I thought I should also answer one more question that you asked. So, yes, there is competition in CBG space. There are good companies, there are multinationals, there are India headquartered companies that are competing with in the field. So, that is how it is progressing. What was the question on SAF?

Amit Anwani : Is there any visibility in the next 24 months to get some orders on SAF?

Page 13 of 22 Shishir Joshipura : So, I think there I do not know. Yes, there will have to be a capacity build because there is none

right now. So, if we have to go and blend SAF. In 2027, first January onwards there is a compulsion across the world for airlines to start blending. You will start using blended fuel so that is for sure and we can work that backwards. So, within next 12 months surely, we should see some kind of yeah, what I would call as a traction on the market, we have talked about the Indian Oil JV. Sachin was mentioning about it being an umbrella JV that covers biofuel set is one of them and we will work with them to see how country needs can be fulfilled under that Umbrella JV.

Amit Anwani: Alright , so one last question, if I can squeeze in this quarter the order and flow of 1100 crore, I can see The engineering business at 340 crore, which is much higher than the previous 5-6 quarter averages and even the closer to the full year last year. So, are we expecting this trend to continue as you highlighted the opportunities in the export markets in the coming quarters?

Shishir Joshipura: So, I think what is important to notice is that engineering business will become a significant portion. We have been working on that. I have talked about it, the ETC A opportunity that I talked about in second half of the year will definitely unfold under the engineering umbrella.

So, we are confident that our engineering businesses will also continue to grow, they are more internationally orientated businesses. So, we will see there is export businesses which is good for the company. So, we are confident that as the phenomena of energy transition and climate action starts to unfold and as I mentioned in second half of the year onwards, we will start seeing a very constructive movement for order booking for our engineering portfolio as well.

Amit Anwani: Thank you, sir and all the best.

Moderator : Thank you. The next question comes from the line of Vikram Suryavanshi from Phillip Capital. Please go ahead.

Vikram Suryavanshi : Good afternoon, Sir. So, I was just looking at our execution number, we have been able to maintain an YoY basis, but what I was really looking at a slightly better execution given the kind of strong growth in order book as well as now we are reducing seasonality of our execution , so was there any disturbance in execution or how do we should look at the execution pickup going forward?

Sachin Raole : So, Vikram, the way in which these orders got executed during this quarter and I think in the opening remarks, Shishir was mentioning the same thing. The execution requirement from the customer was of a different nature and that is the reason how it resulted into our revenue. We

strictly followed the timeline or the ask from the customer for the delivery from our side. So, what was

required to be delivered that was delivered in this quarter one and two, the timing of order intake is also very important to decide how the execution happens. So, we have seen some kind of higher order book coming up in the March month even though we looked at from the quarter point of view. So, naturally the initial phase of engineering was going on and not Page 14 of 22 on the delivery that we had done anything for those projects, I think those projects will start coming up in a bigger way from H2 side. So, we will see execution far bigger or far more than the H1 as compared to what we are seeing currently. Vikram, I must also add that monsoon is one more factor which plays an important role in the civil activity and civil activity is generally in the scope of the customers of ours till they are not ready, we just cannot put up our plant over there. So, we have to wait for that activity to get over. So, that's one more element which generally plays its important role in the 1st Quarter.

Vikram Suryavanshi: Right. So, I was actually more keen that was that very significant because we also have manufacturing in Gujarat and all so probably unseasonal rain and other disturbance are there also.

Sachin Raole: So, and one more thing, which I must tell you Vikram, the readiness from our side for execution or capability building which we had to do on our side, we are ready to take higher loads also and which were proven in the March quarter. So, there is no problem on our side to get projects executed. It was only the way in which the order booking had happened, the requirement from the customer side and the last one which I mentioned on the monsoon, those were the factors which predict role in this quarter.

Vikram Suryavanshi: Yeah, understood, Sir and the second question on the CBG projects, we have already discussed a lot, but just to get a sense of the feedstock, what kind of feedstock these projects are on and particularly this will be pushed into CGD networks through pipeline or basically these are the standalone project where consumption will be nearby? So, if you can give some idea about feed stock and the distribution side of this project.

Sachin Raole: So, the projects which we just talked about under the LOI those projects are going to be based on agri-waste. So, they are agri-waste based projects. And the second part of your question was related to whether it is going to get connected to CGD network. We would like to see whether they are going to be a part of CGD network or they are going to be part of the OMC network from the distribution point of view.

Shishir Joshipura: It could be mix of both Vikram, actually, depending on how the CGD network develops customers. An ideal situation is to push this into the CBG network, but it depends on where the plants are and where the CGD networks are so that is the question that is still, it is not a become a determining factor for customers to set up the plant, but obviously it is CGD network it will definitely help.

Vikram Suryavanshi: Okay and the gas output would be how much in terms of tons or something like that, if you can give some range in terms of output side of capacity for each project.

Shishir Joshipura: Each of these plants will be 20 tons per day.

Page 15 of 22 Vikram Suryavanshi: Okay, got it. Yeah, that's alright. Thank you very much Sir.

Moderator: Thank you. The next question comes from the line of Naushad Chaudhary from Aditya Birla. Please go ahead.

Naushad Chaudhary: Thanks for the opportunity. Some clarifications sir. Firstly, on the CBG and other future projects in terms of overall business economics, especially on the margin and working capital side.

Would it be similar to our existing model or there would be changes in terms of, especially on the working capital and advance from the customer side?

Sachin Raole: So, on because of this CBG or because

se of this new order inflow which we are looking at, I don't

see any significant change in the working capital cycle. The payment terms, the advances and all that are more or less in line with what we are currently doing. So, I don't see a big change happening on the working capital because of this new order intake, which is going to happen.

Naushad Chaudhary: Okay and second on the CBG order size, you indicated 30 projects, Indian Oil is planning and five we have got. Does that mean 25 has gone to other players or is it yet to be announced

Sachin Raole: Naushad both these items or both these statements of ours are independent of each other.

Thirty plants of IOCL is what has been just this. What I can say announced by them they have floated the EOI. They are not talking about IOCL related these 5 CBG plants we are talking about very different set of customer for these five plants for which we have received the one. Let me just clarify on this CBG. We are talking about it for a reason because the question was always used to be asked to us. That what is happening on CBG front. Is there any development or not?

Technically we are for the first time announcing even the LOI on a call. Generally, we don't talk about LOI, we do not put a number for our enquiry basket. But for the first time, we wanted to give you a flavor of what is happening in the market, how the market is expanding, what the market is thinking, what we are doing on this one. But let me clarify, these five plants which we are talking about are not set of 30 plants announced by IOCL but I would say they are

independence of these five plants.

Naushad Chaudhary : Right and in terms of the size of the plant, if I am not wrong, initially it was expected to be, I think a lower Rs. 100 crore CAPEXs per plant. Is this something at the higher end of the CapEx or future project be of similar size or should be of lower size?

Sachin Raole : So, it depends what is the capacity going to be for a plant and that's what it is going to decide the CAPEX. As earlier mentioned, the capacity is going to be in the range of 20 tons per day, so naturally CAPEX is going to be on the higher side. Earlier we used to talk about 10 tons plant, 15 tons plant. So, those were a little smaller as compared to what we are talking right now. So, the CAPEX will completely depend on what is the capacity of the plant.

Naushad Chaudhary : And our existing order book does not reflect the CBG orders, right?

Page 16 of 22 Sachin Raole : Some portion not of this five which we have mentioned because this five again, I am clarifying these are LOI these are not orders, they are not forming part of our order book.

Naushad Chaudhary : Okay and lastly, last year we were talking about some bio fermentation plant. We had cracked some US based pharma customers and also some of the project we were working on in the Brazil and we were expecting it in FY24. So, anything you want to touch upon these two ?

Sachin Raole : You are referring to our international order or other international project which we executed for Pharma grade approval.

Naushad Chaudhary: Yes.

Sachin Raole : Okay . That was during the COVID period. So, naturally the requirement of pharma grade was at its peak and that is the project which we had executed. Currently there is no big requirement coming up on a pharma side. So, we are not executing any pharma grade alcohol plant right now.

Naushad Chaudhary : Okay . Yeah, that's it from my side.

Moderator : Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants in the conference, please limit your questions to one or two per participant. Should you have a follow up question, we request you to rejoin the queue. The next question comes from the line of Ash Shah from Elara Capital. Please go.

Ash Shah: Good afternoon, Sir. So, I just had one ques

tion though. The IOC JV will be functional by the end of FY24. So, henceforth whichever CBG plant that IOC puts up will it be via this JV or will it be open to the outside market competition as well?

Shishir Joshipura : The CBG project that gets decided to be put under the JV structure will obviously go through that Sachin was mentioning, the JV is an umbrella JV. So, there is special purpose vehicles below the Umbrella JV that will actually be set up to put up these projects to be very specific on the answer, there is no restriction for IOCL not to put up the project outside of this JV or for us to set up the project outside the JV. This is in that sense it is not binding to each other.

Ash Shah: Okay and is it the same case for all the other biofuels as well, like, say, biodiesel and all the other ones?

Shishir Joshipura : Yes.

Ash Shah: Okay , that's all from my side. Thank you.

Moderator : Thank you. The next question comes from the line of Ankita Shah from Elara Capital. Please go ahead.

Page 17 of 22 Ankita Shah: Thank you for the opportunity. Sir wanted to understand the margins we have seen good improvement in EBITDA margins and I just wanted to understand the same. So, what are the margins we need in the CBG segment and export orders will be in what range .

Sachin Raole : Ankita your voice was cracking, but if I understood your question related to EBITDA margin for CBG. Margins more or less for all the bioenergy projects are going to be in some kind of a range and it is a niche area where we are just putting up now new plant. So, it will take some time to discover what will be the right EBITDA levels for CBG project. Yes, our export projects definitely carry a higher margin as compared to our domestic projects that much I can tell you.

Ankita Shah: Exports will be in what range?

Sachin Raole : Exports will be definitely at least 500 basis points will be higher than the domestic project.

Ankita Shah: And why is it so?

Sachin Raole : For a reason, because in the domestic projects we execute even, we execute the project. I mean we do the project activity which carries comparatively lower margin as compared to the engineering activity and manufacturing activity . In the international market we only do engineering, we do supply of equipment, but we do not carry out project activity there.

Shishir Joshipura : There is no site activity.

Sachin Raole : No site activity, so that's the reason why these margins are little different as compared to domestic and international.

Ankita Shah: Got it and also Sir, I take cognizance of the improvement in the export orders that has happened. But if I look at the segment -wise , bioenergy has gone down and also in on attribute terms order inflow on a YoY basis has kind of remain stable, so is the you know understanding the market opportunity for you know bioenergy segment is slowing down or we are slowing down here or any impact on market share. So, just wanted to understand order inflows from the bioenergy segment .

Shishir Joshipura : I think one quarter numbers would be very wrong for us to make any assumptions. All the what you are saying is very valid observation. As I was mentioning to you earlier that the nature of or the pie the overall pie shape and size and characteristic is set to change for us. We talked in terms of both domestic versus international. So, we are seeing more international relatively speaking more international. That is what I mean relatively more that is not less domestic, but then the percentage term, obviously the international business starts to grow. It will occupy a larger pie, a larger slice of the pie, so domestic business will also grow at different and as we mentioned, we are not seeing any let up on the bioenergy pipeline as well on the 1G ethanol pipeline as well but if we come to a ethanol is a segment there again domestic plus, what we Pa

ge 18 of 22 will see on the bioenergy side for the export side as well, We mentioned about the US opportunity and you and I are both aware that right now this market are a little slow on the decision making on owing to the interest rate hikes that are taking place there. But I know from the activity level and our engagement dialogue and what we are doing on the ground in terms of the engineering efforts that I mentioned about the FEL studies that we are doing for several of our customers, for the low carbon ethanol, I think that will just start to there may be a quarter mismatch that they won't exactly be matching but nothing other than that. So, I think we are equally bullish both on bioenergy segment and engineering, domestic and export.

Ankita Shah: Okay and just one last on the EBP side, you said we have already reached 10 to 12% of lending, so how much awarding is still left to reach 20% lending?

Sachin Raole : So, Ankita at country level it is between 10 and 12 now and we need to go to 20. So, that means that means the availability of ethanol as to almost double from the current levels, if not more and then there are other factors that will come into play that was the regional state wise availability. So, we may have some imbalances to be corrected out there. There may be another balance or imbalance situation arising out of the fact of feedstock availability. There may be another one out of the operations efficiencies of the installed plants and their capacities and their seasonality, the monsoon rains may be in some state, it happens. So, those factors will also start to play in, I think we have not gone through one full grain cycle yet, so I think the first time that we will go through a grain cycle in this October when we will start to understand what kind of offtake, what kind of stock level, what kind of supply chain that needs to get established. So, maybe a little early for me to comment, but just to tell you that we are still at half way of our journey on EBP20.

Moderator : The next question comes on the line of Sagar Kapadia from Anvil. Please go ahead.

Sagar Kapadia: Can you please give me the breakup of the international orders they're into which segment, energy, bioenergy or engineering?

Sachin Raole : Sorry, Sagar, will you please repeat your question because your voice is not clear.

Sagar Kapadia : Sir, this international orders we have got 385 crore this quarter. Can you split it, break them up into the bioenergy segment or engineering segment this figure?

Sachin Raole : May be a small segment in this quarter from the bioenergy, but the large component of this is from the engineering business.

Sagar Kapadia : And sir from which geography USA, EU or Brazil.

Sachin Raole : For the engineering business. Yes, it's the USA.

Page 19 of 22 Sagar Kapadia: Okay Sir, that is what I want to and sir one more thing the 100 crore CAPEX you are going to put in GenX. So, what is the asset turnover which you have kept for this CAPEX?

Sachin Raole : So, the first leg of investment we are looking at of around 100 crores and on the full capacity utilization of this facility, it will be somewhere above 1500 crores.

Sagar Kapadia: 1500 crores. Okay sir. Thank you.

Moderator : Thank you. The next question comes on the line of Jay Shah from Capital PMS. Please go ahead.

Jay Shah: Congratulations sir for a good head of numbers, Sir. I just want to know one thing that you know, there is so much bullishness in order book about ethanol but the byproduct of ethanol, at least in the sugar industry, the spent wash and are we also working on any technology where we can treat the spent wash because disposing the spent wash is the big issue right?

Shishir Joshipura : So, what's the question?

Jay Shah: So, are we working on technologies that can help also these distilleries to treat the spent wash?

Shishir Joshipura: Yes of course.

We already have several solutions in that space and as you know, all distilleries are now zero liquid discharge. So, we have definitive solutions in that space of zero liquid discharge and depending on what the so if somebody can opt for CBG production out of spent wash, somebody can opt for power generation out of spent wash and if that and I am taking that when we use the word spent wash is more around the sugar based distilleries but there are also grain based distilleries that will also produce their own equivalent of spent wash and that is very fine use in terms of the animal feed DDG. Yes it is called and so there are several solutions and all of them are available from our end all of them.

Jay Shah: So, we have, you are saying we have we already have used cases where distilleries are using our solutions to treat their spent wash.

Shishir Joshipura : Yes.

Jay Shah: Okay.

Shishir Joshipura: We have already 45 plants in the country that use spent wash for production of bio gas, and those plants have been supplied by for many years now.

Jay Shah: Okay sir. Thank you so much. That was my question. All the best for the future quarters.

Shishir Joshipura : Thank you, Jay.

Page 20 of 22 Moderator : Thank you. The next question comes from the line of Manish Goyal from Think wise Wealth Managers . Please go ahead.

Manish Goyal: Yeah. Thank you so much, sir. My question is related to in terms of our evolving new technology on 2G for advanced biofuels as probably the challenge would be there on generating the incremental requirement from non-food -based feedstock. So, just like to know how is our technology partnership with Sekab and Gevo evolving for our foray into international markets and I believe Sekab has already done a pilot plant with the forest material residues . So, any sense on how is it how the technology is evolving and how is Praj relationship building up with these two partners and then related question in terms of our own independent technology, which we have implemented as IOCL , how is the yield competitiveness improving in terms of how much are we near to the commercial viability as compared to the traditional ethanol ? How has it progressed maybe in the last 2 -3 years and where do we see it going forward? And also, we were expecting some breakthrough for 2G technology from the Europe market some of the customer visit. Is there any progress on that and sorry for the longish question, but also related is that is Praj dependent on both these partners, Sekab and Gevo for the international market orders.

Shishir Joshipura : So, Manish thank you. Great question. So, first of all, we enjoy a great relationship with both Sekab and Gevo so just to clarify on the 2G ethanol technology where your specific question was. We have our own technology when it comes to like we have a technology for both. But when it comes to treatment of agri residue like rice straw, wheat straw, etc, then we call it Enfinity and that is 100% Praj. When it comes to forest residue treatment for ethanol, the technology is jointly owned between Sekab and us. Yes, you are right. Sekab has a pilot plant in Sweden that they operated for many years. But we actually partner with them to help them take the technology development to commercialization level and we are now ready with it and the technology is jointly owned between us and Sekab and we have the responsibility to take this forward in the market, which is what we are doing now. So, we are in dialogue with several customers in Europe for both Enfinity and Celluniti as we call the technology that we have on the forest residue to treat . With Gevo the relationship is different with them the relationship is about the entire pathway of the SAF story that we talked about of saying and what we talked to convert the feedstock into an intermediate alcohol and then convert that

into SAF . That is

where we are working with Gevo . With both we will work with them when they put up their own projects and we will also be front ending the technologies when it comes to Celluniti because that is the role that we have and executing the job as well.

Manish Goyal: So, any like maybe if you can give a sense as to globally how these technologies are evolving and how would Praj be probably positioned in that and also maybe on the?

Sachin Raole : So, for second generation ethanol, we have said this in the past as well that. The most likely first market for this technology is going to be Europe because of the Red III mandates that have been tabled there and approved and passed into law. So, we expect that there will be a positive movement on the way through every everything into a bit of a turmoil , but now as things settle down we are beginning to see reopening the dialogue and I am sure that once the European summer is over and people are back to their workplaces, we will start to see traction in that as well, so very clearly, Europe is a big market where this will happen and we are into dialogue with several customers to set up these facilities for them . As we go through the year, we will keep you updated. There are, as you very correctly surmised the world is watching on the Indian Oil project, which we are just commissioned and as I was mentioning earlier, there is a recalibration required on the on the supply chain of the of the feedstock right now we are not able to get the feed stock to our pre-shipment system because of the different lead tech availability. So, that is being corrected now and as soon as that is corrected, we will be able to keep you informed on what what's next , but once that is established then we will be able to take it to the world .

Manish Goyal: Okay, but in terms of yield improvement or maybe commercial viability side, what do you expect, sir? Where are we in terms of ?

Sachin Raole : So, Manish as we see it, the yields are fairly okay right now and we can keep changing the yields, but then there is also an operating cost question that comes into being at what cost you want to improve the yield , but the good development for both these Celluniti and Enfinity space second gen ethanol space is the development of core products. So, I think that is the important dimension there as to what can we do because when you start treating a straw or a first residue several streams come out the non-ethanol streams as we call them and these streams have to be then further process to create higher value -added products. So, for example

we can create bio bitumen we can create renewable natural gas or CB G as we call it in India. We can produce fertilizer, we can produce ligno sulfonate . There are different streams that one could take up for valorization and I think that is important how the coproduct developed. You will be happy to note that we have already developed the bio bitumen stream. We already developed the technology for ligno sulfonate. We have already developed technology for RNG, so we have been working here constantly to ensure how can we improve the viability of these projects and these plans. There are other questions as well as to what price , the second - generation ethanol gets price there. Because it is very low carbon intensity ethanol , so obviously it is very different from the other ethanol if you have a very important role to play when the SAF market starts to develop. So, we will see this development, this is slightly long term but this is what we will see in this space. I hope I answered the question .

Manish Goyal: Yes, Sir and Sir, when do we expect the two more 2G plants? It is mentioned in annual report is that HPCL and BPCL?

Shishir Joshipura: They are, yes, they are progressing well. We have supplied all the equipments from our end that we are supposed to

do. The projects are now on the construction stage and we expect that during next year they will start to the second half of next year is when they will go up for commissioning .

Page 22 of 22 Manish Goyal: And Sir, last question on the our pilot plant, which we are probably setting up a polylactic acid and probably food grade as well. So, when does that plant start, Sir?

Shishir Joshipura : And that would start at the end of this year.

Manish Goyal: Okay . Thank you sir.

Manish Goyal: Thank you. I now hand the conference over to the management from Praj Industries Limited for closing comments.

Sandip Bhadkamkar : So, thank you everyone for your time today. In case you have any more questions, please feel free to write us at info@praj.net and we look forward to meeting you again in next analyst call.

Thanks again and have a nice day.

Moderator : Thank you. On behalf of Praj Industries Limited, that concludes this conference for today. Thank you for joining us and you may now disconnect your lines .

Call: Aug 2023

(no extractable text — likely a scanned image PDF)

Call: Nov 2023

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Dear Sir / Madam,
Please find enclosed Transcripts of Analysts' Call of Praj Industries Ltd. held on 1st
November, 2023 regarding Un-audited Financial Results (Standalone and Consolidated)
for the second quarter and half year ended 30th September , 2023 .
This information is given pursuant to Regulation 30 of SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, as amended from time to time.
Thanking you,
Yours faithfully,
For PRAJ INDUSTRIES LIMITED

DATTATRAYA NIMBOLKAR
CHIEF INTERNAL AUDITOR
& COMPANY SECRETARY
(M. No . 4660)

DATTATRAYA
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Page 1 of 27 Praj Industries Limited
Q2 FY24 Earnings Conference Call
November 01, 2023

Moderator: Good evening, gentlemen, good day and welcome to Praj Industries Limited
Q2 FY24 Earnings Conference Call. As a reminder all participant lines will be
in the listen only mode and there will be an opportunity for you to ask
questions after the presentation concludes. Should you need assistance
during the conference call please signal an operator by pressing '*' then '0'
on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisor.
Thank you and over to you sir.
Anuj Sonpal: Thank you. Good morning everyone and a very warm welcome to you all. My
name is Anuj Sonpal from Valorem Advisors. We represent the Investor

relations of Praj Industries Limited. On behalf of the company, I would like to thank you all for participating in the Company's Earnings Call for the second quarter and first half of the financial year 2024.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now, let me now introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We firstly Page 2 of 27 have with us Mr. Shishir Joshipura – CEO and Managing Director and Mr. Sachin Raole – CFO Officer and Director of Resources. Without any further delay, I request Mr. Joshipura to start with his opening remarks. Thank you,

and over to you, sir.

Shishir Joshipura: Good day everyone. I welcome you to Praj Industries' Earnings Call for Q2 & H1 FY24. Trust all of you had the opportunity to go through our results for the quarter ended 30th Sept 2023.

The launch of Global BioFuels Alliance at G20 summit in September 2023 is a very significant event for sustainable global development of Biofuels. The alliance is anchored by India, the United States, and Brazil. 19 countries & 12 International organizations have agreed to be part of it. This alliance is committed to facilitate access to technology, fostering an ecosystem to support biofuel production and consumption, and initiating policy interventions & alterations in the global south. India's leadership across policy, technology & ecosystem development can benefit the larger world & help include Global south in this important journey. We Applaud leadership of G20 for this landmark development.

Coming to business performance, in the 2nd quarter, the business activity continued its build up along the momentum established over the last couple of quarters. This quarter international OB was 29% of the total order book. The share of International OB in overall H1 is 32% as compared to 13% in H1 FY22.

Our domestic bioenergy business, Food Corporation of India's ban on export of rice to ethanol distilleries led to a brief period of reduced activity. However, with upward revision of rates for Grain based Ethanol from OMCs restored the confidence for on-going and proposed projects. The GST Council's decision to reduce GST on molasses from 28% to 5% will have a positive impact on project viability. Overall, we see continuity in order book for both starch & sugar based ethanol plants.

On International front, low carbon ethanol opportunity in the United States though significant, is moving at a slow pace owing to awaited clarifications on certain provisions in Inflation Reduction Act. We are pleased to announce receipt of our first order for Low Carbon Ethanol even as discussions are moving positively with several other potential cases.

Page 3 of 27 Our services business is receiving good traction in both domestic and international markets especially Brazil. We are in the process of establishing a strong distributor network in chosen markets to offer entire suite of solutions comprising of Enzymes, Yeast and Performance enhancers.

On 2G front, IOCL plant recommissioning has begun last week as the feedstock availability has commenced. In an agreed two stage program with IOCL we will establish the performance of the plant over the next six-month period.

As for CBG, Positive developments in addressing the ecosystem challenges, strong focus from larger players in establishing capacities augur well for growth momentum in this business. We are moving forward with execution of the first project even as the modus operandi for balance projects of the 5 we announced last quarter is being established with the customer. We are witnessing positive developments on overall enquiry pipeline in this segment. Energy transition is taking roots and our solutions basket is finding favour in the market. Demand emergence in ETCA segment coupled with repeat orders from our key customers in other served segments is building a strong order book for execution. ETCA segment has significant share of 52% in overall

order book for our CPES business.

We have commenced the work on setting up Integrated Manufacturing Facility at Mangalore for Praj GenX and have plans to start manufacturing in the 4th quarter of FY 24.

Our PHS business witnessed development of strong order book and has crossed 100 crore order booking for the quarter. Continued developments in fermentation -based drug production is a positive business driver for growth of high purity business. Potential on semiconductor applications is yet to materialize and we

are keeping a close watch on this development.

Zero Liquid Discharge and Brewery business segments are experiencing healthy enquiry inflow and we expect positive business developments in near future across both these segments.

Overall, the business outlook continues to be positive for our business.

Page 4 of 27 Before closing, it gives me immense pleasure to inform you that Dr. Pramod Chaudhari is elected as a Fellow of the prestigious Indian National Academy of Engineering by the Governing Council in recognition of his distinguished contributions to the profession of Engineering and Technology

Dr. Chaudhari is conferred with the ' Lifetime Achievement Award ' by the Indian Institute of Chemical Engineers (IChE). The esteemed accolade recognizes Dr. Chaudhari's remarkable career and innovative work that has significantly impacted the field of chemical engineering.

With this, I will now hand over to Sachin for his comments on the financial performance.

Sachin Raole: Thank you, Shishir.

Good day everyone. Let me take you through the financial highlights for the quarter and half year ended September 30, 2023

The consolidated income from operations stood at Rs. 8.82 billion in Q2FY24 .

PBT has increased by 29% and stood at Rs. 848.121 million in Q2FY24 as compared to 657.777 million in Q2FY23. Similarly, Profit after tax stood at Rs. 623.679 million in Q2FY24 as compared to Rs. 481.286 million in Q2FY23

For H1FY24, Income from Operations was Rs. 16.19 billion . PBT stood at Rs. 1.62 billion in H1FY24 as against Rs. 1.2 billion in H1FY23. PAT of Rs. 1.21 billion in H1FY24 as against Rs. 893.918 million in H1FY23 .

Export revenues accounted for 16% of Q2FY24. Of the total revenue, 79% is from Bio -energy, 15% from engineering and 6% is from PHS business.

The order intake during the quarter was Rs. 10.63 billion, with 71% from the domestic market. Of the total order intake, 68% came from Bio -Energy, 22% from engineering and 10% from PHS business.

The order backlog as of September 2023 is at Rs. 39.6 billion comprising of 74% of domestic orders. Cash in hand as on Sept 30, 2023 is Rs. 6.87 billion.

Page 5 of 27 I now conclude my remarks and I would like to thank you all for joining us on this call. We would now be happy to discuss any questions, comments, or suggestions you may have.

Moderator: Thank you . Ladies and gentlemen, we will now begin with the question -and-answer session. The first question is from the line of Amit Anwani from Prabhudas Lilladher Private Limited. Please go ahead.

Amit Anwani: My first question on , the domestic versus exports now we are seeing that export is gaining traction and contributing 25% for this quarter and last quarter also there was an improvement. So would like to highlight going forward any target on this front and any breakup of domestic versus export s, in engineering, HiPurity, bioenergy which you would like to highlight ?

Shishir Joshipura: Thank you very much good morning. What we have said two or three drivers and that's important to understand what's going to drive the business in export market and let me start #A on the bioenergy side we talked of low carbon ethanol, movement out of United States at the back of the IRA provision on the SAF production capacity creation. As I mentioned, there are some clarifications required still on the tax treatment side, but they are expected soon but in absence of that as well we have now received the order book actually includes for the quarter, the first order we have received on the low carbon ethanol front, it will be a project to have worked in existing on corn ethanol 1G, ethanol producer and help them reduce the carbon cost, so that becomes quote , unquote, feed stock for SAF production . We have also talked about the energy transition and climate action as a big segment under which we also announce the entire the Genx formation and setting up of Manga

lore facility on the CAPEX. All of that is coming from the fact there is a clear push globally for setting under energy transaction for green hydrogen, green ammonia, waste to energy projects being set up very exclusively. And that's the segment that Genx business will serve. So that's the second one. And we believe that these two are big drivers, we are also started to push in Brazil, as I had mentioned in my opening remarks as well, both for our service business as well as equipment business. So there are several markets in which Page 6 of 27 the drivers are there we are positioning solutions, which will lead to an improved position for us as per the order booking is concerned. And that's what you see reflected in the last two quarters as well.

Amit Anwani: Sure sir. My next question again sir, on the order intake prospects. So if you would like to highlight on 1G you did mention that, you are seeing healthy pipeline for starch which is ongoing. So if you would like to highlight 1G what is the pending opportunity and as well as for C BG last time you did highlighted that, at least five projects are under progress of either awarding or you are executing from a large corporate, and many opportunities in CBG so just wanted to understand the order prospects for CB G over next 12, 18 months and also for 1G which you might have opt out?

Shishir Joshipura: So, let me start from your second part. So, CBG as we had mentioned we had been awarded a contract for five, in the order booking that we reported.

There are issues like stand availability, project site finalization, some registration affected etc which are happening from our customers end, as soon as they are released we will be in a position to move forward with execution of those contracts are not included in the order booking numbers that we have given. We also see some other movements from other corporate s, we've seen OMC is announcing projects. So we are with Indian Oil and we are aware, and other OMCs as well. Overall, there is a momentum building up in the C BG market for establishing capacities across the country. And that should hold well for the development of this business in a very, very positive way. And therefore, it's very important that we stay near to ground, as this opportunity develops we are reasonably positive that this will go into a very positive direction from here onwards. At what speed, et cetera some other factors like land availability, feedstock tie up, et cetera are required but I'm sure that will happen as well, because the people who are putting up the project are obviously very, very large professional organization. So they know how to go about these issues to be solved.

In terms of opportunity for 1G, as I said that we remain confident that with this small blip that happened in the second quarter because of the change in Page 7 of 27 the feedstock policy, it did have an impact, both for order book as well as for execution during the quarter because the period was too short. But obviously, very quick actions were also taken by government to correct the price portion at least so that it goes back to enable a different supply chain establishment for these projects. So we believe that these quick actions from the government also indicate a strong unwavering commitment to the EBP 20 program and furthering the cause of biofuels. So, both this and the gas are in good space right now for development.

Moderator: Thank you. The next question is from the line of Lokesh Maru from Nippon India Mutual Fund. Please go ahead.

Lokesh Maru: Sir two questions, one is on the order received from US what the quantum would be of this order in this quarter, 29% is an intake from export so how much would this be. And another question is on if we are able to deliver +43% gross margin, and we had challenges on execution during the quarter, as we enter Q3, Q4, if we maintain these

gross levels, given our cost structure isn't it, safe to believe that we will be able to do 14%, 15% or at least +13% EBITDA margins going forward?

Sachin Raole: So, in the order book even the bifurcation between bioenergy and the engineering and PHS we are not right now gaining the bifurcation within the individual segments of bioenergy. So during this quarter you are seeing the order intake of 10.63 billion and 68% from that is from the bioenergy. On the margin side, can you please repeat your question because you are not audible. Lokesh, you can just be a little louder.

Lokesh Maru: So my question was, if we are able to do 43.5% gross margin that we did this quarter just because our top line, execution was somewhat shot during Q2, isn't it safe to believe that as we get on track with better execution, improved execution from Q3 onwards, our EBITDA levels should improve much higher from here like 13%, 14% from here?

Sachin Raole : I will not be able to talk about exact numbers, but your observation is right. You have already seen that even though the half yearly top line is more or less flat, but there is a margin expansion which has already been witnessed of almost 2. 2% Yes, if the execution is on a higher side there is a possibility of some kind of expansion of the margin, I will not be able to comment whether it is going to be 13%, 14% or 15% but yes, there is a scope on the basis of higher execution which is going to happen in the next H2.

Lokesh Maru: Sir one related question if I may ask, so could you please help understand the challenges on execution that we faced in Q2 ?

Shishir Joshipura: Sorry, Lokesh you need to repeat yourself , sorry for that.

Lokesh Maru: Sir, I was just checking. Could you please explain the challenges we may have faced during Q2 on execution side?

Shishir Joshipura: Yes. So the execution challenge was not on the capacity side at all, we have all the capacities that we need from our supply chain from a production basis , engineering basis so those were not the challenges. The bigger challenge came from the fact that because of the announcement on the policy from the FCI that they will no longer issue rice for production of ethanol during the quarter. That led to a very quick situation of two things actually , #A customer s that were in the process of ordering the project had to halt and say, hi what's going to happen . #B, projects that were already under execution also put to halt because the bank s also, the banks that are funding these projects and as you know all these projects are largely funded by banks, the banks also took a halt and say, we need to understand the impact of this action on the viability of the project, whether we should go ahead and commit for the funds, et cetera that was second thing, and then when the price correction happened, which was very quickly announced by the government, but in all this process, start , stop , negotiation, clarification and restart almost eight to 10 weeks, 12 weeks quarter, you lose eight weeks on to the most significant section and as you are aware that over the previous period, a large section of the order booking on ethanol was coming through the Starchy route. So a lot of projects were impacted , both even the new ones that are being built, as well as the ones that are under execution . So that was the biggest challenge , but that seems to have sorted itself out and now we are returning back to normalcy .

Page 9 of 27 Moderator: Thank you. The next question is from the line of Shailesh Kanani from Centrum Broking . Please go ahead.

Shailesh Kanani: Sir I'm aware that we face some challenges in the bio energy sector during the last quarter. However, I'm seeing a decline in the engineering revenues for the quarter and the first half as well. Whereas our order inflow has been very robust in this segment. So can you explain what is happening on the

engineering side, revenue booking front?

Sachin Raole: So engineering order book is definitely picking up but it has its own execution cycle Shailesh . So there is no reason to believe that there is a decline in the engineering revenue. But engineering revenue will have its own cycle, because the execution cycles are very, very different for that business.

Because major business is naturally going to come up from ETCA segments where the cycle is going to be anywhere between 12 months to 15 months. So it is going to be a very different measure and that's the reason why you are seeing a different execution which has happened during this quarter otherwise, there is nothing else which has happened in engineering business.

Shailesh Kanani: So after order book , there is no delay as such in execution on the pick of the order , is that a fair assessment?

Sachin Raole: There is nothing. The orders which we have received in the recent past has been a little larger scope on the engineering side which has taken more time because naturally, that was the time which was required for completing the engineering activity, the manufacturing activity will follow now and that's the reason you are seeing little lower on the engineering revenue at this time .

Shailesh Kanani: Okay sir fair enough. My second question is a two part question , yesterday evening ISMA has revised their sugar production estimates downward due to declining yields. And a similar situation is observed in the rice industry as well.

So given this development, I'm interested in understanding how EBP program is expected to perform in the near term, especially as we approach a year , next year. So, while I recognize that EBP program in general long term is

Page 10 of 27 promising, but I will appreciate if you can throw some light on strategies near term to maintain our growth strategy .

Shishir Joshipura: So, for the EBP20 program perspective this sugar season is important,

because we know already but there were several customers that their projects are now getting commissioned on the syrup route which produces much larger quantities of ethanol. So, a lot of projects are under commissioning right now. So we will see a very different kind of push in terms of availability of ethanol, already OMCs have come up with a tender for 850 crore liters. And we will see that a lot of new capacities will come into the marketplace with our commissioning feed of the plant has really gone up in the last quarter, it's really picking up speed now as we go to start the sugar season in this quarter. So on EBP20 perspective, we are on the right track, in terms of sugar production coming out. In case of sugar production we will still have the surplus. So from the perspective of feedstock, we don't have a problem there because even if we still even after we divert all the current, all the capacity has been put up right now on the sugar based ethanol, we will still have surplus sugar and we consume all the sugar that we need with all the safety stock, et cetera. As a country, we will still have positive surplus. So I'm not worried about the feedstock side on the side of sugar. On the rice side, the dynamics have changed a little bit. And there what's going to happen is and we also see already happening in the field, is there's a shift taking place from rice based plants to maize based plants. And that is likely to lead to, and maize is a abundant availability right now, it does have some other challenges in terms of stabilizing the plant, et cetera but that's not a, we do that for living internationally every year and for many years now so we are very well aware of what needs to be done. That's where we are, so there may be a shift in supply chain, but other than that, I don't see a problem.

Shailesh Kanani: Okay, sir thanks a lot. Sir just one clarification if you can give on CBG front Mr. Sachin s

aid that, only one order is booked so 100 crore is booked in this order inflow from CBG and 400 crore is still L1 as on 1st Nov today. Is the understanding right?

Page 11 of 27 Shishir Joshipura: That is correct.

Moderator: Thank you. The next question is from the line of Vikram Suryavanshi from Phillip Capital. Please go ahead.

Vikram Suryavanshi: Sir just on employee cost, is there any one off during which you have added into one employee cost?

Sachin Raole: So Vikram our increment cycle starts from the July and not from the April month. So the yearly increments and all that stuff takes into account in the quarter of July to September. So that's one action. Second thing, we have started working on beefing up our employee's strength for Genx now. Where the new employees for the new facility are getting rolled in right now. So, that's another reason which has come up into the picture. So, there is no one time kind of a scenario, but because of the increase in the employee count for Genx and the increments which have been announced in the month of July for the next year are the two main reasons because of which you are seeing the increase in the employee cost.

Vikram Suryavanshi: Got it. And in case of high purity we have seen really good traction and sir was mentioning about that we are still yet to see the impact of opportunity in semiconductor side. But I guess there will be opportunity even for green hydrogen which will require pure water so, what kind of opportunity landscape we can look for say two to three years down the line for high purity?

Shishir Joshipura: So Vikram the high purity segment, water treatment is one, industrial water treatment, maybe if there is a sea based plant and sea water RO those are normal industrial water treatment, the PHS segment is slightly different, this is ultra-high purity water. And as that said, if the applications call for ultra-high purity water for sure PHS will benefit because they have been in the field for quite some time. I had also mentioned that for PHS one big driver in the market that is changing for them is that, a lot of large fermentation based capacities are supposed to be set up in India over a period of time as we go forward and that augurs very well for them because fermentation is key. Page 12 of 27 strength of the parent company Praj, but hygienic manufacturing around those is the key strength of PHS, we combine the both to become a unique proposition for the semiconductor companies that are setting up their facility we are already seeing some traction built on that so that will become the second driver for PHS business.

Vikram Suryavanshi: Okay, got it. Sir, just I missed that cash balance, 6. something you said which I was not able to hear.

Shishir Joshipura : Sorry, could you please repeat your question Vikram?

Vikram Suryavanshi: I just was not able to listen the cash balance we said.

Sachin Raole : 6.87 billion.

Moderator: Thank you. The next question is from the line of Levin Shah from Motilal Oswal AMC. Please go ahead.

Levin Shah: So, firstly on the execution front so like we have given in the previous calls also we have highlighted that we will have H2 heavy execution, but if you look at now with this sum impact we had because of this whole grain based plans.

So how do you see execution in H2, will there be even more bunch up now that some of Q2 would also spill over to Q3 and anyways we have H2 heavy execution cycle ?

Shishir Joshipura: So we stand by our comment that we made earlier that , H2 execution is likely to be larger in size compared to H1. I also said that we are seeing the return to normalcy for the grain disturbance that happened in the market . We are not seeing any reason right now to change or revise what we already committed to you so we stand by the fact that , H2 is likely to be better than H1.

Levin Shah: Sure. And sir in terms of our supply

side readiness, because it will be very

heavy as compared to H1 we are ready with it. So that , supply side we won't face any issue ?

Page 13 of 27 Shishir Joshipura: Yes, on the execution side in terms of our preparedness with our supply chain , our manufacturing facilities, our vendor base, our engineering capability , we do not have a constraint .

Levin Shah: Sure. And another question was on the US market. So like , firstly congratulations that we have got the first set of order. And we have been awaiting this opportunity since some time now. So this whole clarification that the players over there are awaiting from the US government, where is that, how long will it take and where exactly is this stuck, how long do you expect before a few more orders start flowing in?

Shishir Joshipura: So the way this is happening now is that , so customers have engaged with us, they are continuing to engage with us to say, okay let's keep ourselves prepare so the detail feasibility study that we need to do for each plant, that is now underway, that is almost eight projects now, where we have either completed or are doing that right now as we speak. The part on the clarification is the US government action. I'm not an expert to predict when exactly they will do it, but from whatever we know, it is expected that by the end of the quarter that clarification will come and as and when that comes that will start to show the right direction for these projects .

Levin Shah: Okay. And my last question is to Sachin sir on the margin so obviously earlier you explained this , but if we see our gross margins for this half versus the previous year, there has been a significant uptick that we have seen and now with exports becoming our larger portion of our order backlog and incrementally also order inflows from exports will be higher, do we see that there would be a significant change in the margin trajectory what we have seen last couple of years where exports was small and we had this impact of raw materials also significant impact so ?

Sachin Raole: So Levin, in the earlier question also I have mentioned the same thing that there is a definite scope of improvement based on what kind of export orders will get executed over a period of time, naturally raw material prices the range is there right now, if they remain in a similar kind of zone, there is definitely a scope for managing expansion, I cannot only tell you, whether it is going to be Page 14 of 27 11% , 12% or 15% , someone was asking about 15% , so I can't comment on that. But yes, there is a scope for improvement.

Levin Shah: Got it. And sir just a follow up on that , if we look at our other expenses also for this half despite , specifically for this quarter despite the weak execution the other expenses have gone up by 25%. So is there any one off element because generally they are linked to our execution cycle ?

Sachin Raole: So no, so the other expenses I will not say there is one off kind of a thing , but if there are certain what I can say the execution related only, but site related expenses if they are coming up there, then naturally that increase will be there. I will get back to you , if there is some specific reason. I don't think there is any specific reason or one off kind of a scenario.

Levin Shah: Sure . Or is it that some of the projects we would have incurred some site related expenses, but the execution will pick up in H2 and hence that will balance out for full year?

Sachin Raole: No, not necessarily but let me specifically give you an answer, we can discuss this separately also. But right now, I don't see anything which is kind of extraordinary thing which is sitting there.

Moderator: Thank you. The next question is from the line of Dhananjai from ASK. Please go ahead.

Dhananjai Bagrodia: Just a couple of questions. #A, is the annual report you mentioned about bio plastics, any update r

egarding what's happening on that front because I believe that is also a big opportunity with the amount you are seeing in this plastic there is ?

Shishir Joshipura: Dhananjai as we had mentioned that we are setting up a pilot project now to demonstrate our technology. And that project is currently being set up and we expect to commission this in the last quarter of the financial year. And once that is set up and we demonstrate then we will be able to be in a position to speak about the business that emanates out of that.

Page 15 of 27 Dhananjai Bagrodia: Okay, sure. And secondly this CBG opportunity, what are the IRR that customers are looking at and are they using this as a , like how sugar ethanol people are using because end user manufacturing sugar and then what is the profile of the customer who is looking at setting up CBG plan ts, any color on that?

Shishir Joshipura: Well, there are different segments , different kinds of customer profiles, there are ESG funds that are the customers for the project, there are large, particularly every large oil marketing companies, both private and public sector, they are looking at this as an opportunity, the sugar mills are looking at an opportunity. There are a few independent players as well who are thinking of setting other projects . So it's a very varied cross section of people number one green funds . On the other hand, IRR questions tough to answer for the simple f act that everybody has a different cost of funds , everybody has a different expectation of ownership structures. Many dimensions so there is not a plain vanilla answer but every one of them what's happening is with the developments that are taking place the CB G projects are now in the realm of reality in terms of meeting those IIR rates for many people. And as the technology develops and they put a few projects on the ground, I'm sure there will be further positive developments on the I RR improvement side b ut now, as things stand it is moving in the right direction from different perspective of different stakeholders and a few of them because there are other considerations like cost of carbon reduction cost per tonne . So there are many dimensions to which these projects are being put through and we are seeing very constructive development on that side.

Dhananjai Bagrodia: Sir a follow up question , is there raw material like is there raw material in terms of abundance and how would that look like, actually sugar ethanol work well because there was a lot of abundance in sugar , is that something similar to CBG ?

Shishir Joshipura: No, s o it's a sugar mill based , sugar mills that have got press mud , they have got molasses , they also press mud so for them that's very easy and very simple logistics for feedstock. For the agri residue based feedstock, yes there is a

Page 16 of 27 need to and there's a lot of work that is happening in terms of establishing of sustainable supply chains from that dimension as well. As you probably can surmise, this has to be done a year in advance of the project. So we can see a lot of activity that is happening in that space as well.

Dhananjai Bagrodia: Okay. And lastly what would be our CAPEX for this sir?

Shishir Joshipura: The CAPEX line for this year?

Dhananjai Bagrodia: Yes, total amount.

Shishir Joshipura: So, totally we are looking at because of the Genx coming into the picture of 100 crores, but entire 100 crore will not get spent in this year, maybe 60 crores will be from this year and 40 crore from the next year all out of Genx and there will be some routine CAPEX which will be happening for other facilities and for IT, that should be in the range of another 15 to 20 crore. Yes, and I need to mention that two pilot plants which we are putting up , one is for the SAF and another one is for the PLA that should be another in this year, the CAPEX will take to the tune of around 40 crores . So, i

f all put together 120 crores for this.

Dhananjai Bagrodia: 60 plus 80

Shishir Joshipura: 60, 20 and 40, 120 crores.

Moderator: Thank you. The next question is from the line of Sagar Dhawan from Valuequest Investment Advisors. Please go ahead.

Sagar Dhawan: So just to go a little further on the gross margin sir, what led to the improvement in the gross margin, just to understand the drivers of this, because in the last two quarters there was a significant improvement in the gross margin. So, if you can just talk about give some color on drivers that lead to the improvement in the gross margin?

Sachin Raole: See for gross margin there are two, three drivers. One definitely what is the raw material costs, but also the composition of my revenue, if my composition Page 17 of 27 of revenue has one element definitely which is on the export side. And secondly, if there are only engineering orders, where we are not supposed to supply equipment or take care of any execution kind of a thing, that builds up the margin on a very positive side. So the gross margin is defined in these three ways. One, what is the composition of sales, second one is the element of international sales. And third one is the pure engineering services, so I'm not talking about engineering business, but I'm saying services which is like soft services which we provide to our customers. For example, the audit which we are conducting in the US, will not have any supply and installation activity, but that can give a higher margin because that is only the services which we are providing. So these three elements are the major contributor to define what kind of gross margin which we can have.

Sagar Dhawan: Got it. So just a follow up on this, so what could be the services portion of our sales as a percentage right now?

Sachin Raole: Sorry, your voice, I'm not able to hear you properly.

Sagar Dhawan: Okay, sir just on the services piece wanted to understand what percentage of our sales are currently coming from services?

Sachin Raole: Coming from?

Sagar Dhawan: Services segments side.

Sachin Raole: Services should be out of, today its 880 crores around the services which are mentioned should be in the range of 10 to 15 crores.

Sagar Dhawan: Okay, got it. And on the Genx facility that we are setting up, by when do we expect commissioning to be completed on this new facility for Gen x?

Sachin Raole: For Genx we are expecting the commercial production will start in the last quarter of this financial year. So by February, March we should be having commercial production happening in Genx.

Page 18 of 27 Sagar Dhawan: Okay, sir last question from my side. What is the kind of pipeline that we are seeing, enquiry pipeline on Genx side especially for the new plant if you could just quantify that please?

Sachin Raole: So, enquiry basket is definitely pretty big, we generally don't talk about enquiry baskets number for any of our businesses. But it is good enough and gives us the confidence that we can start our production in the last quarter of this financial year.

Moderator: Thank you. The next question is from the line of Sagar Kapadia from Anvil Shares. Please go ahead.

Sagar Kapadia: Congratulations for getting the big order from the US, what is the size of this order which you all have got?

Sachin Raole: We specifically don't talk about order by order for your, but it is good enough.

Sagar Kapadia: Approximate size you can just tell us?

Shishir Joshipura: There are such people also listing this call so we don't want to talk about order-by-order number.

Sagar Kapadia: Okay sir. Sir, two to three years from now, so what will be your expectation from the order side from the US market and from the Brazil market?

Shishir Joshipura: Sorry, could you repeat the question?

Sagar Kapadia: Yes, I'll tell you. Two to three years from now, see what will

be your internal

order expectations from the US market and Brazil market where you are deploying resources?

Sachin Raole: Two years from now, maybe we can look at, anyway we are looking for changing the trajectory between exports that is international orders and domestic from the current ratio of 20:80 to at least +30 for international orders. And out of that 30% maximum will come from US, some portion will come from Brazil, but maximum contribution because the US is going to contribute for bioenergy business and the Genx business both. So, US is going Page 19 of 27 to be a major contributor in that sense, I cannot give you an exact number. But from what I can say from the visibility point of view the change in the dimension for international is going to be definitely on a higher side and the

maximum number is going to be contributed by US and then by Brazil .

Moderator: Thank you. The next question is from the line of Kunal Sheth from B&K Securities . Please go ahead .

Kunal Sheth: Sir my first question is around the international business. We've seen share of international business go up, meaningfully over the last two , three quarters. So which are the end markets which are contributing meaningfully to the order inflow from the international market, we just got our first order for the low carbon fuel . So that has just started to contribute , but which are other steady state products or end market that have contributed to this international order flow?

Shishir Joshipura: So, as Sachin was mentioning earlier , for both bioenergy business as well as for the business of Gen x that we have talked about and the transition in climate action. Markets are United States and Europe for both of them.

Depending on , the customers are pretty common but of course US low carbon ethanol is entirely United States right now, but we expect that will also start to move in Europe within a very short period of time, and other markets of the world as well , because as SAF production starts to take priority low carbon ethanol will be a key requirement. So that's one clear directive , as of today it's more United States oriented, but we expect that as we move forward, Brazil, Europe, et cetera will get added into a significant portion. And when the G BA thing kicks in our three, five year kind of horizon, as I was mentioning we expect a lot more business to flow in from many other nations of the world especially global South , island nations, which are all looking for solutions t o decarbonize their economy, and that will further change the complexion of the exports business.

Kunal Sheth: But sir currently in the bioenergy is it largely 1G driven order what we are getting ?

Page 20 of 27 Shishir Joshipura: For export s it is 1G, we have not got any orders in 2G yet or CBG we have not taken it outside India but when that happens you will see that as well.

Kunal Sheth: Sir and my second question is around Genx. So, what exactly will be our offering in terms of scope in this like in our bioenergy business we also supply equipment so, in Gen x what exactly will be our scope of offering ?

Shishir Joshipura: So, for the Genx business, they will serve the segment of energy transition and climate action, which is more around hydrogen projects, green ammonia projects, waste to energy projects, but within that broad segmentation of the industry what they will be offering is #A equipment's that are required for those projects plus, more important than anything else they will be offering modularized plant solutions to these projects. So they will have a look at the process that is being deployed by different process licens ors, and convert that to a mod ularized plant and then offer the plant itself.

Moderator: Thank you. The next question is from the line of Abhijeet Singh from Yes Securities . Please go ahead.

Abhijeet Singh: Sir, m y first question is on the

export side, similar to the previous participant , how do we look at the export opportunity going forward like we have started penetrating into the US market. We have done a few FEL studies and have received an order in this quarter. But if we talk about the overall market size in US, and similarly other geographies how do we quantify it , is there a way to quantify it in the next two, three years, what will be the overall market size there, in terms of the opportunity that arises from FEL or other low carbon opportunities in ethanol ?

Shishir Joshipura: So let me put it like this , so under the IR A program, there's a goal to achieve three billion gallons per year of SAF production , by 2030 . And that, from the base d on the feedstock that we get extra it looks like it 's almost of this 3 billion , the first 1.5 to two billion will come from a different route which is the HEFA route. But after that, since there is no feedstock on the HEFA side, further than last one billion plus all the future capacities will come from what is called as alcohol to jet routes. And that is where , so almost a billion gallons Page 21 of 27 of SAF will come through SAF root by 2030 , that would mean two billion gallons of ethanol will have to be low carbon ethanol in the United States . So that's the size , and two billion gallons of ethanol has to be decarbonized over a period of between now and 2030. Typically, US plants have a size of either 55 million gallon per year or 100 million gallon per year . That's the two capacities in United States for different plants. So we can run the math to see that in order to reach one billion how many of them will have to actually convert and, go through the solution stages , we had also explain in the past,

I'm not going to take up too much time on this call, but it's a three step process. And each of the steps involves one after another, and each plant eventually will have to take all the three steps. The contract that we are talking about right now is only for the step one. So that's on you have said in general the drivers for ETCA, the green hydrogen, green ammonia movement, the low carbon ethanol movement, but the third one very critical, is what happens on a middle to long term basis on the GBA platform, because that is a very, very important platform that is being developed. And that will include many nations which today do not have, they have the capability in terms of they have the possibility not only capability, they have a possibility to be a biofuel producer, but they're not looking at it from that perspective. But many countries are now beginning to get aware of very differentiated benefits to their economies from biofuels. So, we are seeing a lot more new countries walk into this dialogue of establishing biofuel capabilities. We'll talk about it as we go through the year and the future period as well, but we clearly see very positive dialogue developing there as well.

Moderator: Thank you. The next question is from the line of Asha Shah from Elara Capital. Please go ahead.

Asha Shah: Sir can you just provide the status of the IOCL JV that we are going to proceed, so what are the expectations, what are the opportunities on the JV front if you could, that's what.

Shishir Joshipura: Please repeat that again as we couldn't follow what you are asking.

Page 22 of 27 Asha Shah: Can you just provide some opportunity on what is the current status of the IOCL JV that we had signed recently, what is the status and what are the opportunities have we decided, have we logged on it or something like that, if you could provide some color on it. That's all from my side.

Sachin Raole: As we mentioned in the last quarter also that, IOCL JV formation is still in work in progress. The JV is basically for entire biofuel segment and within that biofuel segment discussions are right now related to SAF and CBG. We are not yet wh

at I can say, finalized any specific project or something because first the JV has to come into the picture but parallelly we are discussing on these two front in a very active way. And we will see some action happening once the JV is formed that what kind of projects can come up under these two umbrellas, the JV is basically meant for covering entire basket of biofuels and it is not restricted only to one biofuel. So we'll see some action once the JV is in place.

Asha Shah: And follow up to that, when will the JV come up by Q4?

Sachin Raole: Yes, the plans are actually to get this JV firmed up by Q4.

Shishir Joshipura: So, this needs approval from DIPAM and Neeti Aayog which is the process that is undergoing now at IOCL, so once those approvals are in place then we can go forward.

Moderator: Thank you. The next question is from the line of Manan Mundra a private analyst. Please go ahead.

Manan Mundra: Sir, my first question is regarding the retention ratio of our projects. So during the last two, three years the projects that we have executed have we seen any percent of our retention ratio being forfeited by our clients?

Sachin Raole: You are talking about the retention?

Manan Mundra: Yes.

Page 23 of 27 Sachin Raole: No, so we have not seen any forfeiture of any of our retention till date. There can be delays in release of retention for various reasons, but there is no question of forfeiture of our retention money maybe because of, we are not providing services or we have not completed the project no, we have not seen any of those instances.

Manan Mundra: Okay. And if you can share who are our major competitors in the market?

Sachin Raole: So there are many players and main thing different segments for that matter. For biofuel there are different set of people who are working, in ethanol segment different people who are working, CBG segment, for Praj HiPurity there is different competition for brewery business there is a different competition. So, there are many, depending on the competitors in the market for us.

Manan Mundra: Okay understood. And last question sir, we have seen an expansion in our margins. So, is it majorly due to reduction in the commodity prices or is it also an improvement in the execution efficiency also.

Sachin Raole: According to me around 75% to 80% is on account of raw material, because our execution is doing fine that we have seen some upside because of the

large volume execution which we are doing, but measure contribution according to me is on account of raw material prices.

Manan Mundra: Okay . So going ahead we can expect if the execution volumes increase, we can expect more efficiencies to come in ?

Sachin Raole : That's what I was earlier also saying that there is a scope for that kind of an improvement .

Moderator: Thank you. The next question is from the line of Naushad Chaudhary from Aditya Birla Sun Life AMC. Please go ahead.

Naushad Chaudhary: Some clarification firstly on the US opportunity. So , can you talk about the competition here , can you give us some specific name which compete with Page 24 of 27 you on this opportunity and are these tender based opportunity or what exactly do we pitch to the client to get these orders?

Shishir Joshipura: So, Naushad what happens is that there are about 200 grain based ethanol plants in the United States and about 150 of them are operating right now , 150, 160 such number . And not all of them , but the people who are wanting to produce SAF under the new program that I mentioned, they are obviously looking for their feedstock which is low carbon ethanol. So there are what I would call a dialogue that is taking place between the SAF producers and the ethanol producers to see if there's a possibility for them to come together and work together. That's one dimension. The second is , we also have a presence in US that people know that we

have solutions. We've been talking in seminars, we've been making our presentations in industry forums, we have customers who talk about us, we have been meeting customers to tell them how they can reduce the carbon intensity from where they are today , to where the desired level of the carbon intensity traction is. Three, we have a unique solution that is patent protected right now and also covered through an exclusivity agreement. So that we are able to offer a very unique way of reducing this in an existing project. There are alternatives, not that we are the only game in town, there are alternatives, but we believe that ours is a very sustainable, proven kind of a solution. So that it's not something that is experimental at all in its nature. That's the second part , third is we are also participating in different forums even with US DOE, USDA to educate customers on their platforms as well, to see how this could be developed further, because very clearly this is a requirement as a feedstock. This is already existing for them and the third thing is that in the United States, the projection is that because of electrification the overall ethanol demand may go down. And the only way for it to be bolstered up and even build more capacity is by positioning if there is a feedstock for SAF and that is where this whole effort of low carbon ethanol is there.

Naushad Chaudhary: Can you name a few competitors here?

Page 25 of 27 Shishir Joshipura: Can I name a few , so depends on what technology pathway is chosen. So for example, if customers say we will go down the carbon capture and sequestration with CCS flow pipeline route, then that also achieves a similar objective. However, pipeline routes are long term because you need to get permissions which are not easy to come by. You need a wellhead locator which is not easy to get today. So that's a very long term prospect and there are lots and lots of what I would call logistical challenges to be overcome on that route, but that's a definitive route . There are on the side of low carbon ethanol as I said it is a three step process , on one step I want to believe that we do not have an equivalent competition , people are trying to find different routes to solve the problem. On second and third stage, there are also companies that Fluid Q uip, ICM, these other ethanol equipment manufacturers in United States also would like to offer solutions.

Naushad Chaudhary: Understood. And in terms of the efficiency, ROI point of view from the client point of view, do you think our solution is better than the peers here or where do we stand?

Shishir Joshipura: Yes, the stage one of solution that we are offering is very, very effective for them.

Naushad Chaudhary: Okay. Second clarification on the similar or some other opportunity we were talking about in Brazil. And at some point of the call, we had mentioned in that Rs.14,000 , Rs.15,000 kind of crore of opportunity we seen .

Shishir Joshipura: We are losing you here, Naushad we can't follow after Brazil, we couldn't follow a word .

Naushad Chaudhary: On the Brazil opportunity also earlier, we used to talk about it's a Rs.14,000, Rs.15,000 crore kind of opportunity we see here in Brazil, because they are

shifting, they are targeting for coal based capacities by 27 -28. Is there any development there , what exactly we are doing here and where we can see the order from the Brazil for these opportunities?

Page 26 of 27 Shishir Joshipura: Yes, so first of all I don't recall having said the number that you mentioned, definitely not by us we think that 's large. But yes, Brazil is moving in direction of creating capacities from alternative feedstock s apart from sugar feedstocks . And as that development takes place, there are some elections there all these things are now settled down , there is a much longer time than many other economies to overcome the impact of the

COVID on their economy. So now we see cons tructive developme nts that are taking place in that market, and will keep you posted as the developments move to a definitive stage.

Moderator: Thank you. The next question is from the line of Prathamesh Sawant from Axis Securities Limited. Please go ahead.

Prathamesh Sawant: Sir two questions from my end, so just more clarity, I know the earlier participant mentioned, but is there any one off item in the operational costs with respect to setting up the new Genx facility or it is just in general high for some other reason?

Sachin Raole : So Prathamesh there will be some cost which will be sitting in the employee cost. And on the other expenses also related to the employe e because these new facilities which is coming up naturally the process have started getting built up and increases. But it is not one time, because Praj Genx is going to be there, only the revenue right now is not reflected from Praj Genx which will start happening hopefully from the quarter four of this financial year.

Prathamesh Sawant: Okay. And secondly sir as you were talking about the competitors in the US market, so I just wanted to understand, are these local players who are there or even those players are someone who are exporting to US. In the US, ethanol and SAF?

Shishir Joshipura: They are l ocal guys .

Prathamesh Sawant: Okay. So we'll have certain margin advantage s given low cost to them?

Sachin Raole : More than a margin, it's a technology advantage. And of course, there will be a number which will be attached to that .

Page 27 of 27 Shishir Joshipura : Our position in the United States market is not, it's actually not in any market for that matter - of a low-cost solution provider , we are very clearly saying we are best in class technology and therefore bat for me.

Moderator: Thank you . Ladies and gentlemen that was the last question. I now hand the conference over to the management for the closing comments .

Sandip Bhadkamkar : So thank you everyone for your time today. In case you have any more questions feel free to write us at info@praj.net. Again, thanks for your time today and wish you a great day and Happy Diwali. Thank you.

Moderator: Thank you members of the management team. Ladies and gentlemen on behalf of Praj Industries Limited, t hat concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you .

Call: Feb 2024

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REF. : PIL/ANB /L 154/2023-24

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/ 38

Dear Sir / Madam,

Please find enclosed Transcripts of Analysts' Call of Praj Industries Ltd. held on 2nd February, 2024 regarding Un-audited Financial Results (Stand alone and Consolidated) for the third quarter and nine months ended 31st December, 2024 .

This information is given pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time.

Thanking you,

Yours faithfully,

For PRAJ INDUSTRIES LIMITED

ANANT BAVARE
GENERAL MANAGER & COMPANY SECRETARY
(M. No . 21405)

Page 1 of 20 Praj Industries Limited
Q3 & 9M FY24 Earnings Conference Call
February 02, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Praj Industries Limited Q3 Nine Months FY24 Earnings Conference Call.

As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisor. Thank you and over

to you sir.

Anuj Sonpal: Good afternoon everyone and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We manage the Investor relations of Praj Industries Limited. On behalf of the company, I would like to thank you all for participating in the Company's Earnings Call for the third quarter and nine months ended of the financial year 2024.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward -looking in nature. Such forward -looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now, let me now introduce you to the Management participating with us in today's earnings call and hand it over to them for opening remarks. We firstly have with us Mr. Shishir Joshipura – CEO and Managing Director and Mr. Sachin Raole – Chief Financial Officer and Director of Resources.

Without any further delay, let me request Mr. Shishir Joshipura to start with his opening remarks. Thank you, and over to you, sir.

Shishir Joshipura: Good day everyone. I welcome you to Praj Industries' Earning Call for Q3 & 9M FY24. Trust all of you had the opportunity to go through our results for the quarter ended 31st Dec 2023.

Page 2 of 20 I would like to start today with a very exciting development. It gives me immense pleasure to share that Hon. Union Minister Shri Hardeep Singh Puri inaugurated the first -of-its-kind fully integrated Alcohol to Jet (SAF) demonstration facility at Praj Matrix o

n 20th January 2024. This

is a milestone achievement in Praj's pursuit of sustainable decarbonization of transportation sector. Building SAF Production Capability from Biomass will lay pavement for making India an export hub for SAF for Global Aviation Industry.

Yesterday hon. Finance minister presented the Interim Union budget 2024, with aim to create a conducive environment for business growth, innovation, and socio -economic development. There is a clear focus on leveraging captive resources in the energy mix, which is aligned with the vision of Energy Independence by 2047. Initiatives such as Phased mandatory blending of compressed biogas (CBG), financial assistance for procurement of biomass aggregation machinery are aimed to give boost to the bioenergy sector . The budget has also announced scheme for Bio -manufacturing and Bio -foundry sectors. These will provide environment friendly alternatives such as biodegradable polymers, bio -plastics, bio -pharmaceuticals and bio-agri-inputs. These green growth initiatives will facilitate energy security while achieving the climate action objectives of the nation.

We, at Praj Matrix had already envisioned the necessity of bio -manufacturing for the energy security and the sustainability agenda.

Coming to the business performance,

This quarter demonstrated that our efforts to broad base our product mix have begun to yield targeted results. Our order book maintained its momentum with visible changes in its constitution. CBG, ETCA, Services and PHS have all contributed to this quarter 's momentum. In Our domestic bioenergy business , the supply chain dynamics in the sugar sector were changed as the government ordered ban on use of sugar syrup for ethanol production in the 2023 -24 supply year with immediate effect. Later the government revised the order that allowed use of both sugar syrup and B -heavy molasses but with cap for diversion of up to 1.7 million metric tons of sugar for ethanol production. The government followed it up by announcing an incentive of Rs 6.87 per litre for encouraging ethanol production from C Heavy molasses.

In order to promote other feedstock, the government has made an upward revision in price by Rs 5.79 per litre to Rs 71.86 per litre for ethanol produced from maize.

Due to these sudden policy changes, we witnessed a very unusual quarter with no order finalizations for the sugar -based ethanol plants. However, we strongly believe that this as a temporary situation. Praj has already developed solutions for mitigating the feedstock challenge for our sugar customers. We are working with customers on converting their existing Page 3 of 20 single feedstock plants to multi -feedstock. We are confident that these solutions will help restore the opportunity next year. Though the sugary feedstock based enquiries couldn't result into orders, we witnessed steady flow starchy feedstock based enquiries getting converted into orders.

On International front, Global biofuels alliance is developing positively. 22 countries and 12 International Organizations are now part of GBA. Praj has already initiated dialogue with 10 countries and has interacted with 7 organizations.

Low carbon ethanol opportunity in the United States continues to be viable. However, clarity on section 45(Z) of Inflation Reduction Act (US) is still awaited, resulting in delays in decisions

on capital expenditure. These clarifications are now expected before June of 2024, which can help us in converting our engineering contracts to supply of equipment in 2nd half of FY 25. We have intensified our focus on growth of services business in both domestic international markets. We are in the process of establishing a strong distributor network in chosen markets to offer entire suite of solutions comprising of Enzymes, Yeast and Performance enhancers. On 2G front, IOCL plant recommissioning is underway. In an agreed two stage program with

ith

IOCL, we will establish the performance of the plant in the first quarter of FY25.

As for CBG, the business landscape is evolving positively. The government has announced CBG Blending Obligation (CBO) that mandates blending of CBG in CNG & PNG from FY 25 -26. CBO mandates are expected to increase gradually from 1% in FY 26 to 5% from FY 29 onwards. It will encourage investment of around Rs 37,500 crores and facilitate establishment of 750 CBG projects by 2028 -29.

We received four more orders which were part of five project LOI with one of the conglomerates. We are also witnessing positive developments on overall enquiry pipeline in this segment.

Energy Transition is a very important growth agenda for our Engineering and Modularization business. I am glad to report that almost 2/3rd of the orders booked for this business are from the ETCA segment. Our work on GenX facility at Mangalore is in full swing. We have completed all statutory compliances for commissioning of operations. We expect to start the commercial production activity by mid -February.

Our PHS business witnessed development of strong order book that has already crossed the entire OB of FY 23 in the 9 months of FY 24. We received first international order for high - capacity fermenters. We also completed the first order of water system for lithium iron batteries' plant, that has similar requirement like semiconductor application.

Page 4 of 20 Zero Liquid Discharge business is experiencing healthy enquiry inflow. While we are close to deliver our first modularized ZLD plant, we have received 2nd order and discussions are progressing positively with several customers.

Earlier I mentioned the union budget provisions to boost biomanufacturing and biofoundry sectors. Praj has always believed to invest in unfolding future and in line with that I am happy to share that the installation of our demo plant for PLA is nearing to completion and we expect the demo plant operations to start by April 2024.

Overall, the business outlook continues to be positive for our business.

Before closing, it gives me immense pleasure to inform you that Dr. Pramod Chaudhari has been conferred with the coveted 'Atal Sanskruti Gaurav Award 2023' that recognizes individuals who have demonstrated exceptional dedication and contribution towards excellence.

With this, I will now hand over to Sachin for his comments on the financial performance.

Sachin Raole: Thank you, Shishir. Good day everyone. Let me take you through the financial highlights for the quarter and 9 months year ended December 31, 2023

The consolidated income from operations stood at 8.28 billion in Q3FY24 as compared to Rs. 9.11 billion in Q3FY23. PBT has increased by 7% and stood at Rs. 919 million in Q3FY24 as compared to 859 million in Q3FY23. Similarly, Profit after tax stood at Rs. 704 million in Q3FY24 as compared to Rs. 623 million in Q3FY23.

We have seen an improvement in margin in this quarter because of Sales mix, higher exports and engineering (services) orders and softening of material costs. Also, the decrease in one - time other expenses and lower site activities during this quarter.

For 9MFY24, Income from Operations was Rs. 24.4 billion as against Rs. 25.2 billion in 9MFY23. PBT stood at Rs. 2.5 billion in 9MFY24 as against Rs. 2.1 billion in 9MFY23. PAT of Rs. 1.9 billion in 9MFY24 as against Rs. 1.5 billion in 9MFY23.

Export revenues accounted for 21% of Q3FY24. Of the total revenue, 71% is from Bio -energy, 21% from engineering and 8% is from PHS business.

The order intake during the quarter was Rs. 10.3 billion, with 86% from the domestic market. Of the total order intake, 81% came from Bio -Energy, 12% from engineering and balance 7% from PHS business.

Page 5 of 20 The order backlog as of September 2023 is at Rs. 39.5 billion comprising of 75% of domestic orders. Cash in hand as on Sept 30, 2023 is Rs. 6.4 billion.

I now c

onclude my remarks and I would like to thank you all for joining us on this call. We would now be happy to discuss any questions, comments, or suggestions you may have.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Anwani from PL Capital. Please go ahead, sir.

Amit Anwani: My first question on the sugar cane based feedstock plants, just wanted to understand the revenue loss which might have happened this quarter, the quantum and will there be any

impact in 4Q. And as you said, we got no orders on that front. Just wanted to understand in the prospective order prospects, what could be the quantum of loss which can happen because of the sugarcane based feedstock plants?

Shishir Joshipura: So, Amit, what happened on the revenue side is that, there is a because of the policy announcements, there's a clear shift, as I would call it a temporary old obviously customers had to reassess their projects, the bankers had to reassess the funding that they were making. So since the time period very short some announcement to the time we actually the quarter ended, so it has led to a situation that contracts have got shifted in execution, so they are not gone away. They have just shifted in execution cycle. And normally, the plants that we design for sugar sector have either a molasses C as feed stock or B as feed stock. And then there is a separate plant which can also have syrup feed stock. So depending on how the customers have chosen their project, but they had to reassess from the perspective of their feedstock situation in terms of what will they, what options will they work with. And obviously, this has led to temporary shift of the timeline for the project execution.

In terms of our own response, we decided that we will enable our customers to meet the challenge differently and therefore, at Praj we created solutions which now allows them to go to multiple feedstocks and not necessarily just stay limited to sugary feedstocks. So we have offered solutions which can combine sugary and starchy or sugary and starchy as well as lignocellulosic in terms of bagasse. So we have now different solutions that are being offered to customers. They are all trying to understand their own supply chains on the feedstock side and then they obviously realign their projects. So this is a, as I would call it a short term adjustment that is required but we don't believe that, because the ethanol demand continues and therefore we are sure that industry will find a solution based on our technology offerings to move forward.

Amit Anwani: Sure. And so wanted to understand on C BG we already got four orders. So, now just wanted to understand any assessment on the pipeline for the next 12, 15 months. And also wanted to understand, though there are policies surrounding by the government because of the promotion of biomass is, your experience with current customers is there a stronger viability Page 6 of 20 which can shape up in coming quarters and what is the current IRR on that aspect, if you can highlight?

Shishir Joshipura: So, as you rightly said, the numbers that we reported include the four contracts for CB G in our order book. As we move forward, we see a healthy pipeline developed for the CB G products to be in the field. There are again, as I was mentioning earlier as well, the key question that every customer or project promoter is trying to solve is accessibility to the feed stock. And that is why you probably see in the budget as well, that there is a clear provision made for by the government indicated that they will also provide assistance for collection and establishment of supply chain by the feedstock side. So we clearly see a very positive development and a healthy pipeline for the CB G products as we move forward. The CBO announcement that I also mentioned in my opening remarks will

also give it a positive push. Typically, these projects would take anything between 12 to 15 months to come fully online. And from that perspective, the financial year '25-26 we are 1% for blending has been announced, we will give them necessary runway needed for development of projects for the promoters.

Amit Anwani: So lastly, on the bio manufacturing which government announced and we have been working since quite a long on bio plastics. So any assessment in what shape it is going to come, whether it will be demo plants initially with PPP mode or any assessment with respect to quantum or the investment, if we would like to highlight?

Shishir Joshipura: So Amit, there's no details of the policy announcement made available yet that is the fact. However, having said that what's important for us to notice is two things one, there is a clear intention to promote bio manufacturing and bio foundry, that's the direction in which the policy will move, that is a very, very positive development. And the second point that I would like to mention here is the fact that, as a leader in this business we recognize this opportunity developing much ahead of its time, and therefore we are able to anticipate the put R & D money behind development of solution. And now, we are even putting up a pilot project as I mentioned, which was commissioned in first quarter of next year, next financial year. And that augurs well, because we are now setting the pathway for the unfolding future if I can use that word. And we are very, very positive and very excited with this development in the budget.

Moderator: Thank you. The next question is from the line of Prathamesh Sawant from Axis Securities Limited. Please go ahead sir.

Prathamesh Sawant: Sir my question is with respect to the CB G again. So you mentioned we have a 37,000 crore opportunity. I just wanted to understand so what kind of a competition we'll be facing in this front. So, can we expect a similar market share like we had in bio ethanol where we had 66 %, 70% market share. So, do we see any competition here and if yes, who are the competitors?

Shishir Joshipura: So, Prathamesh first of all the sector has now got a visibility of its growth path which is very important the CBO policy actually creates a pathway for sector to grow, which is a very, very Page 7 of 20 important thing. The second is that, when an opportunity arises obviously competitive forces

will come into play. CB G is a technology in several parts of the world. Not exactly the same kind of a scheme that government of India has got. SATAT is very, very unique, but in terms of its basic technology construction has been present in different parts of the world with different feedstock's. We ourselves have built over 50 plants in India, where biogas is produced by treating of effluent in distillery. And as feedstock, ecosystem develops different solutions will come out. Now press mud based gas plant, rice straw based gas plant. So, depending on how the supply chains on the feedstock side develop, we will see a clear development on the CB G side as well. In terms of competition, yes, there is competition and sometimes, competition in a very new emerging field is also a good sign, because that shows that the potential is really and truly there it's not just one person's imagination. And then the third is, which is also equally important, market share will develop over a period of time, all of us will try and I'm sure all of us will find a customer who will buy the story that we put out as organization. But what's important is to actually go out in the field and prove this performance and promises. And depending on how each technology performs I am sure the market share will build based on competitiveness dimension. So to comment on market share is probably a little bit early. But we are very excited with potential that this opportunity now promises.

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rathamesh Sawant: Great to hear sir, because I believe we had announced something prior that, the renewable gas technology has highest yields in the market so?

Shishir Joshipura: Yes, it is you are right. Yes, it has. The point is that, eventually the market share is up is a function of time as well we have to go through this, now that the potential pathway at least appears to be much more clearer than it was before. We assure that as we travel a long, we'll talk about it as we build the share. We have no intention to be anything but the leader in the business.

Prathamesh Sawant: Great to hear sir. Second question is with respect to your successful SAF flight. Sir are we seeing any interest from US economy post that, as in new demand for economic plants since we have a proof of concept now in hand?

Shishir Joshipura: Sorry, could you just repeat the question?

Prathamesh Sawant: Since you have a proof of concept with respect to the SAF fuel now, so have you seen any upgraded traction in the US economy, and Europe economy for the plants?

Shishir Joshipura: Okay. So in United States, the Inflation Reduction Act has actually set a goal of creation of three billion gallons per year capacity for SAF by 2030. Now, off this I'm just putting some rough numbers out. So of the 3 billion about 1.6 billion is expected to go on the HEFA route. But beyond that, there is no feedstock for HEFA route, the balance 1.4 billion is likely to be on what's called a sustainable alcohol to jet route and where ethanol will obviously play a very, very, probably the most important role as we move forward. The ethanol that is required for this SAF Page 8 of 20 production needs to, cannot be this normal ethanol it needs to get to what is called as low carbon ethanol status. So there are already a lot of ethanol plants in United States. And the capacity exists on the ground. But now they need to become low carbon ethanol so that creates the opportunity to convert those plants into low carbon ethanol and as I was mentioning in the last quarter not the December quarter but in the quarter ending September, we announced our first order for creation of a low carbon ethanol solution for an upcoming SAF project in United States. So that was the one that we announced. Also, because every gallon of or every liter of SAF that we need to produce on alcohol to jet route we will need the twice volume of ethanol. So for every two liters of ethanol, we will get one liter of SAF so it does create a very significant opportunity. As I mentioned, there are some clarifications that are required under the IRA when the incentives were given by the government from their internal revenue service on how the calculations for taxation, et cetera will happen and that's 45-Z provisions as I was mentioning, we did expect it to be clarified in about four to five months timeframe. As soon as they are clear, we will see the next moment forward.

Moderator: Thank you. The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead sir.

Mohit Kumar: My question is on the CBG. Are we seeing more inquiry or do you think this is to some time away till the time the first plant is commercialized and we can see a slightly higher number maybe end of FY 25 when the first plant, first of power plant start producing?

Shishir Joshipura: So, Mohit I will give the answer in two stages one, the CBO program is announced from FY 25-26. So it's still a little away and it will take that kind of timeframe to build a plant and actually create the capacity in the country. So we expect that as we move forward through the year and maybe to the later part of the year, we'll start to see a much more healthier and volume development as far as inquiry members are concerned. In terms of commissioning the project we have already commissioned. As I was mentioning earlier, as well, there are around 50 projects

that we have commissioned on the spent wash base, which is the waste coming out of distillery, where we can produce the CBG. We have also commissioned on press mud, so that is also there and we also in the process of commissioning, based on rice straw. So all the three

major groups of feedstock that are currently known are being covered under this, we are building other four where some newer feedstock's, like cotton stock, napier grass, et cetera will also come into play. So as this ecosystem starts to develop, you are right, as more and more projects come on the ground probably that will create a higher degree of knowledge and learning about what needs to happen on the overall ecosystem. So, we will definitely see a positive development as we move forward.

Mohit Kumar: As you spoke about the US opportunity you said 3 billion SAF by 2030, is there an intermediate target, does it mean that 2030 target we get the IRA clarification, it may or may not happen given that the US, the election in the US and this may get delayed, which means that we may not see a material order inflow from the SAF opportunity in FY 25 or so?

Page 9 of 20 Shishir Joshipura: So, Mohit this is a very good question, there is no intermediate target however, there is an international agreement that has been signed, United States is signatory India is a signatory. That starting 2027, 1st January 2027, 1%, blend increasing every period of time to 50% blend will start and it will be obligatory and mandatory for all the airlines to follow. So that is going to create a definitive market now. So from the market side, there is going to be definitive pull where the SAF demand will emerge and is the market side there is a pull I am sure that the capacities will start to get created. The clarification under 45Z that I mentioned about is an important one because that changes very significantly and very favorably the economics of a project and that is why it is critical for customers. We are right now working on several engineering projects so customer said okay let's get the engineering part done let's get the feasibility report done. So that when this notification is come as expected, then we can start the project and don't lose the time right now.

Moderator: Thank you. And the next question is from the line of Ankita Shah from Elara Capital. Please go ahead.

Ankita Shah: Sir, my question was on margins so given that could sales mix improve export and your materials positively aided these margins performance to this quarter. How do you see it going forward will we likely to continue and given that our export orders should increase post the new plant commissioning so, do you think this should sustain going forward?

Sachin Raole: The reasons which I mentioned earlier on the margin improvement are yes, mainly on the sales mix export orders coming up in a big way as compared to the normal orders, then your services orders have contributed and one major component which we need to definitely look at and if you look at my last year, last December quarter results, we have seen the great impact coming up on account of softening of the material cost. So, there are some elements which will definitely continue to give us the relief on account of improvement in the margin. And there will be some, which might come back for example, I mentioned that site activity was less as compared to the last quarter, which may come up in the next quarter. So the trajectory for our margin going forward is going to be definitely on the improvement part, but not necessarily in the same proportion there might be some here and there. But yes the margin improvement we will be keeping in the coming quarters also.

Ankita Shah: Got it and how is the order inquiries for the new plant that is expected to commission from next quarter onward in Mangalore. How are the inquiries building up for that?

Shishir Joshipura: So,

that's a great question. So what we are seeing now is a clear change, clear diversification of our order book, and energy transition and climate action is a very, very big part of new dimension and that's where Mangalore facility will be serving this particular need, the enquiry is building up very, very well for this in-line with our expectation and we see no reason to be or any cause of concern we actually are very optimistic that this will continue to develop. Page 10 of 20 positively because this is energy transition is a very, very real phenomenon especially in the Western part of the world.

Ankita Shah: And sir, I remember you were mentioning about the pilot project for the RCM bio plastic plant also which was under way and is expected to start production, so any update on that?

Shishir Joshipura: Yes Ankita, as I had mentioned it earlier as well. We foresaw this need for developing an indigenous technology for bio plastics and our PLA project is for which we had announced the capital expenditure at the earlier part of this year is absolutely underway and we expect that in the first quarter of the next financial year, we will be able to commission and demonstrate and then of course from there onwards take it to business development.

Moderator: Thank you. And the next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead sir.

Shailesh Kanani: Sir, I wanted to understand out of this bio energy order book what we have around 3000 crore, what quantum would be slow moving and also the order inflow for this quarter 400 crores I assume is from the C BG order. So, what is the remaining 450 odd crores which we have got?

Shishir Joshipura: So, Shailesh first of all let me start in the reverse order. So, as we mentioned that, this quarter was a very different quarter in its constitution because we did not see any sugary feedstock based ethanol projects getting finalized during the quarter for reasons that we already elaborated. But the starchy feed stocks continue. So, what you see is the other half that you mention is about the starchy feedstock based order book that continues to build. So, there is

no let up on that part. It was just that as we mentioned that there should be a small three, four month kind of a recalibration that is required for the projects that were solely syrup based because of the change in environment and a lot of industry is now thinking saying do I need to go and diversify to multiple feedstock, et cetera . So that is the impact that we are seeing.

Shailesh Kanani: And the slow moving part offers this 3000 crores order, order backlog ?

Sachin Raole: Yes, that's right 39.5 billion order backlog is what we are seeing , your question is related to ?

Shailesh Kanani: The bio energy part which is roughly around 3000 crores. So, how much of that would be say slow moving should not be incrementally contributing to our revenues?

Sachin Raole: Related to the syrup -based plants the order book size is around 250 crores.

Shailesh Kanani: And B -Heavy would be?

Sachin Raole: B-Heavy will be another 450 crores kind of a thing .

Shishir Joshipura: But Shailesh B-Heavy also has C molasses built into that , it is not a single feedstock plant .

Page 11 of 20 Shailesh Kanani: So, that means that would still continue as envisaged ?

Shishir Joshipura: Yes, so pure syrup project is what Sachin was mentioning it about 250 crores they obviously have delayed execution now. But other than that, it is B , then B is also with a C , so that you can alternate the feedstock already and many customers are now opening the dialog to say all right apart from this, can I connect the starch module to this , can we discuss even a bagasse based ethanol production, but whereas I was mentioning , diversification of feedstock is critical to this and that is the effort that we have already made anticipating this kind of a need. So

we are able

to offer a solution to these customers and I'm sure that this will help them overcome this challenge.

Shailesh Kanani: Fair enough. Sir my second question was , with respect to our international order inflow and engineering revenue booking as well . So, there has been some disappointment there at the quarter and so, if any components in the international order book which is slow moving or has a longer gestation than what been , longer executions period than normally what we have in the past ?

Shishir Joshipura: So, on the international order book front, yes there were some minor shifts in the order booking cycles but, the inquiries are very much healthy, they have all stayed. We do not foresee a situation where the pipeline is anywhere near in fact it's only filling up. I can't even use the word drying up because it's only filling up for more and more. So from that the energy transition is a clear phenomenon we clearly see, as we move forward, yes being project business in nature sometimes timelines maybe one quarter here or there they are not exactly aligned to the calendar months as we would like to do it, or as Sachin would like to close the year on 31st of December , so that may not happen. But more than that, what's important is the pipeline stays healthy and growing from the targeted segments and customers and we have absolutely no reason to believe that we will have anything but success in their path.

Sachin Raole : And Shailesh one more thing regarding to engineering international orders, our Genx have taken almost one more quarter for coming up for the commercial production. So it has taken some kind of time for trying for arranging the customers visit , getting their approval and all. That is also one more reason for engineering orders from the international side, taking some kind of a delay of almost a quarter for that matter.

Moderator: Thank you. And the next question is from the line of Sandip Sabharwal from Ask Sandip Sabharwal . Please go ahead, sir.

Sandip Sabharwal: Shishir my question was specific to the second generation ethanol plant, which have been under execution for a very long time now. Even the Panipat plant which you are saying it will be finally into commercial production by the first quarter . Now the feedback from the company, the oil company which you are executing is that the technology has not stabilized
Page 12 of 20 and the commercial production is not happening despite so much time having passed. So, can you just give some clarity on this , what's happening on that front?

Shishir Joshipura: Sure. So yes, delay is something that is visible to all of us. So there's no denying of the fact that the project didn't get a delay from the original target that we had. However, what's important to understand is that #A, the challenges of feedstock supply chain and I did mention that even in the earlier part the government has also recognized the need to establish and support establishment of a supply chain and the feedstock side. So one is the physical availability of the feedstock that itself because you appreciate that in the whole 365 days of the year, the feedstock is only available for 15 days in the years. So we have to make arrangements for the rest of the 350 days for it to be stored and used, et cetera, et cetera . So, that's one clear dimension that has been learned as this project were getting commissioned. The second is about the quality of the feedstock, because there are one has to understand there is a feedstock that is available today. And then one year down the line when the demand for the feedstock goes up how to ensure that the quality of the feedstock is correct, this is the second one. The third is of course, then these varying degrees of quality inputs, how do you stabilize the plant , what is important is , as far as process is concerned we have proven end -to-end – input feed stock at one end, yo

u do get ethanol at the other end and there is absolutely no problem. We have already produced over one and a half lakh liters of ethanol in th at project. But now overcoming this situation , we have now agreed on a plan with our customer with Indian Oil i n specific to go through a because they would like us to go through two sta ge commissioning , re-commissioning of the project that is what we are doing and that's why I mentioned that first quarter of next year we will see that happen. We are already working on it. It's not that we'll start somewhere now. Our team is already there and we expect the results in February, you will see it in three month 's timeframe th at project up and running, okay. Sandip Sabharwal: But then, taking it up further like when such a big order is placed by the customer wouldn't it be too obvious that they would think through the feed stock issues at that stage and not five years after the project was awarded?

Shishir Joshipura: Well, the point is this that , this is very new, there is no preceden ce. There is no supply chain established you would agree with me that the only way this feedstock was dealt was by a farmer who burn the thing standing. So from completely destroying it in one shot through light up a match. We are now saying of establishment of so it does take time. This is a experience worldwide it's not only in India. So , the feedstock challenge is clearly under stood because there are different dimensions to it as to who harvest the feedstock , at what cost, who puts the capital, who puts the land, who stores it, who supplies it, there are different dimensions to this. And some of those dimensions were very complex in nature and now there is a clear ly better understanding that is emerging, and we will see the results soon .

Sandip Sabharwal: And s econdly on this biogas plant which has been just inaugurated in UP where there was a mention by the Oil Minister also , so for that plant has the production stabilized ?

Page 13 of 20 Shishir Joshipura: Sorry, could you just repeat your question, please?

Sandip Sabharwal: About the new plant in UP which was just inaugurated by the Oil Minister on the compressed biogas. Has the production stabilized for that?

Shishir Joshipura: No. So just to share with you , from the day you inaugurate that is the first start. The cycle is almost a 90 day cycle by the time you go to stable production levels, because that's the bacterial cycle degradation of biomass. First, start will take that long afterwards it is obviously a continuous process.

Sandip Sabharwal: So this order was for HPC L right?

Shishir Joshipura: Yes.

Sandip Sabharwal: HPCL also announced eight more plants in UP. So are you in line to get any of those?

Shishir Joshipura: Time will tell , we need to first commission this one and prove it to them. And they have announced it but obviously, it's a public sector. So they like to go through a procurement process, we will bid for it and be assured that we will stay competitive and win.

Sandip Sabharwal: Okay. And out of the 900 odd plants which might be planned over the next few years. What do you estimate like how many private sector will do and how many the public sector will do?

Shishir Joshipura: Tough call , we are in initial days so for me to sit on a crystal ball and say, private will do so much , public sector will do so much what's important is that both the sectors are building the plants. And to me, that is a good sign if not that only a public sector is building or only private sector is building which clearly goes to show that there is a clear future for this form of solution, that there is a viability for these projects. And, the good news is that there are several large conglomerates both on private and public sector side who are suppor ting this and are partaking in this. So , from that perspective it's a very positive sign, but what will be the distri

bution

between two of them only time will tell .

Moderator: Thank you. And the next question is from the line of Manish Bedia from Investor. Please go ahead, sir.

Manish Bedia: So we are trying to become long term investor of Praj, who just wanted to understand, if you could just help us build conviction , if you reiterate your FY30 t arget, you have said about 3X revenue. So is that still achievable , that's the first . The second is on the margin , so we almost reaching double digit PAT margins. So, is this something we should look forward with more export that is higher margin and also services business contributing more , so double digit margin i s possible or not . The third is , we are less capital intensive, the ROC and things are very good. So what will be our capital allocation policy, like dividend , buyback or execution or whatever so what will be our capital allocation there, thank you .

Page 14 of 20 Shishir Joshipura: Thank you Manish. So let me start first, we have absolutely no reason to believe that we will not meet or beat our target that we set out of 3 X growth . In fact, if you go and see, we were saying some things in that conference as well, where we had set out a vision for the company, where an important segment was around bio manufacturing and we are delighted that the government has also indicated the same in their policy direction as well. So in bioenergy already there is a big push, sustainable aviation fuel there's a big push , the global CB G there's a big push. Now on the bio plastics and bio manufacturing there's a big push. So all the sectors that we are serving, and where we have a leadership in the business and domestic market as well. Very clearly the indicators are that those are all po tentially growing pathways. And if the business is growing obviously we have no reason to believe that we will, as I said earlier as well that we absolutely no intention to give up on our leadership position , internationa lly as well

we see two, one is the SAF which will drive development of capacities worldwide, United States to start with. India, there are several other factors that favor India as a preferred destination for SAF production and we will talk about it as we travel through the year, over the next 12 months. The next point that I want to make with you is, that the global biofuel alliance that I mentioned in my opening remarks has become a very, very strong platform. Already 22 countries are a member and all the important organizations that need to be part of an ecosystem to make things favorably developed, are already the member. We are already in dialogue with several, if I remember correctly 10 member countries to see how we could develop help and develop their own bioenergy programs and what role can technology play. So everything that is in terms of potential, in terms of landscape, in terms of pathways is positively developing in all our business areas. The one more business area is around energy transition that I already mentioned, that is also developing very, very positively. And we expect that, that will become a very, very significant component of our business numbers as we move forward. So fermentation is going to become a big technology. So that is the core strength of Praj. So several of our business it's not only in energy side, bioenergy, renewable chemicals and materials, PHS all of them will benefit from this strong core strength of Praj which is fermentation. So overall, both even international markets and domestic markets the drivers are all in positive direction. We expect that that is why I'm so confident that the 3X direction guidance that we have given will be met without any problems. Coming to your second question was on around the margins. We remain confident, as Sachin already explained that, and I'm saying this that margins don't happen overnight. So we've been working very consciously at improving

our margins over a period of time. Several actions that we have taken in terms of changing product mix, focusing higher on international, getting a higher role for technology, of course softening prices of raw materials have also helped no question about it, compared to the period two years ago. We have also seen this particular quarter where the site activity is a little less which is a little less margin business for us, going down and maybe they'll go up again in the fourth quarter again in terms of market dynamics changing. So it's an overall mix, we are very confident that we will continue to be positively developing as we move forward, it may move it may have different quantum's of change, but all the quantum will be on the positive side that is our confirmation and commitment.

Manish Bedia: And, on the capital allocation?

Shishir Joshipura: Yes, on the capital allocation side, I don't think I can play the role of my entire Board because this is a Board matter to be discussed into how we will do about, go about allocating our capital, what's more important is for us to understand is, that we will continuously be focusing on development of the new. because we strongly believe that the whole renewable chemicals and materials landscape will start to unfold in front of us in mid to long term. And that will call for investments now. So we will make sure that we don't shy away from those investments and we make prudent investments. So, a lot of our capital allocation will go towards building capacity and capabilities both. In terms of what happens the dividends, et cetera is not for me to discuss it's a Board matter. So as and when that comes up, we will let you know.

Moderator: Thank you. The next question is from the line of Faisal Zubair Hawa from H. G. Hawa and Company. Please go ahead.

Faisal Zubair Hawa: What is the kind of R&D spend that we are targeting going forward and secondly, if there is this one product which we have still not marketed enough or we are not getting enough traction, but you feel deeply that this will succeed big time, what could be that product and is there some target within the company also that new products should at least contribute like 1/3 or 1/4 of revenue three years hence?

Sachin Raole: So, on the R & D spend our momentum will continue Faisal, because.

Faisal Zubair Hawa: Do you have a percentage to it?

Sachin Raole: I will not be able to give exactly percentage per se, but I will say that we are looking at for the next year the CAPEX in the range of again maybe 30 to 40 crores, the revenue expenditure which will be mainly on the development side and the facility which is coming up now or PLA another 30 to 40 crores we will be investing on the OPEX side. So total investment which will go in R&D in the next year will be in the range of 70 to 80 crores, whatever will be that percentage of my next year's turnover.

Faisal Zubair Hawa: And sir about the blockbuster product that could come up and the strategy with the new products?

Sachin Raole: So, when you're talking about new products, if you look at starting from second generation to CBG to SAF and now PLA, these are the new offerings which are coming up in the market from our side. They are of course at different stages of commercialization but we believe the potential and I'm sure you will also believe the potential for all these segments is pretty, pretty huge going forward. For example, CBG, we were talking about CBG since last two years and now it is really taking its roots. And if you look at the technology naturally got developed at our end and technology is absolutely unique from the form of the yield which someone was already mentioning about or from the preservation of feedstock, there are many unique

features which we have introduced because of our R&D development on that side. Same thing

is happening on SAF. SAF we just mentioned about inauguration of our fully integrated demo plant which is one of its kind, which showcases the entire end to end kind of production capability, technology and facility which can be built up. And the best part it is on a modularized form.

Faisal Zubair Hawa: Are we doing anything to improve our branding at an international level where we could stand strong against the Japanese suppliers and really build up a large amount of trust. So any kind of branding initiatives that we are doing today, I know it's a B2B business but still?

Shishir Joshipura: Faisal, it's a great question. We are very conscious in ensuring that our brand presence is felt. And what better to say than the proof of this than to say that the Nobel equivalent of prize equivalent of bio economy, which is the Carver Award was awarded to Dr. Chaudhary who is our Chairman, and who's the only non-American to have received this award over the years. So, that's treated as Noble of the industry and there have been several other accolades that have come out whether it was through Bloomberg, whether it was through Biofuel Digest. So, in relevant platforms, we are making sure that we are known, we are present in those forums, we are contributing to those forums. We are a go-to company when people think of customized solutions, we are a go-to company when people think of multiple feedstocks, when it goes to the whole the entire effort that G20 conference launched around world biofuel, global biofuel alliance, that is something where we are playing the role that is expected of us. We are contributing in any way we can. Of course our customers are our biggest ambassadors. So in countries of over 100 countries we have plants and solutions that we established, those guys are our real ambassadors in respective geographies. So, yes, as you rightly said, we are not a B2C company. So you will not see us doing Jingle on television. But surely there are forums where we make our presence felt through contributions that we make, and the participation that we do.

Faisal Zubair Hawa: It will also help to have much better LinkedIn presence because there our updates are pretty not very regular. And secondly sir is there anything that we plan to do on the waste to energy front also, because that could be also very big sector in India. And Hitachi has bagged very big project also from Waste. So do we have a very good product there also?

Shishir Joshipura: So we have a lot of focus on what we call an agri waste to energy, obviously those CBGs a solution in that space, second generation ethanol solution be a solution in that space, even first generation ethanol for that matter. Our energy transition and climate action solution or modernization has a, within that business there's a segment of waste to energy where we are working with some of the companies in the world and Sachin mentioned that, there our ability Page 17 of 20 to conceptualize a process to an engineering solution and then convert that to a modularized solution is something that is finding a lot of takers. So different strokes, maybe but yes definitely waste to energy will also be, but right now there is no plan at our end to work on municipal waste to energy projects, directly as a technology development.

Moderator: Thank you. And the next question is from the line of Dhawal Shah an Individual Investor. Please go ahead.

Dhawal Shah: I just have a query, we had announced a JV with IOCL six months back. And then there is no further update about that JV what we are going to do about it. Similarly, in last few concalls you had announced and detailed description about Europe going for 2G ethanol plants. So then there is no further update how we are addressing that market?

Shishir Joshipura: Alright, thank you. Sorry, that was a miss out from our end. Thank you for pointing that Dhawal.

So on IOCL JV both the Boards have approved the JV, we have agreed on the language of the agreement. The structure of the JV. It's a process because this is now public sector to a private sector partnership. So there's a process of approval through Neeti Aayog and DIPAM, et cetera which is currently underway, nothing that we can influence directly. It is a process that will take its natural course. And we expect that soon we will hear about an approval and once that approval comes we will be able to develop, all these activities we're doing in anticipation of that approval on the sidelines. And you'll hear about them as soon as this right now my lips are sealed. But once the JV is formally announced, in terms of approved by Neeti Aayog and DIPAM we will be able to talk about, we are already working on the sidelines, to development of a pipeline of products IOCL JV.

Coming to Europe 2G then, yes you are right. There has been a bit of a slowdown in the activity in Europe that we witness, but now the activities we have picked up and we are now beginning to see active dialogue that is taking place with a couple of interested parties who now want to go ahead and evaluate. The critical dimension of course to this is the fact that we also have to commission the IOCL project at Panipat is what I mentioned that we will be able to commission it in the first quarter of the next financial year. And as soon as we do that, I'm sure that we will be able to showcase that it is possible to do this, and then we'll be able to show some positive developments on that. Thank you so much.

Dhawal Shah: One more thing sir, we're not showing any top line growth this year, can we expect some momentum in topline growth going into FY 25 can we have some topline growth and numbers also aligning to our vision ?

Shishir Joshipura: So, Dhawal it's a very good observation and as I was mentioning in answer earlier, that because of this. So there are two major shifts that happen on the domestic side. One was the policy and FCI rights allocation, and second was on the use of syrup for ethanol production. In both, what we have seen is that this has meant that customers had to reassess as well as their bankers had Page 18 of 20 to reassess the project viability and look for alternative resources. So that has led to delay so you will actually see an order book that will carry forward into next year, which is a very healthy one and that will indicate to you how the whole year will unfold. Yes, there is a delay and this delay has meant that and the announcement came at such short notice that we did not have time to find an alternative because time period was too short. But you will be able to definitely see a healthier order book being carried forward.

Dhawal Shah: Great sir. We hope that everything aligns as per the vision because we are aligned to your visions since long.

Moderator: Thank you. And the next question is from the line of Sagar Dhawan over from Valuequest. Please go ahead sir.

Sagar Dhawan: My question is on 1G ethanol. Just wanted to understand, what kind of feedback are you getting from your sugar based ethanol customers on the viability of their operations with sea route and possibly dual feed as well. So with the kind of incentive increase that we are seeing right now from the government side as you mentioned on sugar as well as maize. What is the level of viability that right now they are seeing ?

Shishir Joshipura: Sagar, the question is that, this is a question of product mix for the sugar companies, how much sugar and therefore, how much ethanol, and that mix is something that, how much is their export, how much is their domestic sales, what's the price of the sugar versus what's the price of sugarcane, what's the cash flow situation on sugar side, versus what is the cash flow situation at the ethanol side. So, that's a balancing that they will

have to do. And that's what I was mentioning that we understand that this could be with a, it's not a straight line equation it's a complex equation. And we want to help them solve some of these by actually offering the multi feedstock plants to them saying, all right if one feedstock does go in a different direction, that does not allow you to produce ethanol, for reasons of economics well you can always opt for another feedstock that will enable them produce because the demand for ethanol is not going away that's the fact. The EBP20 program is very much here. The economy is running, India is growing so all those directions are ticked. So, what has to happen is that we need to create flexibility at the input side and that is what we're attempting to do. And we do see, we clearly see this dialogs are starting but I'm sure that over the next four, five, six months, we will see a development of dialogue where only sugar feedstock based companies or ethanol production facilities will look for diversifying their feedstock.

Sagar Dhawan: Okay, got it. And sir when you say diversifying would that mean that, the domestic plants will have sugar as well as maize as an input you that capability to provide that kind of a plant?

Shishir Joshipura: Yes, we can.

Page 19 of 20 Sagar Dhawan: Okay, sure sir. And can you tell us about the enquiry pipeline right now that you seeing on dual feed any quantum ?

Shishir Joshipura: Already enquires have begun, customers we also built a plant for couple of our sugar customers which have dual feed plants, they are already there up and running. So, there is proof on ground. We had already anticipated this, we had been dialoguing that customers to diversify their feed stock, some of the guys, the early leaders have taken, what I would call it that step already in anticipation. Some will take now because now they see a different reality in front of them.

Sagar Dhawan: Okay, got it. And sir our last question on this front, what is your current, in the current order book what is the mix of dual feed plants in 1G?

Shishir Joshipura: We will get back to you, I don't have that available readily on my hand.

Sagar Dhawan: Sure, sir. Last question from my side, actually from SAF. So you mentioned that you are working with some of the customers already in the US on the engineering side just to be ready before hand. Sir just on the pipeline on SAF side, we're working with some customers on engineering side, you mentioned earlier also you had given some number so you are working with some customers, can you just tell us how many customers are you working with right now. How many plants are you already working with on the SAF?

Shishir Joshipura: We are already working on six projects where this engineering is underway.

Moderator: Thank you. And the next question is from the line of Lokesh Maru from Nippon India Mutual Fund. Please go ahead, sir.

Lokesh Maru: Sir, just one question from my side wanted to understand what is the kind of two things on when we say that we will be able to provide a multi-feed solution to our existing customers, so what is the kind of additional cost it might take to add this functionality to the existing plant. And then what kind of loop do these customers have to go through if for example say they

need 25 crores extra for 100 KLPD will they have to go back again to the banker for to approve the loan, and just want to understand the cost and the addressable market for us and your view on how much of that addressable market we will be able to convert in next 12 months , because more than looking at it as a challenge, I see this more as an opportunity for us to actually cross sell our solutions.

Shishir Joshipura: Yes, Lokesh. So, you said it very correctly, because we have always believed that when the challenge is present in the ecosystem, it actually creates an opportunity as well. You

just need

to do different thinking and that is how this whole multi feed stock option came about. We've been talking to some of our customers and that is what I was mentioning earlier answer as well that, we have actually already built a commercial scale plant which are running with multiple Page 20 of 20 feed stocks on ground so that's number one . Coming to your question then , what's the feedstock , what's alternative feedstock , what capacity do they want the alternative feedstock to actually be built for because sometimes somebody will say I want 100% capacity to be built so I have 100% standby, somebody will say I am okay with 50% for some time if that becomes a question. So there are many of these questions that needs to get answered for me to give you a saying that, and depending on that and how much cash , their cash allocation or capital allocation policy is , they may or may not have to go to a banker or a financial institution for funding, they may even fund it internally. The thing is that you are an existing producer, the demand for end product continues to remain same. And now we are diversifying only to address the feedstock challenge . So that depends on the location of the plant , there are many factors we will not be able to give you one ready kind of number .

Lokesh Maru: Sure, sir. And sir a similar opportunity like this to cross sell dual feed solution, does it exist in maybe other geographies, like Brazil, US, Europe, even in Southeast Asia , are there what is the kind of competition that would be seen?

Shishir Joshipura: The multi feed stock thing is India , but we are also beginning to see this emerge in Brazil.

Lokesh Maru: Okay. And the kind of competition ?

Shishir Joshipura: Every market has a different competition. So, Brazil has its own competitor , the structure of the market is different. India will have its own competition with structure market is different here. So good competition is good , we have no problem with competition, it's good to have competition because that keeps everybody the whole entire ecosystem very healthy and competitive. So that's good for everyone 's concern. Maybe we have more to talk about it a few couple of quarters down the line when things start to crystallize. This is very new , this is just literally a month old phenomena that has happened. And what is very important is for customers to see what the forward future looks like in near term as well as midterm and that will decide how they will move on.

Moderator: Thank you . Ladies and gentlemen due to time constraint that was the last question. I now hand the conference over to management of Praj Industries Limited for closing comments.

Shishir Joshipura: So thank you everyone, for your time today. In case you have any more questions, please feel free to write us at info@praj.net we will try to answer all your questions. Thanks again for your time today and have a good day.

Moderator: On behalf of Praj Industries Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: May 2024

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Q4 & FY24 Earnings Conference Call
May 31, 2024

Moderator: Ladies and gentlemen good day and welcome to the Praj Industries Limited Q4 and FY24 earnings conference call. As a reminder all participants lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you sir.

Anuj Sonpal: Thank you. Good morning, everyone and a very warm welcome to you all. Sorry it's 12 'O' clock, so good afternoon, everyone. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Praj Industries Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the fourth quarter and financial year ended 2024.

Before we begin let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward looking in nature. Such forward looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now let me introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We firstly have with us Mr. Shishir Joshipura –CEO and Managing Director and Mr. Sachin Rao – CFO and Director of Resources. Without any further delay I request Mr. Shishir Joshipura to start with his opening remarks. Thank you and over to you sir.

Shishir Joshipura: Good day everyone. I welcome you to Praj Industries' Earning Call for Q4 & FY24. Trust all of you had the opportunity to go through our results for the quarter ended 31st March 2024.

I would like to start today with two exciting developments in the quarter.

Firstly, Praj has been Ranked Global No. 1 in the 'Hottest Top 50 Companies in Advanced Bioeconomy' by the US based Biofuels Digest. This makes Praj the first Asian and Indian company to bag this honour. From Global Rank #34 in 2018 to Global Rank #8 in 2019 and finally propelling to Global Rank #1 in 2024, it has been a very eventful journey.

Page 2 of 16 Secondly, we are very proud to announce successful commissioning of commercial scale CBG plants based on press mud and rice straw as also achieving of benchmark results for yield. These plants deploy Praj's state of the art proprietary PMStab & BMSolve bio-solutions to achieve reliable performance. With this Praj now has proven commercial scale CBG projects operating on three key feedstocks namely - spent wash, press mud and rice straw. This establishes Praj's RenGas technology as a definitive solution for complex agriculture feedstocks.

Coming to the business performance,

Our performance for the quarter and whole year reflects the business development across different dimensions of our portfolio and our ability to create, deliver and capture value to an increasing base of diverse customers. We are on a path to transform our business with increasing focus on emerging segments of CBG, SAF and ETCA in near to midterm future while expanding the share of international business in the overall pie.

Our domestic bioenergy business, the quarter continued to see development of starch based ethanol plants in the country with over 90% of our domestic order book coming

from starch based

plants. The mandated realignment of sugarcane-based feedstock on product mix slowed down order execution and finalization for ethanol projects based on sugary feedstock. We are in discussions with several customers on converting their existing single feedstock plants to multi-feedstock. With favourable revised estimates on sugar production in the country, we are confident that delayed projects will soon get back on the track.

On International front, as you all know, Brazil is sugar and ethanol capital of the world and so far, the ethanol production in the country has been from the sugary feedstock. Brazil is now moving to starch based ethanol production also. I am happy to share that we have successfully handed over our first grain-based ethanol project in Brazil. We have already signed up one more contract for grain to ethanol plant with BE8, a global renewable energy company. The engineering activity for the plant will commence in this quarter followed by construction activities in next quarter.

I am happy to share that a French Group has awarded us a new contract to set up 60KLDP

Green Field ENA plant in Ivory Coast, Africa. This is the second project from the same group. We are in process of completing the first project that is being set up in Congo.

The low carbon ethanol opportunity in the USA is expected to get momentum post notification of 45(Z) under IRA act. We have initiated dialogues with several countries who have become part of the Global biofuels alliance.

On the services business that saw healthy 2X growth in FY 24, we are eyeing significant growth in both domestic as well as international markets in FY25. Biogenic CO₂ capture is increasingly gaining traction at the back of sequestration activities picking up and we have started to provide solutions for capture of Biogenic CO₂. Our solution for enhancing sugar yield and quality is gaining traction in the Brazil market.

Page 3 of 16 On 2G front, IOCL plant recommissioning is underway. I am happy to share that the plant has produced over 1 million liters of ethanol till date. Being first of its kind plant, there are unique situations that need resolutions across the eco system and the project. We are working closely with IOCL team to resolve them and ramp up production in a gradual manner.

As for CBG, I have already shared the important development. We are further working on establishing foolproof solution for other feedstocks. The enquiry pipeline for CBG plants is developing in a healthy way and we expect it to translate in firm business as we progress in the year.

Our modularized solution offering is finding strong traction in international market and has witnessed around 2X growth in order book over previous year. Praj is chosen to build state of the art modules for one of the largest Blue Hydrogen projects in Europe. We also booked and executed engineering project for modularization of ATJ project in USA. We have commenced commercial production at our new GenX facility in Mangalore in February. All customer audits held for approval of facility are successfully completed.

Our PHS business has delivered strong growth over last year with healthy order book and has seen increasing traction for our high -capacity fermenters offerings. We completed three state -of-the-art Blood Plasma projects in this fiscal year with one major customer achieving 100% capacity for the planned Blood Plasma products.

Zero Liquid Discharge our modularized solutions are finding increasing acceptance from our customers. We are leveraging our core competence in Industrial biotechnology and microbiology to develop specialized microbes for processing difficult to treat industrial effluent.

The Brewery & Beverages business , enquiry is now building up on the back of normalcy in the market demand. We are expecting some capex investments in coming financial year.

Overall, the business outlook continues to be positive for our business.

With this, I will now hand over to Sachin for his comments on the financial performance

Sachin Raole: The consolidated income from operations stood at Rs. 10,185.65 million in Q4FY24 as compared to 10,039.85 million in Q4FY23. PBT for the quarter stood at Rs. 1,230.24 million as compared to Rs. 1,128.13 million in the corresponding period last year. Profit after tax stood at Rs. 919.36 million in Q4FY24 as compared to Rs. 881.15 in Q4FY23

For the full year ended March 31st 2024, Income from Operations stood Rs. 34,662.78 million as against Rs. 35,280.38 million in FY23. PBT stood at Rs. 3,774.61 million in FY24 as against Rs. 3,187.25 million in FY23. PAT for FY24 came in at Rs. 2,833.91 million as against Rs. 2,398.18 million in FY23.

Page 4 of 16 Export revenues accounted for 20% of FY24. Of the total revenue, 74% is from Bio -energy, 18% from engineering and 8% is from PHS business.

The order intake during the quarter was Rs. Rs.9,240 million, with 61% from domestic market.

Of the total order intake, 65% came from Bio -energy, 30% from engineering and balance 5% from PHS business.

The order backlog as of March 2024 is at Rs. 38,550 million comprising 71% of domestic orders with 76% from Bio -energy, 19% from engineering and balance 5% from PHS business.

Cash in hand as on March 31st, 2024 is Rs. 7 billion

The Board of Directors proposed a final dividend of Rs 6 per equity share @300% of the face value of Rs 2 per equity share, for the financial year ended 31 March 2024, which is subject to the approval of shareholders at the forthcoming Annual General Meeting.

With this, I will conclude my remarks. Thank you all for joining. We would now be happy to discuss any questions, comments, or suggestions you may have.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities Limited.

Mohit Kumar : My first question is on the order inflow. So , you've done very well on the revenue and margin front. But the order inflow has been subdued , especially if you look at last couple of months or H2, we haven't seen the bump up from ethanol or any other project . How do you think about the order inflow for FY25?

Shishir Joshipura: Thank you , Mohit. As you pointed out and correctly surmised , the government's notification

around alternate use of feedstocks which as you are aware that there was a realignment required for the feedstocks on the sugary side specially where the notification came which said that syrup and molasses feed cannot be used for production of ethanol and that meant that there was a clear halt of sorts on execution side as well as on the order booking side from this particular sector. And this is a very important part of our overall customer segmentation. So, from that perspective that was one. Two, as you have seen that we have also built different business lines over a period of time because EBP 20 is a definite positive wind in our sails. But that has a definitive benchmark and we need to then see how do we move forward from there. So therefore, a lot of effort has gone into creating alternative business avenues and as you also saw the starchy based feedstock has started to pick up in a big way with nearly 90% order book coming from starchy feed stock. We have also seen CBG build very positively in the last half of the year. We are seeing ETCA opportunity building in a very positive and constructive way as I mentioned in my opening remarks as well. So, these are the vectors which are now also started to contribute in a very positive way. And that is why although the sugary part of the business Page 5 of 16 came to a virtual halt, it still did not impact the overall order book and we were still able to meet nearly the same numbers in the last two quarters of the year.

Mohit Kumar: How do you think

about FY25? I understood your issue with order inflow for FY24. How do you think about FY25 order inflow?

Shishir Joshipura: Exactly. So, as I said there is strong traction on CBG, there is strong traction on modularization. We also expect that at the back of a strong sugar season that country has witnessed, we will see restoration of feedstock permission for using sugary feedstock for ethanol production. So, we see that the canvas will start to change. It already begins, to change in couple of businesses and in the sugary feed stock price as well as we move forward to the year. So that will augur positively for our business as we move through the year.

Mohit Kumar: My second question is on the execution in the current CBG order book. How is the traction?

Also, the related question is that we are hitting a number of CBG tenders out from larger industry players, do you expect a number of

Shishir Joshipura: So right now, if you really look at it the two or three vectors, I was mentioning to you, CBG in India, ETCA and the international business especially I mentioned about the Blue Hydrogen project and that's just an indicator. We have talked about Brazil as a very important market for us where we clearly begin to see buildup of a very good traction. So, the LCE opportunity in the United States. So, we are beginning to see what we have been talking about as an opportunity to be developed, coming now potential getting translated to order book. And we believe that this will continue to be so as we go through the year.

Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: I had a few questions, first on the engineering side. So, when I see the order inflow for FY24, we have doubled. But on the revenue booking front it has been tepid. So, can you give some color what is happening over there?

Shishir Joshipura: All I can say is that there is a cycle that we need to go through, the order execution cycle. So, what you see now getting displayed as order book will obviously start translating itself to revenue as we go through the year.

Shailesh Kanani: I am saying, just to put it the other way around given the order book traction what we have seen in FY24, engineering division is expected to do a very good performance in FY25, more than 50 %-60% in terms of revenue booking. Is it a fair assumption?

Sachin Raole: Yes, fair assumption. Majorly it is coming from ETCA that's why you will see a major change happening on the order booking because our new facility as Shishir was mentioning is already approved by the customers. We will first see the buildup of OB happening in that engineering Page 6 of 16 segment in the next two quarters and then the revenue will start flowing in because the facility is now up and running.

Shishir Joshipura: Only thing is that given the way the order books will move so, as Sachin mentioned it will be order book that will get built up over the next 6 months and then the execution cycle will take place.

Shailesh Kanani: Another point is on gross margins. We have done excellently well in FY24 on gross margins term. And coupled with that this is after nearly 5 years we are having an order backlog where nearly 30% is going to come from international market. So how do we see gross margin shaping in FY25 and '26?

Sachin Raole: 2-3 things, one the domestic and international ratio what we always said that is going to change over a period of time, it has already started showing first to some extent in the revenue going forward in the order book. That is that is definitely going to help us on building up our margin.

The other elements which actually created some kind of issue mainly on the commodity prices in the last couple of years has also smoothened. We believe that is also going to help us on the gross margin going forward. Our first target was to achieve the two - d

igit kind of a margin on

the EBITDA side on the buildup of the higher gross margin which has already started showing

the results since last two quarters. We think that this momentum is going to continue. With what that number is going to be unfortunately I will not be able to give that kind of a number as a guidance. But yes, our efforts on building upon the improvement on gross margin, on the EBITDA is anyway going to continue.

Shailesh Kanani: I wanted to understand on the order inflow mix going ahead, there has been a drop in the bioenergy space and for obvious reasons beyond our control. So how do we see shaping say in FY25-26 on order inflow mix?

Shishir Joshipura: When you say bioenergy, then we will have to see it from a different perspective because there is the molecule is changing, number one. Number two, the segments may change in terms of geographically whether it's India or outside India. I mentioned Brazil, I mentioned United States. We also mentioned two quick orders from African region. What's going to happen at the, So maybe the construction of the bioenergy order book will change because of change in molecules, because of change in geography, change in application. But overall, we expect this to grow. We are not expecting it to status quo or shrink. Not at all. We are actually expecting it to grow. Also, we expect the engineering order business to grow as we already answered to you. We expect both our major business segments to actually continue to grow from where they are, maybe with a different element at elemental level different construction. But overall, the book will continue to grow.

Sachin Raole: And Shailesh just to add, we had mentioned that our 2030 target is 3X of revenue. And in that built up of revenue all the businesses are going to equally contribute. So even in the bioenergy Page 7 of 16 piece, if you look at maybe within bioenergy, we will see some kind of shifts happening between let's say CBG and SAF and biofuel. But all these things are going to contribute in the overall picture of our three times of revenue going forward.

Moderator: The next question is from the line of Manish Goyal from Thingwise Wealth Managers LLP.

Manish Goyal: I have few questions. First on the services business. If you can probably provide more insights on different kind of services we offer and what are the revenue potential? Probably one is performance enhancers which is probably like a consumable and then you had earlier spoke about opportunities in US for low carbon intensity refurbishments of plants. So that is first question on services and how much does it currently contribute in terms of overall revenue?

That was one. And second, if you can also give us a perspective like you just mentioned on gross margins. So, one is definitely you mentioned international revenue share improving. But any other change in revenue mix with say engineering share improving or high purity improving.

So, does that also support your gross margins improvement? That was second question. Third question is on any update on US front in terms of inflation reduction act incentives under IR S if you can provide that. Maybe if you allow, I'll probably have a couple of more later on.

Shishir Joshipura: I think all the questions you have asked in one bit. So, let's first try to answer those questions and then we will see. On the IRA front the 45Z notification is still awaited, we do not have that.

But as I mentioned to you, some of the customers are already beginning to move in the direction. Because the fact remains that if SAF has to come through on a TJ pathway and that is considered to be the most viable pathway right now outside HEFA, the low carbon ethanol has to become a reality and we expect that will happen. So, the first project is already under construction now by us. So, we'll see how that develops, and we are expecting 45 Z

to be

clarified soon. In terms of margin that you said that what's going to the order of mix or mix of businesses. Let me tell you that we are very clear in our strategy in what we see in front of us also future unfolding. Each and every one of our businesses will grow from here onwards. So, we're not expecting any business to shrink. There may be slightly different construction at the elemental level but other than that we do not expect any other change. And all of these are favorable if I can use that word on the marketing side of the story. So that's what we expect will happen as we go forward as each and every business of ours will grow. Some of the new stuff we already talked about, CBG, ETCA and in time to come SAF will also start to grow very constructively as we move forward through the year.

Manish Goyal: We have seen a very strong traction international order inflows in the current year and that is across the segments. How is the pipeline and do we see this momentum continuing going forward? And probably you missed on my first question on the services business?

Shishir Joshipura: So are you asking me questions and we don't need to....

Manish Goyal: So maybe you can answer on services. I'll come back on that.

Page 8 of 16 Shishir Joshipura: The services, low carbon ethanol opportunity in United States that you mentioned is not a service offering, it's a full-fledged technology offering from our end. So that's not part of the services but the performance enhancers I mentioned about a new traction we are finding in another product that we introduce on the sugar side of the industry, not ethanol. This actually helps improve sugars, qualities and color etc. So that's finding very good traction and services then other stuff, lease license what we offer to our customers for managing their plants remotely for part services, O&M services. So, these are all different packages of services that we offer to our customers. They obviously need set of enzymes and performance enhancer and yeast etc. So that gets sort of bundled together and moves forward. So, services is a different

construction of business that moves forward. Anything else that I left out?

Manish Goyal: Like what could be the current contribution of services roughly and how do you see it growing?

Sachin Raole: The contribution from services business currently is in the range of 4% to 5%. And we expect that pie to go up going forward because on a continuous basis we are increasing our offering under services umbrella. Just to give an example, today when the CBG plants are coming up now, for the maintenance or for the maintaining the quality of the feedstock there is a biological solution which we are providing under our services umbrella. So that is supposedly to also contribute in a big way. We have introduced providing our solutions in the Brazilian market in a big way now which has also started picking up now. So, the services pie supposedly to grow up going forward.

Shishir Joshipura: There's another important element to the service business and that I mentioned is about capture of biogenic CO₂. And that's increasingly finding a big traction because CO₂ capture is becoming a significant activity for several of our customers and organizations across the world. And that's where we are beginning to offer our services and solutions for capturing of the CO₂ as it is generated. That's also part of our services portfolio. And the best part is our captive customer base is also increasing which is also going to contribute in the services platform. And from all fermentation processes will create biogenic CO₂. So that becomes almost a capital customer for us.

Manish Goyal: I'll just squeeze in one more question on high purity, again this segment has seen a very strong order inflow as well as execution front. So, are we also started getting enquiries for from semiconductors and electronic plants which are being set up in India and can it be a large opportunity for us?

Shishir Joshipura: If the semiconductor chip manufacturing needs water which is of the same level of quality and purity that is required for pharma application, so from that perspective from a capability perspective we already have the capability. As and when the projects are announced and these are large outlay of projects, obviously this will take some time to get off the ground. But as and when they come up, we'll surely be hearing about it and we'll speak to you. As of today, we do not see any project actually going to a stage of ordering out equipments and discussing and all that. So, I think we are still little away from that.

Moderator: The next question is from the line of Sagar Kapadia from Prabhudas Lilladher.

Sagar Kapadia: I just wanted to split in the bio energy you have said, there's an order intake in the fourth quarter worth around 600 crores. So, what is the split between the CBG and the ethanol orders?

Sachin Raole: Sagar we have not yet started splitting our segments into what I can say mini segments right now. But yes, there is an order book built up happening on the CBG side and on the ethanol starchy feedstock which Shishir had mentioned earlier. But we have not started doing this further split.

Sagar Kapadia: Last quarter you had given that information, you had received certain four orders from CBG worth 400 or 300 crores. You give it that information in the conference call.

Sachin Raole: We had mentioned because that was the beginning of CBG order picking up. But we are not giving the split of all the verticals.

Sagar Kapadia: So, you are still not giving that split. But can you give me a split broadly, out of this 600 crores how much is for the exports?

Sachin Raole: That's possible. Just give me a minute. If you are having a second question you can put that second question and I will give you split of 600.

Sagar Kapadia: No, I don't have any other question. This is the one only. How much is contributed by the exports?

Sachin Raole: So out of that almost 150 crores will be exports and 450 crores will be domestic.

Moderator: The next question is from the line of Nihal Shah from Prudent Broking.

Nihal Shah: My question was on the line of engineering segment as we are seeing good traction coming from there, about 20% of our revenues also came from that segment and order book also looks strong. So, going ahead how do we see our margins improving from around 11% to 13%-15% in the next 2 to 3 years?

Sachin Raole: I will not be able to exactly give you how the percentages are going to move. As I mentioned in my earlier comment that our first endeavor was to get into double digit margin and then build on that margin. We have to keep in mind couple of things because we are talking about expanding the business offering in the form of CBG is supposedly to catch up now, services business is supposed to go up, SAF business has started kicking in. But at the same time there is a lot which is happening on the developmental side also for preparing ourselves for the next wave of growth. So, we are investing in R & D in a big way. Our PLA plant is supposedly to start its operation from this year, the second quarter we will start the operation of our PLA.

We will get into more R & D related activity. For CBG we are working on multiple feedstock testing in our demo plant. So, there is a lot which is happening on the developmental side also. And whatever happens in our research side it gets actually debited to P&L. So, we don't capitalize our research expenses. So, depending on how these activities are going to get built

up, the margins are supposedly to move. But as I said, our efforts are to build upon what already has been achieved in the margin side.

Nihal Shah: An

d another question was on the front of the sustainable aviation fuel. So, are we seeing orders starting to come up from that segment? Because I guess there was a 1% target that the government had set till 2025, so how is that segment moving?

Sachin Raole: So, Nihal SA F what we did was we demonstrated last year that it's possible to make SA F in India on global feed stock. That was the proof. There is no legislation in place as yet. The only agreement that is in place globally comes into being. It makes mandatory for airlines to blend 1% starting 1st of January 2027. These are still early days for S AF but as we go through the year maybe towards the end of the year, we'll start to see some announcements around set capacities being set up etc. So, we'll see how that develops in terms of what mandates come. What's the new policy that comes in for the domestic aircraft. International part of the business as I said is already in the 1st January '27.

Nihal Shah: Just follow up on the previous question like is the execution cycle on the engineering front slower than that in the bioenergy front or it takes around the same time?

Sachin Raole: No, it's actually in some cases it is even longer than the bioenergy side depending on the complexity of the project.

Moderator: The next question is from the line of Vikram Vilas Surya vanshi from PhilipCapital (India) Private Limited.

Vikram Suryavanshi: I just missed few comments so pardon me in case I'm repeating this question. In case of a bio plastic of our demo plant will be ready. So how is there any inquiry pipeline or how you plan to monetize it? That is my first question and second on Brazil opportunity, you highlighted to some extent already, but would it be possible to give what will be the scope of our services there and any business development strategy over Brazil? And I think I guess it will be mostly on maize side. So, if you can answer these two questions.

Shishir Joshipura: Let me take the second question first, Vikram thank you. So, in Brazil as we have known, Brazil is obviously known for its sugar-based ethanol production. But as the country is moving to enhance the use of ethanol, they are also finding very similar challenges to what we did that Page 11 of 16 sugarcane is not present in all the part of the country, so they need to transport ethanol long distance which is not a good thing, not a positive thing from environmental perspective. So, they have also started to look for alternative feedstock and starchy feedstock is a natural candidate in line for that. That's number one. So, they are beginning to look at alternative feedstocks in terms of what kind of starchy feedstock in different parts of Brazil that can be put to use. We commissioned our first project based on corn. The second project that I mentioned to you about is based on wheat. So different feedstocks in different part of the country that will be put to use. And from our inquiry pipeline from the dialogues that we are having with customers, we clearly see this to be the new growth area as far as Brazil is concerned in terms of capacity that will come up as it travels through the year. There are already significant amount of activity increasing in that space as far as Brazil is concerned. On the PLA we obviously need to first, it is a demonstration plant that we are now building and it will start commissioning in this quarter. And once that is commissioned and the process established, obviously we have to invite the interested customers to the plant for them to witness the process and its efficacy and then only we'll be able to build it. So, we are not building any PLA based revenue or book in this year's estimate of ours but as we probably travel through the future, we will be able to see that build.

Vikram Suryavanshi: Just a related extension of what you have said about, if you look at the Brazil which is very

competitive in sugar side, so is there any government support for this grain based or starch-based feed stock which is picking up now because we have seen very strong growth in grain side of story in terms of production for Brazil also. So just in case of competitiveness or if you can just share your experience from that point.

Shishir Joshipura: So what we are seeing is two or three things Vikram. One that our technology is absolutely able to deliver a benchmark performance on different dimensions that are important to a owner of a ethanol facility based on starchy feed stocks. That's number one. Two, we have a very extensive experience globally on—for example I mentioned about the—wheat project. We built a wheat-based project as the largest project in UK almost a decade ago. So that when they came and saw that we have that kind of experience available on our side, they obviously were impressed that we've been running that size and that kind in a very advanced nation for a very long period of time. So that comes in handy as well. There are incentives that the government is making available in Brazil at local level. But that's not to us that's more to the producers or the promoters of the project. So, in terms of what incentives are required. State governments are getting very active because they clearly see some of the states in Brazil, see this as a clear activity to drive employment and create more opportunities for the local population. So obviously that's another one that's going up and we are seeing positive traction develop all

across.

Moderator: The next question is from the line of Arnab Deb, an individual investor.

Page 12 of 16 Arnab Deb: I had few questions. One is that I heard that by FY30 we want to make the contributions from all the three segments equal. However, if you look at the CAGR of last few years order books still bioenergy dominates and the growth of all the order book segments have been broadly in line with the overall growth. So like if we want to let's say increase the share of the other two segments like engineering and high-purity we have to make substantial your increase in the order book number. So, any thought on like going ahead with any kind of areas which are not currently in our domain or like let's say substantial increase, how it will come if you can just throw some light?

Shishir Joshipura: So, Arnab first of all we have said that we want every segment of our business to grow. It's not that we are saying that everything will be equally split at the end of 6 years. What we have said is between the domestic and international if you were to take a cut, our aim is to go 50-50, so that is half of our business in 2030 should come from domestic business and another half will come from international business. So, from that perspective we have split it evenly. But as far as business segments are concerned, we are saying every business must grow to its potential. And we are not limiting anybody to say oh you need to be one third. There is no such lock on any business and that's the second one. Third, you mentioned that the engineering and PHS business, obviously they're starting out on a smaller base compared to our bioenergy business. So, in that sense there is a different base on which they are operating. But as I mentioned to you the opportunities opening up on CBG side, opening on the ETCA business, on the modularization opportunity for ours. We are clearly seeing a pipeline of our inquiry building very healthy. And therefore, we are saying that our business, so some businesses in rate percentage terms may grow faster because they start from a smaller base. But in overall terms we see bioenergy growing. We see engineering business growing at the back of modularization, we also see PHS growing, each at their own potential rate that's possible in the market.

Arnab Deb: Another question is that in

terms of bioplastics or PLA, when we think like revenues will kick in?

Shishir Joshipura: So, as I mentioned to you we are right now in the process of commissioning our demonstration plant and then obviously we have to invite interested customer. That interest of customers is already building up on the PLA side of the equation. And then so we don't expect any revenue order book to happen literally this year. But maybe in the following years we'll be able to talk about it. Bio family is a very large field so we have to start creating different molecules out of that plant.

Arnab Deb: Any sort of numbers that we are targeting from that segment?

Shishir Joshipura: No, as I mentioned to you we will not be able to give a specific number for that yet. In due course of time surely, we will talk about it.

Moderator: The next question is from the line of Dhaval Shah from Infinite.

Page 13 of 16 Dhaval Shah: While though the environment was challenging, there were equal opportunities and Reliance Adani everyone is announcing big plans in CBG. So how are we positioned to capture that segment? And do we see CBG overtaking bioethanol in terms of revenue mix in our bioenergy segment?

Shishir Joshipura: So, Dhaval, yes. What good news is that large private corporate houses energy companies are saying that they want to develop this as a segment. So that I think that actually goes to say that there's a definitive potential that is likely to unfold as we travel through this. Obviously, these corporates have very ambitious plans. We are also working with them. We have commissioned projects for them. I also mentioned the beginning of the call that we are very proud that we now have three feed stocks on which we have got absolute benchmark yields established at commercial scale. I made this specific mention because that's been a pain point for the industry so far that there was always ifs and buts around what works and what does not work. But now we have established this beyond any doubt that on three important feedstocks, namely spent wash, press mud and rice straw, we are able to deliver absolutely benchmark performance as far as yields are concerned and on a reliable and consistent basis. This was second one because people were finding that plants were not running on a continuous basis. So, a lot of people have said there are challenges but that's something that we have solved. So, technology wise we are there. Sachin also mentioned that we are developing further on newer feedstocks because we are not the only feedstock that we work. Maybe in the first lot this is the most important feedstock. But we already know people are talking of cotton stalk, napier grass many other second crop residues, slurries from municipal wastes. So, there are many dimensions which are now emerging in terms of poultry litter. So, we are now in the process of establishing the correct performance parameters on these alternative feedstocks as well so that we are able to offer to our customers a wide array of feedstocks on which they can run their plant. We are working very closely with the companies that you mentioned and also some others in the field. And we are very confident that we will start to see a significant change in the complexion of this business. Whether it will go bigger than bioethanol, I think we are not having that race.

We are very clear in our head; each business must grow to its potential whatever is the potential and if it has to create potential it has to create new openings. That's what we will drive. I mentioned that ethanol SAF becomes a big application, in the ethanol-based chemicals become a big application. We will talk about it, diesel blending of alcohol. There are many things that will go as we move forward will start to change and the feedstock itself will undergo change in our opinion once we fully stabilize the IOCL plant and maybe a year

run down the line

we will be talking some very different dimensions of the business emerging both in India and abroad in terms of what can happen to cellulosic feed stocks. So, we are not going to limit ourselves to say one should grow bigger than others. For us each business should grow to its potential.

Page 14 of 16 Dhaval Shah: But since CBG seems to have more potential and even there is more competition as well, Thermatrix is also doing taking big orders. So, I was just worried can we position ourselves better and capture the larger pie of the market?

Shishir Joshipura: We are very focused on CBG. CBG for us is a very important business. I'm reiterating that it's a very important business for us, not only in India but even outside India. And as we go through the year you will hear more about it. The important question to be resolved there was the fact that markets, competition, customers everybody was worried about reliable yields coming out of the plants. And that's something that we have proven. Right now, at the commercial scale, we are the only proven technology in the country. So absolutely focused on ensuring that we completely go around encasing this potential.

Dhaval Shah: I just asked what is the update on the IOC JV? Is there any movement on that? Where are we heading there?

Shishir Joshipura: Right now, no. In the sense that we are still awaiting the final approval. As soon as we hear that and it is in the pipeline so we will hear it soon. Along with many other news in June, the month of June.

Sachin Raole: So, we are waiting formal approval for the formation of JV but we have already started groundwork. What should happen under this JV, what businesses should start shaping up in that, what is required from our side, how the structure should look like? So, the groundwork is already happening. On that front only the formal approval is awaited. After that we will be in a position to talk about the business plan for the JV in a greater detail.

Moderator: The next question is from the line of Shailesh Kanani from Centrum broking.

Shailesh Kanani: Just one question with respect to our engineering division and bioenergy and PHS. If you can just talk about the tenor of average order book. By what time we can expect the orderbook to get converted into revenues for all three segments?

Sachin Raole: Average Shailesh is you can safely consider as nine 9 to 12 months for both the businesses. But in engineering business what Shishir earlier was mentioning, there is a possibility that if some orders are such that the execution time is little on a longish cycle. So, it can go from 12 months to even for that matter 18 months. Because the entire modularized. If we are supposed to do the equipment and the modularization both together then the timeline can be going beyond 12 months also. But on an average, you can consider between 9 months to 12 months.

Shailesh Kanani: even for the biology segment because I was under the impression that the biology would be little bit longer for 12 to 15 months.

Page 15 of 16 Sachin Raole: No, it is not. Beyond 12 months project will not go. If it is of a very large capacity and if our scope is absolutely like an LSTK then there is a possibility. But otherwise, it will run in a period of twelve months even for that matter CBG also between 10 months to 12 months is what I can say a period for execution.

Shailesh Kanani: And just a follow up on CBG. We are doing the whole EPC turnkey projects in CBG projects, right?

Shishir Joshipura: Not necessarily, if the customer so demand.

Shailesh Kanani: Otherwise, what would be the addressable market in a CBG project if EPC is not completely done?

Sachin Raole: Every customer has a different model. Some will say 'okay you know what' you just do your technical piece and we'll do the rest. Some will say no I'll give you a piece of land and

please

build everything. Some will say no civil we'll manage, you manage others. Every customer has their own. There are no fixed models for this unfortunately. What remains common is that the technology piece, the critical part that is done by us.

Shailesh Kanani: So that would be what percentage if I say what percentage that would be of Rs. 100?

Sachin Raole: So, let's assume if the LSTK project is going to cost us 100, our scope can go from 30 to 100 on a scale of 30 to 100. And additionally, you also need to keep in mind whether it is press-mud based or agri-waste based plant, the solutions which we provide for maintaining the performance of that plant is like a recurring business for us under our services umbrella.

Moderator: The next question is from the line of Rohan Mehta from Ficom Family Office.

Rohan Mehta: I just wanted to get your thoughts on CBG. So how do you compare CBG plants right now versus

ethanol when it comes to payback period and the unit economics , how viable are the CBG plants right now?

Sachin Raole: Sorry your last portion , we were not able to hear because your voice is little low.

Rohan Mehta: What I was saying is where do you see the viability in the CBG plants right now ? How viable do you think are CBG projects at the moment?

Sachin Raole: If you are looking from the viability of CBG projects it is still what I can say , to some extent it is work in progress . But projects are viable, they are having IRR ranging from 14% to 18% depending on what is the feedstock, what is the size and how they are selling apart from CBG the solid manure or taking care of liquid manure. So , it's a range.

Moderator: The next question is from the line of Goodwill, an individual investor.

Page 16 of 16 Goodwill : I was referring to the latest NITI Aayog reports , that mentioned that by 2030 around 30 cities in India will go waterless or thing. So , we are having an active participation in water treatment plant. So , can you shed some light on our business prospects into this segment? Wastewater treatment and other things.

Shishir Joshipura: So, our water treatment is in two parts. One is our PHS business which is serving ultra -high purity water to pharmaceutical segment. And then we have Zero Liquid Discharge system for some targeted industry streets which have this which have mandate not to discharge any liquid out of their premises like metals and mining , pharmaceuticals , fertilizers , chemicals. So we offer Zero Liquid Discharge solution to those organizations. And. Sorry we didn't get your name. Can you please let your name know please?

Goodwill: Goodwill. Can I ask one more question? And congrats on securing your first order for this Blue Hydrogen participation. So , can you kindly let me know the prospects of this industry and how can we go forward with this particular segment?

Shishir Joshipura: So hydrogen as is going through a transition and transformation both , where traditionally only the grey hydrogen was being produced and then it goes to blue and green and then of course there's a pink hydrogen as well depending on what the process at the customer end is . So right now , the our belief is that hydrogen is something that will become fuel of the future but that's on a long -term horizon. And obviously a lot of effort is going on by the leading corporates , oil refineries , oil energy majors to start cutting down their own CO2 emissions from their operations. And this is a very clear step in the direction. So , we will see development acting on as well.

Moderator: Thank you . Ladies and gentlemen , we'll take this as the last question . I'll hand the conference over to the management from Praj Industries Limited for closing comments.

Management : So, thanks everyone for your time today. If you have any more questions , please feel free to write us at info @praj.net. I once again thank you for yo

ur time and have a nice day.

Moderator: Thank you . On behalf of Praj Industries Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jun 2024

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Sub: Transcript of Analysts ' Call held on 31st May , 2024 .

Dear Sir / Madam,

Please find enclosed Transcript of Analysts' Call of Praj Industries Ltd. held on 31st May, 2024 regarding Audited Financial Results (Standalone and Consolidated) for the financial year ended 31st March , 2024.

This information is given pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time.

Thanking you .

Yours faithfully,

FOR PRAJ INDUSTRIES LIMITED

ANANT BAVARE
COMPANY SECRETARY &
COMPLIANCE OFFICER
(M. NO. 21405)

Encl.: as above

Page 1 of 16 Praj Industries Limited
Q4 & FY24 Earnings Conference Call
May 31, 2024

Moderator: Ladies and gentlemen good day and welcome to the Praj Industries Limited Q4 and FY24 earnings conference call. As a reminder all participants lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone phone. I now hand the conference over to Mr. Anuj Sonpal from V alorem Advisors. Thank you and over to you sir.

Anuj Sonpal: Thank you. Good morning, everyone and a very warm welcome to you all. Sorry it's 12 'O' clock,

so good afternoon, everyone. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Praj Industries Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings call for the fourth quarter and financial year ended 2024.

Before we begin let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward looking in nature. Such forward looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now let me introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We firstly have with us Mr. Shishir Joshipura –CEO and Managing Director and Mr. Sachin Rao – CFO and Director of Resources. Without any further delay I request Mr. Shishir Joshipura to start with his opening remarks. Thank you and over to you sir.

Shishir Joshipura: Good day everyone. I welcome you to Praj Industries' Earning Call for Q4 & FY24. Trust all of you had the opportunity to go through our results for the quarter ended 31st March 2024.

I would like to start today with two exciting developments in the quarter.

Firstly, Praj has been Ranked Global No. 1 in the 'Hottest Top 50 Companies in Advanced Bioeconomy' by the US based Biofuels Digest. This makes Praj the first Asian and Indian company

to bag this honour. From Global Rank #34 in 2018 to Global Rank #8 in 2019 and finally propelling to Global Rank #1 in 2024, it has been a very eventful journey.

Page 2 of 16 Secondly, we are very proud to announce successful commissioning of commercial scale CBG plants based on press mud and rice straw as also achieving of benchmark results for yield. These plants deploy Praj's state of the art proprietary PMStab & BMSolve bio-solutions to achieve reliable performance. With this Praj now has proven commercial scale CBG projects operating on three key feedstocks namely - spent wash, press mud and rice straw. This establishes Praj's RenGas technology as a definitive solution for complex agriculture feedstocks.

Coming to the business performance,

Our performance for the quarter and whole year reflects the business development across different dimensions of our portfolio and our ability to create, deliver and capture value to an increasing base of diverse customers. We are on a path to transform our business with increasing focus on emerging segments of CBG, SAF and ETCA in near to midterm future while expanding the share of international business in the overall pie.

Our domestic bioenergy business, the quarter continued to see development of starch based ethanol plants in the country with over 90% of our domestic order book coming from starch based plants. The mandated realignment of sugarcane-based feedstock on product mix slowed down order execution and finalization for ethanol projects based on sugary feedstock. We are in discussions with several customers on converting their existing single feedstock plants to multi-feedstock. With favourable revised estimates on sugar production in the country, we are confident that delayed projects will soon get back on the track.

On International front, as you all know, Brazil is sugar and ethanol capital of the world and so far, the ethanol production in the country has been from the sugary feedstock. Brazil is now moving to starch based ethanol production also. I am happy to share that we have successfully handed over our first grain-based ethanol project in Brazil. We have already signed up one more contract for grain to ethanol plant with BE8, a global renewable energy company. The engineering activity for the plant will commence in this quarter followed by construction activities in next quarter.

I am happy to share that a French Group has awarded us a new contract to set up 60KLPD Green Field ENA plant in Ivory Coast, Africa. This is the second project from the same group. We are in process of completing the first project that is being set up in Congo.

The low carbon ethanol opportunity in the USA is expected to get momentum post notification of 45(Z) under IRA act. We have initiated dialogues with several countries who have become part of the Global biofuels alliance.

On the services business that saw healthy 2X growth in FY 24, we are eyeing significant growth in both domestic as well as international markets in FY25. Biogenic CO₂ capture is increasingly gaining traction at the back of sequestration activities picking up and we have started to provide solutions for capture of Biogenic CO₂. Our solution for enhancing sugar yield and quality is gaining traction in the Brazil market.

Page 3 of 16 On 2G front, IOCL plant recommissioning is underway. I am happy to share that the plant has produced over 1 million liters of ethanol till date. Being first of its kind plant, there are unique situations that need resolutions across the ecosystem and the project. We are working closely with IOCL team to resolve them and ramp up production in a gradual manner.

As for CBG, I have already shared the important development. We are further working on establishing foolproof solution for other feedstocks. The enquiry pipeline for CBG plants is developing in a healthy way and we expect it to translate in firm business

as we progress in the year.

Our modularized solution offering is finding strong traction in international market and has witnessed around 2X growth in order book over previous year. Praj is chosen to build state of the art modules for one of the largest Blue Hydrogen projects in Europe. We also booked and executed engineering project for modularization of ATJ project in USA. We have commenced commercial production at our new GenX facility in Mangalore in February. All customer audits held for approval of facility are successfully completed.

Our PHS business has delivered strong growth over last year with healthy order book and has seen increasing traction for our high -capacity fermenters offerings. We completed three state -of-the-art Blood Plasma projects in this fiscal year with one major customer achieving 100% capacity for the planned Blood Plasma products.

Zero Liquid Discharge our modularized solutions are finding increasing acceptance from our customers. We are leveraging our core competence in Industrial biotechnology and microbiology to develop specialized microbes for processing difficult to treat industrial effluent.

The Brewery & Beverages business , enquiry is now building up on the back of normalcy in the market demand. We are expecting some capex investments in coming financial year.

Overall, the business outlook continues to be positive for our business.

With this, I will now hand over to Sachin for his comments on the financial performance
Sachin Raole: The consolidated income from operations stood at Rs. 10,185.65 million in Q4FY24 as compared to 10,039.85 million in Q4FY23. PBT for the quarter stood at Rs. 1,230.24 million as compared to Rs. 1,128.13 million in the corresponding period last year. Profit after tax stood at Rs. 919.36 million in Q4FY24 as compared to Rs. 881.15 in Q4FY23

For the full year ended March 31st 2024, Income from Operations stood Rs. 34,662.78 million as against Rs. 35,280.38 million in FY23. PBT stood at Rs. 3,774.61 million in FY24 as against Rs. 3,187.25 million in FY23. PAT for FY24 came in at Rs. 2,833.91 million as against Rs. 2,398.18 million in FY23.

Page 4 of 16 Export revenues accounted for 20% of FY24. Of the total revenue, 74% is from Bio -energy, 18% from engineering and 8% is from PHS business.

The order intake during the quarter was Rs. Rs.9,240 million, with 61% from domestic market. Of the total order intake, 65% came from Bio -energy, 30% from engineering and balance 5% from PHS business.

The order backlog as of March 2024 is at Rs. 38,550 million comprising 71% of domestic orders with 76% from Bio -energy, 19% from engineering and balance 5% from PHS business.

Cash in hand as on March 31st, 2024 is Rs. 7 billion

The Board of Directors proposed a final dividend of Rs 6 per equity share @300% of the face value of Rs 2 per equity share, for the financial year ended 31 March 2024, which is subject to the approval of shareholders at the forthcoming Annual General Meeting.

With this, I will conclude my remarks. Thank you all for joining. We would now be happy to discuss any questions, comments, or suggestions you may have .

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities Limited.

Mohit Kumar : My first question is on the order inflow. So , you've done very well on the revenue and margin front. But the order inflow has been subdued , especially if you look at last couple of or H2, we haven't seen the bump up from ethanol or any other project . How do you think about the order inflow for FY25?

Shishir Joshipura: Thank you , Mohit. As you pointed out and correctly surmised , the government's notification around alternate use of feedstocks which as you are aware that there was a realignment required for the feedstocks on the sugary side specially where the notification came w

hich said

that syrup and molasses feed cannot be used for production of ethanol and that meant that there was a clear halt of sorts on execution side as well as on the order booking side from this particular sector. And this is a very important part of our overall customer segmentation. So , from that perspective that was one . Two, as you have seen that we have also built different business lines over a period of time because EBP 20 is a definite positive wind in our sails. But that has a definitive benchmark and we need to then see how do we move forward from there. So therefore, a lot of effort has gone into creating alternative business avenues and as you also saw the starchy based feedstock has started to pick up in a big way with nearly 90% order book coming from starchy feed stock. We have also seen CBG build very positively in the last half of the year. We are seeing ETCA opportunity building in a very positive and constructive way as I

mentioned in my opening remarks as well. So, these are the vectors which are now also started to contribute in a very positive way. And that is why although the sugary part of the business Page 5 of 16 came to a virtual halt, it still did not impact the overall order book and we were still able to meet nearly the same numbers in the last two quarters of the year.

Mohit Kumar: How do you think about FY25? I understood your issue with order inflow for FY24. How do you think about FY25 order inflow?

Shishir Joshipura: Exactly. So, as I said there is strong traction on CBG, there is strong traction on modularization. We also expect that at the back of a strong sugar season that country has witnessed, we will see restoration of feedstock permission for using sugary feedstock for ethanol production. So, we see that the canvas will start to change. It already begins, to change in couple of businesses and in the sugary feed stock price as well as we move forward to the year. So that will augur positively for our business as we move through the year.

Mohit Kumar: My second question is on the execution in the current CBG order book. How is the traction? Also, the related question is that we are hitting a number of CBG tenders out from larger industry players, do you expect a number of

Shishir Joshipura: So right now, if you really look at it the two or three vectors, I was mentioning to you, CBG in India, ETCA and the international business especially I mentioned about the Blue Hydrogen project and that's just an indicator. We have talked about Brazil as a very important market for us where we clearly begin to see buildup of a very good traction. So, the LCE opportunity in the United States. So, we are beginning to see what we have been talking about as an opportunity to be developed, coming now potential getting translated to order book. And we believe that this will continue to be so as we go through the year.

Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking.

Shailesh Kanani: I had a few questions, first on the engineering side. So, when I see the order inflow for FY24, we have doubled. But on the revenue booking front it has been tepid. So, can you give some color what is happening over there?

Shishir Joshipura: All I can say is that there is a cycle that we need to go through, the order execution cycle. So, what you see now getting displayed as order book will obviously start translating itself to revenue as we go through the year.

Shailesh Kanani: I am saying, just to put it the other way around given the order book traction what we have seen in FY24, engineering division is expected to do a very good performance in FY25, more than 50 %-60% in terms of revenue booking. Is it a fair assumption?

Sachin Raole: Yes, fair assumption. Majorly it is coming from ETCA that's why you will see a major change happening on the order booking because our new facility as Shi

shir was mentioning is already

approved by the customers. We will first see the buildup of OB happening in that engineering Page 6 of 16 segment in the next two quarters and then the revenue will start flowing in because the facility is now up and running.

Shishir Joshipura: Only thing is that given the way the order books will move so, as Sachin mentioned it will be order book that will get built up over the next 6 months and then the execution cycle will take place.

Shailesh Kanani: Another point is on gross margins. We have done excellently well in FY24 on gross margins term. And coupled with that this is after nearly 5 years we are having an order backlog where nearly 30% is going to come from international market. So how do we see gross margin shaping in FY25 and '26?

Sachin Raole: 2-3 things, one the domestic and international ratio what we always said that is going to change over a period of time, it has already started showing first to some extent in the revenue going forward in the order book. That is that is definitely going to help us on building up our margin. The other elements which actually created some kind of issue mainly on the commodity prices in the last couple of years has also smoothened. We believe that is also going to help us on the gross margin going forward. Our first target was to achieve the two - digit kind of a margin on the EBITDA side on the buildup of the higher gross margin which has already started showing the results since last two quarters. We think that this momentum is going to continue. With what that number is going to be unfortunately I will not be able to give that kind of a number as a guidance. But yes, our efforts on building upon the improvement on gross margin, on the EBITDA is anyway going to continue.

Shailesh Kanani: I wanted to understand on the order inflow mix going ahead, there has been a drop in the bioenergy space and for obvious reasons beyond our control. So how do we see shaping say in FY25-26 on order inflow mix?

Shishir Joshipura: When you say bioenergy, then we will have to see it from a different perspective because there is the molecule is changing, number one. Number two, the segments may change in terms of geographically whether it's India or outside India. I mentioned Brazil, I mentioned United States. We also mentioned two quick orders from African region. What's going to happen at the, So maybe the construction of the bioenergy order book will change because of change in molecules, because of change in geography, change in application. But overall, we expect this to grow. We are not expecting it to status quo or shrink. Not at all. We are actually expecting

it to grow. Also, we expect the engineering order business to grow as we already answered to you. We expect both our major business segments to actually continue to grow from where they are, maybe with a different element at elemental level different construction. But overall, the book will continue to grow.

Sachin Raole: And Sachin, just to add, we had mentioned that our 2030 target is 3X of revenue. And in that built up of revenue all the businesses are going to equally contribute. So even in the bioenergy Page 7 of 16 piece, if you look at maybe within bioenergy, we will see some kind of shifts happening between let's say CBG and SAF and biofuel. But all these things are going to contribute in the overall picture of our three times of revenue going forward.

Moderator: The next question is from the line of Manish Goyal from Thinqwise Wealth Managers LLP.

Manish Goyal: I have few questions. First on the services business. If you can probably provide more insights on different kind of services we offer and what are the revenue potential? Probably one is performance enhancers which is probably like a consumable and then you had earlier spoke about opportunities in US for low carbon intensity refurbish

ments of plants. So that is first

question on services and how much does it currently contribute in terms of overall revenue?

That was one. And second, if you can also give us a perspective like you just mentioned on gross margins. So, one is definitely you mentioned international revenue share improving. But any other change in revenue mix with say engineering share improving or high purity improving.

So, does that also support your gross margins improvement? That was second question. Third question is on any update on US front in terms of inflation reduction act incentives under IRA. If you can provide that. Maybe if you allow, I'll probably have a couple of more later on.

Shishir Joshipura: I think all the questions you have asked in one bit. So, let's first try to answer those questions and then we will see. On the IRA front the 45Z notification is still awaited, we do not have that.

But as I mentioned to you, some of the customers are already beginning to move in the direction. Because the fact remains that if SAF has to come through on a jet pathway and that is considered to be the most viable pathway right now outside HEFA, the low carbon ethanol has to become a reality and we expect that will happen. So, the first project is already under construction now by us. So, we'll see how that develops, and we are expecting 45Z to be clarified soon. In terms of margin that you said that what's going to the order of mix or mix of businesses. Let me tell you that we are very clear in our strategy in what we see in front of us also future unfolding. Each and every one of our businesses will grow from here onwards. So, we're not expecting any business to shrink. There may be slightly different construction at the elemental level but other than that we do not expect any other change. And all of these are favorable if I can use that word on the marketing side of the story. So that's what we expect will happen as we go forward as each and every business of ours will grow. Some of the new stuff we already talked about, CBG, ETCA and in time to come SAF will also start to grow very constructively as we move forward through the year.

Manish Goyal: We have seen a very strong traction international order inflows in the current year and that is across the segments. How is the pipeline and do we see this momentum continuing going forward? And probably you missed on my first question on the services business?

Shishir Joshipura: So are you asking me questions and we don't need to....

Manish Goyal: So maybe you can answer on services. I'll come back on that.

Page 8 of 16 Shishir Joshipura: The services, low carbon ethanol opportunity in United States that you mentioned is not a service offering, it's a full-fledged technology offering from our end. So that's not part of the services but the performance enhancers I mentioned about a new traction we are finding in another product that we introduce on the sugar side of the industry, not ethanol. This actually helps improve sugars, qualities and color etc. So that's finding very good traction and services then other stuff, lease license what we offer to our customers for managing their plants remotely for part services, O&M services. So, these are all different packages of services that we offer to our customers. They obviously need set of enzymes and performance enhancer and yeast etc. So that gets sort of bundled together and moves forward. So, services is a different construction of business that moves forward. Anything else that I left out?

Manish Goyal: Like what could be the current contribution of services roughly and how do you see it growing?

Sachin Raole: The contribution from services business currently is in the range of 4% to 5%. And we expect that pie to go up going forward because on a continuous basis we are increasing our offering under services umbrella. Just to give an example

, today when the CBG plants are coming up

now, for the maintenance or for the maintaining the quality of the feedstock there is a biological solution which we are providing under our services umbrella. So that is supposedly to also contribute in a big way. We have introduced providing our solutions in the Brazilian market in a big way now which has also started picking up now. So, the services pie supposedly to grow up going forward.

Shishir Joshipura: There's another important element to the service business and that I mentioned is about capture of biogenic CO₂. And that's increasingly finding a big traction because CO₂ capture is

becoming a significant activity for several of our customers and organizations across the world. And that's where we are beginning to offer our services and solutions for capturing of the CO₂ as it is generated. That's also part of our services portfolio. And the best part is our captive customer base is also increasing which is also going to contribute in the services platform. And from all fermentation processes will create biogenic CO₂. So that becomes almost a capital customer for us.

Manish Goyal: I'll just squeeze in one more question on high purity, again this segment has seen a very strong order inflow as well as execution front. So, are we also started getting enquiries for from semiconductor and electronic plants which are being set up in India and can it be a large opportunity for us?

Shishir Joshipura: If the semiconductor chip manufacturing needs water which is of the same level of quality and purity that is required for pharma application, so from that perspective from a capability perspective we already have the capability. As and when the projects are announced and these are large outlay of projects, obviously this will take some time to get off the ground. But as and when they come up, we'll surely be hearing about it and we'll speak to you. As of today, we do not see any project actually going to a stage of ordering out equipments and discussing and all that. So, I think we are still little away from that.

Moderator: The next question is from the line of Sagar Kapadia from Prabhudas Lilladher.

Sagar Kapadia: I just wanted to split in the bio energy you have said, there's an order intake in the fourth quarter worth around 600 crores. So, what is the split between the CBG and the ethanol orders?

Sachin Raole: Sagar we have not yet started splitting our segments into what I can say mini segments right now. But yes, there is an order book built up happening on the CBG side and on the ethanol starch feedstock which Shishir had mentioned earlier. But we have not started doing this further split.

Sagar Kapadia: Last quarter you had given that information, you had received certain four orders from CBG worth 400 or 300 crores. You give it that information in the conference call.

Sachin Raole: We had mentioned because that was the beginning of CBG order picking up. But we are not giving the split of all the verticals.

Sagar Kapadia: So, you are still not giving that split. But can you give me a split broadly, out of this 600 crores how much is for the exports?

Sachin Raole: That's possible. Just give me a minute. If you are having a second question you can put that second question and I will give you split of 600.

Sagar Kapadia: No, I don't have any other question. This is the one only. How much is contributed by the exports?

Sachin Raole: So out of that almost 150 crores will be exports and 450 crores will be domestic.

Moderator: The next question is from the line of Nihal Shah from Prudent Broking.

Nihal Shah: My question was on the line of engineering segment as we are seeing good traction coming from there, about 20% of our revenues also came from that segment and order book also looks strong. So, going ahead how do we see our margins improving from around 1

1% to 13%-15%

in the next 2 to 3 years?

Sachin Raole: I will not be able to exactly give you how the percentages are going to move. As I mentioned in my earlier comment that our first endeavor was to get into double digit margin and then build on that margin. We have to keep in mind couple of things because we are talking about expanding the business offering in the form of CBG is supposedly to catch up now, services business is supposed to go up, SAF business has started kicking in. But at the same time there is a lot which is happening on the developmental side also for preparing ourselves for the next wave of growth. So, we are investing in R & D in a big way. Our PLA plant is supposedly to start its operation from this year, the second quarter we will start the operation of our PLA.

We will get into more R & D related activity. For CBG we are working on multiple feedstock testing in our demo plant. So, there is a lot which is happening on the developmental side also. And whatever happens in our research side it gets actually debited to P&L. So, we don't capitalize our research expenses. So, depending on how these activities are going to get built up, the margins are supposedly to move. But as I said, our efforts are to build upon what already has been achieved in the margin side.

Nihal Shah: And another question was on the front of the sustainable aviation fuel. So, are we seeing orders starting to come up from that segment? Because I guess there was a 1% target that the government had set till 2025, so how is that segment moving?

Sachin Raole: So, Nihal SAF what we did was we demonstrated last year that it's possible to make SAF in India on global feedstock. That was the proof. There is no legislation in place as yet. The only agreement that is in place globally comes into being. It makes mandatory for airlines to blend 1% starting 1st of January 2027. These are still early days for SAF but as we go through the year maybe towards the end of the year, we'll start to see some announcements around set capacities being set up etc. So, we'll see how that develops in terms of what mandates come. What's the new policy that comes in for the domestic aircraft. International part of the business

as I said is already in the 1st January '27.

Nihal Shah: Just follow up on the previous question like is the execution cycle on the engineering front slower than that in the bioenergy front or it takes around the same time?

Sachin Raole: No, it's actually in some cases it is even longer than the bioenergy side depending on the complexity of the project.

Moderator: The next question is from the line of Vikram Vilas Surya vanshi from PhilipCapital (India) Private Limited.

Vikram Suryavanshi: I just missed few comments so pardon me in case I'm repeating this question . In case of a bio plastic o ur demo plant will be ready. So how is there any inquiry pipeline or how you plan to monetize it? That is my first question and second on Brazil opportunity, you highlighted to some extent already, but would it be possible to give what will be the scope of our services there and any business development strategy o ver Brazil? And I think I guess it will be mostly on maize side. So, if you can answer these two questions .

Shishir Joshipura: Let me take the second question first , Vikram thank you. So , in Brazil as we have known , Brazil is obviously known for its sugar -based ethanol production. But as the country is moving to enhance the use of ethanol , they are also findings very similar challenges to what we did that Page 11 of 16 sugarcane is not present in all the part of the country , so they need to transport ethanol long distance which is not a good thing , not a positive thing from environmental perspective. So , they have also started to look for alternative feedstock and star chy feedstock is a natural candidate in line

for that. That's number one. So , they are beginning to look at alternative feedstocks in terms of what kind of starchy feedstock in different parts of Brazil that can be put to use. We commissioned our first proje ct based on corn . The second project that I mentioned to you about is based on wheat. So different feedstocks in different part of the country that will be put to use. And from our inquiry pipeline from the dialogues that we are having with customers , we clearly see this to be the new growth area as far as Brazil is concerned in terms of capacity that will come up as it travels through the year . There are already significant amount of activity increasing in that space as far as Brazil is concerned . On the P LA we obviously need to first, it is a demonstration plan t that we are now building and it will start commissioning in this quarter. And once that is commissioned and the process established , obviously we have to invite the interested customers to the plan t for them to witness the process and its efficacy and then only we'll be able to build it. So , we are not building any PLA based revenue or book in this year's estimate of ours but as we probably travel through the future , we will be able to see that buil d.

Vikram Suryavanshi: Just a related extension of what you have said about , if you look at the Brazil which is very competitive in sugar side , so is there any government support for this grain based or starch -based feed stock which is picking up now because we have seen very strong growth in gr ain side of story in terms of production for Brazil also. So just in case of competitiveness or if you can just share your experience from that point.

Shishir Joshipura: So what we are seeing is two or three things Vikram. One that our technology is absolutely able to deliver a benchmark performance on different dimensions that are important to a owner of a ethanol facility based on starchy feed stocks. That's number one. Two , we have a very extensive experience globally on —for example I mentioned about the —wheat project. We built a wheat -based project as the largest project in UK almost a decade ago. So that when they came and saw that we have that kind o f experience available on our side , they obviously were impressed that we've been running that size and that kind in a very advanced nation for a very long period of time. So that comes in handy as well. There are incentives that the government is making available in Brazil at local level . But that's not to us that's more to the producers or the promoters of the project. So , in terms of what incentives are required . State governments are getting very active because they clearly see some of the states in Bra zil, see this as a clear activity to drive employment and create more opportunities for the local population. So obviously that's another one that's going up and we are seeing positive traction develop all across.

Moderator: The next question is from the line of Arnab Deb, an individual investor.

Page 12 of 16 Arnab Deb: I had few questions. One is that I heard that by like FY30 we want to make the contributions from all the three segments equal. However, if you look at the CAGR of last few years order books still bioenergy dominates and the growth of all the order book segments have been broadly in line with the overall growth. So like if we want to let's say increase the share of the other two segments like engineering and high -purity we have to make substantial your increase in the order book number. So , any thought on like going ahead with any kind of areas which are not currently in our domain or like let's say substantial increase , how it will come if you can just throw some light?

Shishir Joshipura: So, Arnab first of all we have said that we want every segment of our business to grow. It's not that we are saying that everything will be equally split at the end of 6 years .

What we have said

is between the domestic and international if you were to take a cut, our aim is to go 50-50, so that is half of our business in 2030 should come from domestic business and another half will come from international business. So, from that perspective we have split it evenly. But as far as business segments are concerned, we are saying every business must grow to its potential. And we are not limiting anybody to say oh you need to be one third. There is no such lock on any business and that's the second one. Third, you mentioned that the engineering and PHS business, obviously they're starting out on a smaller base compared to our bioenergy business. So, in that sense there is a different base on which they are operating. But as I mentioned to you the opportunities opening up on CBG side, opening on the ETCA business, on the modularization opportunity for ours. We are clearly seeing a pipeline of our inquiry building very healthy. And therefore, we are saying that our business, so some businesses in rate percentage terms may grow faster because they start from a smaller base. But in overall terms we see bioenergy growing. We see engineering business growing at the back of modularization, we also see PHS growing, each at their own potential rate that's possible in the market.

Arnab Deb: Another question is that in terms of bioplastics or PLA, when we think like revenues will kick in?

Shishir Joshipura: So, as I mentioned to you we are right now in the process of commissioning our demonstration plant and then obviously we have to invite interested customer. That interest of customers is already building up on the PLA side of the equation. And then so we don't expect any revenue order book to happen literally this year. But maybe in the following years we'll be able to talk about it. Bio family is a very large field so we have to start creating different molecules out of that plant.

Arnab Deb: Any sort of numbers that we are targeting from that segment?

Shishir Joshipura: No, as I mentioned to you we will not be able to give a specific number for that yet. In due course of time surely, we will talk about it.

Moderator: The next question is from the line of Dhaval Shah from Infinite.

Page 13 of 16 Dhaval Shah: While though the environment was challenging, there were equal opportunities and Reliance Adani everyone is announcing big plans in CBG. So how are we positioned to capture that segment? And do we see CBG overtaking bioethanol in terms of revenue mix in our bioenergy segment?

Shishir Joshipura: So, Dhaval, yes. What good news is that large private corporate houses energy companies are saying that they want to develop this as a segment. So that I think that actually goes to say that there's a definitive potential that is likely to unfold as we travel through this. Obviously, these corporates have very ambitious plans. We are also working with them. We have commissioned projects for them. I also mentioned the beginning of the call that we are very proud that we now have three feed stocks on which we have got absolute benchmark yields established at commercial scale. I made this specific mention because that's been a pain point for the industry so far that there was always ifs and buts around what works and what does not work. But now we have established this beyond any doubt that on three important feedstocks, namely spent wash, press mud and rice straw, we are able to deliver absolutely benchmark performance as far as yields are concerned and on a reliable and consistent basis. This was second one because people were finding that plants were not running on a continuous basis. So, a lot of people have said there are challenges but that's something that we have solved. So, technology wise we are there. Sachin also mentioned that we are developing further on newer feedstocks because we are not the only feedstock that

we work. Maybe in the first lot this is the most important feedstock. But we already know people are talking of cotton stalk, napier grass many other second crop residues, slurries from municipal wastes. So, there are many dimensions which are now emerging in terms of poultry litter. So, we are now in the process of establishing the correct performance parameters on these alternative feedstocks as well so that we are able to offer to our customers a wide array of feedstocks on which they can run their plant. We are working very closely with the companies that you mentioned and also some others in the field. And we are very confident that we will start to see a significant change in the complexion of this business. Whether it will go bigger than bioethanol, I think we are not having that race. We are very clear in our head; each business must grow to its potential whatever is the potential and if it has to create potential it has to create new openings. That's what we will drive. I mentioned that ethanol SAF becomes a big application, in the ethanol-based chemicals become a big application. We will talk about it, diesel blending of alcohol. There are many things that will go as we move forward will start to change and the feedstock itself will undergo change in our opinion once we fully stabilize the IOCL plant and maybe a year down the line we will be talking some very different dimensions of the business emerging both in India and abroad in terms of what can happen to cellulosic feedstocks. So, we are not going to limit ourselves to say one should grow bigger than others. For us each business should grow to its potential.

Page 14 of 16 Dhaval Shah: But since CBG seems to have more potential and even there is more competition as well, Thermax is also doing taking big orders. So, I was just worried can we position ourselves better

and capture the larger pie of the market?

Shishir Joshipura: We are very focused on CBG. CBG for us is a very important business. I'm reiterating that it's a very important business for us, not only in India but even outside India. And as we go through the year you will hear more about it. The important question to be resolved there was the fact that markets, competition, customers everybody was worried about reliable yields coming out of the plants. And that's something that we have proven. Right now, at the commercial scale, we are the only proven technology in the country. So absolutely focused on ensuring that we completely go around encasing this potential.

Dhaval Shah: I just asked what is the update on the IOC JV? Is there any movement on that? Where are we heading there?

Shishir Joshipura: Right now, no. In the sense that we are still awaiting the final approval. As soon as we hear that and it is in the pipeline so we will hear it soon. Along with many other news in June, the month of June.

Sachin Raole: So, we are waiting formal approval for the formation of JV but we have already started groundwork. What should happen under this JV, what businesses should start shaping up in that, what is required from our side, how the structure should look like? So, the groundwork is already happening. On that front only the formal approval is awaited. After that we will be in a position to talk about the business plan for the JV in a greater detail.

Moderator: The next question is from the line of Shailesh Kanani from Centrum broking.

Shailesh Kanani: Just one question with respect to our engineering division and bioenergy and PHS. If you can just talk about the tenor of average order book. By what time we can expect the orderbook to get converted into revenues for all three segments?

Sachin Raole: Average Shailesh is you can safely consider as nine 9 to 12 months for both the businesses. But in engineering business what Shishir earlier was mentioning, there is a possibility that if some or

ders are such that the execution time is little on a longish cycle. So, it can go from 12 months to even for that matter 18 months. Because the entire modularized. If we are supposed to do the equipment and the modularization both together then the timeline can be going beyond 12 months also. But on an average, you can consider between 9 months to 12 months.

Shailesh Kanani: even for the biology segment because I was under the impression that the biology would be little bit longer for 12 to 15 months.

Page 15 of 16 Sachin Raole: No, it is not. Beyond 12 months project will not go. If it is of a very large capacity and if our scope is absolutely like an LSTK then there is a possibility. But otherwise, it will run in a period of twelve months even for that matter CBG also between 10 months to 12 months is what I can say a period for execution.

Shailesh Kanani: And just a follow up on CBG. We are doing the whole EPC turnkey projects in CBG projects, right?

Shishir Joshipura: Not necessarily, if the customer's demand.

Shailesh Kanani: Otherwise, what would be the addressable market in a CBG project if EPC is not completely done?

Sachin Raole: Every customer has a different model. Some will say 'okay you know what' you just do your technical piece and we'll do the rest. Some will say no I'll give you a piece of land and please build everything. Some will say no civil we'll manage, you manage others. Every customer has their own. There are no fixed models for this unfortunately. What remains common is that the technology piece, the critical part that is done by us.

Shailesh Kanani: So that would be what percentage if I say what percentage that would be of Rs. 100?

Sachin Raole: So, let's assume if the LSTK project is going to cost us 100, our scope can go from 30 to 100 on a scale of 30 to 100. And additionally, you also need to keep in mind whether it is press-mud based or agri-waste based plant, the solutions which we provide for maintaining the performance of that plant is like a recurring business for us under our services umbrella.

Moderator: The next question is from the line of Rohan Mehta from Ficom Family Office.

Rohan Mehta: I just wanted to get your thoughts on CBG. So how do you compare CBG plants right now versus ethanol when it comes to payback period and the unit economics, how viable are the CBG plants right now?

Sachin Raole: Sorry your last portion, we were not able to hear because your voice is little low.

Rohan Mehta: What I was saying is where do you see the viability in the CBG plants right now? How viable do you think are CBG projects at the moment?

Sachin Raole: If you are looking from the viability of CBG projects it is still what I can say, to some extent it is work in progress. But projects are viable, they are having IRR ranging from 14% to 18% depending on what is the feedstock, what is the size and how they are selling apart from CBG the solid manure or taking care of liquid manure. So, it's a range.

Moderator: The next question is from the line of Godwill, an individual investor.

Page 16 of 16 Godwill: I was referring to the latest NITI Aayog reports, that mentioned that by 2030 around 30 cities in India will go waterless or thing. So, we are having an active participation in water treatment plant. So, can you shed some light on our business prospects into this segment? Wastewater treatment and other things.

Shishir Joshipura: So, our water treatment is in two parts. One is our PHS business which is serving ultra-high purity water to pharmaceutical segment. And then we have Zero Liquid Discharge system for some targeted industry streets which have this which have mandate not to discharge any liquid out of their premises like metals and mining, pharmaceuticals, fertilizers, chemicals. So we offer Zero Liquid Discharge solution to those organizations. And. Sorry we d

idn't get your name.

Can you please let your name know please?

Goodwill: Goodwill. Can I ask one more question? And congrats on securing your first order for this Blue Hydrogen participation. So, can you kindly let me know the prospects of this industry and how can we go forward with this particular segment?

Shishir Joshipura: So hydrogen as is going through a transition and transformation both, where traditionally only the grey hydrogen was being produced and then it goes to blue and green and then of course there's a pink hydrogen as well depending on what the process at the customer end is. So right now, the our belief is that hydrogen is something that will become fuel of the future but that's on a long-term horizon. And obviously a lot of effort is going on by the leading corporates, oil refineries, oil energy majors to start cutting down their own CO2 emissions from their operations. And this is a very clear step in the direction. So, we will see development acting on as well.

Moderator: Thank you. Ladies and gentlemen, we'll take this as the last question. I'll hand the conference over to the management from Praj Industries Limited for closing comments.

Management: So, thanks everyone for your time today. If you have any more questions, please feel free to write us at info@praj.net. I once again thank you for your time and have a nice day.

Moderator: Thank you. On behalf of Praj Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

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Sub: Transcript of Analysts' Call held on 26th July, 2024.

Dear Sir / Madam,

Please find enclosed Transcript of Analysts' Call of Praj Industries Ltd. held on 26th July, 2024 regarding Un-audited Financial Results (Standalone and Consolidated) for first quarter ended 30th June, 2024.

This information is given pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time.

Thanking you.

Yours faithfully,
FOR PRAJ INDUSTRIES LIMITED

ANANT BAVARE
COMPANY SECRETARY &
COMPLIANCE OFFICER
(M. NO. 21405)

Encl.: as above

Page 1 of 24 Praj Industries Limited
Q1 FY25 Earnings Conference Call
July 26, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Praj Industries Limited Q 1 FY25 Earnings Conference Call.

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need

assistance during the conference call please signal an operator by pressing “*” then “0” on your touchtone phone.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you and over to you sir.

Anuj Sonpal: Thank you. Good afternoon , everybody and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Praj Industries Limited. On behalf of the company, I would like to thank you all for participating in the company's Earnings Call for the First Quarter of Financial Year 2025.

Before we begin , let mention a short cautionary statement. Some of the statements made in today's earnings conference call may be forward looking in nature. Such forward looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings conference call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review. Now let me introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We firstly have with us Mr. Shishir Joshipura –CEO and Managing Director and Mr. Sachin Raole – CFO and Director of Resources. Without any further delay , I request Mr. Shishir Joshipura to start with his opening remarks. Thank you and over to you sir.

Page 2 of 24 Shishir Joshipura: Good day everyone. I welcome you to Praj Industries' Earning Call for Q1 FY25. Trust all of you

had the opportunity to go through our results for the quarter that ended 30th June 2024.

Earlier this week, the Hon. Finance Minister presented the Union budget wherein a Specific Policy is outlined indicating appropriate pathways for Energy Transition to support India's energy security. The budget strongly supports the agri -industry ecosystem which will help address feedstock related challenges and

boost biomanufacturing. National Cooperation Policy

for systematic, orderly and all -round development of the cooperative sector will inspire biofuels industry stakeholders to favorably consider long term investments. A financing plan for private sector -driven commercially scaled research and innovation is a positive step for development of bioenergy technology. Further a taxonomy for climate finance for enhancing the availability of capital for climate adaptation and mitigation will support achievement of the country's climate commitments and green transition. Prime Minister's special package for skilling program will help feed the employment demand generated with propagation of bio energy projects.

Coming to business performance, this quarter's performance reflects the changing dimensions of our business dynamics. We are witnessing a healthy build -up of opportunities in key strategic areas of the company's business. Our continued focus on innovation at the leading edge of technology will enable us deliver healthy performance going forward.

Our domestic bioenergy business – This quarter witnessed a slowdown of activities mainly from the unresolved feedstock situation as also central elections. The prospective customers await for a clear long -term direction to emerge on clearance to use Molasses B/ Syrup as feedstocks and removal of embargo on issue of rice from FCI, for ethanol production. This will enable the new projects to be planned and existing projects to move forward with execution. We continued to see new capacity built up dominated by starchy feedstock with over 75% of our domestic order book coming from starchy feedstock based plants.

On International bioenergy front, we received an interesting order for production of Low Carbon Ethanol using Lactose separated from milk as a feedstock from a US -based customer. As stated during last earnings call, Grain based Ethanol projects are gaining increasing acceptance in the Brazilian market. We have several strong leads for ethanol projects based on grain and we are in advanced stage of negotiations with several potential customers for Praj's technology solutions.

On the GBA front, India is set to be the global headquarter for the alliance. The working committee has framed a work plan for finalization of the charter for GBA. As we move forward GBA will open several opportunities for bioenergy projects in many parts of the world.

Our services business saw healthy growth in order book and revenue in this quarter, both in domestic as well as international markets. We continue to see increasing traction for our Page 3 of 24 offerings which is expected to drive future growth in this business. Biogenic CO2 capture is also increasingly finding higher interest and we have won contracts for same from Thailand and Zambia.

On 2G front, IOCL plant recommissioning is progressing as per plan. We are working closely with the IOCL team to resolve the unique situations and ramp up production in a gradual

manner. We have commenced feasibility study for a straw -based Ethanol plant i n Spain for a Spanish Multinational.

On CBG front, the enquiry pipeline is developing in a healthy way that is expected to translate in firm business as we progress through the year. We are setting up a pilot plant in the United States for testing RNG generation from waste -stream in a Grain to Ethanol project, in collaboration with a US -based organization. Once the trials are successfully completed, it will open a new waste -stream to RNG application in Grain to Ethanol segment for us.

On the Biopolymer front, Praj is the first Indian company to indigenously develop technology for Lactic Acid and Lactide. We have produced the first batch of Lactic Acid 90% at our newly setup demonstration plant at Jejuri. This is a milestone development in the biomanufacturing domain.

Understanding the importance of feedstocks in Bioenergy development, Praj

has established

Centre of Excellence & Innovation (CoEI) with Vasantdada Sugar Institute for the Integration of Farm to Fuel Model. The CoEI will focus on developing alternate feedst ock through intercropping models, for example: Sweet Sorghum with Sugarcane, Maize with Casava, etc.

Moving on to Engineering business:

On ETCA front, we have completed manufacturing of our first equipment from the GenX facility in Mangalore. We have since shipped this consignment. We have received a significant engineering order for complete modularization of a SAF Project in United State s on ATJ Pathway. We have received another contract of modularized solution for Carbon Capture for a Blue Hydrogen Project in Europe.

Our Zero Liquid Discharge business is also gaining momentum with increasing acceptance of our modularization solutions from our customers. We have received an important contract for modularized system in Indonesia. We have completed the installation of the IOCL Dumad project and are in the process of handing over the plant.

Our PHS business continues to deliver consistent performance and has seen strong traction for our high -capacity fermenters offerings. PHS is setting up a very large fermentation complex for a reputed Pharma company in southern India.

With this, I will now hand over to Sachin for his comments on the financial performance.

Page 4 of 24 Sachin Raole: Thank you, Shishir.

The consolidated income from operations stood at Rs. 6.99 billion in Q1FY25 as compared to 7.36 billion in Q1FY24. PBT before exceptional items for the quarter stood at Rs. 788.80 million as compared to Rs. 777.03 million in the corresponding period of the last year. PBT after exceptional items is Rs. 1.07 billion. The exceptional item pertains to the sale of land. Profit after tax stood at Rs. 841.81 million in Q1FY25 as compared to Rs. 586.72 million in Q1FY24. Of the total revenue, 72% is from Bioenergy, 20% is from engineering and 8% is from PHS business. Export revenues accounted for 23% of Q1FY25, showing 24% increase over corresponding quarter of the last year. EBITDA margin has seen an improvement of 291 basis points over corresponding quarter last year. This Improvement is on account of moderation in input cost as also the composition of revenue. The order intake during the quarter was Rs. 8.88 billion, with 58% from the domestic market. Of the total order intake, 52% came from Bioenergy, 38% from engineering and the balance 10% from PHS business. The order backlog as of 30th June 2024 is at Rs. 40.44 billion comprising 67% of domestic orders. Cash in hand as on June 30, 2024, is Rs. 8.3 billion. In yesterday's AGM, shareholders have approved the payment of final dividend of 300% per share.

I now conclude my remarks and I would like to thank you all for joining us on this call. We would now be ready to discuss any questions, comments or suggestions you may have. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: My first question is, how has been the inquiry in the last few months on 1G. And how do you see the order in flow moving over next few quarters , can we expect the growth in order inflow in this year compared to last year?

Shishir Joshipura: Okay . So, let me just paraphrase the question so that we know that you understood well, the audio connection was not good. You are asking how is the inquiry pipeline building up for the ethanol 1G business and do we expect the year end to be better order booking performance than previous year, i s that the quest ion?

Mohit Kumar: Yes, absolutely right sir.

Shishir Joshipura: So, if you look at the ethanol, domestic ethanol business especially, as I said in my statement as well, there was policy intervention around feedstock application that was allowed and

permitted. And that needs to get normalized. And that is what is actually impacted because two major feedstock streams molasses B syrup on one end, and rice issue from FCI on other end. Both of these were taken off the list as permissible feedstock's , which has led to a situation where , there are inquiries , there are dialogue with customers, but we are not able to take the

Page 5 of 24 final step for finalizing of a new job. On the other hand, there are also projects in execution that have come to a halt because obviously the feedstock is not resolved, there is no way we can move forward with the project. So, we expect as the entire industry that as we move forward through the year, we will see a resolution of this, and a more permanent long-term solution will be provided. At least to address the situation today, on a long-term basis, we also have to think of alternative feedstock and that is where I was referring to the CoEI established with the Vasantdada Institute to look at intercropping and what can be done. But broadly speaking, we expect we have a pretty healthy pipeline of 1G domestic ethanol. And we also have a reasonable visibility for the year-end order booking, which is likely to be higher than the previous years.

Mohit Kumar: Understood. My second question is, what would be the 1G services contribution to the total revenues in Q1?

Shishir Joshipura: Sorry, we don't actually have a segmental kind of a number. Unfortunately, I will not be able to give you specific numbers for the services business.

Mohit Kumar: Understood sir. Sir last question, can you talk about the ZLD and its potential in near term, and what kind of revenues contribution one can see over next few years?

Shishir Joshipura: So, as I was mentioning, the development is extremely unique. There is no other company in India or anywhere near about, we have even been able to develop and demonstrate this technology. So, we are right now at a stage where we have built a demonstration plant.

Obviously, we have tested it in our pilot scale systems in R&D. And now we built a demo plant where we started to run the process. And we have made what I would call the first production of lactic acid 90%. There are steps to be covered beyond this step as well. And as we go through this development cycle, we will speak about it at an appropriate time. What is sufficient for me to say right now is that this is a huge step forward towards an era of biopolymer, bioplastic manufacturing in the country using indigenous feedstocks and indigenous technology.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL C apital. Please go ahead.

Amit Anwani: First question on Brazil thing. So, you highlighted that the pipeline for grain-based plant is also developing there, and we won some order also. So, wanted more color on the Brazil pipeline.

One is, is there any competition and suddenly we are getting the grain plants there, were we not bidding there? And second, how are the payment terms and size of each plant and what kind of pipeline we can see FY 25, FY26 from Brazil?

Shishir Joshipura: Thank you, Amit. So, as far as Brazil market is concerned, predominantly it has been a sugar cane to ethanol market. But over a period of time after the sugarcane to ethanol market to a head shot of reached its peak, a clear realization in Brazil as was here in India as well, where we realized that sugarcane ethanol has, obviously gets restricted to the states of locations and Page 6 of 24 geographies where you are producing sugarcane. Similar situation also existed in Brazil, for example, you will be surprised to know that in Southern Brazil, there is no blending taking place for ethanol as well. It's a dead end from a country, which is a 27% blending at the minimum. So, there, in those parts of the country's Southern Brazil, other parts, Central Brazil, there

is a

clear push now to say what can we do with using starchy feedstock, and that is where we stepped in and we established the first project and commissioned it now so obviously, now there is a proof on the ground of our technology and its performance, which is helping us a great deal. The Be8 contract that we mentioned has helped us a great deal because Be8 is an opinion leader in the region, and that particular project for whom we have begun the engineering now will help us to actually establish our credentials even further. Just a fact that we are working for them has also opened up further doors apart from the fact that we have also been making independent marketing efforts in the region to establish our technology because in other countries in South America, we have definitely established our performance on grain-based systems so that was there for everybody to see. But now it is also in Brazil, we have seen several, several leads open up. There are several dialogues, there are engineering contracts getting firmed up, the model is a little different. Usually, one would expect that you will get the full contract on day one, that's not the way Brazil works. So, they would like to go through the steps of first engineering, finish the engineering, and then get a firm grip on the overall project cost, and then move forward with the establishment of project. So, the cycle extends a little bit differently. Overall cycle time remain the same, maybe a month here or there. But we are very, very positive of the dialogue that are developing in Brazil. And as we go through the year, we will talk about it more.

Amit Anwani: Sure. Secondly, any update on the ultra-low carbon, USA, the things we're slow past three, four months. So, any expectations for this year for ultra-low carbon plants in US?

Shishir Joshipura: So, for the US market, we had talked about low carbon ethanol opportunity and not ultra-low carbon opportunity to start with. This was essentially about our solutions to the existing corn ethanol projects to drive them, to achieve a lower carbon index number, intensity number for their current operations. As we had spoken about, the first project is under execution right now, which will come up maybe this time next year, in terms of its running on the ground and commissioning. So, we are still a year away from commissioning the first project in United

States. What's also happening is that , very clearly as the movement moves forward on SAF product there is a clear need for low carbon ethanol to meet the demand. And we are in dialogue with companies to see how they could move forward there is an important consideration from the IR A's perspective for notifying the 45(Z) applicability that 's grid legal requirement and that is still not clarified and everybody including the industry is awaiting the clarification of 45(Z) once that is available, it will provide further impetus to the element . Moderator: Thank you . The next question is from the line Vikram Suryavanshi from Philip Capital India Private Limited . Please go ahead.

Page 7 of 24 Vikram Suryavanshi: Sir, basically on this straw -based ethanol order in Spain, what will be our scope of operation or is it like a similar to 2G project what we have done for IOCL?

Shishir Joshipura: So, Vikram that is the order first feasibility engineering so that 's long way away from the project yet, as the feasibility study is done and we establish the feasibility of the project then probably we will be able to answer your questions better, but it is for a 2G project in Spain.

Vikram Suryavanshi: Okay . And actually, I was hoping someone announcement for bioplastic because there were comments in the interim budget on giving some support for bioplastic production. But there was no announcement in this budget. So , how would be our roadmap going ahead, you explained to me, but is there any something

else which the government is waiting for?

Shishir Joshipura: So, Vikram , even during the interim budget, the government had laid out a very ambitious plan of pushing bio manufacturing in the country. And that was a very clear direction set. We have no reason to believe that that is changing. In terms of specifics of the policy, we have seen several announcements which are, I would say more long -term but more sustainable in terms of pushing R&D in bio manufacturing, getting agri tech aligned to because feedstock is a major issue that was being under stood by everybody. So, I would call these are the enabling ecosystem moves that have happened in this project. So, we are very, very bullish about the fact that as we move forward, bio manufacturing will continue to occupy its space in the sun.

Moderator: Thank you. The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Sir my first question with respect to numbers per se, so revenue booking was down, and we had higher other manufacturing expenses as well. So, if you can throw some light, how we should model in for the whole year and how that other manufacturing expenses move out , I understand this quarter maybe we have booked some expenses for Mangalore facility , but if we can throw some light on that ?

Sachin Raole : Okay . On the revenue, yes there is a little bit less execution during this quarter. Even the supply activities were on a little lesser side as compared to what we generally do in the first quarter. And the site activities were on the higher side. And that's what has actually added into our other expenses. Your observation is right , the additional manufacturing expenses which are happening under other expenses is on account of expenses which we are incurring in our new facility at Mangalore . Going forward, we believe that yes, Mangalore facility is in a phase of getting ramped up, it has just started, first supply order has only got dispatch very small order, but at least from the establishing that factory from all the approvals point of view is getting established now, the expenses will continue to happen. And we believe that starting from second half of this year onwards, we will see the revenue generation will start from this facility . There is some kind of a delay, because of the approvals and all those were not in place, which we were expecting to happen in the first quarter, which are actually falling in place now. And Page 8 of 24 the revenue ramp up will start happening from the H2 for Gen X and that will normalize the expenses which we are seeing in the first quarter.

Shailesh Kanani: That's helpful. Sir just continuation with that point. Are there any one off in terms of GM, this time the gross margins seem to be very impressive at 53% and also , if you can mention some percentage of order book which is slow moving or kind of pending for execution ?

Sachin Raole : Okay . So, the gross margin which you are saying partially I replied to your question by saying that the revenue has some site related activities for which the expenses are sitting in my other expenses. So, in the procurement margin, the way in which you are looking at has the element of sales from site, but expenses are sitting in other expenses, if you add these two and figure it out the contribution margin, then there is an improvement of almost 4% improvement in our contribution margin. Out of that 4% , around 2% is because of the softening of the input costs. So, we are still executing some old projects where the contract price is at the old price. And we are now getting a benefit of that softening of the input cost. So, there is around 2% benefit of that and a most 1.5% to 2% is because of the composition of the orders , the way in which those got executed during this quarter . Export is on a higher side , engineering orders as a little on the higher side and t

hat's what has contributed to the highest contribution margin. If you ask from the going forward point of view, we believe that the positive which we have received on the softening of input cost will continue for some time till we execute the entire old orders which

were picked at the old material cost and the benefit of more engineering orders coming into the picture, which will definitely give a better margin on the bottom -line point of view .

Shailesh Kanani: And sir slow moving orders in our order book ?

Sachin Raole : I will not call it as a slow moving, slow moving per se, but because of the naturally the first quarter for all the manufacturing companies have seen some kind of a slowness generally on account of the national elections and all so that has impacted to some extent . Some clarity from the syrup side and B heavy molasses that will expedite the execution of the orders. I don't think more than 5% of our order book can be considered as the slow moving in that sense. May be 200 to 250 crore order book.

Moderator: Thank you. The next question is from the line of Dipesh Agarwal from UTI AMC . Please go ahead.

Dipesh Agarwal: Sir my first question is on the engineering side, we have seen an uptick in the order inflows since last two quarters, so have you started booking major orders for Mangalore facility or that is yet to commence?

Shishir Joshipura: So, Dipesh as Sachin was explaining the Mangalore facility just now getting fully functional. So, we probably will see in second half of the year order execution from there in in this particular business has to be pre -approved by the customers that in the contract, they say you can make Page 9 of 24 it here. So, obviously, since the facility was not ready, we could not get this into this contract which we then engineered and then taken up for the execution. But as we start to book new orders now, we are at that stage that we can start getting this specified. As customers have approved the facility , the facility itself has obtained the necessary certifications that we will be able to take contract. So, maybe towards the end of this year , end of this calendar year , we will start to see an actual production start rolling out in the factory . In the next financial year, you will see it in full force, but till the time we will have to see gradual build up only.

Dipesh Agarwal: And how long it will take us to go to a full potential of that facility , in the past you have highlighted 2000 -2500 crores is the revenue potential, how long it could take us to get at least 70%, 80% of that potential ?

Shishir Joshipura: That could easily be a two-year kind of timeframe from the time we start rolling out product. Firstly , the order book has to build, then we have to get the engineering done and then execution. So, we are looking at and those are not short cycle projects. So, we are looking at a two-year kind of timeline .

Dipesh Agarwal: Okay . And sir, can you help us in terms of the pipeline, which is there for the CBG, and grain based and even 2 G ethanol in the domestic market for the next three quarters ?

Shishir Joshipura: So, for CB G as I mentioned, as the ecosystem starts to come around, we will see a gradual traction. There are issues to be resolved on the ecosystem side, and the same time now the blending mandate becoming compulsory in about 18 months' timeframe. Projects will have to start moving, especially in the second half of the year. So, we are already seeing an increase in activity level, inquiry level , people wanting to setup projects and discuss around those. So, that's the positive development that we are seeing . it's not very smooth flowing business yet because of different ecosystem elements that have to fall into place. But as we go through the year, we will start seeing CB G develop positively as well.

Dipesh Agarwal: Sure. And grain based and 2G ethanol how the traction

is in the market now?

Shishir Joshipura: Grain based ethanol as I mentioned already 75% order book is out of grain based, one wind in the sail for domestic grain -based ethanol will definitely see what happens to the FCI rice . And that's a good indicator but also there is a clear directive emerging direction to say it has to be more of a maize based production. And we are seeing reports and from our customers as well that maize availability is starting to improve. So, again, these are the ecosystem elements that have to come into equilibrium with the demand on the ground. And as that starts to happen, we will start to see but clear path forward will improve a significant portion from starch -based feedstock . Recognizing this very challenge that we are facing on the side of feedstock. That is where I mentioned earlier as well that our center of excellence that we have established with Vasantdada Institute for inter -cropping model , which will go a long way in helping and that is something that is progressing very, very rapidly .

Page 10 of 24 Dipesh Agarwal: Sure. And 2G enquires are you seeing in the market now, 2G enquires?

Shishir Joshipura: Yes, so as I mentioned , so there is an inquiry out of Spain that we mentioned earlier in the call on which we are working right now, there are but the key issue is and that we have already stated that , everyone including us are in communication with clients but the IOCL project commissioning is critical for that and we are going through the test right now to commission it to full scale by the end of this calendar year.

Moderator: Thank you . The next question is from the line of Prathamesh Sawant from Mirae Asset Capital Markets . Please go ahead.

Prathamesh Sawant: I had one question which is to our engineering segment, so this engineering segment when we are catering to the ETCA s o, is it just we are catering to ETCA, is that in green hydrogen and blue hydrogen projects via carbon capture or do we have some other critical process equipment's offering also for them?

Shishir Joshipura: No, so ETCA is a very large segment Prathamesh, hydrogen is just one of them. So, blue hydrogen, carbon capture, green hydrogen is one part of the segment there is waste to energy which is completely different. There are energy efficiency programs and so ETCA is a very large umbrella of applications including on the gas side, the whole CNG applications that is happening now in the United States, etc. So, it's a very large portfolio of applications with waste to energy, green energy and when I say green, this is not the conventional green energy this is also about enhanced energy recovery in traditional oil systems, energy systems. It is about the hydrogen systems being blue and it is about industrial gases. So, ammonia, there are many, many dimensions to this energy transition. Essentially, what we are saying is, the current molecules come from a carbon intensive way. And the new molecules that this segment is addressing will come from less carbon intensive way and that's a very broad way to understand, anything that falls in that category will be catered to by this business.

Prathamesh Sawant: Okay. So, is it fair enough to understand that it will be cannibalizing some part of our earlier engineering businesses, which were earlier considered as engineering businesses that we are considering now in the ETCA segment?

Shishir Joshipura: No, the ETCA segment is distinctly different from CS, CS continues to be there, there is no let-up from that. So, oil and gas chemicals, those segments where we were offering services, will continue. However, this one is very clearly a very new segment where, as I said high carbon intensity manufacturing, or molecules shifting to low carbon intensity molecules, and that's a very broad swap, it is hydrogen, it is ammonia, it is the color of hydrogen, it is green chemicals,

waste to energy projects, syn gas projects. There is a whole gamut of applications where this is open, so ETCA is very different, carbon sequestration is very, very different compared to the previous business. Both will continue independently.

Page 11 of 24 Prathamesh Sawant: Okay. And sir our offerings in this segment would be, it's a connection to this. So, is it product

offerings that we have are more of solution based or these are more modular, physical products that we will be doing or is it engineering solutions?

Shishir Joshipura: So, it's mix bag, in the sense there are equipment's that have to be made, heat exchangers and columns and reactors, etc. And then they go and sit on a skid or on a module, and then the module gets built around it, so it's both.

Moderator: Thank you. The next question is from the line of Aditya Mongya from Kotak Securities. Please go ahead.

Aditya Mongya: I had two questions from my side. The first one being this comment that was made by the management that the overseas orders fetch higher margins versus domestic orders. Could you give us some more color as to why would that be happening, is it a function of competitive intensity, value creation, some more color would be useful. And what would be the forward trajectory in these two margins would be useful to know.

Sachin Raole: So, in the export orders generally we undertake engineering technology and the supply of equipment, and we don't undertake the construction activity, which are generally forming a part of EPC activity, which generally happens in domestic order. And that segment doesn't carry a great margin as compared to these other segments. That's the major reason because the component of our export orders is only related to technology and equipment. That's the major difference for having the difference in the margin. Talking from a margin point of view as your question is talking about, or asking from the future point of view, our endeavor is to shift to more international order as compared to domestic order in a larger pie, which is definitely from the overall margin perspective, it is going to be margin accretive.

Aditya Mongya: Understood. The second question was also on margins only, was trying to get a sense, and I know your business space. But there has been volatility on account of input price pressures in the past, potentially that led to the EPC major. Is there something that we as a company can do to kind of moderate in this down, or will this be a continuing element of our margins and cost structure?

Sachin Raole: The nature of our contracts is mainly on the fixed price contract. So, there is no mechanism of passing on any negative or a positive impact of input cost to our customers. So, naturally this element technically will continue, we are seeing a very different phase two years back, and continued almost for one and a half, two years of a higher input cost. And we had seen our margin getting affected to the extent of almost 2 to 2.5% during those years. But now the reversal has happened, material prices are more or less look like to be in a range. The future projections from all the experts are also giving that kind of an indication. So, we don't see any kind of impact coming up because of the input costs going forward.

Page 12 of 24 Moderator: Thank you. The next question is from the line of Sidhanth an Individual Investor. Please go ahead.

Sidhanth: Okay. I am asking is there any visibility for FY 25 or FY26 from SAF area?

Shishir Joshipura: As mentioned in my opening remarks, we have now been awarded a contract for full scale engineering and modularization of a SAF project in United States that is going to be a full large scale commercial ATJ project. Being the size of the project, the engineering time itself could be

up to about six to eight months. So, that is what we have undertaken just now, once the engineering

g is , and once the closer to the engineering model completion we will get a full view of what is the likely cost of the project. We have done the preliminary study and looks like very positive. But as we go through this process, and maybe in another six months' time , we will get a better visibility. And there are several projects for SAF that are being talked about right now . And we are looking at addressing the needs that are emerging out of those projects. We are in dialogue with at least half a dozen SAF projects now across the world to offer our services to them.

Sidhanth: Okay. Anything on the domestic front, no?

Shishir Joshipura: On the domestic front as well, there are two dimensions to it. One is that there is we know for sure that come January 2027 and COR SIA agreement will kick in and under which 1% blending will be mandatory for all international clients . So, there is a clear demand , so as probably and given the 18 months , 18 to 20 , 24 months kind of time cycle required for a SAF project to come alive , we will probably see activity we are already in dialogue, but we will probably see major traction build up towards the end of this calendar year.

Moderator: Thank you. The next question is from the line of Ankita Shah from Elara Capital. Please go ahead.

Ankita Shah: Given that sir , you mentioned that we have got good inquiries in the engineering side and also on the export side. So, should we see continuity in the margins that we are seeing right now or in the similar range?

Shishir Joshipura: So, Ankita yes, the export we have stated as part of our strategy that we would like to improve the share of pie for our international business. And that is what we are witnessing. We have been working on it for some time, but we are now bearing the results . And the current pipeline also makes me believe that we have no reason to believe that we will be anything other than that. So, from that perspective, yes and as Sachin was already explaining the international business for us happens to be higher margin accretive compared to domestic business. So , all those indicators are yes, the exact numbers time will tell how they will exactly play out their multiple interplays. But directionally speaking yes.

Page 13 of 24 Ankita Shah: Okay. And on the CB G side, the question was already asked, but wanted to understand if, there were more orders that were there in the pipeline which were supposed to come in. So, when is that expected ?

Shishir Joshipura: So, as I mentioned to you earlier, that there is a clear mandate now to blend CB G into the CGD networks. So, that's a very welcome step, which takes care of a very, what I would call as a major issue of where I sell my gas, the pipeline network is becoming that much easy. Having said that, there are still as CBG is a business where several elements on the ecosystem side are continuously being resolved. And as they get resolved, we move forward. So , as I was saying, it's not a very regular, smooth flowing business -like ethanol, yet it's not at that stage because the ecosystem is still under development. So, tends to be a little lumpy here and there, but overall moving in the right direction. So, as we go through the year, maybe in second half of the year we will start seeing activity built up on the CB G space.

Ankita Shah: Got it. Sir last if I can check on the exceptional item of this land sale, what is this and are there any more that is planned in the near term, that's it from my side, thank you.

Sachin Raole : We are not sitting on the land bank , this was the land which was available with us, and which we believed that we will not be able to utilize it. Earlier it was planned that we will build up a factory over there. But as we are moved to Mangalore, and we realized that this land will not get utilized for any factory kind of a thing. That's the reason why we have sold it . This is

the

only piece of land which we had as excess land you can call it, I am not expecting any more exceptional item like this going forward.

Moderator: Thank you. The next question is from the line of Sai Siddhartha from Kotak Securities . Please go ahead.

Sai Siddhartha: I just wanted to understand , what's the low carbon ethanol opportunity that is available for us in US ?

Sachin Raole : Sorry, your voice is very low, we are not able to hear you.

Sai Siddhartha: I was just asking the opportunity that is available for us in low carbon ethanol in US?

Shishir Joshipura: Okay . So, here are the broad numbers on US. So, the demand for low carbon ethanol is from the demand of SAF . So, by 2030, United States Government has given a plan under the Inflation Reduction Act for 3 billion gallons of SAF to be produced in the country. The first 1.6 billion SAF will come out of a process called HEFA that doesn't involve ethanol . But after that, because there is no more feed stock left for HEFA , the expectation is that ATJ pathway will become the de facto pathway, which means that further billion odd capacity between now and 2030 will have to be built using ATJ pathway, I was mentioning about the large engineering order that we are executing it is for the same pathway. And all of these , so if it's a billion gallons of SAF, it
Page 14 of 24 will need 2 billion gallons of ethanol. That's the equation so, 2 billion gallon of ethanol will have

to be low carbon ethanol in United States , existing plants. And now that's a fairly big opportunity because on an average, you can take 100 million gallons, capacity of one plant . So, at least 20, if not more will have to convert over the next four years or so to low carbon ethanol. And each of them depending on what they are currently and where they are can present an opportunity to us, ranging from \$10 million to \$30 million per plant that is how it works .

Moderator: Thank you. The next question is from the line of Dhawal Shah from Infinite . Please go ahead .

Dhawal Shah: I could remember, we had mentioned that we had taken a C BG order from a large conglomerate and I could see their name in presentation this time around. And , I remember they had given us an order on a turnkey basis, which was a new thing for us. And since now, I assume that we have executed that order. And that conglomerate has plans of establishing 50 odd plants in the coming two years. So , how was our experience in executing those orders and how are we positioned to, going ahead and capturing that opportunity?

Shishir Joshipura: Great question Dhawal . So, yes, the good news is that we have executed now two contracts for them. One in their headquarters, manufacturing headquarters, not in headquarters , headquarters and the other one in another location. In fact, on 1st of August there will be a large inauguration that has been planned for the plant, by the management of our customer. And we are very, and this is from whatever we know, they have indicated to us that they are extremely happy with execution and the performance of the plant so far. And we do hope that as we move forward, the performance will help us to actually win even more contracts, we are building a few more for them. But they are still away from committing their probably about sometime the beginning of next calendar year. So, that is under execution right now. But what we have built for them, and it has already started to produce gas, it's worked very well. And it augurs well for us, we only received positive news. And I do hope that this will translate to more business as we go forward.

Dhawal Shah: That's good to hear. And one more question about PLA. Since we have now got some breakthrough on PLA, what would be the addressable market going down the line , say in five years ?

Shishir Joshipura: Actually, we are the first company to have indigenously developed a technology that uses local

feedstocks and can convert this to , so the critical step is to convert that to lactic acid 90% , that is the full name lactic acid 90%. And we have now achieved that but of course that's the first step, we still need to do this on a consistent basis, we still need to showcase to our customers , already several dialog the customers are beginning to open. And as we move forward, we will see how that develops, it's probably a little early for me to say any numbers around what business will happen. We are very bullish that overall, the world needs to move to bio manufacturing, because that's a more sustainable way of living. We said this for 40 years for ethanol and only last 5 years we have seen them convert. So, we will have to see how that Page 15 of 24 works , it was a slow conversion, but CB G didn't take that long, it probably took much faster off. So, we expect that as we move forward, and we develop a little better understanding of sustainability. These things will come into play.

Dhawal Shah: Since we have so many opportunities coming up in so many segments, I just wish and hope in next two, three years, all of them converge together and we are executing all of them in a great way. And I wish you all the best for the future endeavors.

Shishir Joshipura: Thank you so much. In fact, that's exact dialogue I had with my chairman two days ago and you are saying how we are going to prepare if such a thing happens and we said yes, we are cognizant of what we need to do. And thank you very much for your good wishes.

Moderator: Thank you. The next question is from the line of Kaval from Sama Wealth . Please go ahead.

Kaval: Sir, my question is , what is your future outlook for various segments or what are the projected contribution for each segment?

Shishir Joshipura: Sorry, the question what is our understanding of EV?

Kaval: Yes sir.

Shishir Joshipura: Okay . So, we are not vehicle manufacturers. So, we don't know , but from what there we see that what we have to understand is that every technology will have a role or a place in the overall car park if I can use that word that the terminology automotive companies use. So, in the overall car park, which includes two wheeler , four wheelers, everything, there will be a definitive place for different technologies to emerge, what we have to understand is that as a country what works for me, and what works for me better , you think like this, if it is an IC engine which is the current engine in the cars that we use, that uses biofuel as a input energy source, A much , much larger part of my country gets involved. My farmers are happy , my industry is happy, I create employment for the youth, my supply chains remain undisturbed on the automotive side because still making the similar cars and vehicles are on the retail side of network again, we can use the same one that is for liquid fuels, again for liquid biofuel, they use as well right now because they are blended. So, it saves foreign currency for me, it keeps nations wealth inside nation, it ensures that we will have lower carbon emissions. So, everything is on the positive side , it's a full value circle, it's a closed what I would call as circular economy, and that helps the country . On EV , not all of these benefits accrued there are some

other benefits that one can get. So, we will have to decide what works for us as a country, God has given us sun, God has given us agricultural land and very hardworking farming community. That's what we have, we don't have those fancy minerals that are required to make batteries. So, unless that technology changes, we will have to see differently. I personally believe both will have place in the sun, for India ice is a better option.

Page 16 of 24 Moderator: Thank you. The next question is from the line of Rahil Shah, from Crown Capital. Please go ahead.

Rahil Shah: Sir, why has there

been a reduction in order intake, you have given a graph on page #10 so quarter-on-quarter basis like specifically for this quarter what went wrong and any outlook ahead, how is the pipeline looking overall?

Shishir Joshipura: First of all, let me submit from a numbers perspective it did not look good as it should have looked. On the other hand, we don't think anything went wrong in the sense that we have not lost any market share. The market potential is still there, all the strategies that we played out are playing. But of course, there were four major factors that actually impacted and that's where I want to draw, first and foremost first quarter with Central Elections in our business, which is agri industry policy driven. Too many factors at play for a Central Election quarter to actually so first two months were lost in a manner of speaking that's number one. Number two, prior to the election, there was a what I would call as a reprioritization of the feedstock for the industry, as I said in my opening remarks as well, which led to a situation that people were not able to decide on setting up new projects because the hold was given for a temporary period, but it is still not removed. So, they are waiting for it to be removed all the bankers will not give money for the project if there is uncertainty and feedstock. Prior to that there was on the starchy feedstock as well in the domestic market. So, a lot of our built up was around domestic business that was happening. However, we had also recognized that maybe we need to prepare ourselves better and that is what we have been doing and that is how you see an order book significantly changing its directions. #A, the export component going up, #B the engineering and PHS section so we are now at about 52:48 ratio. If you are seeing our past numbers, they will be more like 80:20 put together but now it's more like 52:48. And also our export business is almost 42% of our order book. So, some of these steps that we have taken, not that we have taken them in a rush, we have taken them with thought through fashion. And they have helped us to bridge the gap. That is some time lag between the two, but as I was saying earlier as well, as per the year end is concerned, we stay very positive that we will do better than the year went by as far as the order booking numbers are concerned. It's just a little bit of timing difference plus these factors that I told you. As we move through the year you will start to see the improvement.

Rahil Shah: Okay. And secondly, just any revenue growth guidance further?

Shishir Joshipura: Sorry to disappoint you we don't give revenue number guidance. When you talk revenue guidance, my CFO forget his mathematics, he is otherwise a brilliant guy, but he forgets.

Rahil Shah: Directionally we can expect much better results than last year?

Shishir Joshipura: Let us hope that.

Page 17 of 24 Moderator: Thank you. The next question is from the line of Faisal Zubhair Hawa from HG Hawa and Company. Please go ahead.

Faisal Zubhairhawa: Sir, like a previous participant also pointed out, and you also talk with your chairman, there is a problem of plenty. And we are brightly placed in so many segments and it's all the result of the brilliant R&D that we have done, two decades ago. So, I want to see some kind of change taking place in the overall senior management or where you actually recognize that you can actually double or triple revenue every three years without even deploying much capital. And where is that change coming from or how is that change of mind taking place where you so far, you have been batting at a steady state, and now you have the opportunity because of the foundation to really build strong on that, this is like to me it's looking like the last 20 overs of a one day match and you have just lost two or three wickets?

Shishir Joshipura: You have done

a great analysis, let me compliment you on that. You're bang on target, when you say that the R&D work that we have done over a period of time actually comes to good streak for us now. And it has actually prepared a platform for us to actually launch and address these multiple activities, that's exactly the way we see it, that we are beginning to see opening out of different. So, we are no longer dependent on a single molecule in a single market. We are now multiple markets, multiple molecules, multiple solutions, multiple capabilities that we can get paid for. So, very different, what I would call as a canvas for the company, that's the exact way we are thinking, in fact somebody asked me right at the beginning of this call, that would you actually achieve the guidance that you gave of 3x growth by 2030. And I said, yes, we are on track, there is no reason for us to believe otherwise. But as we all learned, we should stay true to the strategy that we have sort of defined for ourselves, make sure that we continuously align ourselves with the changes in the external environment, and keep working

hard and keep going at it. And , I have no reason to believe that if we do all of that stuff, and things remain normal, we have all learned in 2022 what happened so subject to that kind of a thing not happening. Yes, we are on track.

Moderator: Thank you. The next question is from the line of Sagar Dhawan from Value Quest . Please go ahead.

Sagar Dhawan: My question is on the execution timeline of the current order book. So, could you just tell us what is the execution timeline for the engineering part of the order book and is it different from the current bioenergy execution timeline?

Sachin Raole : See engineering orders right now, we are having a mix of orders because they are not typical orders some are for the longish period, especially the ones which we have received for engineering of the SAF thing. So, the engineering order itself will get executed over a period of at least from eight months to 15 months kind of a period because the scope is pretty , pretty large for those engineering orders , all other orders which are non -engineering they will get executed over a period of 12 to 15 months.

Page 18 of 24 Sagar Dhawan: Understood sir. Okay , and s econd question was on the capital allocation plan, what is the CAPEX plan going ahead for this year as well as FY26 and, in the light of the opportunity which are emerging like for example, IOCL JV or renewable chemicals, in the longer term what are the broader CAPEX plan from the near to medium term point of view ?

Sachin Raole : So, currently, our capital will get a little bit on the two sides from the fixed assets or capital expenditure point of view, one on the GenX. GenX is still the entire CAPEX is not yet done some CAPEX will happen during this year also . There is something which will be happening on the PLA side and the pilot plants which we are thinking at in the R&D. So, there is another one, third one which we are not yet fully , fully finalized, but there will be some allocation which will be happening for the IOCL JV as you rightly mentioned, depending on how many projects are going to kick start in this year, next year naturally it will be a little bit on a higher side because if it is CBG plus SAF plant if you are thinking of and which is on the anvil in any case , then the capital allocation will be a little on the higher side. To find this, we are looking at different avenues. And not necessarily that it has to be completely and entirely funded from our side. So, we are looking at different avenues to fund that. So, one on the capital expenditure side or allocation side. And on the funding of that capital allocation, the way in which we are looking at are two things which are going on parallel right now.

Sagar Dhawan: Understood sir, any CAPEX number for FY25?

Sachin Raole : It shou

ld be in a range of around 75 to 100 crores.

Moderator: Thank you. The next question is from the line of Shyam Maheshwari from AB Capital. Please go ahead.

Shyam Maheshwari: Wanted to understand how our payment terms on export orders are . Are these largely FOB or CIF and how should the working capital move, with more export orders in our order book?

Sachin Raole : It's actually a combination, I will not say that everything is FOB, or everything is CIF, it's a combination of both depending on how the customer is looking at. And if they are having their own arrangement of lifting the goods then those are basically on FOB basis. If they don't have, then they generally ask for CI F from our side. Your second question was related to working capital ?

Shyam Maheshwari: Yes.

Sachin Raole : So, working capital, we don't see any what I can say, pressure on working capital per se, even if we see in future the revenue to grow, the working capital will remain in more or less similar kind of number of days what we have seen in the last year.

Page 19 of 24 Shyam Maheshwari: Understood. And sir secondly wanted to understand a little bit more on the low carbon ethanol

opportunity. I believe there were some GREET framework that was released earlier in the year which kind of enabled a different way to look at how carbon intensity had to be calculated. So, are you seeing more traction in the low carbon ethanol opportunity in the US because of the changing framework are they still status quo, because of the 45(Z) notification . Is there anything that has moved?

Shishir Joshipura: No, s o 45(Z) gives an additional incentive for people, there is some clarification that is required to come , but then e very ethanol producer who does this LC E conversion gets it or only those that get used for SAF so that many of these dimensions one of them that sort of get there. So, first, from the two things one, the SAF opportunity will drive L CE demand that's a given, there is no question. And we are saying that, as I mentioned, if I remember on that correctly what I said earlier, the 20 odd plants we will have to convert between now and next four years to LC E projects, each of them between \$10, \$20 million currently depending on what currently they are at kind of opportunity. So, it does present a very definitive segment of market for us to address we have the technology and solutions to do that. And that's what we are looking at right now.

Shyam Maheshwari: Interesting and is it possible to do it , do low carbon ethanol without carbon capture , because that is how we are targeting them ?

Shishir Joshipura: That's exactly what our offering is , that if you cannot do CCS, we will still be able to get you down by nearly 30 points on the CI scale.

Shyam Maheshwari: Okay . And that is established , we have a proven technology there?

Shishir Joshipura: That is approved yes.

Moderator: Thank you. The next question is from the line of Shirum Kapoor from PL Capital. Please go ahead.

Shirum Kapoor: My question is on CBG, so in your opening remarks you spoke about setting up a pilot plant in US. So, I just want to get a sense of what the opportunity is for CBG in international markets.

And if you could maybe quantify the pipeline, give some more color on, the international opportunities in CBG ?

Shishir Joshipura: Yes. So, I will just connect to the answer that I already gave. So , the low carbon intensity of the molecule is becoming a big driver so far right now everything was around the volumes and the costs, but the new dimension that is coming into these biomolecules is the carbon intensity of the molecule. And therefore , when people are now putting a project , especially in that part of the world when they are doing grain -based ethanol, which is the large application there . They are saying how do I go about reducing the grain -based ethanol's carbon intensity, there are

Page 20 of 24 different levers that you push, inter dropping is one of them using waste, stock material is another one, modern farming practice is another one, the whole supply chain and the delivery chain. And in between the process plant itself, they are saying what can I do to actually reduce the carbon intensity and for that purpose, using a waste stream for generation of gas is a very, very, what I call is very high potential and high value carbon intensity reduction technique. It has its own issues that need to be addressed , but this is very much doable. And that is one that I alluded to so right now we are putting out a pilot plant to understand after we have generated the gas, how do we manage the effluent that is left off , that is what the whole experiment is about. And we are working with the US company to make it compatible with the local fertilizer laws there. And if we can achieve that, and we have no reason to believe otherwise, but if we can achieve that, as in when we achieve that, that will open up this whole segment for this application.

Shirum Kapoor: Okay , I understand. So, would this classify, from a segmental classification does this come under your E TCA offerings or would it be as part of your bio energy offerings just to get a ?

Shishir Joshipura: It is bio energy offering.

Shirum Kapoor: And similarly, for the SAF opportunity where you have got an order right now for the complete modularization of a SA F project for AT J, which is mentioned as part of that overall opportunity of low carbon ethanol in SAF . So, again, just to understand, are we considering this whole low carbon opportunity to drive your engineering business, or will it be within your 1 G international , could you give some clarification on that?

Shishir Joshipura: That depends on what we are offering , what is my offering , if my offering is only about engineering and modularizing then it's part of the ETCA platform, if it is about producing low carbon ethanol and then converting that then there's a technology element then it's part of the bio energy business.

Shirum Kapoor: Okay . So, it's flexible from that sense , just overall 20 plants to be converted, it could fall under either category, depending on your offering. From that perspective, is that the right understanding?

Sachin Raole : Yes, that's right . So, depending on the component, if there is a technology element then naturally it comes into the bioenergy segment, if there is no technology element , and if it is the modularization solution, irrespective of the application within ETCA , it will come under ETCA segments .

Shirum Kapoor: Okay, that's much clearer now, thank you. And lastly CBG, just to get a sense of at least in the domestic market. We have heard reports of 750 CBG, plants to be set up at a 37500 crore s opportunity size. So, is that the addressable opportunities specifically for Praj or what is Praj's share in that overall pie of 750 plants and 37500 crores ?

Page 21 of 24 Shishir Joshipura: So, CBG space , the opportunities are bigger than that. So, that's not the limiting factor, as I was

mentioning earlier as well, the development of the ecosystem around that takes the optics side, there are multiple optic points in this volume, there is a liquid fertilizer, there is solid fertilizer, there is gas itself, again on the supply chain side itself and the feedstock. So, these ecosystem elements are gradually coming into place, also what I would call as the user point so there are more and more, as you probably have seen the ads , I've seen about CNG vehicles being pushed by major manufacturers, because that is another one. So , some of these elements have their own speed at which they start to sort of become part of an overall system. That's what we are seeing right now. And as the whole thing plays out on the CB G side, we will be able to see the full CB G play even at a much larger sca

le, because SATAT s scheme envisages

larger outlay for the program. So, we are not right now limited by X number or Y, much more the question is much broader right now.

Moderator: Thank you. The next follow up question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: So, my other questions are answered only one question. Sir we have mentioned about an order for production of low carbon ethanol using lactose separated from milk from a US based customer, can you throw some light in terms of size or opportunity out there?

Shishir Joshipura: It's an interesting one, because this is actually Shailesh, this qualifies low carbon ethanol very low carbon intensity score. So, this is low carbon ethanol, this is a very important source for potent for carbon ethanol. So, in fact, maybe next quarter we will talk about it. We are speaking to this customer with whom we are setting up the first project in Michigan. On the story side, you know that Amul launched the milk in the United States. And the same dairy will also be the production point for them in United States for their brands. So, that's just a small story on the side. But give me some time, this looks like to be promising especially large dairy concentrated areas. It's a niche application, but very interesting one.

Shailesh Kanani: Just to clarify, this is the first of its kind this we are doing, because I have not read it earlier in our reports or anywhere?

Sachin Raole: Yes, Shailesh that is right this is for the first time it's happening.

Moderator: Thank you. The next follow up question is from the line of Prathamesh Sawant from Mirae Asset Capital Markets. Please go ahead.

Prathamesh Sawant: Sir just two questions. So, one is, when we looked at the domestic 1G ethanol plant, so typically we had 30% to 35% of that as our engineering component of the plant. So, when we have looking at this US plant where they have been converted into low carbon, and you said you have \$10 to \$20 million opportunity across 20 plants. So, what is this, is this entirely our target opportunity or do we consider 30%, 40% of this opportunity again?

Page 22 of 24 Shishir Joshipura: No, this is our target numbers.

Prathamesh Sawant: Okay. So, directly, so we can expect 300 million kind of revenue in a span of next two to three years from this?

Shishir Joshipura: I am not saying that this is the addressable market. That's what, if we get all of this, yes.

Prathamesh Sawant: Assuming if we have 15 million across 20 plants.

Shishir Joshipura: Yes.

Prathamesh Sawant: And sir secondly, what percentage of the domestic ethanol capacity is yet to be built of the 1000 crore was that was supposed to be built for the 20% blending?

Shishir Joshipura: So, if I look at my inquiry pipeline it's equally healthy. So, we don't see any letup in the development of the inquiry pipeline for the domestic ethanol market. So, if that's an indicator, then there is still a lot to be done and I will tell you why because there are some imbalances that sort of crept in one because of the feedstock situation, this is permitted, that is not permitted, this needs to get focused, this will not happen, going to this particular zone and not in that zone so there are multitude of factors that are at a place. So, we still believe that we are not run out of EBP 20 program of course, one time they will meet that capacity we are commissioning, Sachin mentioned to you that last quarter, there were a lot of construction activity that underwent so capacity will come into play. We still have two major feedstocks on freeze, so we make it unfreeze. Difficult to answer it just now, but that's where we are so, we do see yes, it is not in its heyday level of capacity creation, but it is still there.

Prathamesh Sawant: So, a ballpark figure of 200 crore to 300 crore liters can we put it that way, because 500 crore

was four quarters back?

Shishir Joshipura: Yes.

Moderator: Thank you. The next follow up question is from the line of Faisal Zubhair Hawa from HG Hawa and Company. Please go ahead.

Faisal Zubhair Hawa: Sir, did you say that the engineering contracts which are already with us, will take around three years to complete?

Sachin Raole: No, engineering orders is with engineering and supplier modularization they can be little longish depending on the size of an order. But if it is only engineering, if it is only a service, then I was mentioning that it can range between eight months can go up to 12 months also depending on the size of our engineering order.

Page 23 of 24 Faisal Zubhair Hawa: Sir, any plans of getting a very good international guy to head over sales function and who

continuously travels across the board in US, Europe and kind of does lot of exhibitions and a lot of lobbying with even governments to really get this going because now some size emerging for us, we can probably afford that and make the company go to large giants like how Hitachi has done or how large USA MNCs have also emerged.

Shishir Joshipura: So, Faisal, thank you. We are not at Hitachi level yet, but we are definitely participating in forums where we need to be heard, where we can present our solutions, where we can build, we are part of platforms where they bring the industry players together and then create a consensus view. So, those we are definitely taking participation in, I mentioned about GBA, that's going to be a major platform and we are playing our role as actively as we can. There are other platforms also where we are very, there's a clean energy ministerial dialogue among

multiple platforms to which we participate in both in the United States and Europe and now Brazil as well. And, in our current understanding that it's sufficient, given our price and scope, and what we can manage, and wherever required we will take the help of external agencies as well.

Sachin Raole : And just to add what Shishir said, our current leadership pipeline is good enough to take care of whatever is happening in the market, especially the international market, which you are referring , we have very dedicated people who are concentrating on these different segments of businesses to understand what is going on there, couple of guys are actually stationed there.

And the people, the senior leadership team from India office, very often travels to these markets. And definitely, does the required business development for all these businesses .

Shishir Joshipura: And we are building a team, which is local in nature, so all the people on the ground now that we are building our local people. When I say locally, they are natives of that place. Obviously, they are much closer to the culture and reality compared to us sitting here thousands of miles away. So, we are taking what I would say concrete steps to ensure that we are not found wanting on this dimension .

Faisal Zubhair Hawa: So, sir I know for a fact that the promoter is not very active with day -to-day activities of the company. But even at his end, is there any kind of succession plan for his holdings and how things will pan out?

Shishir Joshipura: That's a question you need to put to him, not to us. However, let me tell you, that Dr. Chaudhary is very much involved in strategic direction with the company, what we do on the technology front , how we are developing technology, how we are prioritizing ourselves. And that's the whole idea that our pay of time , we thought through is trying to ensure that the Praj management becomes professional. So, that's how many of us are having our jobs here. So , we are doing what we can, he is doing what he can, together it's a good thing , and of course the board construction, you will see there are multitude of elements that sort of get played out on the board consti

tution, his own thinking , his involvement, professional management , planning.

Page 24 of 24 So, there is multiple elements, and we have no reason to believe that there is any gap right now in terms of what we require, at least for the next five years.

Faisal Zubhair Hawa: Thank you sir. And I must tell you that, Praj remains always the best concall addressed by management , with in-depth answers and we are able to always have better understanding of the company after the concall. I cannot appreciate it enough.

Moderator: Thank you . Ladies and gentlemen , we will take this as the last question. And I will hand the conference over to the management from Praj Industries Limited for closing comments.

Sandip Bhad kamkar : So, thank you everyone for your time today. In case you have questions, please write to us at info@praj.net. Once again, thanks a lot for your time today and have a great day.

Moderator: Thank you . On behalf of Praj Industries Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you .

Call: Nov 2024

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Sub: Transcript of Analysts' Call held on 28th October, 2024.

Dear Sir / Madam,

Please find enclosed Transcript of Analysts' Call of Praj Industries Ltd. held on 28th October, 2024 regarding Un-audited Financial Results (Standalone and Consolidated) for second quarter and half year ended 30th September, 2024.

This information is given pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time.

Thanking you.

Yours faithfully,

FOR PRAJ INDUSTRIES LIMITED

ANANT BAVARE
COMPANY SECRETARY &
COMPLIANCE OFFICER
(M. NO. 21405)

Encl.: as above

Page 1 of 23 Praj Industries Limited
Q2 and H1 FY25 Earnings Conference Call
October 28, 2024

Moderator: Welcome to the Praj Industries Limited Q 2 and H1 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you , and over to you , sir.

Anuj Sonpal: Thank you. Good afternoon , everyone , and a very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the investor relations for Praj Industries Limited . On behalf of the company, I would like to thank you all for participating in the company's earnings conference call for the second quarter and half year ended, first half ended September 30th, 2024.

Before we begin, let me mention a cautionary statement. Some of the statements made in today's earnings conference call may be forward looking in nature. Such forward -looking statements are subject to risks and uncertainties , which could cause actual results to differ from those anticipated. Such statements are based on management's beliefs as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's earnings conference call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now , let me introduce you to the Management participating with us in today's earnings call and give it over to them for opening remarks.

We firstly have with us Mr. Shishir Joshipura - CEO & Managing Director and Mr. Sachin Raole – Chief Financial Officer & and Director of Resources. Without any further delay, I request Mr. Shishir Joshipura to start with his opening remarks. Thank you , and over to you , sir.

Page 2 of 23 Shishir Joshipura: Thank you , Anuj. Good day , everyone. I welcome you to Praj Industries' earnings call for Quarter 2 and H1 of FY '25 . Trust all of you had the opportunity to go through our results for the quarter ended 30th September, 2024.

Let me start today's call with an important development in biopolymer space.

Earlier this

month, Praj 's first-of-its-kind demo facility, also India's first for biopolymers , was inaugurated by Honorable Union Minister – Dr. Jitendra Singh, Minister of Science and Technology. This facility showcases our capability in renewable chemicals and material space. This facility will demonstrate Praj's indigenously developed solutions in the RCM space.

This integrated facility houses fermentation, chemical synthesis, separation and purification sections along with other supporting sections and is spread over 3 acres. This facility showcases production capacities of 100 tons per annum for Lactic Acid , 60 tons per annum for Lactide , which is equal to 55 tons per annum of PLA.

Recent announcement of government approval to the BioE3 policy for fostering high performance bio manufacturing is a very , very progressive step in this direction. The BioE3 policy will give boost to innovation driven R&D and manufacturing as well as commercialization of technology.

Our demo plant is an important global breakthrough as it opens a completely new dimension in form of renewable chemicals and material segment.

The global economy is witnessing continued challenges arising from unstable geopolitical situations, a relatively tight liquidity, uncertain and volatile energy prices and changing climate. While some of these events have created a short -term challenge, they have also enhanced the need for accelerating the push for sustainable and renewable energy. Increasingly, governments are realizing and committing themselves to enhance the share of biofuels in their respective economies.

Coming to business performance, along with Bioenergy segment that continues to develop positively, our business is growing in multiple dimensions, with healthy order and inquiry inflows from bioenergy, energy transition, services and engineering verticals from both domestic and international markets in the first half of the year. With several positive developments in the ecosystem and the market, it augurs well for continued growth journey as we move forward.

On the domestic bioenergy business front, in a much -awaited development, the government lifted restrictions on use of cane juice, cane syrup and B-heavy molasses for Ethanol production. This has not yet resulted in any significant movement in the market. Sugar plants are expecting a long -term visibility for the policy to take further investment decisions for setting up Ethanol plant based on these feedstocks.

Page 3 of 23 The ethanol producers are also awaiting price revisions for ethanol. The grain -based distilleries are now allowed to purchase up to 2.3 million metric tons of rice from FCI exclusively for ethanol production. However, the indicative grain price is very high, posing a big challenge on project viability. Several projects are now opting for maize or corn as feedstock of choice, and the government has also highlighted its additional focus on enhancing feedstock availability by increasing corn production in the country.

Capacity built up in this quarter was completely dominated by starchy feedstock, with 100% share of our order book being from starchy feedstocks for this segment. With a target of 20% ethanol blending with petrol on track, the Food Ministry has approached the NITI Aayog to

prepare a roadmap for 25% blending. This is an encouraging development, which can further drive ethanol demand and translate into a significant business opportunity for us.

On international bioenergy front, we are witnessing strong inflow of enquiries from Brazil, Argentina and Paraguay for Corn Ethanol. There are many positive developments from the policy point of view. Brazil has legislated Fuel of the Future law that will increase the default blending to 30% up from 27% currently. This is expected to create a demand for an additional 4 billion liters of Ethanol. And we expect star

chy feedstock to have a majority share of this

additional demand given the feedstock dynamics in the country.

Argentina, Panama and Paraguay are discussing increased blending mandates, which will result in business opportunity for us. Africa has announced ethanol for clean cooking initiative that will likely drive ethanol capacity creation in Africa.

The world awaits the outcome of the U.S. election where the market is awaiting clarity on 45 (Z) of the Inflation Reduction Act. We are witnessing increased traction on SAF related projects on ATJ Pathway and expect positive developments in low carbon ethanol demand as well as these as we move forward.

India is now the official headquarter of the Global Biofuel Alliance and we expect significant activities to get underway during COP29 event in Baku scheduled early next month. Praj is invited to be part of this event as a leading technology partner. Praj is also invited by the Brazil government to be a part of a dialogue sponsored by them at COP29. These developments are indicative of Praj's growing technology progress on the global front.

Our continuous endeavor to help enhance value for our customers and help them win is leading to increased focus on co-product creation from existing feedstocks. With a view to help starchy feedstock-based projects, we have commissioned a demo plant for production of corn oil at one of our customers' installations. Corn oil is one of the by-products at the corn-based ethanol plants. This plant can produce 4 tons per day of corn oil. It is mainly used as a feed for biodiesel and has applications in the paint and poultry industry. Corn oil modules will help enhance the financial viability of all corn-based ethanol plants.

Page 4 of 23 A couple of years ago, we spoke about a String of Pearls approach for Praj's growth strategy.

Enhancing the service business portfolio, which offers solutions across a broad spectrum, was one such perk. Our service business is now seeing a healthy growth in order book and revenue from both domestic as well as international markets. Biogenic CO2 capture, fermentation process management, operation and maintenance services are increasingly finding higher interest with a healthy inquiry pipeline. Our order book for H1 of FY '25 is 40% higher than our order book for the entire last year for this segment.

On 2G front, IOCL plant recommissioning progress is as per plan. We are working closely with the IOCL team to ensure ramping up of the plant capacity in gradual manner.

On the C BG front, the developments are gradual and in positive direction. Several elements of ecosystem are aligning for driving future growth in this industry. We have received our first order for a plant exclusively based on Napier grass, as also our first international order for biogas Desulfurization from Philippines. The inquiry pipeline is developing positively, and we expect it to translate into firm business in the second half of FY '25.

Moving on to engineering business:

On the energy transition and climate action front, the process of Mangalore facility approval by our clients and building up the team is going as planned. We have already received the approvals from four of the leading global EPC companies. As the process of approval and then discussing new orders itself is long, we have not seen any major order booking for Praj GenX, though the inquiries are building up meaningfully.

Our dialogues with leading solution providers in the ETCA space for modularized solutions have progressed well and we expect them to lead to positive results in the near future. The current exposure is for building the infrastructure and the revenue is expected to follow in due course.

Our Zero Liquid Discharge business is also gaining momentum with increasing acceptance of our modularized solution. First of our modularized ZLD plant

was installed in a record time

of less than a week. Please compare this to the typical time taken at site which is of the order of six months.

Our PHS business is witnessing a very healthy buildup of projects pipeline, which we expect will translate into orders as we move through the second half of the year. Overall, we see a positive development for all our business lines.

With this, I will now hand over to Sachin for his comments on the financial performance. Thank you.

Page 5 of 23 Sachin Raole: Thank you, Shishir. Good day, everyone. Let me take you through the financial highlights for the quarter and half year ended September 30, '24.

The consolidated income from operations stood at Rs. 8.16 billion in Q2 FY '25 as compared to Rs. 8.82 billion in Q2 of FY '24. PBT stood at 744 million in Q2 of FY '25 as compared to 848

million in Q2 of last year. Similarly, profit after tax stood at Rs . 538 million in Q2 of FY '25 as compared to 623 million in Q2 of FY '24.

For H1 FY 25, income from operations was 15.15 billion as against 16.19 billion in H1 FY '24.

PBT before exceptional items stood at 1.53 billion in H1 FY '25 as against 1.62 billion in H1 FY '24. PBT after exceptional items stood at Rs . 1.81 billion, PAT of Rs . 1.38 billion in H1 FY '25 as against Rs . 1.21 billion in H1 FY '24.

Though the order book is healthy, in Bioenergy segment, lower pace of execution has impacted the top line in this quarter. Improved contribution margin is on account of softening of raw material prices and shareable sales mix.

Export revenue accounted for 27% of Q2 FY '25. Of the total revenue, 68% is from bioenergy, 24% from engineering and 8% is from the PHS business. The order intake during the quarter was 9.21 billion with 94% from the domestic market. Of the total order intake, 88% came from bioenergy, 6% from engineering and balance 6% from PHS business. The order backlog as of September '24 is at 41.5 billion comprising of 72% of domestic orders.

Let me now explain some of the variances in the numbers. Increase in the employee cost is because of addition of resources in our subsidiary called Praj GenX, and services business and normal annual increments.

Mark -to-market of forward contracts resulted in a loss in H1 FY '25 against the profit for H1 FY '24. Higher finance cost and depreciation, amortization cost is on account of investment in new facility at Mangalore of Praj GenX.

Cash in hand as on 30th September '24 is 7.51 billion.

I now conclude my remarks, and I would like to thank you all for joining us on this call. We would now be happy to discuss any questions, comments, or suggestions you may have.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: My first question is on the P&L and balance sheet items. Can you please help us with the CAPEX at GenX, which you have capitalized in the first half, and the MTM losses you have booked in Q2 FY '25?

Page 6 of 23 Sachin Raole: So, let me just give an answer for your second question related to MTM loss on FOREX. In the last year, H1 '24, we were having the FOREX gain versus in this quarter, we are having FOREX loss. It is mainly the mark -to-market of the forward contracts, and it is not the cash losses which we have booked. It is the situation of when you are doing mark -to-market of forward contract as on the reporting date. The forward contracts have shown because of the adverse movement of euro specifically, not even dollar, it is mainly on account of euro movement which has happened in the last week of September. Let me just clarify actually, this is only a book loss, it is not a cash loss, one. And two, the movement of euro has actually reversed again in the first week of October. But for the date of 30th September, it has r

esulted into loss on our book.

Your first question was related to the CAPEX which we have done on the Praj GenX. Yes, the facility which we are building up in Mangalore, the facility is actually taken on a lease as per the accounting standard Ind AS. You have to consider the entire lease rentals which are getting paid out on this facility has to be capitalized and to be provided in the form of depreciation and interest.

The line item on the depreciation and interest is on account of that. If you look at for last six months, our depreciation was in a range of 18 crores, but if you look at for the half year, it has translated into 40 crores, so almost 22 crores increase on account of that depreciation which is mainly coming up because of this GenX facility which we have put up.

Mohit Kumar: Is it possible to quantify the MTM losses you have booked in Q2 FY '25?

Sachin Raole: Oh, yes, the total quantum on this MTM losses was 10 crores.

Mohit Kumar: 10 crores. Thank you, sir. My last question is, sir, good to see improvement in QoQ order inflow in ethanol business in domestic. But sir, our engineering order has declined sequentially. I think you alluded to the fact that GenX is getting ready.

Moderator: As the current participant is not answering, we will move to the next question. The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: I wanted to get your clarity on first things first. So, I will go ahead with my question. The question that I had was more on this. A recent judgment has been passed which gives powers to the states to kind of put taxes on top of industrial alcohol. I wanted to clarify whether there is clarity, whether the blending ethanol also is involved inside this judgment or not?

Shishir Joshipura: No, that is specifically as it relates to industrial alcohol and is more a question as to who has authority between the state and the centre and has no impact at all.

Aditya Mongia: Right, so Ethanol for Blending is not classified as Industrial alcohol, right? Is that what you are also trying to say?

Page 7 of 23 Shishir Joshipura: No, it is differently treated, yes.

Aditya Mongia: And that is good to get clarity on. The second thing I wanted to get a sense from you is, on a 1H basis, how much has been the Y -o-Y movement in your ordering from 1G Ethanol, and how to think through this number over the next 12 months or so?

Shishir Joshipura: What is the question you said? Movement on what?

Sachin Raole: 1G.

Aditya Mongia: Movement on 1G Ethanol and the related ordering for the first half of this fiscal, and how to think through this over the next 12 to 18 months.

Shishir Joshipura: Compared to, and you want it in relation to what?

Aditya Mongia: Yeah, essentially the Y-o-Y growth trend is what I am trying to focus on, of the past and the future.

Sachin Raole : So, September 24th to September .

Shishir Joshipura : You want June to September or you want September to September? I am just trying to understand if we answer in the right way.

Moderator: As there is no response from Mr. Aditya, we will move on to the next question. The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead. As there is no response from the participant, we will move on to the next question. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: First question, sir, you highlighted on the international opportunities in Paraguay, Africa, Brazil.

Wanted to understand are we looking for starchy plants only in these areas, in this geography?

And second, wanted to understand if you could substantiate on the pipeline, whether value or volume in these geographies which we are looking, and how is the competition, any competing company globally where we are competing and we have advantage to get orders

in these

geographies?

Shishir Joshipura: So, thank you for the question. Yes, so these opportunities are not necessarily all of them are starchy. I think Africa can be a mix between the two, where it's starchy and sugary. The opportunities in Latin America currently is based on starchy feedstock. Two, because of the way the whole business has evolved in that part of the world, the starchy feedstock has a clear play for people and companies with experience on handling starchy feedstock. Obviously, Praj has got tons of it. So, we are able to create a very clear value proposition in those markets around starchy feedstock. As you are aware, we have already commissioned a plant, we are Page 8 of 23 engineering for three more, and I am sure that as we go forward, we will probably hear about further developments in these markets as well.

The second thing that is happening is that the governments in these markets are pushing for higher blending percentages. As I mentioned, Brazil has passed a law, which now makes it mandatory for, just as we have E20, they will now have E30. Up from E27, 27 to 30 for them is almost 4 billion liters of annual production. Most of it is likely to come from starchy feedstock, but not all of it. And that puts us in a good position because our starchy feedstock solutions are finding good traction in these markets.

Amit Anwani: Sir, any addressable, are we expecting five, seven plants together from these geographies?

Anything on what are the expectations?

Shishir Joshipura: As I mentioned, we are already engineering three projects, and as we go through the timeline over the next six months, you will hear more about it.

Amit Anwani: And on service, if I heard it right, you said H1 is 40% higher than full of last year.

Shishir Joshipura: That is correct.

Amit Anwani: So any sense, what was the absolute number for H1? And going forward, what are the expectations with respect to service revenue contribution? And second, from where exactly this is coming? Are we focusing, have started focusing this area now, or is there any opportunity which has gathered pace and we have started getting good volumes in service?

Sachin Raole : So, Amit, we just don't give the segmental kind of a number, but let me tell you the services business when we talk about has two elements. One on the performance enhancers, which go for our ethanol business, and the O&M. We have seen the traction happening on both the sides. And performance enhancers, if I may say that, it has a component of domestic and international both. And the uptick which we are seeing is actually happening in all the segments. Going forward, your question is related to what is going to happen in future. We see that this momentum for services business is going to continue. Rather, other businesses will also start contributing to the services business, especially now as the C BG is coming to a maturity level. In the sense, the plants are coming up for finality, the O&M is starting. Our performance enhancers for pressmud is also going to be a part of this entire services basket. So, going forward, we see that the momentum for services business to continue.

Shishir Joshipura: Additionally, we are also seeing a big move happening globally on capture of biogenic CO2. There is a CO2 that gets released in the fermentation process. And we expect that this could become a significant product line as we move forward. We already have a few installations that we built, but they were far and few in between, but we now see a very concentrated movement Page 9 of 23 happening. So, as we move through the timeline, you will see this opportunity also as a part of our services business opportunity.

Amit Anwani: So, lastly on gross margins, this quarter and last quarter we did, I think 50% last quarter, this quarter we did 47%, and I am assuming services business might have

ve better gross margin. And

then ETCA coming in. So, would you like to answer on sustainability of gross margin at this level or it will settle down to some lower sustainable level? Any thoughts on gross margins post ETCA revenue also coming in next year?

Sachin Raole : I think the quarter 2 margins should keep on continuing on a sustainable basis. Of course, on a quarter on a quarter basis, you will see some kind of a variation happening for the reason to what extent we are executing the engineering services order, which are not the services business segment which we are mentioning. And second one is the sales mix mainly on the domestic and international. So, to some extent, there will be some variation, but yes, the range is going to be more or less same what is getting reported in this quarter.

Moderator: The next question is from the line of Dipesh Agrawal from UTI AMC. Please go ahead.

Dipesh Agrawal: Sir, my first question is on CBG. Was there any order inflow for CBG in the first half?

Shishir Joshipura: Was there any?

Dipesh Agrawal: Order inflow for CBG in the first half?

Shishir Joshipura: As I mentioned that we have signed the deal, already in the order book, there is a first project based entirely on Napier grass. So, we are building projects where Napier grass is one of the feedstocks, but now this is exclusively on Napier grass. There is some development, which is still premature to talk about, but there are companies in the market or interested developers in the market who are thinking in terms of growing their own feedstock and then put up the CBG project and Napier grass is likely to be what I would call as a feedstock of choice. So, this is a very important one. We get a project to build where the promoter has his own feedstock growing area and connected that to the plant. And this is the likely model. We think that that could become a decent model as we move forward. We have to see how these things develop and that is why I mentioned that that's an important breakthrough for us.

Dipesh Agrawal: And sir, how has been the progress on the execution of the CBG plants which we took last year, the 5 CBG plants?

Shishir Joshipura: So, they are progressing well and actually we will start to see them come off on the noticeable level of, you know, in sales and invoicing as we go through the second half of the year.

Dipesh Agrawal: Sir, if I look at your order inflow during the quarter, I think exports has been quite weak while last quarter they were quite strong, but if I look on a trend line basis, your exports this quarter

Page 10 of 23 has been quite weakening. Comments, is it something happened during this quarter in the export market?

Shishir Joshipura: Yeah, no, it's just a timeline issue. You know, these are very large contracts, especially engineering dominated as well as the bioenergy. And both of them, it's just the timing issue.

We just couldn't manage to close them out during the quarter, but as I was mentioning, the pipeline is extremely strong, our dialogues are very strong. So, we aren't, what I said, we aren't unduly worried. At the end of nine months, we expect it to be back to normal.

Dipesh Agrawal: And sir, lastly, off late, there has been a lot of articles suggesting government may look at diesel blending; while timing we may not be able to come in, but any thoughts where are we in terms of technology for diesel blending?

Shishir Joshipura: Yes, so there is as you probably estimate that we don't have to discover the molecule is already there. The alcohol molecule is already there. Now, we just need to see how the engines behave and what the emissions are and the other dimensions on vehicle performance. So, there is a structured program that is currently underway, and I think we will be able to talk about it. We are right now bound by some clauses in the agreement

, but we will be able to talk about it once

the tests are done. It is progressing positively is the only comment that I can make at this stage.

Moderator: Thank you. The next question is from the line of Sani Vishe from Axis Securities. Please go ahead.

Sani Vishe: So, I think my first question is on similar lines. So, we can see the order intake for bioenergy has been really very strong this quarter, but on the other side, engineering has been, I think, one of the weakest quarters in maybe last two years. So, what are expectations on the next two quarters? Do we see engineering orders improving and we see the bioenergy momentum to continue?

Shishir Joshipura: So, as I was mentioning in the earlier question, it's been just a timing issue for a few contracts on engineering. There are very strong dialogues that are underway. We expect things to be normal within the second half. So, on the engineering side of business, absolutely no concern there at all. We are also expecting bioenergy to continue to grow, and both in domestic and international markets, we expect very strong performances to come. One of the big movements that we will start to see as we move forward is the development of the SAF market, which is something that we haven't talked about much yet, but probably as we go forward through the second half of the year, we will start talking about it. And it clearly has two elements. There is the engineering business there. There is the technology business there. And we will see how, on the low carbon ethanol side, so we will see how both of them combine together, and that's why that gives us the confidence to speak that as we see our inquiry pipeline, our dialog with customers, our interaction, we are very, very confident that second

Page 11 of 23 half of the year will sort of iron out the increases that have developed temporarily for this

quarter.

Sani Vishe: And just one small question. So, on the MTM losses, so if I understand correctly, it would be in inverse proportion to EBITDA, right? Because you would be hedging some of your exposure.

So, does it mean that going ahead, if the MTM losses come down, or if there is a gain, then the EBITDA will be on slightly lower side?

Sachin Raole: See, if you look at from the MTM point of view, it gets evened out over a period of time, and the impact of MTM on EBITDA, I don't think should be a significant one, because this is the element which is coming up every quarter for us, sometimes it is positive, sometimes it's negative. Yes, this quarter it is negative by 7 crores, not necessarily it will continue in that way, but your point is whether it will have an EBITDA impact, I don't think it will have a significant impact on my EBITDA.

Moderator: Thank you. The next question is from the line of Nirav Vasa from ASK Portfolio Managers. Please go ahead.

Nirav Vasa: Sir, my question is pertaining to the proposed ethanol blending in diesel. So, if I look at the petrol and diesel consumption statistics, diesel consumption is almost around 2.5 to 2.7 x the petrol consumption in India. So, if the diesel blending has to be done in India, and based on your assessment, is there enough feedstock in India to feed this kind of massive demand? Because as I understand, we are around, the petrol blending is around 14%-15%, which we intend to increase to 20% in a couple of years. So, there is an organic demand coming from the petrol side and the demand boost, if it comes from diesel, is going to be magnanimous. So, wanted to understand your thoughts on the ecosystem as a whole and what kind of CAPEX can happen industry-wide if this starts?

Shishir Joshipura: So, yeah, I think great question. From the perspective of feedstock, I think, as you know, there are three broad categories of feedstock. The sugary feedstock on which as we mentioned earlier in my opening remarks

as well that the new policy now permits juice and Molasses B

conversion and syrup conversion directly to ethanol. That's a boost. That's number one.

Government is focusing very strongly on maize, which is the starchy feedstock. That's another boost. They have released rice. That's another boost. What's more important is that there is a completely untouched area of cellulosic feedstocks, which is not even, I would say, we are not even started to exploit it yet. And that is why my comment on IOC's commissioning is very important that as we go through the second half of the year, we will see that project commissioned and demonstrate that it is possible to use cellulosic feedstocks and convert them to ethanol and that could become a further big boost. So, from the perspective of feedstock I think right now we are pretty okay. That's number one.

Page 12 of 23 Number two, we are also working, as an organization, we are working from the leading institutes in the country to see what can be done because I think we have to understand that this is not only about ethanol production. It is also about welding the agri community and finding an overall sustainable solution.

We are working very closely with VSI to create an intercropping model that will allow us to get the benefit of not only having a healthy feedstock pipeline, but it will also help us address in time to come and we will talk about it maybe a little down the line, the carbon intensity questions on the feedstock, because if it's intercropping model, then you get huge advantages on the carbon side of the equation, and that is something that will become very very mandatory for SAF and even for other fuels. So, currently I don't see a problem for feedstock availability. As you are aware, the DFPD has already recommended to NITI Aayog that we can very easily go to E25 in the country without any concerns about the feedstock. So, that would put to rest any concern that we may have on feedstock at least in the visible term.

Nirav Vasa: Sir, but as a part of developing the entire ecosystem to even, you know, as we are talking of integrating ethanol in the diesel ecosystem as well, so my understanding is that the agri-waste or the cellulosic waste which was there, that has to be there, that is needed at much larger quantities. But today, as we talk, there is already an alternative use of this bio of all this agri-waste which is there at local level. So, if all of a sudden there is a huge demand boost, then the prices of these agri-waste can also boost up and that can impact the, what I can say, overall project viability as well. So, any thoughts are you able to see on it, like ease of availability of biostock and what kind of CAPEX, according to you, can it lead to assuming it happens?

Shishir Joshipura: So, I think, great question. You are right that, A, there is a whole host and this is now running into millions of tons of estimate on the biomass or the cellulosic waste that is not being put to any use in the country right now. Farmers just torch it. So, from the perspective of availability, I think we are not even scratching the surface today. So, it is easily possible for me to meet almost up to 20% of the country's demand of energy through cellulosic feedstock processing. So, I am not worried about that part. What is of importance is that we establish the correct supply chain for this and that needs to get organized. I think that is one area where we definitely need to work on that we need to organize ourselves as an industry. When I say ourselves, I am talking about the country. And we create a supply chain mechanism that allows this agriculture waste to reach from farm to factories, and I think that is a very important step

that needs to be taken forward. But that is not the only one. I think there is also a very important biomass, which

is likely to be increasingly more available, and that is Bagasse with the sugar mills. As the renewable power equation in the country settles to a dimension which is dominated by solar and wind, we expect a lot more Bagasse to become freely available and that could become an excellent feedstock, 2G feedstock for production of ethanol. And we do expect that as we move through, let us say next calendar year, we will be able to see some constructive development on that dimension as well.

Page 13 of 23 Nirav Vasa: Sir, Bagasse is already used by the existing sugar companies for the co-gen, right?

Shishir Joshipura: Yes, but they have, as you know, sugar mills run for 4 months, 5 months in a year. And Bagasse, there is excess quantity of Bagasse that is increasingly projected to be made available, and then we have to find a good use of it. And we believe that on two counts, one, availability of feedstock, all the supply chain related issues already solved. Bagasse is a very good feedstock for 2G as well. And more important, it will also help meet the lower carbon intensity targets that we will have as we move in the future. So, it's a feedstock that ticks on multiple boxes. So, we expect that that could become one. Two, on the rice straw, I think, as I was mentioning to you, we are not even beginning to organize our entire value chain, supply chain in a very, very constructive manner. There are initial efforts right now underway. And as I see it, it's moving forward very constructively. There are platforms that are getting created. There is a growing awareness saying, oh, this is possible as a business. So farmers today burn it. From there, they start to get a value for it. So, I think that's a big travel. And I am sure that we will see emergence of a cellulosic feedstock supply chain also emerge as we move forward.

Nirav Vasa: My final question, sir. Like in FY '24, our diesel consumption was almost 8,950 crore liters. So, assuming if I want to add 1% ethanol into it, my incremental demand for ethanol can be almost 89 to 90 crore liters. So, if 90 crore liters of ethanol has to be additionally fed into the system, what kind of CAPEX would it need?

Shishir Joshipura: I have drawn my calculator for that. Because I don't know the feedstock, so there is not a ready rock steady answer for you. But we will get back to you on that one. Yeah.

Nirav Vasa: Broadly, any number can you give, like, for example, for 1 crore liters of ethanol, what can be approximate CAPEX? And what can be the Praj's scope of work in that?

Sachin Raole: Nirav, if you look at from a ballpark number point of view, and if you are saying, let's assume 100 crores to be added as a capacity for ethanol, and if we are looking at 100 KLPD kind of a plant, standard size of plant, of course the standard size has gone up now, then we are looking at least 30 to 35 plants to come up. Every plant will cost, depending on the feedstock, may be 100 to 125 crores. So, what you are looking at, at least 3,000 to 4,000 crore kind of an investment. If you are looking at only the process plant to be taken care of by Praj, maybe 40% to 50% of that. So, around 1,800 crores to 2,000 crores.

Sachin Raole: Every percentage increase in blend.

Nirav Vasa: I will get back with more questions. I am wishing everyone a very Happy Diwali.

Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Page 14 of 23 Shailesh Kanani: Sir, in your opening remarks, you said after the cap removal on feedstock, the traction on the ground was not very strong, but still in the quarter, we have seen a good momentum on the bioenergy front in terms of order inflow. And you touched upon CBG as one Napier grass order received in CBG. So, what other molecule has kind of picked up the order inflow, has helped the order inflow for bioenergy in the

is quarter?

Shishir Joshipura: So, Shailesh, what I was mentioning was that the sugary feedstock-based release that happened, the restrictions on use of syrup, juice and Molasses B went away. However, obviously, you will know this is too close to the season. So, maybe for the next year, people will start thinking what putting capacity based on these feedstocks.

So, this year was just too short a time for anyone to do anything. So, those who have the plants will be able to operate them, but those who don't have the new plant cannot be built in such short time. So, maybe if we start building now, it will be probably ready for next season. In terms of order intake, as I mentioned, 100% of our order booking is on starchy feedstock. So, maize has become a big focus for everyone, all the elements in the value chain and I think that's what we are seeing as well. We see a big push forward on maize.

Shailesh Kanani: And sir, the second question with respect to Napier grass CBG plant vis-a-vis, can you throw some light about the IRR that project would generate vis-a-vis other feedstocks like Pressmud or rice straw, any numbers or anything you can help on with respect to yields of that feedstock and also availability of Napier grass per se?

Shishir Joshipura: As I was mentioning, the Napier grass is a very, very interesting crop. Actually, you can take five crops in a year. Very interesting. You can take almost five, yeah, five crops in a year, if you can manage your plantation well. Very direct from field to factory kind of a feedstock. Very portable. Easy to, not too many, there are some complexities with it, but technology can very easily address them. So, that's not a problem. So, Napier grass is a good feedstock to have. As I was

mentioning, we are seeing, we are just seeing initial trends where people are saying, okay, I will grow my own Napier grass and I will put up the feed. So, that's the first such project that came along and that's the one that we are building where everybody will be able to grow and then take it or some will grow and some will supply. So, that's time will tell how the whole ecosystem develops, but it's a good feedstock to have. It's very remunerative for the agriculture, for the agri ecosystem, and if we can think of a plant located in the middle of a Napier grass plantation, then that is a very good one to have, because then all the nutrients that come back from the process in terms of liquid and solid bio-fertilizers can all go back to the same field, so it becomes very, very, I mean, a completely closed loop, so no water required, no, the water that comes goes back. The nutrients that come go back. The soil remains rich and fertile. So, there are many dimensions on the agri side which are very positive, and we expect that maybe this looks like, from the dialog ue that we are having, that this could be a model that could develop further.

Page 15 of 23 Shailesh Kanani: And just a follow -up on that, is this the same private conglomerate which gave us the five C BG

orders, this Napier grass?

Shishir Joshipura: No, different. Those projects have Napier grass as a feedstock, but that's not exclusively on Napier grass. This one is different.

Shailesh Kanani: So, can we throw some light? I mean, is it private or a government company? Can we show some light on the client side?

Shishir Joshipura: Private sector. Entirely private sector.

Moderator: The next question is from the line of Sagar Dhawan from Valuequest. Please go ahead.

Sagar Dhawan: Sir, just on the execution side during the quarter, just wanted to get a bit more color on the execution. So, we saw a declining execution on a Y-o-Y basis. So, just wanted to get some color on the domestic bioenergy side. Can you talk about what is sort of ailing the execution over here by, you know, basically in terms of the feedstock sug

ar versus starchy, where does the problem lie actually in terms of execution?

Shishir Joshipura: So, Sagar, if you really think about it, no, just a year back the ban came, right, on the feedstock, one on rice and then on sugar, sugary feedstock. So, the project that was in pipeline at that time, which would have actually come for execution now in first two quarters, did not go through, right? And that's why I said that it got notified a bit too late in the year. Even if I start constructing some projects now, I won't be able to catch the season because it will take four, five months, six months to move forward. By that time, the season will be over. So, I think some recasting of the plan has to be done for those kinds of contracts, which, I would say, are ready to execute, but get stuck. So, now they will start again, the bankers have to take a view, etc, etc. So those will move forward. In terms of execution of a starch-based, starchy feedstock, this plant, I think they are in general moving fairly okay. There are some issues around bank funding, etc., but nothing, no sort of clarification required on the policy side or the ecosystem side of the dialog.

Sagar Dhawan: So, basically, can you provide the mix of your order book in terms of sugar versus starchy, domestic bioenergy?

Shishir Joshipura: I said that 100% of the order book is starchy. Most of the contract did not get finalized during the quarter. None. Not only for us, the market didn't finalize anything.

Sagar Dhawan: Sir, that's on the intake. Sir, I actually wanted to get a sense on the current order book, order backlog. What is the mix on the order backlog, sugar versus starchy?

Shishir Joshipura: Even in the order book, if you will see the sugary feedstock will be a miniscule number right now, maybe one, because last three, four quarters we are running, except for one order that I

Page 16 of 23 know of personally, we don't have a sugary feedstock-based order. Most of them are starchy feedstock based.

Sagar Dhawan: So, my second question was on the SAF opportunity. In the last quarter, we had announced an order win for a Greenfield SAF plant in the U.S. Just trying to understand what percentage of the CAPEX do we cater to from this particular order of that customer on the CAPEX side to get a sense of the addressable opportunity for us.

Shishir Joshipura: Sorry, could you just repeat your question? I couldn't catch what you are wanting to know.

Sagar Dhawan: So, basically on the SAF side, in the U.S., we have received an order from U.S. in the last quarter for ATJ Pathway SAF plant. So, just wanted to understand what percentage of CAPEX is Praj able to address in the overall CAPEX of the Greenfield SAF plant?

Shishir Joshipura: Almost, it depends on the scope, of course, of what we can address, what we can, there are other dimensions as well, but between 40% to 50%.

Sagar Dhawan: And just to clarify, there are two parts to it, basically the ethanol plant and the isobutanol conversion to SAF. So, does Praj address both these or only the first step, which is the making the ethanol from ...?

Shishir Joshipura: So Sagar, that's not the way to go. So, an ATJ plant is alcohol-to-jet plant. Currently, all alcohol-to-jet projects that are being announced are ethanol to jet. So, alcohol equals ethanol in these projects. So, they are only setting up these alcohols. They will buy, in most of the cases, these

customers are saying, we will buy ethanol from the market, okay? Number one. Number two, if they set up their own, then, of course, what feed stock, what carbon intensity, etc., those questions will come into play. So, there are projects which are also contemplating to set up their own ethanol plants. There are projects, they are saying, I already have an ethanol plant, and now I want to forward integrate into SAF. And then, for those cases, the carbon

intensity

becomes the question. So, they have to see what solutions are required by them to be addressed, whether in terms of process integration, whether in terms of process optimization, how do you go about reducing the carbon intensity, carbon sequestration about overall score because SAF, if it is in America in United States, then we need to go score which is 50% below the existing number for the SAF and that means that the ethanol has to be at a score of about 35, 30 in that range. So, by the way, the current ethanol production is at a number of about 68. So, how do you go from 68 to 38? That is the first step, and then you integrate that into the SAF project. So there are multiple loops that need to get answered depending on where the developer is today. An existing ethanol producer, he wants to put up new ethanol or he just wants to put up SAF project and buy ethanol. So, there are different dimensions for that.

Page 17 of 23 Sagar Dhawan: Just a follow-up on the AT J side, on the ATJ plant setup. What is the addressable opportunity in the U.S. that you see over here?

Shishir Joshipura: Sorry, what is the addressable opportunity we see in United States?

Sagar Dhawan: In the United States for AT J plant, ATJ setup?

Shishir Joshipura: For a given one AT J plant or all the AT J projects?

Shishir Joshipura: No, no. For all the AT J projects. For all in the U.S. Overall opportunity.

Shishir Joshipura: So, we are going to calculate it again. This is actually pretty large. So, let me tell you. So, United States has said that the target is to put 3 billion gallons capacity for SAF, okay. Roughly, I am just putting for ease of calculation now, 2 billion, 1.6 to 2 billion will come through the HEFA route. And after that everything will likely to come through, at least in the near future likely to come through the AT J route. So, let us take up to 2030, it is a billion gallons of ethanol to be produced. Sorry, a billion gallons of SAF, so that means it will need 2 billion gallons of ethanol, okay. So, 1 billion gallons of SAF equals 2 billion gallons of ethanol. Now, if I look at a project size of typically 100 million gallons per year of ethanol, which will result into 50 million gallons per year of SAF. So, 50 million gallons into a billion, that is 20 plants. Right? So, 20 projects have to come up between now and 2030 to address this. And I am not talking only the SAF opportunities, the AT J part of it. Each of this is a \$400 million potential for us. But again, there are many dimensions to this. There are technology, who is the technology supplier? Who is the EPC? What's our risk appetite? What kind of guarantees we can provide? So, there are multiple dimensions. But from the market perspective, this is a very attractive opportunity that will unfold as we move forward.

Moderator: Thank you. The next question is from the line of Shyam Maheshwari from Aditya Birla Mutual Fund. Please go ahead.

Shyam Maheshwari: Sir, just wanted to inquire on the status of our Mangalore facility. So, have you already started churning revenues out of that or is it still under approval stage? What is the ramp up going to be like? So, if you could just maybe touch base on that.

Sachin Raole: So, we started this GenX facility in the month of February, March of last year. We are actually executing one order right now. The execution right now definitely on the lower side because we have spent last six months in getting the customers' approval. We got almost four approvals already from the customer, but getting it converted into order is going to take time. One of the orders which we have already received and executing in GenX facility is from the earlier customer who had approved this facility in the month of September -October of the last year. So, that execution is going on. So, revenue contribution at this point of time from GenX is

very,

very minuscule. It's not meaningful in the H1 of this year, the numbers which you are seeing Page 18 of 23 currently. But as the facility is already capitalized, the cost on that has already started ticking in. And that's what I was referring earlier in our opening remarks, that the depreciation element of that is getting factored in in this H1 number, but not the corresponding revenue, which we are believing that based on the order booking which should happen now, the revenue will start kicking in, in a meaningful way maybe from quarter 4 to some extent, but from the next year definitely.

Shyam Maheshwari: And considering there is a sufficient headroom here now in order to grow our engineering side of business, and while I understand this quarter there were some slippages in terms of our order inflow, but before that for the past three or four quarters we have been averaging around 200 to 250 crore kind of inflow in the engineering segment. With this additional facility, with these approvals now in place, should inflows now start meaningfully, start showing an uptick even from this 200 to 250 numbers? Is that what you expect going ahead?

Sachin Raole: Oh, that's right. That's what we are saying, that the order booking in a meaningful way will start

getting built up for the engineering going forward. From second half onwards, definitely yes.

Moderator: Thank you. The next question is from the line of Ankit a Shah from Elara Capital . Please go ahead .

Ankita Shah: Hi, this is An kita here . Sir, on the India bioenergy segment, given that now we have some clarity on the feedstock, we know what is the kind of ordering which is pending for achieving a 20% blending and incremental how much can come if we extend this blending to 25%. So , what could be the opportunity of capacity that can be developed to achieve that target?

Shishir Joshipura: So, roughly 3 billion liters would be the capacity addition that w ill be required to meet this 3, 3.5 billion.

Ankita Shah: Sorry, sir, come again.

Shishir Joshipura: Roughly 3 to 3.5 billion liters annual capacity would be required to be built to meet this additional 5%.

Ankita Shah: This is annual for the next 5 years?

Shishir Joshipura: Well, we will have to see . Of course, the capacity we have to get adjusted as we move forward to the increase of basic energy consumption in the economy, but I am saying today if I have to meet it, then that's the numbers.

Ankita Shah: No, so this is the total number or is this annual number?

Shishir Joshipura: Additional. Additional number.

Page 19 of 23 Ankita Shah: Incremental number .

Shishir Joshipura: Capacity that needs to be build.

Ankita Shah: And sir, this includes the pending pipelines to achieve the 20% blending, that is also included in this?

Shishir Joshipura: Yeah, 20 is different. I am just saying if 5% has to get added from 20, then that's the number .

Ankita Shah: And sir, how much was the R&D spent for the first half of the year?

Sachin Ra ole: So, R&D spent has two elements, Ankita. One is on the CAPEX side, another one is on the OpEx side. On the OpEx side, we might have spent almost 15 crores in the first half, and on the CAPEX side, we have just capitalized one of the assets, that is this lactic acid plant, almost around 50 - 55 crores kind of a number. The second half we will see some more spent happening on the CAPEX side, because this multipurpose facility is going to get a couple of more product line getting attached to that . So, there will be some CAPEX happening on that. But on an average, the OpEx for every year is somewhere around 25 to 28 crores kind of a number.

Ankita Shah: And CAPEX could be how much for the full year?

Sachin Raole : By the end of this year, we should have CAPEX of almost on the R&D side itself around 65 to 70 crores.

Moderator: The next question is from the line of

Vikram Suryavanshi from PhillipCapital. Please go ahead.

Vikram Suryavanshi: I just wanted to know, we have now started a demo facility for PLA. How would that business model will evolve for us and what are the different raw materials we tried for that PLA?

Shishir Joshipura: So, Vikram, the facility that we built, the first product that we are able to demonstrate out of that is PLA. There will be multiple products. It's a biopolymer facility . So, it will be able to demonstrate multiple product lines as we move forward. That's number one. Number two, we just commissioned . So, give us a bit of a time to actually be able to answer a question in full integrity. We have just commissioned . We have demonstrated . We know the process works. There are lots of customers, both from India and abroad, who have shown interest. Some have visited as well. So , it's developing very positively, but probably it's too early for me to answer anything specifically. But, broadly speaking, multi -product facility, commissioned now, multiple customer interest, both from India and abroad, and a few visits have taken place. That's the update I can give you today.

Vikram Suryavanshi: And just to extension of that, along with PLA, are there also opportunities for us to like bioplastic, which is like a PAT or any other verticals within plastic, apart from PLA, where we can extend our focus will be primarily to capitalize PLA first?

Page 20 of 23 Shishir Joshipura: Yes, Vikram, as I mentioned, this is not a PLA facility. This is a biopolymer facility. So , we will be

able to demonstrate multiple molecules. PHA, PHP, they are all lined up. Our R&D guys are pushing us to approve their expenses so that they can start demonstrating other molecules. So, that's the dialog ue that we will have, of course, in consultation with our Board and Chairman , and then we move forward.

Moderator: Mr. Vikram, does that answer your question?

Vikram Suryavanshi: Yes.

Moderator: We move on to the next question. The next question is from the line of Sai Siddhardha Pasupuleti from Kotak Securities . Please go ahead.

Sai Siddhardha Pasupuleti: So, I just wanted to ask about there is this recent IPO listing company coming in the bioenergy space and this particular company is kind of saying that it has a 30% market share in the 1G ethanol capacities that have been deployed so far in the last three years. And if I kind of read through into that DRHP, they don't have a mention of any R&D expense as such anywhere. So, in a space like this, is there any imminent risk that is there for Praj, wherein it has a 60% less

market kind of a market share in the ethanol capacities that have been deployed so far?

Shishir Joshipura: So, Sai, I would not comment on what others are saying . That's not fair for me . However , what I would say is this . We are not limited to domestic market . We are a business which is globally present . As we have already shared with you, our effort is to actually diversify our offerings across the geographies, across the molecules as well and not get limited only to ethanol.

So, for us, R&D has a very, very different meaning and purpose . Each organization can have their own philosophy for doing their business model in a particular fashion, and good luck to everybody based on their business model . We believe that R&D is the way forward because there are different molecules, different feedstocks, different geographies, different operating practices, different codes and standards .

So, that's how we approach our business, and that's we continue to believe that we need to continue to invest into these so that we are able to provide the full justice to what is possible. In our opinion, we are trying to solve a much bigger problem that the humanity is facing, and that's the view that we have.

Moderator: The next question is from the l

ine of Manish Goyal from Thinqwise Wealth Managers . Please go ahead.

Manish Goyal: I have couple of questions . First on the corn oil as a by-product which can be blended with diesel as a biodiesel, sorry, just wanted to get a perspective like, because I believe in the current season nearly 50% of the ethanol offered was based on the maize as a feedstock, so in that Page 21 of 23 context when we have already so much installed capacity, then to have a by -product, how much of the production one can get as a by -product which can get blended with diesel ? Just want to get a perspective like, if we probably have 100 tons of corn being used, how much ethanol can be produced and how much of corn oil can be produced and what is the CAPEX , additional CAPEX for bolt-on required , bolt-on CAPEX required for implementing this ?

Shishir Joshipura: So, Manish, as I was mentioning, the challenge going forward, for multiple reasons, for producers of ethanol, is going to be how do they maximize the value of their operational life. And we believe that one way in which they can maximize the value is by focusing on co-products that could be extracted as they process the feedstock without compromising the end product. In the sense that if I put up 100 KLPD or 200 KLPD , say, let's say, 100 for argument sake, 100 KLPD corn to ethanol plant, I must get 100 KLPD ethanol first . That's the first requirement. I must get the DDGS that I want , 300 tons per day or whatever, that I get out of this without any 300 TPD, without any compromises whatsoever. Those are two established streams . I need them. Then I go to the next co-product . Without compromising these two, you can go and get corn oil as well. So, the idea of a co -product is that it does not compromise what's already existing, but it only allows you to extract more from the other streams that come out of the project.

Manish Goyal: Sorry , sir, I missed the second part . You said 100 KLPD of ethanol production as first priority . Second was what?

Shishir Joshipura: The second is the D DGS which comes out as a by -product today. I cannot tell . I have to protect that revenue as well for the customer because we are locking up, enhancing the value for them . So, after protecting these two, what can I do with the balanced raw material that is available without changing the feedstock quantity and input and without compromising these two outputs , what can I do to enhance the value, and that is a co -product development strategy, and corn oil is one such product . There will be many more to come as we move forward, but corn oil is one of them.

Manish Goyal: No, so that is what I was trying to understand, that if you put a...

Shishir Joshipura: Corn oil is one of the feedstock s for production of biodiesel . It's not biodiesel by itself.

Manish Goyal: Yeah , so I was just trying to understand, if you put a 100 KLPD plant, if one able to get whatever required production of ethanol and D DGS, then how much of the corn oil production can we get out? Just trying to get a perspective that because you already have facilities in place, and then if it gets leveraged for biodiesel, then how can it be?

Shishir Joshipura: Yes, Manish, for reasons of competitive advantages, I am not willing to give you the exact numbers on this one at this call, yeah.

Page 22 of 23 Moderator: Thank you. The next question is from the line of Faisal Ha wa from H. G. Hawa & Co. Please go ahead.

Faisal Hawa: Sir, how is the maize opportunity looking, because maize is also something which is produced in a large quantity , and It is not utilized as much for consumption ? And do you feel that a lot of people like Gujarat Ambuja Exports or somebody would also come into production for the same? And secondly , sir, are you now also looking at very large ticket orders as a policy to really raise the turnover much

faster rather than keeping on taking on all kinds of ticket sizes orders?

Shishir Joshipura: So, Faisal, to answer the second question first, I think what's important is to get the right scale because if you have the right scale , then obviously the right economies of scale which the producers want because the guy, the person or the entity that is putting up the project would

want to have returns on capital that they employ. So, there is a minimum size that any project lends itself to. And those sizes are going up as we go forward. That's what is happening world over as well. So, no surprises there that capacities of the plants are moving up because obviously as the cost goes up, as inflation goes up, people are trying to leverage maximum to the extent they can to leverage their fixed cost to the best possible extent. So, that's one dimension. What was your first question?

Faisal Hawa: My first question was about maize opportunities. This could be a very large one because India produces a lot of maize and not all is consumed by the population.

Shishir Joshipura: Sorry, are you saying, this is a question of maize opportunities, is that what you are saying?

Faisal Hawa: A lot of plants will come up for conversion of maize to ethanol or maize to biofuels.

Shishir Joshipura: Yes.

Faisal Hawa: Do you concur with that kind of a statement?

Shishir Joshipura: Of course, as I mentioned, 100% of our order book this quarter is based on starchy feedstock. Maize is the predominantly starchy feedstock.

Faisal Hawa: And we do stand by our statement of doubling revenue in 3 years from today.

Shishir Joshipura: Sorry, we stand by our statement of what?

Faisal Hawa: Of doubling revenue in 3 years from today?

Shishir Joshipura: Yes.

Moderator: Thank you. The next question is from the line of Shaisha Vohra who is an individual investor. Please go ahead.

Page 23 of 23 Shaisha Vohra: Sir, my question was on this starch matrix. I believe that we were developing biodegradable plastics. So, what are the status on that, sir?

Shishir Joshipura: So, Vohra, as I was mentioning, we have commissioned this multipurpose biopolymer facility for demonstration of our capability. The first molecule that we demonstrated is lactic acid followed with lactide and then PLA. And this facility will also be able to demonstrate many other molecules as time goes forward. And I was mentioning earlier that this has generated a lot of interest. We are seeing interest in both international and domestic future project proponents. Very early days. We just probably have three weeks since this was demonstrated and dedicated to the country. So, please give us some time, but very positive interest that's developing in that technology.

Shaisha Vohra: And so one last question about the Hi-Purity water. I think we have got one customer from the semiconductor industry last year. So, any further development on that?

Shishir Joshipura: So, the job that we had executed was actually for a battery and an intermediate system. So, that we have executed. The further developments you will come to know as the industry develops, because as you can see these are extremely large-sized projects. And we are trying to understand what is the play for us. Is there a play for Indian technology to Indian companies to play in that? Or is everything imported? We are trying to have that dialogue with several customers who have announced the projects for setting up semiconductor facilities.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management from Praj Industries for closing comments.

Sandip Bhadkamkar: So, thank you everyone for your time today. In case you have any more questions, feel free to write us at info@praj.net. We wish you and your family members a very Happy Diwali and see you in

the next quarter. Thank you.

Moderator: Thank you. On behalf of Praj Industries Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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Date: 5th February , 202 5

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Company Code – PRAJIND

National Stock Exchange of India Ltd.

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Bandra (East), Mumbai - 400 051
Security Code No.: 522205

BSE Ltd.

Phiroze Jeejeebhoy Towers, 25th Floor,
Dalal Street, Mumbai - 400 001

Sub.: Transcript of Analysts' Call held on 31st January , 2025 .

Dear Sir / Madam,

Please find enclosed the Transcript of Analysts' Call of Praj Industries Ltd. held on 31st January , 202 5 regarding Un-audited Financial Results (Standalone and Consolidated) for third quarter and nine months ended 3 1st December , 202 4.

The above information will be made available on the website of the Company at www.praj.net .

This information is given pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time.

Thanking you.

Yours faithfully,
FOR PRAJ INDUSTRIES LIMITED

ANANT BAVARE
COMPANY SECRETARY &
COMPLIANCE OFFICER
(M. NO. 21405)

Encl.: as above

Page 1 of 21 Praj Industries Limited
Q3 & 9M FY25 Earnings Conference Call
January 31, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Praj Industries Limited Q3 and nine - months FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing *, then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nupur Jainkunia from Valorem Advisors. Thank you and over to you.

Nupur Jainkunia: Thank you. Good afternoon everyone and a very warm welcome to you all. My name is Nupur Jainkunia from Valorem Advisors. We represent the Investor Relations of Praj Industries

Limited. On behalf of company, I would like to thank you for all participating in the company's earnings call for the third quarter and nine months ended on 31st December 2024.

Before we begin, a quick cautionary statement. Some of the statements made in today's earnings conference call may be forward-looking in nature. Such forward-looking statements are subject to risk and uncertainties which could cause actual results to devolve from those anticipated. Such statements are based on management's belief, as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's conference call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now, I would like to introduce you to the management participating with us in today's earnings call and hand it over to them for opening remarks. We have with us Mr. Shishir Joshipura, CEO and Managing Director; Mr. Sachin Raole, CFO and Director Resources.

Without any further delay, I request Mr. Shishir Joshipura to start with his opening remarks.

Thank you and over to you, sir.

Shishir Joshipura: Good day, everyone. I am very happy to share with you that apart from Sachin, we also have on the call our Chairman, Dr. Pramod Chaudhari today on the call. And I welcome you to Praj Industries' earning call for the quarter three and the nine months for FY25.

Trust all of you had the opportunity to go through our results for the quarter -end on December 31, 2024.

Page 2 of 21 Let me start with a very exciting news. Indian Chemical Society earlier this month presented the Rasayan Udyog Shree Award to Dr. Pramod Chaudhari on the occasion of the Century of Chemistry in India. And we are all very proud that he's the recipient of this honor from the Indian Chemical Society.

The dynamics of the business environment is changing at a rapid pace driven from geopolitical developments, volatility and uncertainty in the global economy and ability of different economies to respond to these changes. Our performance this quarter reflects the resilience of our business and strategy. All our strategic initiatives are progressing as per the plan. And it is reflected in the growing order book with increased share of international business over the last three quarters. This quarter saw share of international order book at 40%. Our order book at this quarter also is the highest over the last three quarters.

On the domestic bioenergy business front, the EBP 20 program is progressing well, and the country is expected to achieve 18% blending during ongoing ethanol supply year 2024-25. Praj is focused on enhancing value for the customers and as part of this effort, we have enhanced our focus on developing core products, which has resulted in development of bio-bitumen, distillers corn oil, rice protein etc. as solutions. These co-products will significantly alter the financial viability of bioenergy projects. These patented technologies will significantly differentiate driving the market and create unique, sustainable competitive advantage. Last month, the Honorable Minister of Road Transport and Highway, Shri. Nitin Gadkari inaugurated India's first National Highway at the Nagpur-Mansar Bypass Project NH 44. This highway was constructed using Praj's technology-based bio-bitumen which has the potential to replace fossil-based bitumen while enhancing the financial viability of the bioenergy projects from agri-waste, from where agri-waste acts as a source of feedstock production. We are witnessing starchy feedstock-based projects dominating the ethanol space. Owing to the liquidity challenges and financial closure of these projects is taking longer time leading to extension of average execution cycles moving from 12 months to 16 months and beyond. In August 24, the government had lifted restrictions on use of cane juice, cane syrup, and b-heavy molasses for ethanol production. During this quarter, there are two more positive developments in form of upward revision in the price of ethanol produced from c-heavy molasses and availability of FCI rice at reduced rates.

On the international bioenergy front, there is strong buildup of inquiry pipeline. Amongst important developments, the USA has permitted year-round sale of E15 in 8 midwestern states. Brazil has already passed the fuel of the future law, increasing ethanol blending to 30%. Argentina and Panama have announced their plans to increase their blending mandate. These developments will create capacity in these markets and we are all well positioned to participate in these opportunities.

Page 3 of 21 During this quarter, we won a significant contract from a customer in Tanzania to set up ENA plant based on sugary feedstock. SAF e-commerce space is developing rapidly and favorably. We expect the ATJ pathway to become preferred long-term solution in major parts of the world. This augurs well for driving demand for low-carbon ethanol solutions as well.

On the CBG front, respective boards of Praj and BPCL have given approval for formation of joint venture, which will set up CBG plants across India. The CBG ecosystem is developing positively with healthy buildup of inquiries, expected to translate into firm business as we move forward.

This quarter, we received a very interesting order to set up a CBG plant to be co-located inside a Napier Grass field. Our service business is witness

sing healthy growth in order book and

revenue from both domestic as well as international markets. Our order book for nine months for FY25 trends 80% higher than entire last year. We are witnessing increasing interest from our customers for solutions such as biogenic CO2 capture, fermentation process management, and O&M services.

On the SAF front, the dialogue on accelerating SAF production and deployment is developing constructively with all stakeholders. The International Civil Aviation Organization, ICAO, invited Praj to contribute as industry expert for the recommendations being drafted to enable a positive conclusion for the dialogue. Praj is further participating in the ICAO Symposium in Dubai planned next month.

Moving on to engineering business. The Mangalore facility is now fully ready with a total investment of over Rs. 200 crores in CAPEX and almost Rs. 80 crore YTD in form of operating expenses. The land acquisition and readiness of the facility was delayed by nearly two quarters, which has impacted the plant business activity for the GenX business in the current year. The order book for execution from this facility is expected to start building from this quarter while the revenues will start flowing in from H 2 of FY26.

Our zero liquid discharge business is also gradually gaining momentum with increasing acceptance of our modular solutions. We are working on several innovative technological solutions which will help us in offering a completely differentiated solution to customers in near future. Brewery business, after a long pause, the segment is showing some early signs of returning to capacity creation and we expect the movement to strengthen in the next financial year.

The PHS business, our effort of international expansion as well as expansion of product basket is gaining momentum and we believe a healthy order buildup as we move forward is a reality.

Overall, we see a positive development for all our business lines and we continue to remain confident and committed to our long-term goals. I now have the honor and pleasure of inviting Dr. Chaudhari to address you.

Page 4 of 21 Pramod Chaudhari: Thank you, Shishir. Very good afternoon everybody. Let me share some of the important developments on the leadership transition at Praj. As you all know, we are embarked on an ambitious growth program for the next five years where we are aiming to grow the company three times in the top line and five times in the bottom line. Shishir has been steering for last seven years, and now he's superannuating on 30th June 25. The smooth transition and succession planning for key positions for board has in its meeting held yesterday, has approved the appointment of Mr. Ashish Gaikwad as Managing Director - Designate for a period of five years, with effect from February 03. Ashish has 34 years of professional experience in software industry, digitalization and automation and in ETCA space with other global leaders.

As explained by Shishir, all the field preparations are going on and we are quite confident that the aberration of this quarter will be taken over by a normal growth business from the coming period.

Thank you for your patience and God bless you.

Shishir Joshipura: Thank you, sir. I now invite my colleague Sachin for his comments on the financial performance.

Sachin Raole: Good day everyone. Let me take you through the financial highlights of the quarter and nine months ended 31st December 2024. The consolidated income from operations stood at Rs. 8.53 billion in Q3 of FY25 as compared to Rs. 8.28 billion of quarter three of last year. PBT stood at Rs. 588 million as compared to Rs. 919 million in quarter three of FY24. Similarly, profit after tax stood at Rs. 411 million in quarter three of this current year as compared to Rs. 704 million in quarter three of last year.

As Shishir mentioned earlier, the new release of GenX facility has resulted

into lower revenue

for our engineering business in this quarter. The lower margin during the quarter was mainly due to the change in the sales mix. The change in the sales mix is on account of lower export order execution and some engineering services order, which has resulted into the lower margin for the current quarter. If you compare the margin for nine months FY25, it is almost higher by 500 basis points as compared to nine months of last year.

Higher finance costs, depreciation, and amortization expenses are on account of the new facility at Praj GenX in Mangalore. For nine months, FY25, income from operations was Rs. 23.7 billion as against Rs. 24.4 billion in nine months of the last year. PBT stood at 2.1 billion as against 2.5 billion of the last year's nine months. PAT of Rs. 1.8 billion in nine months of FY25 as against Rs. 1.9 billion in nine months of the last year. Export revenues accounted for 21% in this quarter. And on the total revenue, 73% is from bioenergy, 18% from engineering business, and 9% from PHS business.

The order intake during the quarter was 10.5 billion with 60% from the domestic market. On the total order intake, 77% came from bioenergy, 17% from engineering and balance 6% from PHS business. The order backlog as of December 24th is at Rs. 43.5 billion comprising of 75% of the domestic orders. Cash in hand as on 31st December is Rs. 6.4 billion.

I now conclude my remarks and I would like to thank you all for joining us on this call. We will now be happy to discuss any questions; comments or suggestions you may have.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press * and 1 on their touch -tone telephone. If you wish to withdraw yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We'll take our first question from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Yes, thanks for the opportunity. So, good to see pick up in the order inflow. But my question is, it seems like the domestic ordering is still weak as far as bioenergy is concerned. It is international order which are driving it. How do you think about the domestic order opportunity as we enter Q4 and FY26 given that we are very close to meeting a blending mandate of 20%?

Shishir Joshipura : Thank you for the question, Mohit. So, we have stated as part of our long -term strategy that we would like to move to a mix of 50% from domestic and 50% from international. Now, that is the percentage share of the pie. Each pie size is expected to grow. So, we are not saying that this international business growth comes at the expense of domestic business volumes. What we are saying is that as we grow, we expect the international business to grow at a much faster pace compared to where it is today. And therefore, when we reach the 2030 situation timeline, we will be in a position to have a 50 -50 split between the two. This is done with a lot of thinking. We are a globally operating company. As I mentioned in my remarks, there are several governments in the international arena which have realized the importance of bioenergy and they are enacting laws in their countries, they are creating an ecosystem, they are pushing for inclusion of higher share for bioenergy in their overall energy mix. We cannot, having built a very, very strong base, as you are probably aware, in over 100 countries, there are 1,000 installations that Praj has built over the last 40 years. It's quite natural for us to go and leverage that opportunity. Apart from that, we have also worked on several dimensions of technology development in this particular space, which we can now actually take to the world, because the technologies that we have

developed are really benchmark technologies in respective space. So, given this position, I would say that there is no, we are not looking at shrinking any business, we are only growing, but obviously that's growing at different paces , but both the business is domestic as well as international.

Mohit Kumar: Understood, sir. My second question is, it has been a while that we have received the CBG order. I think we received something last fiscal. In your opinion, do you think the CBG ordering Page 6 of 21 will pick up now? And how has been your experience in executing the first set of orders, which we won last year?

Shishir Joshipura: So, you are right that the CBG eco -space is developing at a little differentiated pace and that is leading to a situation that we don't have a continuous flow that's the way we saw it on the earlier opportunity on the liquid biofuel side. But we are not a gas economy so there are elements which lead to the interconnectivity elements, the retailing, the different dimensions that come into play that have to happen for the thing to become a very mature ecosystem. I think what we have to understand is that this is a developing ecosystem and therefore they are likely to be sometime what I would call as not a uniform flow all across that will take some time to happen. Having said that, the four projects that you mentioned that we had announced last year are under construction now and we expect them to go into commissioning phase towards the first quarter of next year. That's the plan as well. So, that's what will happen. The contract that I mentioned about this particular quarter is unique because here the feedstock is going, the plant is located in the, in the middle of the feedstock. So, the feedstock has no logistics of bringing from outside. It will be grown around the plant and then it will be fed. So, it's going to be very interesting because it does give a unique opportunity to design the plant differently, create a very different kind of footprint on both water and energy, and we are very, very excited to work on this opportunity.

Mohit Kumar: Thank you, sir. Thank you and all the best.

Shishir Joshipura: Thank you.

Moderator: Thank you, Ladies and gentlemen, in order to ensure that the management is able to answer queries from all participants, please restrict your questions to two at a time. You may join back the queue for follow up questions. We'll take our next question from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, sir. Thanks for taking my question. My first question is on the GenX facility you highlighted the delay. So, just wanted to understand earlier where we were building in revenue contribution from H1FY26, what led to the delay? Is it the customers who are delaying giving you the orders? And second is what is the quantum of order book we will be building in next three months for which the revenue is expected in H2 of next year.

Shishir Joshipura: So, Amit, what Sachin mentioned, and I also mentioned in my remarks, was the fact that the land acquisition and construction of the facility took six months, roughly six months more than what we had planned. And that is, and in this business, once the facility is completely ready, then the customer teams do a very, very detailed audit of the facility. They give their comments

and remarks, and there could be a follow-up audit as well in some cases, before they approve the facility for utilization as a manufacturing base. And that process of, unless this process is gone through, we cannot start producing anything in that facility. So, just for example's sake, Page 7 of 21 and I'm just giving this to illustrate the point. So, Praj may receive an order, but unless Mangalore is approved facility, we cannot produce it there unless it is approved for that particular customer. And then we'll have to produce it at a location where it is already

approved. So, for example, Kandla in this case. So, that is the process that we are going through now. And as we mentioned, and these are large contracts, so they take their decision to get this slightly longer. But not only that, they execution slightly is longer. Therefore, we mentioned that we expect that in next six months our order book will start to build for that facility, because now we have approvals from the customers who we have targeted that they should be able to move from there. Yes. And then we will be able to move forward as the order book because the pipeline for inquiry already exists. We are already in dialogue with customers that will start to move. And the readiness of the facility is not only about leveling the land and building the sheds and putting the machine inside. But after we do all of that, we also have to go through a series of certifications which are required from international accreditation agencies like the ISO certificate, the ASME certifications, the EN certifications, because these are necessary for us to start work or even present our case to our customers saying we have this facility which is certified so and please allow us to use this. So, that's the stage that we've gone through now and now we're very confident that as we move forward we start to see the change there. But till that time we actually start to have revenue from there. As Sachin keeps reminding me, there is the expense that is required on this facility both in terms of depreciation as well as the team that we have built there and all the expenses that get associated with the facility. So, that will happen till the time we actually start. So, there is no revenue recognition right now from that facility, but as I was mentioning over the last nine months, over Rs. 80 crores is the spend that we have on the revenue side for this facility.

Amit Anwani: Sure, sir. But any thought on what could be the revenue contribution in FY26 from here?

Shishir Joshipura: No, it's not proper for me to give you a percentage of revenue because then I'm saying what my next year's revenue is then and that's the guideline that we do not provide.

Amit Anwani: Sure, sir. And this expense, will this continue or will this further increase? The Rs. 80 crore YTD at the run rate of, for example, Rs. 25 crores -Rs. 30 crores for the next 3-4 quarters, will this further increase or?

Sachin Raole: Amit, we will definitely be having expenses coming up in the current quarter also. Maybe whatever the proportion of expenses are to be incurred for this quarter. Next year, rather expenses will grow, of course, but in line with the revenue which is going to flow in also. So, it is not that only expenses are going to grow, but we will be seeing revenue also flowing in the next year. So, we believe that the flow of these expenses which you have seen in the current year will get to a reasonable extent may look down in the next year.

Amit Anwani: My last question on the U.S. now, since the regime changes happened and we were actually looking for under inflation reduction and the opportunity for SAF. And also, I believe, I think Page 8 of 21 the engineering business to some extent caters to US. So, any change in that pipeline, which we were highlighting for SAF in US, and any change in your 5-year vision post-regime change in US, because we are largely focusing on increasing the exports drastically and the drastic changes have happened in the US with respect to spending and renewables.

Shishir Joshipura: So, Amit, it's difficult for us to predict the future with respect to the policy dimensions in the U.S. government. But what we are, what we believe is there's a very strong focus, as you rightly put, on jobs that get created locally in the local economy in the United States. And actually, if you go to see when we will build a project for SAF, we will actually be building jobs in the United States,

because any facility will call for people to be employed and deployed, but not only that, even the pickup chains are local, supply chains are local, so that will also create. So, this, from whatever we understood so far, and I've been speaking to our prospective customers, they have all mentioned to me that they do not expect any difficulty because their projects are based on the fact that in the U.S. Midwest, they will be able to provide not only investments, they will bring jobs, they will bring push to a local economy. They will provide additional relief to the local farming community. So, from all those perspectives, I think they believe that they are in a positive territory, even with the regime change that has happened in the United States.

Amit Anwani: Sure sir. Thank you so much.

Moderator: Thank you. We'll take our next question from the line of Deepesh Agarwal from UTI AMC. Please go ahead.

Deepesh Agarwal: Yes, good afternoon team. Sir, my first question is on the RCM for PLA and bio-bitumen, when should we look at ordering opportunity opening up and what would be usually the size of the orders which can come up from there? And apart from these, what is the progress on the other biochemicals which you were developing in the RCM?

Shishir Joshipura : So, in the biopolymers and RCM space that we mentioned, we have a progressed dialogue with a significant number of customers on what can we do to help them establish a facility for PLA. That is a dialogue that is currently underway with many, many number of customers, both in India and abroad. So, our demonstration of capability and technology has actually enticed a lot of interest from the prospective customer. So, that's a dialogue that is underway right now. There is no conclusion as of yet, but this is a new technology for a very new area and therefore the gestation periods are longer, because dialogues are obviously longer as well. In terms of bio-bitumen, we believe that this demonstration that we have done actually showcases the fact that we can create a high-value-added product from a waste stream in a project especially the ones where feedstock is a lignin rich agriculture feedstock. We believe that as we move forward through the next 12 months, we will be able to see because this is a product that could alter the financials of the project very positively. And therefore, we expect that this has already created a lot of interest from existing people who are running CBG projects and of course in the new projects as well. So, and this also solves one of the key, what I would call as challenge Page 9 of 21 areas for these plant operators because this treats the risk very differently and creates... The government has already announced, Honorable Minister mentioned support for bio-bitumen because we are currently importing 50% of our bitumen. So, from all dimensions, this is something that will develop very, very positively.

Deepesh Agarwal: And any estimate, even if, say, 20%, 25% of the bitumen requirement moves to bio-bitumen, what could be the watering potential over next few years for us?

Shishir Joshipura: So, slightly early days for us to start pushing these numbers out, because this is an application-oriented product. So, it's not just that you're just producing this. It has to be also developer's application and we have done that. We have demonstrated the application. We have showcased how it can be done. So, probably in three months' time when we meet again, we'll be in a position to answer this question much better to you. Just if I remember my numbers correctly, India will need 50% of its bitumen to be imported. Today we do import that. And this will become a substitute. This is also not a 100% substitute for bitumen. This is when you make the road you need different elements to go in. There are polymers that go to provide a certain characteristic and quality to the road. There's a qu

ality of bitumen. There's a grade. There's temperature conditions, multiple dimensions. But what's exciting for us is we have a product line that can go and meet all of these conditions at differentiated numbers. So, we will be in a position to talk about it in more detail three months from now.

Deepesh Agarwal: Sure. And any kind of color you can give us on the capital commitment which will go in given your tie up with BPCL and IOCL in a JV form?

Sachin Raole : So, Deepesh, we have to still work it out because right now both the boards have given an approval for signing the term sheet which will get converted into definitive JV agreement in the near future. As we progress on that because we are currently working on how many plants can come up under this JV, how many different feedstocks to be considered, so all that working is right now going on. Depending on the number of projects which will come under this JV, the capital structure for this JV and the capital commitment from both the entities will come into the picture. So, it is the first step which has happened for converting the dialogue into a term sheet and when we progress to the final signing of the JV agreement, all these elements will come through. So, it's just a matter of next 3-4 months as the work is already progressing on developing the projects for this JV.

Deepesh Agarwal: Fair, to understand, whatever the plants will come up there, a major portion of that opportunity will flow to Praj?

Sachin Raole: So, this JV has two elements, one naturally for offtake of this gas by BPCL and the technology to be provided by Praj. So, yes, otherwise why there should be a JV from Praj side. So, we are entering into this JV to offer our technology.

Page 10 of 21 Deepesh Agarwal: And lastly, while I understand you mentioned in the beginning of the call during the quarter, there was a mix impact on margin, but fair to understand the margins which you were reporting over last four quarters, those kinds of margins which is it works out to roughly 12ish odd percentage, that could be a margin we should look forward as and when the mix normalizes?

Shishir Joshipura: So, Deepesh the margin has not dipped because there is an increase in the material cost. So, the impact which I could have said that, oh, this impact is going to be forever is not going to be there. It's going to be always a game of what kind of a composition of sales is going to be and that we are repeatedly saying every quarter that the margin is going to be dependent on what component of order we are executing. So, we are not saying that there will be a reversal of margin just because this quarter we have seen a dip in the margin. On the year-end basis, on a cumulative basis, we definitely believe that our margin will show a positive trend as compared to the previous years.

Moderator: Thank you. We'll take our next question from the line of Sani Vishe from Axis Securities. Please go ahead.

Sani Vishe: So, I was trying to understand as Chaudhari sir said, this appears to be an aberration of a quarter. So, the delays that have happened this quarter, do you expect to push other deliveries

in the next quarter further? Or down that can we see an incremental delay within the next quarter? In other words, can we expect revenue run rate to normalize from Q4 or can we hope to have a better than usual quarter next one and then normalized from Q1 FY26 onwards?

Sachin Raole: So, if you look at the reason which we have mentioned for the lower revenue during this quarter, we believe that there will be some impact in the next quarter too because we have seen delays in the GenX orders coming up by almost two quarters. So, we will see some impact naturally happening in the next quarter also. That doesn't mean that other businesses' revenue booking is not going to happen. But are we looking at complete reversal? For that we said that FY26 is the one where we will

see the order booking which is going to get reflected from this quarter in this engineering business which will start flowing in in the form of revenue from next year then.

Sani Vishe: Okay, understood. Thank you.

Moderator: Thank you. Next question is from the line of Prateek Poddar from Bandhan AMC. Please go ahead.

Prateek Poddar: Yes sir, just two questions. One is on IRA 45Z benefits right with IRA being almost...

Prateek Poddar: Yes, please go ahead. Yes, just on IRA 45Z, the benefits and incentives for ethanol producers, do they still stand after the IRS being repealed or how should we think about that and in that context, how should we think about the ATJ route and SAF production?

Page 11 of 21 Shishir Joshipura: Yes, so the 45Z provisions, there are two dimensions to it. In fact, I and Sachin were talking about it today morning only. One is the tax credits that are available, should they be available to ethanol producers, or should they be available to SAF producers? That's the big debate. And then after some discussion, it looks like that they are most likely to be available with SAF producers. What it fundamentally means is that ethanol meant for SAF production, now in what proportion it gets divided between the two between the ethanol producer and the SAF producer is a matter of an arrangement between two of them. But the tax credits are likely to be available, most likely to be available for SAF production. That's number one. Number two. The SAF story is still intact. It's an international agreement that is in force that will come on 1st January 27 and will start to play out from there. As I mentioned, we have been, we are also a party to dialogue with ICAO. So, we know how these things are shaping up in terms of its positive moving forward and development and deployment of a common minimum program for the international flight. So, we do see and also the fact that from a US perspective, since your question is very specific to US, it creates a very unique opportunity for Midwest and United States to actually see growth in farming opportunity as well as in the industrial opportunity and create local jobs. So, these three ticks, as far as SAF projects are concerned in United States, and therefore it's likely to drive, continue to build positively as we move forward.

Prateek Poddar: The second question was, sir, we have seen an increase in the engineering orders this quarter versus last. Given that GenX was delayed by 3-6 months, which you called out, is it fair to understand that from here on, the orders will only increase and in the next year, the proportion of engineering orders will be higher than what we will exit at in this quarter?

Shishir Joshipura: That's a perfect understanding, Prateek.

Prateek Poddar: Okay. Fantastic. And sir just lastly, you talked about January 01, 2027 being a year for SAF, and the story being intact, that would mean that the inquiry pipeline starts building up, right? That's a fair understanding?

Shishir Joshipura: Yes. So, we don't know the, what is likely to be mandated in different countries, but what is definitely mandated is that the international flights will have to do on that path of using SAF. What happens to domestic side, each country is providing its own treatment to this in terms of what they want to mandate in their respective geographies. So, that's a separate thing, but the international flights, definitely yes.

Prateek Poddar: Perfect sir. Thank you so much and best wishes for the future sir.

Shishir Joshipura: Thank you.

Moderator: Thank you. Next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Page 12 of 21 Shailesh Kanani: Good afternoon, everyone. Thanks for the opportunity. Sir, Pramod sir had in the opening remarks said that we maintain our guidance of 3x in revenue front. So, it's not just this quarter, but we have seen some muted revenue

performance for last two years now. So, can you just highlight some key milestones or monitorables for us, which we think we need to watch out for?

Shishir Joshipura: So, Shailesh, I think what PMC mentioned was the fact that when we issued the guideline of 10,000 crores, that is 3x growth in topline and 5x in bottom line by 2030. That is intact and that's not changing. We are very confident and committed that that will happen as a company, as a team. There is absolutely no reason for us to believe that there is any other story. That's number one. Number two, in terms of markers, as I said, one of the key strategic initiatives that we undertook for this purpose is to say, how do we grow our export order book? And that, as

you can see, is already moving in the right direction. So, that's one clear indicator for you whether things are happening or not happening. That's number one. I think already somebody asked me a question. And I'm talking now not next quarter perspective, but a little longer-term perspective in terms of how the SAF opportunity develops for us. And we are very, very confident that it will develop very positively as we move forward. And probably if not the next year, the year after, we'll definitely see SAF plants coming to life in several parts of the world. So, that's the second one. The whole, then we have discussed other things about CBG, bio-bitumen. I also mentioned the several initiatives that you have taken to actually start differentiating us in the domestic ethanol market as well. So, as we start this journey from here onwards, I think the two-dimensional change that I see one, very clearly as we mentioned, customers will look for enhanced value of their operations, which is where the co-product development, the new technological innovation that we are talking about, will all start to come in play and will differentiate. And at a global level, as we move forward, I think the carbon intensity of ethanol will start to become an important issue. And that will also create a set of opportunities for us.

Shailesh Kanani: Sorry to harp on this, but because we have seen consistent delays in most of the molecules, be it SAF, be it CBG. So, that is the reason I was wondering, any near to medium term, I understand not one quarter or one six months, but in general, any monitorable key for us to watch out because there has been some delay, as you also mentioned in the earlier remarks that CBG has not picked up as we were expecting. So, just was wondering on that front?

Shishir Joshipura: I think on SAF we have maintained that 1st January 27 is the first time it kicks in as a regulation across the world. And there's no change in that date for SAF mandate to be implemented. In terms of CBG, yes, as I mentioned, India is not a gas or was not a gas economy. We were more a liquid and solid fuel economy. So, the whole infrastructure development, the rules and regulations, the last mile connectivity, a number of issues that have to be taken care of. And I think that's being addressed expeditiously by all concerned. But yes, we are not ready. So, they have to be built ready. And that takes away some of the time. But I believe that as we go Page 13 of 21 through the calendar year, we will start to see a very different kind of interest, positive interest develop into CBG space as well.

Shailesh Kanani: That's helpful. Sir, in CBG front, just to dissect it more, what is the current offerings in terms of feedstock like pressmud or various other feedstocks which we are offering to clients? And as per your understanding, which feedstock would pick up initially and which would be coming in later half of the whole CBG 5000 or 2500 plants? If you can throw some light on that.

Shishir Joshipura: Okay, so we keep the answer very simple, as of date we are able to handle all feedstocks except that we are not offering solutions for MSW. Other than that, if there

is a feedstock, we have a

solution that is agri waste feedstock, industrial, organic waste, chicken, farm waste, whichever the waste sources are. So, I will keep the answer simple rather than give you a whole list of all the feedstock that we could do, I'm saying the only feedstock we are currently not addressing is MSW. That's number one. Number two, you asked about the fact saying how will this whole ecosystem develop around feedstocks and which is likely to be the most preferred, from the looks of it, as of date. So, initially the pressmud continues to be a feedstock that I think will start acquiring prominence as we move forward from the sugar mills perspective as well. That's number one. Number two, Napier grass is increasingly becoming a very preferred feedstock. And that is where I mentioned that our solution of providing bio-bitumen as a co-product out of processing of Napier grass based plants, it is also true that we can do this for other agri-waste based plants that we come up for CBG. From their waste treatment, we can create the bio-bitumen stream. But Napier grass seems to be a preferred choice for many because of its own properties that you can get four crops in a year. You don't have to store it for the whole year, et cetera, etc. There's some positives in its favor. So, we believe Napier grass will be a feedstock of choice. There is rice straw, of course, in the country. We believe that these three will become the key feedstocks as we move to press mud, Napier grass and rice straw.

Shailesh Kanani: And our offerings are in the top quarter in terms of yields and other things for the client, right, in this?

Shishir Joshipura: Yes. Absolutely no question.

Shailesh Kanani: Just one last question, one more last question. We had this budget announcement where there was some support for CBG plants and some allocation was done. Any update on that or any expectations from the budget what we are having? That's all from my side sir.

Shishir Joshipura: No, publicly as I mentioned that the whole ecosystem is not matured because we are not a gas economy so that's under development. It moved a lot from where it was say five years ago. So, it's moved significantly upwards. It's not like a liquid biofuel ecosystem that is very, very mature. So, it has some distance to go. But I can clearly see a lot of test being taken. Plus, this new model that I talked to you about, where the plant is located inside the feedstock area in the field, that addresses many issues of which the current feed industry is facing and allows a Page 14 of 21 lot more flexibility. So, I think that could also become a model of future. We'll have to see how that model progresses as you move forward.

Shailesh Kanani: Okay, sir. That's helpful. Thanks a lot and best of luck.

Shishir Joshipura: Thank you.

Moderator: Thank you. We request participants to kindly restrict to two questions at a time. We'll take our next question from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: Thank you for the opportunity. And I'll move on to my question. The first question that I had was more from, on the change at the helm that was happening at this point of time. If Mr.

Chaudhary could kind of chip in and give us a sense as to what was the thought process or what are the parameters being thought through with the new candidate...

Aditya Mongia: So, the question that I had was for Mr. Chaudhari. The question that I had was of course, this is an important transition happening at the CEO level. What were the imponderable thought through while kind of thinking through the right candidate and how to kind of think through incrementally from a strategy perspective? That's the first question that I had.

Shishir Joshipura : Aditya , that is a little detail question because it needs us to illustrate some things for you as to where the business today is and how we want it to mov

e, what are the likely interventions in

future. So, if you happen to be in Pune, we will be happy to dialogue with you.

Aditya Mongia: Sure. Understood. The question that I had beyond this was more on the CBG front. As we understand right now, it's at a very nascent stage when a lot of equipment are being imported today. I wanted to kind of seek your guidance on A, what are the prospects of further cost reductions that can happen over here? And B, does it lead to Praj entering into adjacent revenue streams such as manufacturing of equipment that today may be imported from outside?

Shishir Joshipura : Okay, so, Aditya, just to confirm to you, we don't need to import anything today for CBG. If you can import, but you don't have to import if that was your question. So, that's number one.

Number two, the CBG business is interestingly developing into a very different dimension. So, it's no longer a single molecule business. It never was. But you know, we really thought that okay, so there's CBG and then there is solid fertilizer that will come and now so that's number one and now we as I was mentioning earlier as well, the solid fertilizer comes out of each processing of the feedstock, especially the ones that are lignin rich , which is the agri residues, napier grass, rice straws, other grasses, other straws, these feedstocks. There, if you create a solid fertilizer, and I'm using very ballpark numbers here. The typical operating margin that plant will get, plant owner will get on the solid fertilizer, will be of the order Rs. 4 to a kilo of production of fertilizer. Against that, if you convert, instead of fertilizer, you convert that to Page 15 of 21 bio-bitumen using our process, the margins can multiply five -folds or even more. So, very different ecosystem that will emerge where it will become like, and we talked about it in our different forums as well saying, the concept is of multi -product, multi -feed and multi -product at the other end. So, we manage multiple feeds. We manage multiple products at the end line as co -products, as main product line. And the idea is to ensure that every waste stream that comes out is valorized. So, that's the second dimension. The third is, as I mentioned, this new type of plant where the plant is located. So, normally whatever plants have been built so far, they are not in the middle of their own feedstock area. In a sense, the fields are distant, maybe 20 kilometers, 30 kilometers, whatever the distance is. But now we are talking about plants located inside the field. Now that is a very different connotation, because that allows you to create a very low water footprint, very high, rich water nutrients going back to the land. So, there are many positives around it, which we believe could actually help to further enhance the attractiveness of these plants. So, this is the first project that we have just received the contract for. Of course it takes 12 months to build one, but that is something which is very, very exciting development in this space and we will see how it develops.

Aditya Mongia: Thank you. Just on the response that you have given on CBG, when you think about Praj's capabilities in this domain, and that includes byproducts as well, is going and becoming, let's say, an owner of the plant or developer of the plant a better way to monetize those capabilities or do you think the same level of monetization can happen even as an EPC player? And your sense of how much money then you may be willing to kind of put inside this venture?

Shishir Joshipura: So, I would just say two things. Obviously, as a technology and equipment supplier, there's a margin that we or a fee that we get for giving those services and products to a project developer. But the fact that he's putting a project means he further makes money on that. So, from that perspective, otherwise there is no project. What's critical to understand is there are

essentially four elements to this whole thing. One is the feedstock part of feedstock supply chain. The second is the plant that converts the feedstock to these products and gas. And the third is the off take that is required to and of course fourth is operation of the overall system. So, from that perspective, I think each player in the value chain would definitely they add value, they will be capturing some part of it for themselves, some they will pass on to their customers in the chain. So, yes, if we do become producers as well, then there is an additional play, but then there is an additional cap ex, so there is different dimensions that sort of flow in. And we

believe that getting this whole ecosystem off its to its potential will require a lot more collaborative work between supply chains, between technology providers, operators and the gas off takers . There is no one model that fits all.

Aditya Mongia: No, I understand. We will discuss this more later on, but thank you for your response on this one. Very useful. Thank you.

Moderator: Thank you. We'll take our next question from the line of Vikram Suryavanshi from Philip Capital India. Please go ahead.

Page 16 of 21 Vikram Suryavanshi: Good afternoon, sir. Can you update on how is the progress on other 2G projects in India? And

particularly, we were expecting good traction from Europe and international market, but obviously because of geopolitical situation that was deferred. But going ahead, how that outlook looks now?

Shishir Joshipura: So, Vikram, two things I will say. One that we are moving forward positively on commissioning of the IOCL project which is important and it's a step-wise process. So, that happening which is the good news. We will also see the two other projects in the country go on stream during this calendar year. That's another positive development that will happen. We are also beginning to receive inquiries from different quarters because what, if you remember earlier, I had mentioned about SAF being one of the drivers for a need for a low-carbon ethanol, and 2G obviously fits that bill perfectly well. So, we are beginning to see what are called as interests emerge on this basis as well. As you rightly said, in the geopolitical situation has actually led to some delay or differing of these projects that were earlier on the anvil. But we are in constant dialogue with them and I am very hopeful that as we pass through this calendar moving towards the later half of this year, we'll start to see a revival in those as well.

Vikram Suryavanshi: And in terms of bioplastic, we have seen some states are already announcing the policies, but a lot was expected from the central government. So, how do you see that space evolving? Will it be more on like a state government pushing for the CAPEX or we expect even central government can come out with a policy to kick start?

Shishir Joshipura: So, the way we look at it is that I think it's a very welcome thing that the state governments are taking lead in providing the incentives for this very, very important technology for mankind.

And I think that's very positive development. But globally also there is a requirement to create a common understanding of treatment of plastics, what do we want to do, what's our degradability, how do we move forward. And there's a lot of very, very constructive dialogue that is taking place right now. United Nations is taking lead to create a common standard for all countries. There are many dimensions of this plastic thing. It is an essential part of our life. It's not going away, but can we make sure that it does not leave a harmful footprint? And that's what is driving all these actions. That's where we are today. I think we will see as time progresses, very constructive development on these sides, as well as you mentioned. We expect national governments across the world to actually start thinking in terms of w

hat they

want to do for us to address this problem. And in the meanwhile, the state government initiatives are obviously very welcome.

Vikram Suryavanshi: Got it. Thank you very much.

Moderator: Thank you. We'll take our next question from the line of Shyam Maheshwari from Aditya Birla Mutual Fund. Please go ahead.

Page 17 of 21 Shyam Maheshwari: Thanks for the opportunity. I had a couple of questions, sir. So, firstly, on the engineering side,

and I know you alluded to it, but if I look at our inflows, except for the last two quarters as well, we were averaging anywhere between 250 crores and 350 crores quarterly inflow. While our Kandla facility is still operational, wanted to understand why there has been this sudden dip in the inflow side? Is there been some hesitancy from the client side or is it a conscious call from our side to probably not book more inflows till the Mangalore facilities operational? So, that's my first question, sir.

Shishir Joshipura: So, Shyam, the way you look at it is like this. So, the nature of the equipment and systems that we build at Mangalore are different. They are larger in size, so the project size is larger compared to what we have handled so far. That is number one. Number two, Kandla has limited capacity. It cannot produce an unlimited amount of equipment. So, it has limited capacity. In fact, we have also taken steps to, because the Mangalore project got a little delayed, we had to actually move to enhance the Kandla facility, which we did. However, the essential is that as Mangalore facility starts to scale up, which it will, as I mentioned earlier and Sachin did as well, we will start to see a constructive development on these inquiries. These are large size and therefore they take a little longer gestation period. But we also know them very much in advance. So, we already know the inquiries, the names of the projects where they are required. And the good news, while they got a little delayed, some from our end, some from customer's end, the fact remains that none of them have gone away. All opportunities are there and we think that it will definitely move forward.

Shyam Maheshwari: Interesting sir. When you mention a large size equipment, what would be typical order value

of, let's say, one such order?

Shishir Joshipura: Well, it could vary, but typically this is will be three digit crores .

Shyam Maheshwari: Interesting. And secondly, on the international biofuel business, so we have one projects in Brazil, Latin America and now in Tanzania as well. Wanted to understand the scope of our work there. So, do we just do the product supply or maybe do we tie up with a local company there to construct the plant or do we do the entire construction activity also?

Shishir Joshipura: No, we don't do the construction activity overseas. We do not offer any construction services to customers. Each market has a different requirement of how they make the decision. So, for example, in India, customers will say, I need this capacity plant, this is my feedstock, this is my site, come and tell me what you can do for me and give me an offer. And the discussion proceeds. If you go to Brazil, the discussion is very different. They will say, no, I want you to do the engineering of the whole project first. So, this is what I want to do. This is my feedstock. This is the output I want. Tell me the full engineering of the project. Once the engineering is done, we will estimate the project to its full cost, and then we will decide to go forward, not to FID step . So, the third market will say, no, I want to go in between. So, there are different models that operate in different markets. In India, customers would actually call out for us to Page 18 of 21 hold construction responsibility for our scope of work. It's very okay in international market not to have construction or offering as a services as offering, so we are good with that and

we're not offering that as well.

Moderator: Thank you. We'll take our next question from the line of Manish Goyal from Thin qwise Wealth Managers. Please go ahead.

Manish Goyal: Thank you and very good afternoon and nice to hear Pramod Chaudhari after a very long time.

Sir, just two questions. One on the international revenue as we are targeting 50% revenue by FY30. So, just like the growth would be probably 8x like the revenue from international was Rs. 665 crores in FY24 and we are targeting roughly Rs. 5,000 crores by FY30. So, if you can just provide perspective as to how the contribution would look like say from GenX products, from bioenergy, from CP ES, that would be very helpful. And second question just on a better understanding on the GenX plant, like you mentioned that in first nine months we have roughly incurred expenses of Rs. 80 crores which is booked in the P&L. So, like if the plant was commercialized recently, then why is it not capitalized, and it's probably taken and booked in the P&L? I understand that the land was probably leased out and it's partly reflected in the depreciation. So, if you can clarify on both these aspects?

Sachin Raole : Okay. So, maybe I will take the second question first. Technically the commercial production has already commenced in the month of February. Okay. Because the plant and equipment were kept ready for. So, it's not that we have not done anything. We have actually manufactured one equipment and dispatched in the last year. So, as we know from the accounting principles point of view, the moment you start the commercial production, after that you cannot capitalize anything. So all the equipment were not technically installed at that point of time. But the commercial production had started for one equipment which is manufactured there. And that's the reason subsequent expenses are not capitalized. And we had to take it through profit and loss account.

Your first question was related to the growth which you are looking at in the international market. Yes, it is going to be 8x. There will be a larger portion of internationalization is happening. It is on two accounts. One, the GenX business, which is entirely export-oriented and another one is the bio-ethanol business, which we mentioned earlier, that the internationalization has started in a big way happening in that business. These two businesses are going to contribute in a big way. So, the pie is definitely, as Shishir was mentioning, the entire pie is growing for domestic and international, and that's how the composition is going to emerge of 50% -50%. We have also mentioned that Praj HiPurity has also started showing its international business now. So, these are the components which will contribute by 2030 in the overall aim of internationalization. The question of margin is a little tricky for a reason, because as Shishir was explaining, the international orders will have all kinds of elements. In the sense, it will have the services element, it will have the equipment element, and to some extent, it might have the EPC element also. Just to give an answer for how the EPC will come Page 19 of 21 into picture, the current Tanzania order, which we are going to execute, we will have some kind of a local construction work also to be taken care of. Naturally, we are not going to do it on our own. We will be having contractors to do that kind of a job. But in the future, in the bioenergy business, if there is an element of construction, then that will also start playing a very different, what I can say, flavor on the margin. So, it will be a little too early to tell you that what will be the margin in 2030 based on the composition of the business which we are looking at which is supposedly to be emerged. We have not talked about the other two businesses which are also going to contribute in the international business. One is on the RCM side and an

other one is on the SAF side. So, all these components put together are going to give us a topline of Rs. 5,000 crores, but the components of delivery are going to be very, very different which will define the margin profile for us. I can only tell you that margin profile is definitely going to be better than domestic. That's for sure.

Manish Goyal: Okay, and one more last question I'll squeeze in. On the Inflation Reduction Act, we were probably doing some engineering related work as well as a couple of engineering projects. So, will it get impacted with probably IRA on back burner or how should we look at it?

Shishir Joshipura : So, as I mentioned, Manish, Ethanol meant for SAF in United States because the current ethanol is at a high carbon intensity, will meet the solution of going to low carbon intensity. That remains intact. So, as the SAF project starts to pick up, and I do remember that I had mentioned this, that in the US, the way when the IRA was defined and we set three billion gallons of SAF required by 2030, the first one billion, one and a half odd billion, is mostly there now in terms of capacity creation, will come from a different route, HEFA route and then onwards everything will most likely come on an ATJ route which is where we are interested party. And we expect and we see that movement, our dialogue with customers are moving very constructively. So, those guys who either own their own ethanol plants are now asking us to interact with or speak with some of our guys are doing an audit for one of the projects to see how that plant can be converted to a low carbon intensity ethanol because there are other issues about carbon capture and all that which need to be factored in. So, all SAF-related ethanol projects will need low carbon, no question about it, and that is the development that is likely to take place. But on the other hand, we also decided that we will not only position it as low carbon solution but because we realized that when we do low carbon we are actually reducing the operating cost of the plant. So, we would also position these as operating cost reduction and operating margin improvement solutions, especially in those cases where it is very clearly usable to our customers and then move this forward.

Moderator: Thank you. We'll take our next question from the line of Prathamesh Sawant from Mirae Asset Capital Markets. Please go ahead.

Prathamesh Sawant: Thank you sir, thank you for the opportunity. Sir, just one question from my end. I just wanted to understand how much steam is left in the grain based distillery projects in India because what we can clearly see from the government's intention is that lately what they have done Page 20 of 21 with the FRP of sugar has been increased by 10% but the relative prices of ethanol have just increased by a meager 2.5% and that too just for c-heavy. So, I wanted to understand, how much because going forward we can only see that grain based driving the momentum in the bioenergy business for the domestic markets. So, how much scope is left for the same?

Pramod Chaudhari: Prathamesh, the way to think is like, I give a little elaborated answer, but please stay with me. So, the challenge is this, can we create an ecosystem in which the feedstock costs go down because they are significant part of the cost of the ultimate molecule? And therefore, a lot of work is happening right now on alternative feedstocks. Yes, whether we do this, finding different technological solutions for existing feedstocks or create new feedstocks themselves and how do we grow them so agriculture side of the solution for that etc. Can we simultaneously grow two crops in the same cycle etc., so that's one dimension that's happening on the feedstock side and that needs to take care of. As we move forward then I think what is critical to establish is the fact that on a given feedstock, how the overall movement will happen and

what is the prioritization of that feedstock within the overall economy. So, we believe there is a lot of push that has come for starch-based feedstock in India. So, maize production, maize production going up, plant running on maize, plant running on broken and wasted rice. So, we are seeing that progression and I think we did mention and if I didn't then I can share it now that even this quarter that has gone by, all our order booking is for starchy feedstock. There is no sugary feedstock in that on the domestic market. So, that's the second, the third play that will come. As we move forward, and we were discussing what's there a little long term is that SAF needs that definition ultra-low carbon ethanol or low carbon ethanol. And for that to happen, then maybe lignocellulosic feedstock will make a comeback. So, on the feedstock side, it is, I think, a different priority, the different moment in time that will determine as to which feedstock will actually be moving forward. But there is no such thing as only one feedstock will move forward. I think it's different levers for different feedstocks.

Prathamesh Sawant: Okay, sir. But in domestic market, I don't believe we'll have that kind of momentum for the lignocellulosic benefit because we don't have that kind of a differentiated incentive structure in India. And the concerns over the food or fuel debate are much higher in India. So, that's why I was thinking how much more steam, but I get your point. And so my second question is with respect to the existing bio-plastic opportunities. So, are we waiting for some JV model or probably waiting for some post-budget announcement? Any light on that?

Shishir Joshipura : I think what's important as I mentioned earlier in my answer that if somebody said that states are doing lot of policies around promoting or supporting the bioplastics and I think that's a great step forward. But as the same question was also saying so what's happening at national level and I also mentioned at international level. So, I think that the whole regulatory framework will have to come into place for this to actually take off from where it is now. A lot

very constructive and very deep dialogue is already taking place on this across the globe within the country as well as within the state. So, I think one is the focus of saying, okay, I facilitate you to produce this and I think that's a great step forward. But the second thing is also that the Page 21 of 21 market creation has to happen for end product where the national policies are important. And then of course the international policies are important to drive across the global mandate. So, we'll have to see how each of these three elements for the whole ecosystem to come into place.

Prathamesh Sawant: Okay, thank you.

Moderator: Thank you. We'll take our next question from the line of Abhijeet Singh from ICICI Securities. Please go ahead.

Abhijeet Singh: Thank you for the opportunity. Sir, in the event of this SAF opportunity in US not paying out as anticipated, what is the recourse that we have? Maybe some other market or any other product line that can substitute this kind of gap that we have planned any alternative strategy in case there is some risk to this SAF opportunity that seems to be huge?

Shishir Joshipura: So, Abhijeet, there is a slight delay and I would admit to that, that there is a slight delay from the initial plan for the SAF producers in the United States, but all of them are going ahead with their projects. There's nobody shelving, the opportunity very much exists. And I think the delay is behind us now. So, as we go through the next 18 months, you will actually see this coming to fruition as concrete projects.

Abhijeet Singh: Right, that is my question. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management from Praj Industries

Limited for closing comments. Over to you, sir.

Sandip Bhadkamkar : Thank you, everyone for your time today. In case you have any more questions, feel free to write us at info@praj.net. Once again, I thank you all for attending call today. And have a good day. Thank you.

Moderator: Thank you. On behalf of Praj Industries Limited that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

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Date: 6th May , 202 5

Ref.: PIL/ANB/L -18/2025-26

Company Code – PRAJIND

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor, Plot No. C/1,
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Bandra (East), Mumbai - 400 051
Security Code No.: 522205

BSE Ltd.

Phiroze Jeejeebhoy Towers, 25th Floor,
Dalal Street, Mumbai - 400 001

Sub.: Transcript of Analysts' Call held on 30th April , 2025 .

Dear Sir / Madam,

Please find enclosed the Transcript of Analysts' Call of Praj Industries Ltd. held on 30th April , 202 5 regarding Audited Financial Results (Standalone and Consolidated) for the fourth quarter and financial year ended 3 1st March , 202 5.

The above information will be made available on the website of the Company at www.praj.net .

This information is given pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time.

Thanking you.

Yours faithfully,
FOR PRAJ INDUSTRIES LIMITED

ANANT BAVARE
COMPANY SECRETARY &
COMPLIANCE OFFICER
(M. NO. 21405)

Encl.: as above

Page 1 of 25 Praj Industries Limited
Q4 FY '25 Earnings Conference Call
April 30, 2025

Moderator: Ladies and gentlemen, good day and welcome to Praj Industries Limited Q 4 FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nupur Jainkunia from Valorem Advisors. Thank you , and over to you , ma'am .

Nupur Jainkunia: Thank you. Good afternoon, everyone, and a very warm welcome to you all. My name is Nupur Jainkunia from Val orem Advisors. We represent the Investor Relations of Praj Industries Limited. On behalf of the company, I would like to thank you all for participating in the company's Earnings Call for the 4th Quarter and Financial Year ended 2025.

Before we begin, a quick cautionary statement. Some of the statements made in today's earnings conference call may be forward-looking in nature. Such forward-looking statements are subject to risk and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's belief, as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's conference call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now, I would like to introduce you to the management participating with us in today's Earnings Call and hand it over to them for opening remarks. We have with us Mr. Shishir Joshipura, CEO and Managing Director and Mr. Sachin Raole – CFO and Director of Resources.

Without any further delay, I request Mr. Sachin Raole to start with his opening remarks. Thank you, and over to you, sir.

Page 2 of 25 Sachin Raole: Thank you, Nupur. Good day, everyone. I welcome you to Praj Industries' earning call for Quarter 4 and Financial Year '25. Trust all of you had the opportunity to go through our results for the Quarter Ended 31st March '25.

I would like to start today with two key developments :

1. India has officially achieved 20% ethanol blending much ahead of

the schedule. Praj

is proud to have been a key catalyst in this historic shift towards synergy, self-reliance and sustainability.

2. In another significant development, Praj has partnered with Uhde Inventa -Fischer , UIF, a subsidiary of Thyssenkrupp Uhde to offer end-to-end solutions for PLA production. UIF is a specialist in polymer technologies. The offering will cover all stages from feedstock conversion to polymer production. Praj will take care of feedstock to lactide through a fermentation route and UIF will be responsible for polymerization. Praj will also do the entire engineering and building of the entire plant for PLA.

Now coming to the business performance :

Our results for the quarter are reflective of the developments taking place globally in the bioeconomy and energy transition space. This year has been a year of transition, shaped by several external factors such as the changing phase of energy policy across the globe, availability of liquidity, emergence of new sectors and increased focus on carbon abatement. We have mentioned in past that Praj business is a string made up of pearls represented by several business units. The business construct for the year is reflective of this fact as we saw significant contribution from CBG , services and international business.

On the domestic bioenergy business front, India has achieved its EBP 20 target way ahead of the schedule. This augurs very well for the future policy initiatives to expand the share of bioenergy in the overall energy mix of the country. We are fully geared up to serve any emerging needs from the enhanced blending mandates.

Our technology team is focused on enhancing margins for our customers by developing co-products and plant yield improvement solutions. We have commercialized technologies for the production of Distillers corn oil , rice protein , high protein DDGS etc., which are gaining increasing traction from the existing ethanol producers. These co-products will significantly alter the financial viability of bioenergy projects. These patented technologies will significantly differentiate Praj in the market and create unique sustainable competitive advantage.

Page 3 of 25 On the project execution front, we are still witnessing liquidity challenges for financial closure of projects. Funding agencies have become more stringent on the approval processes, which is leading to extension of average execution cycles by almost 12 months.

On international bioenergy front, there is a strong buildup of inquiry pipeline mainly from America, Brazil, Argentina and Paraguay. To cater to this potential, we have strengthened our presence in Americas by adding local resources.

The much awaited 45Z draft notification has been issued and is likely to be enacted by October 2025. This will create significant pipeline for low carbon ethanol opportunity in the market of America.

During this quarter, we won a significant contract from a customer in Paraguay to set up an ethanol plant based on starchy feedstock.

On CBG front, we have signed an agreement with an industry leader in South India to set up a CBG project of 36 tons per day capacity , the project to be one of the largest single location facilities in India.

Earlier this month, we have signed a term sheet with BPCL for developing 10 CBG projects

under the joint venture. The next step is going to be regulatory approvals and formation of a formal JV. In parallel, we will be working with the feedstock owners to develop the projects under this arrangement. We have started discussing Bio-bitumen module addition with our CBG customers. Since it can significantly improve the viability of the CBG plants, we are witnessing increasing traction in this segment. We have a healthy build-up of enquiries that are expected to translate into firm business as we move forward. Our services business has witnessed healthy growth in order book and revenue from both

domestic as well as international markets. Our order book for Financial Year '25 has doubled as compared to last year. There is increasing traction for solutions such as biogenic CO2 capture, fermentation process management and operations and maintenance services. Moving on to the engineering business :

Praj GenX commenced operations at its Mangalore facility in March 2024. During the Financial Year '25, the Mangalore facility was audited and approved by eight key customers. Three customers have already signed a long-term framework agreement for the supply of goods and services. For the financial year ended 31st March '25, the reported profit before tax incorporates scale-up-related expenditure totaling to almost Rs. 76 crores in the consolidated profit and loss account. With requisite client approvals now secured, GenX is geared up to contribute to group revenue and PBT from FY '25-'26.

Page 4 of 25 Our brewery business is witnessing some early momentum after a long pause. After a period of three years, first Greenfield plant has been announced and we have received this order.

On PHS front, we continue to grow in newly identified segments of high-capacity fermenters, complex injectables, and blood plasma. Storage batteries, EVs, solar cells, and semiconductors are new business avenues for Praj's activity. And we are seeing healthy buildup of inquiry pipeline from these segments. Overall, we see a positive development for all our business lines, and we continue to remain confident and committed to our long-term goal.

On 28th March '25, a fire incident occurred at the office block of Praj Matrix, our R&D center in Pune. Fortunately, there were no casualties or injuries, and the facility did not sustain any major damage. There has been no impact on any of our R&D operations. We are now in the process of refurbishment of fire-impacted office block area, which is expected to be ready in two months' time.

On the financial performance, the consolidated income from operations stood at Rs. 8 billion in Quarter 4 of Financial Year '25 as compared to Rs. 10 billion in Quarter 4 of FY '24. PBT for the quarter stood at Rs. 582.51 million as compared to Rs. 1 billion in the corresponding period of the last year.

Profit after tax stood at Rs. 398.169 million in Q4 of FY '25 as compared to Rs. 919.36 million in Q4 of FY '24. There has been improvement in margin and of course the margin has to be considered after considering the cost of material and direct expenses by almost 2.3% over quarter 3 of FY '25.

As I mentioned earlier, fire at office block at R&D center temporarily disrupted the activities at the R&D center for two weeks and there is no financial loss since the facility is under insurance cover.

For the full year ended March 31, 2025, income from operations stood at Rs. 32,280 million and as against Rs. 34,662.78 million. PBT stood at Rs. 2,703 million in FY '25 as against Rs. 3,774 million in FY '24. PAT for '25 came in at Rs. 2,189 million as against Rs. 2,833 million in FY '24. Export revenue accounted for 24% for FY '25 as against 18% of FY '24. Of the total revenue, 70% is from bioenergy, 20% from engineering and 10% is from PHS business. The order intake during the quarter was Rs. 10,320 million with 61% from the domestic market. Of the total order intake, 70% came from bioenergy, 21% from engineering and balance 9% from PHS business.

Moderator: Sorry to interrupt, sir. Sorry to stop you. There is some disturbance from your line. Can I reconnect it?

Page 5 of 25 Sachin Raole: Please do that.

Moderator: Ladies and gentlemen, please be patient and hold the line. We will reconnect the management. Ladies and gentlemen, thank you for patiently waiting. We have the management back with us. Over to you, sir.

Sachin Raole: May I know where the call got disturbed? Any idea

?

Moderator: Just last two, three sentences which you were saying.

Sachin Raole: Okay. Maybe I will start from the export revenues because that's where I believe you called me up and said that there is a disturbance.

Moderator: Yes, sir.

Sachin Raole: Export revenues accounted for 24% for FY '25. Of the total revenue, 70% is from bioenergy, 20% from engineering and 10% from PHS business. The order intake during the quarter was Rs. 10,320 million with 61% from domestic market. Of the total order intake, 70% came from

bioenergy, 21% from engineering and balance 9% from PHS business.

The order backlog, as of March 2025, is at Rs. 42,930 million, comprising 63% of domestic order, with 77% from bioenergy and 18% from engineering and balance 5% from PHS business.

Cash in hand as on 31st March 2025 is Rs. 6 billion.

The Board of Directors proposed a final dividend of Rs. 6 per equity share at the rate of 300% of the face value of Rs. 2 per equity share for the financial year ended 31st March '25, which is subject to the approval of shareholders at the forthcoming AGM.

Some other developments in the Board meeting of yesterday. Considering the emerging growth horizon for company's business areas, the Board of Directors requested Dr. Pramod Chaudhari to accept the role of Executive Chairmanship for the next five years, which Dr. Chaudhari graciously consented to. Accordingly, the Board has approved the appointment of Dr. Pramod Chaudhari as Founder, Chairman, and Group Mentor in the Executive Director category for a period of five years with effects from 1st of July 2025.

The board has also approved the appointment of Mr. Parth Chaudhari, son of Dr. Pramod Parth Chaudhari, as Non-Executive, Non-Independent Director with effect from next AGM.

With this, I will conclude my remarks. Thank you all for joining. And we would now be happy to discuss any questions, comments or suggestions you may have.

Page 6 of 25 Moderator: Thank you very much, sir. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on the ir touch-tone telephone. If you wish to withdraw yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have our first question from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Yes. Good afternoon, sir. And thanks for the opportunity. My question is, sir, can you please help us dissect the other expenses?

Sachin Raole: I am again losing you.

Mohit Kumar: I will try once again and I will go back in the queue, sir. Can you please help us dissect other expenses? They are sequentially and Y-o-Y look much higher.

Sachin Raole: Okay. So, when I mentioned about the improvement in the margin for the quarter of 2.3% is after considering the cost of material and the other expenses. Our other expenses have a major component of site expenses which are meant for putting up of a project at the customer site.

In this quarter, the site activity was on the higher side, especially because we are now constructing the CBG plants, which has major components on the site activity as compared to the materials which are involved in the normal equipment business. That's the reason this other expenditure, which you are seeing right now, is on the higher side. As compared to that, cost of material is lower. And that's why this margin is looking in a very different way.

Mohit Kumar: Understood, sir. My second question is on the, what is the outlook on order inflow from ethanol, the domestic sector? Is it fair to assume that a substantial growth in the new order inflow will be contingent on the government increasing the target?

Sachin Raole: You are basically asking only for domestic

c ethanol business, right?

Mohit Kumar: Yes, domestic. Domestic only, sir.

Sachin Raole: Yes. Domestic, okay. So, as I mentioned in the opening remarks that the EBP 20 program has almost reached to its finality. So, technically, the capacity which is required is either already built up or already committed for EBP 20. But there are different avenues which are emerging after EBP 20 program such as in the form of flexi-fuel vehicles or vehicles which can run only on the 100% ethanol or the blending with diesel which is also going to come up in the near future. So, all these developments are going to create demand for ethanol in the domestic segment.

Page 7 of 25 One more avenue which will come up for demand for ethanol is on the SAF side which will start building up over a period of time and which will need ethanol as a feedstock. So, there is a possibility of different avenues which will come up for ethanol demand in the near future.

Shishir, would you like to add?

Shishir Joshipura: Yes. To add to what Sachin said, there are two, three other drivers that we see clearly emerging.

One, the existing producers are now looking for solutions to enhance their operating margins.

And therefore, two or three steps that Sachin also briefly mentioned in each one, the co-product development that we are now offering to our customers, for the same input that they are now already doing for production of ethanol, they will now be able to garner higher revenue because they will be able to develop a separate co-product. Now, what is that co-product? Whether it is rice protein, whether it is high protein DDGS, whether it is corn oil, whether it is CBG, it depends on the overall scheme and the location of the project. So, one big dimension will be this.

The second is as the plants have started to operate and people have learned and stabilized their plants, it very clearly this being a process plant means opportunities for debottlenecking the plant and which leads to then an enhanced recovery of or enhance output or you can also look at lowering the cost by improving efficiency. There are different steps that one could take.

That also we see now emerging and we are regrouping that as a very special offering from our end to help our customers debottleneck their plants to either higher outputs or to lower cost of operation . That's the second one.

And the third opportunity that is likely to come, which Sachin mentioned, about the opportunity from SAF. One opportunity will be for setting up the SA F project, but for SA F projects to work, we need carbon intensity of the ethanol to be lowered. And that is another set of solutions that we will come up with even in the domestic market as we move forward, because that will be the key requirement as we move forward for SA F to have a low carbon intensity ethanol.

So, different levers will come into play in the ethanol segments. Just plain vanilla Greenfield projects are not the only option. There will be other Brown field expansions, de bottlenecking , all the other co -product development, etc. that I mentioned.

Mohit Kumar: Understood, sir. Thank you and all the best, sir . Thank you.

Shishir Joshipura: Thank you.

Moderator: Thank you. We have our next question from the line of Nirav Vasa from ASK Investment Managers. Please go ahead.

Page 8 of 25 Nirav Vasa: Hello, sir. And thank you very much for the opportunity. So, my question pertains to diesel blending. Any idea by what time can we expect initial orders or some backing from the government for the same? Can we expect in this financial year?

Shishir Joshipura : So, the diesel blending program, as you would probably appreciate, has to obviously meet the tech requirements first. And that is the testing that is currently underway. We have passed all but one stage s of testing. And the final stage of testing is now currently underway, where a joint study is

being undertaken by AR AI, BPCL, Praj and C ummins. And this has to be extended time test, because we have to test it from the perspective, not only from mileage and combustion and power, but also from environmental perspectives of what happens with respect to what I would call as emissions. The fuel specification standard that needs to get specified as to what needs to because we can't sell anything as fuel in India unless it gets so notified by the government. So , these tests will then get recommended through the government, saying now this is possible. And based on that, a new standard will get defined. So, it's difficult for us to put a timeline that will it happen this year, in the month of September, in the month of August. But this is definit ively progressing as a joint program. And we are sure that we will see a very positive traction on this during the year. Government has taken steps to actually initiate this program notification, but obviously all these steps have to be gone through. You know, e nvironmental norms to be met, the power norms to be met, fuel to be specified, certified , recommendations to be made. So , it's going through the steps.

Nirav Vasa: So, my other question is pertaining to the petrol blending from 20% to 30%. So, according to your assessment, the journey from 20% to 30% would require significant contribution from second generation ethanol or that is something that can be managed using molasses, maize and some other feedstock, Agri-feedstock.

Sachin Raole: I think as we move forward, two or three things will likely shape the new capacity creation for ethanol. One, of course, as you rightly said, if the blending percentage changes, that itself will drive the demand. Second, we will have to map it against availability of feedstock and also availability of feedstock regionally . I mean , something in north that is of no use in south because then you end up transporting ethanol which is not the purpose . And what is likely to happen is that there is also a big push now from government to use starchy feedstocks, especially corn, because that seems to be a very amenable crop for us to use. We are working on a program of intercropping right now, which is at a very advanced stage. So , different feedstocks will emerge, definitely yes. In what form, at what moment in time, is a matter of the locality, the geography, the current availability, the capacity availability, technology availability at that stage etc., etc. So , we are very confident that as we move forward, we will see an emergence of new feedstock as well. 2G will also be one of them.

Nirav Vasa: Final question is , are you expecting ...

Page 9 of 25 Moderator: Sorry to interrupt , sir. May we please request you to rejoin the queue as there are several participants waiting for their turn.

Nirav Vasa: Thank you.

Moderator: Thank you. Ladies and gentlemen, in order to ensure that the management is able to take questions from all participants in the conference, please limit your questions to two per participant. Should you have a follow -up question, we request you to rejoin the queue. We have a next question from the line of Deepesh Agarwal from UTI AMC. Please go ahead.

Deepesh Agarwal: Yes, good afternoon, gentlemen. My first question is, what would be the impact of the possible tariffs on U.S., both on your existing business as well as the potential business on SA F and Praj GenX ?

Sachin Raole: Sorry, your voice was a little bit getting disturbed. But if I have understood your question, you are asking about U .S. tariff scenario, right?

Deepesh Agarwal: Yes.

Sachin Raole: Yes. So, currently the equipment which are getting exported to US for both of our businesses, that is, ethanol business and the critical equipment business, they carry duty between 5% to 7%. The announcement for tariff is of 26%. Of course, for the next 90 days, it is reduced to 10%.

And of course, there will be some discussions and negotiations which will be happening to reach to a stage of final tariff rate, which we currently, unfortunately, don't know. As per our agreement with our customers, naturally these duties are not on our head. The customer is supposed to take care of that. But if you look at the competition which India has in U.S. market from other markets like Taiwan and Korea and China, their duties are going to be far, far different than what duty structure is going to be for India is our current understanding. We will have to wait and watch till we see the complete picture, how the tariff scenario is going to emerge over a period of next whatever balance 70 days or 80 days.

Shishir Joshipura: So, our current understanding is that compared to the countries that we compete with, especially for our engineering business in that market, we are more favorably placed as far as duties are concerned. However, the impact of duty itself on the project is something that remains to be seen and of course as we know that this is a dynamic scenario, so what's the final number that it settles to is something that will determine how things move forward.

Deepesh Agarwal: What would be the share of U.S. in our revenue?

Sachin Raole: Only U.S. if you look at currently, it is miniscule in that sense because even though the customers are based out of U.S., the projects where our critical equipment are going there even going to Europe market also.

Page 10 of 25 Shishir Joshipura: Canada.

Sachin Raole: Canada and Europe both, yes. So, in the U.S., currently it might be 3% to 4% kind of a revenue which might be forming a part of our current number.

Shishir Joshipura: For projects located in United States.

Sachin Raole: In U.S., yes.

Shishir Joshipura: Ordering may be happening out of United States, but projects getting located in United States is a very low number.

Deepesh Agarwal: Understood, understood. The other comment is on the CBG side. If you can help us how now this year, this scenario would be? Because you have tied up with all the OMCs. It seems like the largest oil and gas company in the private is also setting up a larger CBG plant. So, what is your expectation with respect to the CBG ordering now? And how confident are you in terms of Praj being getting a disproportionate share, being number one or number two in that segment?

Shishir Joshipura: Yes, so that's a very good question. I think what we are witnessing is right now a statement of intention from many of the OMCs and other PSUs that they would like to be participating in the journey of CBG. Our participation with them obviously comes with a very different purpose.

One, when an OMC is involved, the off-take of the gas, which has been one of the major issues for the industry, gets addressed. The CBG networks that are now being built are also across the cities and as you probably know that from next year, January, it is a mandatory blend that is required to be done in the grid, 5%. So that becomes the next driver for it. The third thing is the technology itself. I am very happy to share with you. In fact, this happened just last week. We have done a record commissioning from start to final output at the guaranteed level with DCM in 60 days. So, that's the project that we have commissioned at a record pace. So that clearly establishes as the leader in the business of CBG. No other company can come anywhere near this record.

We have also, as Sachin was mentioning, we are building a very large capacity single location project, which is also, in a manner speaking, a repeat contract from a customer who has already experienced one of our plants. So, that goes to show that there is an increasing confidence in the ability of technology to develop.

The next development, which is very, very significant, especially from CBG's perspective, is the development of Bio-bitumen technology at Praj. As you are aware, we had mentioned in our last call that a road built using Bio-bitumen from our technology is now inaugurated as a stretch of the National Highway by Honorable Mr. Shri Gadkari, near Nagpur. And beyond that, that becomes a very, very important co-product for a CBG production, which helps to address several challenges that the CBG industry faces. We have worked closely with CRRRI to get the

Page 11 of 25 product specified, and that is, it is currently under the process. Because the by-product of Bio-bitumen actually happens out of waste stream processing, so it enhances the value significantly for CBG projects as well.

So, as we move forward, we believe that after the initial dust has settled and people have understood what technologies work and what don't, and where is the valuation that is happening, Praj will be in a position to be the market leader as we should be given our technological prowess.

Deepesh Agarwal: Sure. And last question, if we look at the last two years, there has been a ...

Moderator: Sorry to interrupt, Mr. Deepesh. May we request you to rejoin the queue?

Deepesh Agarwal: Sure.

Moderator: Thank you. We have our next question from the line of Aditya Mongia from Kotak Securities . Please go ahead.

Aditya Mongia: Good afternoon , everyone , and thank you for the opportunity. I hope I am audible to all.

Sachin Raole: Yes, Aditya.

Aditya Mongia: Thank you so much. I will go ahead with my questions. The first question that I had was more on this next year and how you see it from an order inflow perspective as in the imponderables over here are EBP 20 having been achieved already. Then imponderables over here are the ETCA orders that you may end up achieving. And the imponderable over here is the CBG pipeline, as you see through it. I would want to focus on both the bioenergy and the ETCA segment separately. And to gauge from you, how do you see through from a Y-o-Y perspective things happening from an in flow perspective in FY '26? That will be my first question.

Sachin Raole: Okay. So, we were talking about FY '25 as a year of transition . Looking at what is happening on the EBP 20 program , rather we started working on what should be the scenario beyond EBP 20 program. And what can be the contributor to our order book starting, let's say, from '26-'27 and going up to 2030. That's the planning which we were doing for the last 2 -3 years.

What Shishir was talking about the products which are coming out of for the commercialization, the value adds which he mentioned for the ethanol plants, is the one which is going to contribute in a big way. EBP 20 we will have to also see how EBP 20 is going to move to EBP 25 or 30, where there are some talks which are going on from the decision -making point of view at the government level. So , there will be one more lever which will be available for taking EBP demand from 20 to 30. There are multiple avenues which are possible within the existing plants, which again Shishir was earlier mentioning, that what kind of a value add which we can do for our customers, that will be another stream of ordering which can happen under Page 12 of 25 the ethanol business for us. I think there is more than enough opportunities which are available in that market or in that segment. Technology -wise, or from the solutions point of view, we are completely ready to offer that. So that's on the ethanol side.

CBG scenario is still evolving. Again, CBG is not going to remain only CBG -CBG . As Shishir was making a mention , there will be an addition of our offering to that in the form of a bio-bitumen , which actually differentiates our offering as compared to anyone in the market and takes up into a very different lead because it enhances the financial viability for the projects which are having a waste in the form of a li

gnin.

So, that's the business segment which will emerge. But of course, there are other factors which still need to get settled down. Market is still need to have more developers to come on the board. Some kind of an ecosystem from the offtake has to still get completely streamlined. So , I will have some cautious kind of approach to CBG, but of course it is going to be one of the big contributors in the next year in our bioenergy segment.

In the engineering side, if I may shift my gear to the engineering business now, as I mentioned earlier, already eight customers have verified or audited our facility of Mangalore.

Unfortunately, my Kandla facility is so blocked that I cannot take any more orders in Kandla because it is blocked for the next 18 months. So , I can't take any new orders in Kandla . I will have to take orders only in Mangalore. And that's why we were preparing ourselves in the form of infrastructure, resources, installing our new equipment and plant and getting them tested .

As I mentioned , eight customers have already inspected , audited and approved this facility . We have also advanced that to signing three long -term almost 8 years long -term agreement framework agreement with them . What does that mean? These are not the orders. These are the agreements which actually sets the guideline for the placement of orders from my customers so it becomes little easier for them to directly place PO on us and every time we don't have to go through the entire process of commercial discussion on these orders. So , we have advanced with three customers on that by signing these long -term agreements with them.

I think the engineering business is definitely going to start contributing from the order booking in next year. As we were earlier mentioning about how this facility is coming up, we had mentioned that first two quarters we will see the build -up of order coming up in this facility. Some activities have already started. One of the projects for which we will be getting supply order in the near future, engineering activities have already started in this year.

So, we see this engineering business is also going to contribute in a big way in the entire landscape of our order booking. I can't give you a number, unfortunately, but I very clearly see that there are possibilities of all these businesses to contribute in a big way.

Page 13 of 25 I missed out two or three other elements which are going to contribute to our order booking.

And one segment is on the services side. We are expanding our services business since last three years. It is taking a good shape. As I mentioned earlier, this year's order book is almost 2x of the last year and now we are again looking at a rapid growth coming up in that segment on the services side.

Another one is internationalization . And internationalization is happening across. It is happening in the bioenergy segment also. And let me also make a mention of PHS business

because initially they were having some kind of a sporadic kind of orders from the international side. But since the last two years, we have seen a continuous flow of international orders coming in PHS too.

So, services business, internationalization is what is going to contribute for the order booking of our next year. As I said, I only can't give you a number because that's what we generally don't talk about from the guidance point of view. But I can give you a direction, the way in which order booking is going to look like.

Aditya Mongia: Understood. This helps. And the second question that I had was on margins. Now your margins at the consolidated at the 10% levels at this point of time. I am just trying to get a sense of margin trend. Few imponderables ..

Moderator: Sorry to interrupt, Aditya. We are not getting you. Your voice is quite breaking in between.

Sachin Raole: But Aditya, if I have understood your question, you want

to understand how the margin is

looking like for this quarter and going forward. Am I right? Aditya is dropped. Okay, maybe in the meantime we can take another caller and maybe Aditya can come up in the call.

Moderator: We have our next question from the line of Tushar from KamayaKya Wealth Management .

Please go ahead .

Tushar: Yes, good afternoon, and thank you for the opportunity. I just wanted to know if corn is the long-term solution for ethanol and the companies want to increase their margin. So, it seems a natural transition for the value addition in the existing plant. Like, there are players like Globus and VCL working on that, on the corn at present. Just wanted to know, sir, in terms of opportunity, what sort of opportunity, in number terms, you were saying that? And for what percentage would be that for any just an average capacity cost? And, you know, that value addition would take what percentage?

Sachin Raole: Shishir?

Shishir Joshipura: If I understood the question correctly, very clearly the focus is on adding higher value to existing customers and obviously that's highly value accretive for both them and us. That also makes Page 14 of 25 sure that we are able to bring all our technology prowess to our projects. As markets mature, as technologies mature, as customers' operations mature, they then start to look for some of these solutions. We are seeing this across the different markets in the world. Depending on at which point of curve they are, they are moving differently, but all of them are looking for solutions in a broad category of, how do I enhance the value of my own operations? And that is where I think a significant role is played by the fact that we have steadfastly focused on technology development as an area. And that is why you heard us talk about Bio-bitumen, Distillers corn oil, high protein DDGS. We have talked about low carbon ethanol, reducing energy intensity, improving yield. These are all solutions of technological kind that allow one to realize higher value and deliver higher value both. So, I think that's the key lever as we move forward.

Could you just repeat the second part of the question? You were a little breaking up, so I couldn't catch that part.

Tushar: Basically, I just want to understand the market size of that value addition, which the existing clients are looking for. And second is, sir, what would be that percentage?

Moderator: The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Good afternoon, everyone. And thanks for the opportunity. Sir, one clarification was needed on the margin front where in our PPT, we have mentioned about GenX facility expenses cost impact of around Rs. 50 crores plus interest and depreciation of Rs. 37.15 crores. So that total is Rs. 102 crores. So, are we indicating that this is directly impacting the PBT of around nearly 100 crores? Is that understanding right without corresponding revenue?

Sachin Raole: Yes, Shailesh, your calculation or maths is right. But there were some orders which were getting executed in GenX, which has also given a contribution. So, almost Rs. 20 crores contribution will be there. So, if you look at, and in the notes to our results also, we have mentioned the number of Rs. 76 crores or Rs. 77 crores as the hit to our PBT in the consolidated accounts which is net of contribution which we have got for the orders getting executed or got executed in FY '25 for Praj GenX. So, if you look at math, it's 109 minus 20. And this is on a standalone GenX basis. And Rs. 6-7 crores inter-company adjustment, which brings down that number to Rs. 76 crores. So, Rs. 76 or Rs. 77 crores is the number which we have mentioned in our notes to accounts.

Shailesh Kanani: Okay, and so does it mean that if we have a full year revenue of GenX, this would be getting absorbed and then

there is no repeat or in case we are building up a team, so the cost is already in the P & L. So, executing the future orders, this would not be enough, right? I understand material and the cost would increase, but this is part in the P&L, so it would not be enough, right?

Page 15 of 25 Sachin Raole: Your understanding, Shailesh, is absolutely right, that moment we start executing the orders, all these fixed costs will start getting absorbed. And yes, to the extent of losses which we have

mentioned from this Gen X business, for setting up rather, this is , I will not use the word expenses, our investment, but getting through P&L, this expense will not or rather will get absorbed because of the orders which will get executed there. So , we will not have an impact on the consolidated profit and loss account or the PBT of the company.

Shailesh Kanani: Thanks a lot. And second clarification which I wanted is that we have also mentioned about a large C BG order of around 36 TPD. Has it been included in our order in flow?

Sachin Raole: Currently yes, in the current quarter order book it is sitting there.

Shailesh Kanani: Okay. And one indication I wanted to know on the international side, in the last two years, in terms of execution, has there been , see, we have not put any orders for GenX that you would understand for the Mangalore facility at least. But in terms of order book and revenue , the ratio has deteriorated . So, has the orders which we have brought in last 18 -24 months are of longer duration or we are taking time for execution ? Any color you can provide on that ?

Sachin Raole: You are saying for the international bit, right?

Shailesh Kanani: Right, right.

Sachin Raole: So, our international order has both the segments sitting there which is engineering and the bioenergy. Engineering orders , when they are of a larger value , naturally their delivery cycle is little longish. So, it can go up to 18 months. The orders can actually go even up to 24 months. So, the cycle is very, very different as compared to the ethanol business under the engineering side. Because as we know that under critical equipment business and Gen X business, we are having equipment and modules both , when you are building up modules, the time requirement is pretty huge because all the equipment are supposedly to get loaded on those modules and then those modules need to be dispatched to the client. So , the cycle is a little long ish. So your observation is right.

Shailesh Kanani: Okay. And just one more thing on GenX. There has been some delay as you have mentioned in the opening remarks as well , in earlier times as well. Any monitorable for us to expect momentum in the second half or anything which you can give more color ? And closing it, also I would like to take this opportunity and thank Joshipura sir. I believe this would be your last call. So, thanks a lot, sir, over the years for all the help, the guidance, the learning what we have got from your side. Thanks a lot for that as well, sir .

Shishir Joshipura: Thank you, Shailesh. Learning is mutual. Your questions are also pushing us to think differently. So, thank you so much.

Page 16 of 25 Shailesh Kanani: Thanks for your kind words, sir.

Shishir Joshipura: All of you, all your colleagues, all of you have been , I was wanting to do this thank you speech a little later, but since you said I am really, really thankful to you guys because unless you ask questions, it shows two things. One, that you care. And the second that you are asking us to think differently and when more minds work together, obviously we are able to think from different dimensions. So, thank you very much for being there for us for all these years. And I am sure that as Praj moves forward, you guys will continue to ask same penetrative set of questions so that Ashish and Sachin and everyone will be in a position to

benefit from your

wisdom and take the company forward. Thank you so much for everything.

Moderator: Thank you. The next question is from the line of Sagar Dhawan from ValueQ Investments. Please go ahead.

Sagar Dhawan: Yes, thanks for the opportunity. Just wanted to understand, you know, basically in the current order book that we have, what could be the broader mix of the domestic ethanol orders in that, which could be, you know, in the nature of slow moving, given the current scenario, domestically.

Sachin Raole: To be very frank with you, we are not calling them slow moving. Only we are saying that the execution cycle is getting elongated for them. Unfortunately, I am not having a number right now in my hand to give you. But they are not non -moving. They are slow -moving for a reason . Because we are also following very strict regime for recognition of revenue that if a client is ready with everything, then only we start working with them. And that's what is taking some time. And that's what we mentioned earlier also, that the execution delays are on that account. As I said, unfortunately, I am not having a ready number. Maybe we can provide you subsequently.

Sagar Dhawan: Sure, sir. Understood. And the other second part of the question was, let's say the current order book on bioenergy which we are having of Rs. 3,300 crores odd given in the presentation, what could be the execution cycle for that which you are looking at for that piece ?

Sachin Raole: It should be somewhere between 12 months to 15 months.

Sagar Dhawan: Okay. Sure. Got it. And sir, the other question that I had was on the engineering segment. So , we are seeing, you know, if I look at it on a full -year basis, the FY '25 to basically take care of the quarterly fluctuation, the order intake on engineering side has been, actually, have gone down by about 17% in the full -year '25 compared to last year. So , anything specific to call out there?

Sachin Raole: Actually, no. As I said, we are not in a position to take order in our Kandla because that facility is completely chock -a-block for next 18 months. So, we are supposed to get all these orders

Page 17 of 25 now happening in the GenX , and that's the readiness of GenX which we are waiting for. So, that is the only thing because we had to reject a couple of orders from the Kandla because our GenX facility was not completely ready.

Sagar Dhawan: Got it. Thank you for taking my question.

Moderator: Thank you. We have a next question from the line of Trilok from Ambit Capital . Please go ahead.

Trilok: Thanks for taking my questions. The first question is on flex -fuel. So , could you please share some insights regarding what is the development in the flex-fuel segment and what are the actions that the government is taking to successfully implement this?

Shishir Joshipura : Sorry, could you just repeat your question? You were a little breaking up, so I couldn't hear it very well.

Trilok: So, I want to just get some sense on the development on the flex -fuel policy and when do we see some sort of light on that aspect. Also, could you just give us some sense on what kind of order book can we expect for the company in subsequent years? That will be helpful .

Shishir Joshipura: So, I mean, our role as an organization that is closely associated with development of biofuel technologies, our role is to make sure that we are developing technologies that can use differently available feedstock across the country for conversion to ethanol, and ethanol becomes available. So , that's the role that we play . Of course, as an important part of the overall industry ecosystem , we do provide our inputs to the requisite bodies, to industry bodies, to the government panels when we are invited. We also talk with automotive manufacturers' bodies and things like that. So , our role is to provide inputs and say what

is

possible and how it could be made available. Because the moment flex -fuel vehicles come, obviously the demand for ethanol will shoot up. And obviously then there needs to be a road map available for making ethanol available. So, I think that is the role that we are playing . For me to predict a date on which date the flex -fuel policy will be announced is not within the domain of either my knowledge or authority. So , that will be very difficult.

Trilok: Okay, could you just talk about the order book expectations for the Financial Year '26? I know you guys don't get into any numbers or growth percentage, but it will be helpful for us to understand what kind of growth chart we will be sort of thinking about in the subsequent year.

Shishir Joshipura: Yes, Sachin mentioned in his speech that we have also mentioned that in the past that Praj's business is a string of pearls. And we are beginning to see different pearls now beginning to shine. We are not dependent only on one business segment. So, our services business, the C BG business, our push and thrust for internationalization, you will probably notice that in the quarter that went by, we were 39% of our order book came from international business. And that is a stated strategy of the company where we have stated that we want to move to an eventual situation of 50 -50 between domestic and international, even as we grow our sales 3x. So, of course, both segments will grow, but we expect international to grow at a faster pace compared to domestic. So, that will be a clear dimension. These other businesses that I spoke to you about earlier, our mentions are about higher value announcements, co -product development solutions , the engineering solution, the whole GenX picture that we discussed. So, we actually have multiple , we are fully ready. In some of the areas, like GenX facility was getting ready, but now we are ready. The co-product development has picked up high speed. We are now ready to commercialize bio-bitumen Distillers corn oil is already commercialized. Rice protein we are ready to commercialize. So , there are different solutions, different co -product solutions for which we are ready with commercial solutions.

So, as we move through the year, I think all of these levers will start to play out and we will see a healthy development of the order book. We see more reason for that would lead us to believe that one segment, one part of a segment, sort of not having a visible opportunity will lead to any deficiencies in our performance. I think we will continue to build from here onwards and it's very, very strong. There will be other levers that will kick in over a period of time. Sachin briefly mentioned about diesel blending program. I mentioned about SAF. So , there will be these opportunities that will come and emerge as we go along and travel through the year.

Trilok: Thank you very much.

Moderator: Thank you. We have our next question from the line of Vikram Suryavanshi from PhilipCapital. Please go ahead.

Vikram Suryavanshi: Yes, good afternoon, sir. I think most of the questions are answered. So , just on bioplastic with our demo plant being ready and now with this JV, when we can start showcasing this for the orders and how would be the opportunity in the international market?

Sachin Raole: So, Vikram, we are already jointly pitching in for the order booking now with the prospective customers. This being a completely different segment , but of course there is a good amount of interest in bioplastics in the market. So , there is a definitive interest which is emerging. We are meeting the prospective customers and presenting our case to them jointly with TK. And we will see some action happening. I can't give you a timeline. I can't predict a timeline right now for you, when the order booking is actually going to happen. But yes, the set of customers are

interested in visiting our demo plant, understanding how it is happening, and dialogs are going on.

Shishir Joshipura: Vikram, just to add to what Sachin said, the most very important factor is that this is now a domestically developed technology. So, we expect it will be very, very cost competitive compared to any other technology, number one. Number two, the availability of technology in the global market also is pretty restricted. And our model of making it available to anyone who wants it is a significant departure from most of the current technology players' strategy. I think Page 19 of 25 these two things, coupled with the fact that there is a local, very rich and experienced company that is backing up this technology, and now with this joint venture that we have signed with one of the world leaders, will actually make the full end-to-end solution available to customers. So, these are the three key drivers that I believe will help move this forward. Maybe these are little early days, but I am sure as time in forward in time we will be able to speak more specifically about, but there is already a lot of interest from a lot of customers.

Vikram Suryavanshi: Understood. And for GenX, I think since we start order booking now, majority of revenue will start particularly in the second half of '26. So, is that understanding right?

Sachin Raole: So, some revenue is happening, but meaningful revenue will start happening only in the H2 because the orders for execution will start coming up at that point of time. Currently, there will be engineering, which we will keep on doing based on the order booking which we will have.

Vikram Suryavanshi: Understood. Okay, that was it, sir. Yes, thank you very much and wishing you all the success for Joshipura sir. Thank you.

Shishir Joshipura: Thank you, Vikram. It's been a pleasure. And do keep in touch.

Vikram Suryavanshi: Okay, sir. Thanks.

Moderator: Thank you. We have our next question from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, sir. Thank you so much for taking my question. First question, in your opening remark, you highlighted about a 45 Z notification now being implemented from October '25. And in the past, we have been highlighting about the US SAF opportunity. So, with this, what are the expectations of order wins in US SAF in FY '26 and FY '27? Any color you would like to give after this development?

Shishir Joshipura: 45Z relates to lowering the carbon intensity of ethanol. Okay, and as we said, we expect that since the draft notification now issued, that considering normal cycle timelines, it should be notified towards the end of second quarter. That's where we are today. As and when that happens, it will create a definitive opportunity for us because there are already existing projects in the United States where the carbon scores lowering will present a very significant opportunity and financially also a very attractive opportunity, which would become eventually the feedstock for SAF. For SAF projects to come, this is the first step that is required to move forward. One or two projects that will come up in the meanwhile, you will see that they will say, okay, we already have secure access to low-carbon ethanol, or they will have their own low-carbon ethanol production facility. So that remains to be seen as to what is the actual model deployed by the early project proponents that we will have to see.

Page 20 of 25 In terms of the other notification of that is for SAF, we need to see in terms of because there is also another development where the CCUS projects which were dependent on pipelines are facing a little bit of rough weather because pipelines are not getting approval. So, how will that be overcome? So, multiple levers will have to come into play for us to see, but we remain confident that with this advent of 45 Z, it

will definitely create a good window of opportunity for us.

Amit Anwani: Right. The second part on you won orders in Paraguay and earlier you won orders in Brazil. So, any pipeline there or any other international market for 1G, maize-based sugar, starch, where we are seeing order wins in FY '26?

Shishir Joshipura: Yes, Brazil is a very high focus area for us. So, Paraguay, Argentina, Brazil, Guatemala, these countries, both in Central America and South America, are witnessing what I would call as a clear movement for governments to specify either higher mandates or new mandates for ethanol blending in their energy mix. So, that's a very, very positive step forward. Most of these plants, though not all, are likely to be starch-based. And we are very, very confident that with our strong footprint there, we will be in a position to move forward. Sachin already mentioned there are two projects for which the engineering orders are already under the way. So, once they are finished, that's the model in that market. So, then they will switch over to the equipment ordering situation. So, we will look at that as well.

Amit Anwani: Lastly on GenX, since we are looking for order wins in Q1 and Q2, any development which has happened, what kind of quantum we can expect with respect to order inflow or revenue, which you might be factoring in for FY '26 for GenX? There

Shishir Joshipura: There are dialogs that are currently under way. Orders are in finalization stage, in handshake stage. And we will let you know the numbers once they are done. I can't let the number out before the orders are finalized. You will appreciate that.

Amit Anwani: Sure. And I wish you all the best, Joshipura sir. It is always a pleasure to interact with you. And

I wish you very best.

Shishir Joshipura: Thank you , Amit . Thank you very much. Pleasure is entirely mine.

Moderator: Thank you. We have our next question from the line of Raman from Sequent Investments. Please go ahead.

Raman: Hello, sir. Sir, I have two questions. First, we have currently an order book of Rs. 4,293 crores.

So, what was the execution time line with respect to this?

Sachin Raole: So, as I earlier mentioned, the execution cycle for most of the orders is in a range of 12 to 15 months. I am telling you the average. A couple of orders which are there from the critical Page 21 of 25 equipment and modularization side, those might be in a zone of 18 months. But majority of the orders are in the zone of 12 to 15 months kind of an average period.

Raman: Okay, sir. And the second question, sir, is with respect to compressed biogas. In the earlier call, you mentioned that the entire industry was facing economic and operational challenges. And now that the pricing mechanism has been changed, I mean, it's linked to the 80% of CNG prices , I guess that's the new pricing mechanism. So , now I want to understand the out look, current outlook and the future outlook. Is the entire industry still facing challenges or now the operational concerns have been sorted out ?

Shishir Joshipura: So, this is a very new nascent and emerging industry . Nowhere in the world this exists. So, there are still nuances that need to get ironed out. Yes, you are right that on the pricing front, there seems to be a decent solution that has been provided. And there is always a presentation made by the industry to the government saying, no, they need a higher percentage of the pump price. So, that's under discussion .

Having said that, I think there are other issues that need resolutions around what to do with solid fertilizer, liquid fertilizer? They have now been notified, which is the first positive step, so they at least now can legally sell those products in the market. So, that's the second portion. Third is, as I mentioned, that from January of next year, there is a mandatory blending obligation on the C B

G companies. So that will also create demand and push for rapid infrastructure development, also development of plants in and around those networks because they will be looking for C B G as a source. So, that's another one. So , there are several positive elements. Off -take sites, still some more resolutions are required. But I am sure as we go through the year, we will see those happen.

Raman: Okay, sir. A follow -up question. Sir, on the revenue front, with respect to Q4, both bioenergy and engineering have seen a significant dip, like bioenergy has decreased by 15% on year -on-year basis, and engineering has decreased by 30%. Sir , can I know why was there this significant decline in the revenue?

Shishir Joshipura: So, as we said, you know that the execution cycles have stretched. From their normal cycles of 9 to 12 months, they have stretch ed to 12 -15 months. And we are very cautious about some of the domestic projects progressing forward in view of the tighter liquidity norms , tighter money disbursement norms that the financing organizations are now putting , the banks etc ., are putting on our customers . So, we have the order book , A. B, we could not voice them for the fact that they were not fully prepared to accept and pay for them . So that stretched the project cycles .

Third, there was also during the year, and I am being very open here. During the year, there was also a bit of a, I would say, order intake time mismatch for us, especially for our exports Page 22 of 25 jobs, where the things started about six months late. So , because the orders came in, but they came in a little late, so we could not go ahead and create this invoicing, which normally would have happened. So, those are the , if you recall, our first quarter was not a very high order booking quarter. So , that also impacted our ability to do the same thing during last quarter of the year.

Raman: So, last follow -up question. So, can we expect there will be a spillover in terms of revenue in the next year because of the majority of the order which was supposed to be closed in this year will be closed in the coming year ?

Sachin Raole : Yeah, that's what we had said that the order book is there. And the order booking is happening as per the strict norm of the Praj. That order has to be there. Agreement has to get signed. The advance needs to be paid. So , there is a commitment from customer that they want to go ahead with the project. Yes, there is a delay . Delay is only in execution site . So, naturally, this order book is going to get executed. Instead of getting executed over a period of 9 to 12 months, it is going to get executed over a period of 12 to 15 months. So yes, there is a spillover which can happen of the order book which we are working right now.

Raman: Okay . Thank you, sir.

Moderator: Thank you. We have our next question from the line of Manish Goyal from Thingwise Wealth Managers . Please go ahead.

Manish Goyal: Yes, thank you. Thank you very much. I have a couple of questions. Sir, first on the o verall margins, probably there are three or four perspectives. One is on what kind of revenue booking would be required to achieve break -even at GenX plant. Would it be, say, considering you probably have an impact of Rs. 80 crores, would it be revenues of Rs. 400 to 450 crores

required? And do you expect that we will achieve the break -even in entire FY '26 or it will be probably back -ended and on a quarterly revenue run rate? So, this was the first part. And second was on the margins related is probably , do we see a very good improvement going forward considering we would have a better revenue mix with higher services revenue and higher international revenue considering higher order book from the international markets ? And the third angle to this is also that with C BG plant revenue mix improving , where probably we see a higher outsourced work, c

an it probably offset some of these margins? That was my first part of the question, sir. And I have a couple of more . So, please provide an opportunity for that.

Sachin Raole: Manish, in the first part itself, you have asked three questions, but I will try to answer. Your question was related to BEP (break -even point) for GenX . More or less, your calculations are Page 23 of 25 right. The break -even point for GenX will be somewhere in the range of Rs. 400 -450 crores. That's right.

Your second part of the same question was whether this is going to get executed in an equal manner on a quarterly basis. The answer is no. As we mentioned that the modularization and equipment orders are little longish from the execution point of view , the execution period is going to be little longish.

Revenue might get , of course it is based on the percentage of completion method basis. But initially some engineering component will come through and then the work on equipment and modularization will start. So , there will be some kind of a lumpiness in the revenue getting booked for GenX . We had already mentioned that we are not expecting huge revenue booking to happen in the first half of next year. It will start happening from Quarter 3 onwards. So , you will see some kind of a lumpiness from the revenue point of view. But your point is right. Break -given point will be somewhere around Rs. 400 and 450 crores.

Your second question was related to margin improvement. Your point is right. Because of the services element and the internationalization, there will be possibility of improvement of margin. We are not baiting right now too much on that and giving you a very different picture. We always mention that our first target is to reach on a sustainable basis to a double -digit EBITDA margin. That is what we are trying to do right now. The moment these other components will start playing in which are going to contribute higher on the margin side, yes, they can be margin -accretive going forward.

Your third question was related to CBG. Sorry, I missed it out now.

Manish Goyal: So, basically the revenue composition of CBG probably may include higher outsource work. So , can it probably impact your overall margins? Or do you believe that we can achieve double -digit margin in the CBG?

Sachin Raole: So, CBG has some component of outsourcing, of course, but it also has the site activity which I had mentioned earlier in my remarks. That site activity is on a higher side as compared to the bought -out components or the third -party component. But yes, that component will definitely be there. So, there will be three parts to it. One portion which we are supposed to do in the form of equipment. The second one will be outsourced. And the third one will be site activity. And in the CBG business, site activity will be little more as compared to the first two components.

Manish Goyal: Okay, sir. And sir, on the depreciation part, probably three observations from the cash flow statement that probably your principal payment on LIGI has remained steady at Rs. 32 crores .

So, where I am coming from is that your depreciation has increased from Rs. 44 crores to Rs.

Page 24 of 25 86 crores. So , if the lease payment outgo is steady at Rs. 32 crores, does it imply that incremental depreciation is on plant and machinery from GenX? That was first.

Second, there is a bad debt provision of nearly Rs. 25 crores versus Rs. 23 crores. So , is it also reflecting in our P&L ? And how do we see it going forward?

And the third question is on increasing working capital, which is quite significant considering contract's work in progress has increased from Rs. 700 odd crores to more than Rs. 1,000 crores.

So, what should we read into this? Thank you so much.

Sachin Raole: I hope this is the last installment of your question.

Manish Goyal: Sure, sure.

Sachin Raole: C

ash flow, lease, your observation is right. But I can't explain you the accounting standard on a call. Based on the accounting standard, the treatment of the actual rentals getting paid out and the capitalization of lease assets and getting depreciated in the profit and loss account is little different. That's why you will not see , I mean, my lease rentals were , I mean, if I talk from the cash flow point of view, the lease rentals were little bit in a staggered manner. But the asset gets capitalized in one number. I mean, the entire cash flow gets capitalized as one number and gets depreciated over a period of lease period. Especially this is happening for my GenX facility. And that's the reason why you are seeing that number, the way in which you are seeing. Yes, you are right. Apart from the GenX facility , we do have plant and equipment which got,

what I can say, decapitalized in the GenX facility. Those are also on a lease basis. That's the reason those lease rentals have also started kicking in now. So , that's on the lease. Second one, observation of yours is on a bad debt provision. Let me clarify. This is a provision for doubtful debts. There are no bad debts. Surprisingly, rather we have not actually written off anything as a bad debt in the current year. Everything is on the provisioning side for doubtful debts because we have beefed up our policy from the provisioning side and changed little bit and made it little more aggressive on the provisioning side. That's the reason why you are seeing increase in the provision for doubtful d ebts.

Sorry, I again missed your third question.

Sachin Raole: Manish is gone .

Shishir Joshipura: Okay. Thank you.

Moderator: Thank you, sir. This would be the last question for today. And I now hand the conference over to the management for closing comments.

Page 25 of 25 Sandip B hadkamkar : So, thank you everyone for your time today. In case you have any more questions, feel free to

write us at info @praj.net. Once again, we would like to thank you all for your time and have a nice day.

Moderator: Thank you. On behalf of Praj Industries Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Sep 2025

Date: 181h August, 2025

Ref.: PIL/ANB/L056/2025-26

Company Code -PRAJIND

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Sub.: Transcript of Analysts' Call held on 12111 August, 2025.

Dear Sir I Madam, prQJ

Please find enclosed the Transcript of Analysts' Call of Praj Industries Ltd. held on 12th August, 2025 regarding Un-audited Financial Results (Standalone and Consolidated) for the quarter ended 301h June, 2025.

The above information will be made available on the website of the Company at www.praj.net.

This information is given pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time.

Thanking you.

Yours faithfully,

FOR PRAJ INDUSTRIES LIMITED

ANANT BAVARE

COMPANY SECRETARY &

COMPLIANCE OFFICER

(M. NO. 21405)

Encl.: as above

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Moderator:

Anuj Sonpal:

Sachin Raole: Praj Industries Limited

Q1 FY '26 Earnings Conference Call

August 12, 2025

Ladies and gentlemen, good day and welcome to the Praj Industries Limited Q1 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "O" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anuj Sonpal from Valorem Advisors. Thank you, and over to you, sir.

Thank you. And good afternoon, everyone. A very warm welcome to you all. My name is Anuj Sonpal from Valorem Advisors. We represent the Investor Relations of Praj Industries Limited.

On behalf of the company, I would like to thank you all for participating in the company's Earnings Call to discuss the 1st Quarter of Financial Year 2026 performance.

Before we begin, let me mention a short cautionary statement. Some of the statements made in today's earnings call may be forward-looking in nature. Such forward-looking statements are subject to risks and uncertainties which could cause actual results to differ from those anticipated. Such statements are based on management's belief, as well as assumptions made by and information currently available to management. Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's conference call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Let me now introduce you to the management participating with us in today's Earnings Call and hand it over to them for opening remarks. We have with us Mr. Ashish Gaikwad- Managing Director, and Mr. Sachin Raole -Chief Financial Officer and Director of Resources.

Without any further delay, I request Mr. Sachin Raole to start with his opening remarks. Thank you, and over to you, sir.

Thank you, Anuj. Good day, everyone. I welcome you to Praj Industries' Earning Call for Quarter 1 FY '26. Trust all of you had the opportunity to go through our results for the quarter ended 30th June 2025.

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Ashish Gaikwad: The consolidated income from operations stood at Rs. 6.4 billion in Q1 FY '26, as compared to

Rs. 6.99 billion in Q1 FY '25.

PBT before exceptional items for the quarter stood at Rs. 96.09 million, as compared to Rs. 788.8 million in the corresponding period of the last year. Profit after tax stood at Rs. 53.4 million in Q1 FY '26, as compared

to Rs. 841 million in Q1 FY '25.

Of the total revenue, 60% is from Bioenergy, 28% from the Engineering, and 12% is from PHS business. Export revenues accounted for 39% of Q1 FY '26.

The order intake during the quarter was Rs. 7.95 billion, with 55% from the domestic market.

Of the total market intake, 80% came from Bioenergy, 12% from Engineering, and balance 8% from PHS business.

The order backlog as of 30 June 2025 is at Rs. 4.45 billion, comprising 62% of domestic orders.

Cash in hand as on June 30th stood at Rs. 4.5 billion.

Geopolitical scenario and uncertainty around U.S. tariff have slowed down the CapEx-related decisions impacting the order booking. Customers in domestic market are facing liquidity challenges, resulting in delayed and extended project execution.

Profit mainly impacted by drop-in volume, increased site-related expenses because of delayed execution cycles, and GenX business expenses with no corresponding revenues. It has also affected the absorption of fixed cost. It is pertinent to note that there is no loss of orders or the loss of market share for Praj.

Effective tax rate for Q1 FY '26 in consolidated financials is 44% because the deferred tax asset on the losses of Praj GenX is at lower rate as compared to the rate of tax for Praj Industries.

In yesterday's AGM, shareholders have approved the payment of final dividend of 300% per share.

With this, I now hand over to Ashish for his comments on the Business Performance and other updates.

Thank you, Sachin. Good day, everyone. Yesterday, on the occasion of World Biofuel Day, Praj introduced BioVerse. It is a movement to promote innovation, collaboration, and additional applications to further develop the Indian and international bioeconomy.

I would like to go to the Business Updates now.

First, on the domestic bioenergy business. As you know, India has achieved its EBP20 target ahead of its scheduled target of 2025 end. The current installed capacity of ethanol production

in the country now exceeds EBP20 requirement. The discussions are ongoing regarding additional blending mandates. The industry is anticipating a firm announcement on the same.

The excess installed capacity has led to temporary slowdown in conversion of new inquiries into firm orders and new greenfield ethanol plants. • We believe this short-term situation will improve once the government announces its plans to increase in ethanol blending.

Introduction of flex-fuel vehicles and engines will also give new impetus. As mentioned by Sachin, despite slow orders, our market share at Praj is intact. Government of Maharashtra has made an announcement of Viksit Maharashtra 2047. This is a positive development. It talks of bioenergy policy that promises Rs. 28,000 crores in investments over the next five years in various products derived from sugarcane.

While we are witnessing slowness in inquiries of greenfield plants, we are focusing on offering plant medications as well as solutions as co-products such as Distillers Corn Oil called DCO, rice protein, etc. These are gaining increasing interest from the existing ethanol producers.

On the existing projects and on the execution front, liquidity challenges are resulting in extended execution cycles. In few cases, we are witnessing delays in site preparedness and pre commissioning readiness due to the lack of funds.

Moving on to the international bioenergy business:

Despite good inquiry basket from America, there are some delays in order bookings. Some of these are due to the tariff-related developments. There is now a clarity on 45Z policy, which is a tax credits policy contained in the new Big Beautiful Bill. It is an encouraging development for us. However, the uncertainty regarding tariffs may act as a headwind.

CBG business:

There is a healthy pipeline of inquiries for projects in CBG. The success of our press mud-based CBG plant is well accepted by the customers. New opportunitie

s based on Napier Grass as the

feedstock are also developing. The decision-making is delayed in some cases due to financial challenges.

We have a unique offering of combined CBG and Bio-bitumen plant. This unique offering from Praj improves the project ROI and payback period. We have initiated discussions with customers regarding the addition of Bio-bitumen modules. Since it can significantly improve the viability of the CBG plants, we are witnessing increasing traction.

As mentioned in the last quarter, we have signed a term sheet with BPCL for developing 10 CBG projects. We are in the process of finalizing the JV agreement.

Services business:

This business is continuing its journey on a healthy growth path with a good performance. Apart from our performance enhancer solutions, we also have a healthy inquiry pipeline for biogenic CO2 capture solutions.

On the SAF business front, we have received an order for detailed engineering for commercial sized SAF plant in the USA. This is for a detailed field engineering package. This is going to help us in capability development in ethanol-to-jet projects.

On the policy front, UP government is expected to come up with Sustainable Emission Fuel Manufacturing Promotion Policy 2025. This is aiming to establish the state as a leading hub for SAF production in India.

In one more SAF-related development, Praj has entered into a partnership with IATA and ISMA to advance SAF Carbon Assessment and Certification in India. This collaboration aims to conduct a comprehensive life cycle assessment, or LCA, of SAF produced from Indian sugarcane feedstock using the ethanol-to-jet pathway. The goal is to determine an accurate carbon intensity number for SAF and establish a certification methodology suited to the Indian context, aligning with the international standards.

Moving on to the engineering businesses:

On GenX front, tariff uncertainty and the reduced prioritization of energy transition projects have affected order bookings. Several projects are either delayed or on hold. The fixed costs at GenX facilities coupled with limited revenue activity has negatively impacted our bottom line. We are closely monitoring developments on the U.S. tariff front. We expect to be in a better position to comment on its long-term impact on the energy transition and the climate action business by next quarter. Expanding application of modularization across industries and geographies is going to be the driver for capacity utilization of our GenX facility.

On PHS front, we have a good pipeline for our solutions for segments of high-capacity fermenters, complex injectables, and blood plasma. We are also exploring opportunities in emerging sectors like batteries, solar cells, and semiconductors.

On bioplastics front, we have now started discussing our offerings with potential customers and the inquiry pipeline is building up.

Overall, despite challenging business environment, our core fundamentals are strong, our growth vectors are intact, and therefore, we remain committed to our long-term growth vision.

Moderator:

Mohit Kumar:

Sachin Raole:

Mohit Kumar:

Ashish Gaikwad:

Sachin Raole: I now conclude my remarks, and I would like to thank all of you for joining our call today. We will now be ready to discuss any questions, comments, or suggestions that you may have.

Thank you.

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

My first question is on the domestic execution. It is pretty slow in the third quarter. I think it is around 3.9 billion, Rs. 390 crores versus Rs. 530 crores in the best quarter. Do you think things will improve in the next couple of quarters or it is going to be a very, very delayed recovery?

And is the lack of blending mandate also impacting the execution?

Sorry, Mohit, it was a little difficult to un-

derstand your question. Are you basically interested in understanding what is the scenario in the domestic ethanol market?

Yes, sir.

All right, Mohit. So, certainly we need some impetus in the current domestic market, as we mentioned. We would like to see a new additional blending mandate, which is probably being discussed now. And, of course, that will give us more traction as far as the new capacities for the ethanol plants is concerned.

Apart from that, we are also looking at other opportunities that can come up. One of them I talked about recently is on SAF, the sustainable aviation fuel, and the pathway that takes ethanol to SAF. So, that is the other set of opportunities that we would be looking at.

And the third one is also an opportunity that we are excited about, which is diesel. Today, diesel is not being blended by any alcohol. And if we get that mandate for blending in diesel as well, then that will give us a pathway to increase the alcohol production in India. All of these will positively impact our order bookings. This probably may not happen in the very immediate future or this quarter, but over a period of time, certainly this is a positive trend.

And Mohit, if I may add to your question related to the prospects for ethanol in the domestic market, there are two ways of looking at this entire scenario. One is completely based on what is going to happen on the mandates. If there are mandates, then what Ashish was describing is

going to happen.

Rather, there are a couple of more things which have happened. Yesterday we witnessed on the World Biofuel Day, witnessing unveiling of ethanol-based mobile gensets and next-gen flex fuel vehicles for both two-wheeler and four-wheeler. It will also facilitate additional demand for ethanol in near future. So, that is one element based on what is going to happen to the ethanol demand.

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Mohit Kumar:

Ashish Gaikwad:

Moderator:

Atul Tiwari:

Ashish Gaikwad: Another element from our offerings point of view, let's assume there is no additional blending mandates coming up in the near future. We have a solution of advanced technology and customized services for our customers for enhancing their capacities or their yields or their performances, which is very healthy business. Might not be top-line accretive, but will add to our bottom line.

And in addition to that, we have started our services business in a small way in the last couple of years, but it is taking a very big shift now, especially providing the performance enhancers to our customers, providing the services in addition to operations and maintenance. So, there is a big bouquet or big basket of services which are also getting provided to our customers. So, that is an additional element for the domestic market which will add on with irrespective of whatever is going to happen to our blending mandates.

My second question is on CBG. Of course, you are executing a very large order of CBG of around Rs. 500 crores. How has been the experience and how do you see the finalization of new tenders in the near term?

So, Mohit, on CBG, I think the industry has been learning over the last few years. And that learning has now, at least for Praj, resulted into doing these projects with much more efficiency and much more standardization. Especially for the press mud, which is a feedstock for CBG, we now have three successful projects which are producing CBG at capacity. And that is certainly good news.

There are more inquiries coming up, especially there is an interest in a feedstock like Napier Grass, and we are working on our proposals and working with the customers to see how we can take a fair share of that market as well.

Overall, it is still a developing market, CBG, and it will take some time for it to become extremely stable. And we are engaged with that market. So, we will keep you posted.

The next question is from the line of Atul Tiwari from J.P. Morgan. Please go a

head.

Sir, my question is on order inflow. So, if the extension of this blending mandate has not come beyond 20%, say, for this year, can we still maintain about Rs. 800-odd crores of quarterly order inflow run rate or do you expect it to slip further from here?

Yes, good question, Atul. You have seen that our current order booking is in that range, what you mentioned. We, of course, aim higher, based on the inquiry pipeline that we see, but the decisions can sometimes get a bit delayed. So, that is what I can say at this point in time, that it is fair to assume that type of a run rate.

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Sachin Raole:

Atul Tiwari:

Sachin Raole: So, Atul, just to add on, while answering a question of Mohit, I was very specifically saying that if there is no additional blending mandate, maybe our top-line growth will not be there to that extent. Indirectly, that means there will not be a run rate of domestic order book in that zone which we are discussing right now because naturally there will be very few Greenfield orders coming up in the picture in that case.

But there will be other opportunities which are available to us in the form of advanced technologies, which may not add on to our top line, but that will add on to our bottom line. So, you may not see the numbers on top line, but you will see a number on bottom line.

And starting with margins, you know, in this quarter, we have seen at EBITDA level 4.9%. And as far as I can see, it is probably the lowest over past at least 15, 16 quarters. So, in this kind of environment, I mean, assuming that the mandate is not extended and beyond 20% and the tariff uncertainties continue for some more time, is this the new normal or the new normal is more like 8%, 9% or even the double digits?

So, from the margin point of view, yes, you are right. This quarter happens to be the lowest one, mainly on two accounts. There will be a minor couple of more, but major two. We have seen a drop in top line by almost Rs. 220 crores as compared to March quarter. We just contributed heavily on not having the margins because the fixed costs to that extent are not getting recovered. One.

Two, the subsidiary of our GenX facility which is completely operational, completely

functioning, but not correspondingly generating revenue at this point of time. That is second one.

And third one, in the other expenses, we have seen some kind of spike in the site-related expenses because of couple of sites where the work was continuing. We had some challenges on getting the labor for those particular sites, which actually added into our cost. So, that is another reason.

Whether this is a new normal or new normal is going to be different? According to us, yes, new normal is going to be completely different. This is like an aberration in this quarter, which we have seen, that top line dropping to this extent, costs going up to whatever extent which I mentioned.

We are not expecting this situation to continue definitely. Some pains might continue till quarter 2, but from quarter 3, from H2 onwards, we are not expecting this situation to continue. So, the new normal which you are expecting that can we be in a little larger single digit EBITDA margin, I think that is what we will be looking at going forward.

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Moderator:

Sandeep Sabharwal:

Ashish Gaikwad:

Sandeep Sabharwal: The next question is from the line of Sandeep Sabharwal from Asksandipsabharwal.com. Please go ahead.

Hi, Mr. Gaikwad. So, I have been tracking the company for almost 25 years. Last few years, there have been several growth opportunities which the company has talked of, which were supposed to become big, starting with the 2G, ethanol, to CBG, to SAF, to bioplastics, etc. But all of these largely seem to be remaining on paper. And the company's shareholders seem to be working for the employees of the company, like the salary to turnover ratio of your company is extraordinary.

You have set up

a new facility, a huge new facility, which is not executing anything. I haven't seen any company ever do such kind of thing. So, what are shareholders supposed to expect from it? If you actually go and listen to your company transcripts when you were not there, conference call transcripts last 4, 5 transcripts, this sort of decline in turnover and the challenges you are talking of, these were never talked of earlier.

Yes. So, first of all, Mr. Sabharwal, you tracking our company for 25 years certainly is a good thing. And I appreciate your comments that you have given.

See, we are also a technology company. You know, we develop a technology. We develop that in the field of the bioeconomy. And it is a developing economy. So, there are timelines which are extended.

You talked about 2G, CBG, SAF, and also bioplastics. 2G, for example, our technology is now working as far as 2G plants are concerned. And we are quite hopeful and we are working towards making our first 2G plant to be operational by end of the year, right? So, I think that will build more confidence. And there are two more projects that will follow, which are already being executed by Praj after this first one that I talked about. So, there is a timeline we have in mind, and technologies like 2G, we are quite excited to really make them successful.

Bioplastics is the same thing. You know, it is driven by a little bit of regulation side as well. But we believe that these trends are correct. And these are difficult technologies to work with. Praj has always done difficult things. Even ethanol, when you see, several years ago, when Praj was talking about ethanol, nobody else was talking about it. And now you clearly see the success of the way ethanol is being blended in gasoline, ethanol-to-jet as the pathway, et cetera. So, patience pays, and especially in the technology field that we operate in, there is a definite reward to the patience.

I don't think you covered the aspects which I talked of, but in any case, now Mr. Chaudhari came out with a Vision 2030, where he said that you are looking to triple turnover and I think grow profits by some levels, which I don't remember now. And immediately after that, the

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Ashish Gaikwad:

Sandeep Sabharwal:

Ashish Gaikwad: growth of the company has started declining. So, can you just comment on that? What are the assumptions which went into giving that Vision 2030 and how you are going to achieve it?

Certainly. So, first of all, the vision that was set by our Chairman, Dr. Pramod Chaudhari, we still are very much committed to delivering that Vision 2030. And the reasons for that, Mr.

Sabharwal, are pretty well known. The reasons for that are the fundamentals, the core fundamentals are still the same.

Our growth vectors, which I will quickly touch upon, are also intact. And therefore, while we see some of these hurdles like the tariff that we talked about or some of the slowing down of the domestic ethanol Greenfield demand etc., those will be overcome when we are looking at a 5-year period.

The growth rates that we are still quite gung-ho about is number one, we believe that ethanol will have more pathways for sure, right? And I touched upon couple of them already. We also believe that CBG as a market will develop and we will have a fair share in CBG.

Number three, in our growth aspirations, we are internationalizing our offerings and our services, and certainly, we will have opportunities to grow it beyond the borders of India. Bioplastics also, although it has moved slowly, but it will have the market opportunities developing. We can see those opportunities developing as well.

So, when you look at the growth vector that we are talking about, both in the biofuel side and the renewable chemicals and materials side, which is how our portfolio is balanced, those are going to take off.

On the equipment and the modularization side, we have had this slowness, which Sachin m

entioned, but we will explore new opportunities in new industries as well as new geographies so that we are able to better utilize our GenX facility.

So, I hope some of your points that you raised, which are valid points, some of those are addressed by my answer.

Thank you. Just one observation because I have covered my two questions, that your company, when it was much smaller, used to have margins in the late teens or early 20s, if you go back into history. And as it's become bigger and bigger, the margins are actually declined, whereas it should work the other way. I hope that you take initiatives under your guidance, as you have just taken over, to improve the profitability of the business.

Certainly, sir. I think profit remains one of the top focus areas for us. And as you mentioned, you know, we will certainly take action so that we can maintain a certain level of bottom line.

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Moderator:

Shivkumar Prajapati:

Sachin Raole:

Shivkumar Prajapati:

Sachin Raole:

Shivkumar Prajapati: The next question is from the line of Shivkumar Prajapati from Ambit Investment Advisors. Please go ahead.

Sir, my first question is, in the presentation, we have highlighted that the current capacity is, you know, exceeds the EB, like ethanol blending rate of 20%. So, just want to understand, is the capacity marginally extra or is it something that can serve up to 25% of blending rate?

And if possible, would you be able to share the split between the Greenfield versus the Brownfield part of the ethanol order book? And what part of overall ethanol production is being made from sugarcane, rice or say any other grain?

So, the composition of sugar and grain is more or less reaching to a 50-50 kind of a proportion from the production point of view. Is the current capacity good enough to take care of 25%?

Because there are so many regional imbalances still there and because of which this extra capacity looks like to be an extra capacity, but that extra capacity, so-called, will not be in a position to take care of additional blending mandates.

Even if it happens to be 22%, 23%, we will immediately see the capacity requirement coming up from all the corners. So, we don't think that existing capacity will be able to take care of the additional requirement because there are multiple factors which plays a role in the installed capacity and the utilized capacity and that to region by region. So, I don't think that we will see that kind of a scenario.

What was the other component of your question?

Sir, the order book split for ethanol between Greenfield versus Brownfield .

So, right now, we have majority of our order book is coming from Greenfield. There is a small component of Brownfield. And at Brownfield, what I was earlier referring to from the advanced technology kind of a scenario, where people are looking for capacity tweaking or shift up, adding the new line in their existing sugar line with the grain line or the yield improvement. So, maybe 80% will be Greenfield, 20% will be Brownfield, more or less.

And sir, my next question is on GenX. So, far, GenX has contributed around Rs. 20 crores of top line. So, what is the overall expected contribution from this segment, given that there is no contribution in Q1 so far? And if you can provide any further updates on a new audit that has been conducted and any new long-term contract that has been signed because I think 8 audits have been done and 3 contracts have been signed. And if you could also highlight the order book that we will be able to execute in the remaining 9 months of this year, given we have Rs. 4,500 crores of outstanding order book.

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Sachin Raole:

Shivkumar Prajapati: So, in the GenX, it is a very peculiar situation in GenX. Let me first tell you that we also added two more framework agreements during this quarter for the GenX, which are basically based on the new client's inspection of our facility and then signi

ng this framework agreement. So,
that is the positive news on that front.

On the overall opportunity which we are looking for from the GenX in the next year's point of view, we have more than Rs. 1,000 crores firm proposals sitting with our customers, where the decision-making is yet to happen. In the last call, we had mentioned that we are working on RFQs, that is requests for quotations, which we had submitted to our customers as a firm commitment, and those we are waiting for finalization.

The trickiest part of this Rs. 1,000 crore is that almost 70% are for the U.S. customers and 30% are for non-U.S. customers. Rather majority of them for U.S. customers, but the export is supposedly to happen to U.S. to the extent of 70%. 30% is supposedly to happen to the European region. So, that is the mix of what I can say firm commitments which are sitting in the market from our side.

What we had to see how this current scenario towards the tariff and the uncertainty towards that, which is delaying the decision-making for my customers, how it is going to span out over a period of next couple of quarters. And that is what is going to decide to what extent out of this Rs. 1,000 crore is going to get materialized in the order booking for us. But that is one segment.

Is that the only segment which we are concentrating on? That is not the case. Currently, we are working on multiple other requirements of the requisitions from other regions too. If you look at GenX facility, it is not meant for a set of customers, it is actually a modularization facility which can cater to different industries too.

So, our focus is now looking at what has just recently happened in the month of August, especially in the form of tariff. We are working out alternatives to utilize this capacity. Maybe it will take a quarter more time for finalization of the entire new regions or new industries for us, but that is the work which is going on.

It is a little premature to answer the question whether what will be the order booking for GenX at this point of time for a simple reason, because that additional 25% tariff is supposedly to kick in from, what, 28th of August. So, we will have to wait and watch for some more time to find out how this entire scenario is going to play out for us.

My next question is on exports. So, basically, it is on export opportunities. Okay, we will exclude the U.S. tariff impact. I just want to understand, currently, U.S. contributes around less than 10% to our revenue. So, post this approval of 4SZ and 4SQ announcement, what opportunity size do we look in U.S.?

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Sachin Raole:

Moderator:

Amit Anwani: And in last year, same quarter, you have highlighted that we had the opportunity to convert 20 plants to low-carbon ethanol plants. So, is there any update on this? And plus, Brazil has also raised their mandate from 27% to 30% for gasoline, whereas for biodiesel, it has been raised to 15% from 14%. So, just want to understand how much does Brazil contribute to us and the opportunities after this mandate update from Brazil.

I will try to answer this question a little in short because there is a long queue of questions which are standing in the line. So, answer is very simple. For U.S., 45Z, rather, this was a mixed bag for us. 45Z is very positive development because it is an extension of the credits which are supposedly to be available from 2027 to 2029. That is one positive.

Second thing, there is a complete clarity of how the credit is to be given to our customers. So, that is another positive for which we were waiting actually for last 2, 2.5 years. So, these are very, very positive development on the low carbon ethanol and credits available under 45Z. Only the downside, which is coming up in the form of this 25% plus 25% tariff at this point of time. And that may delay some decision-making till we have clarity. And what I answered in your earlier question, that tariff is going

g to get some kind of clarity in a clarity zone by end of

August. I think that will tell us what is going to happen on the opportunity which is available to us on the 45Z.

Second question is related to Brazil. Brazil, we believe that there is an increased blending mandate which will definitely open an opportunity for us in the Brazil market. But again, we like to see it is not only India and Brazil. There is U.S. again sitting between Brazil and U.S. What is going to happen from the export of ethanol from Brazil to U.S., which is a very common factor, what will be impact on their export because of their tariffs, because they are also in a very large kind of a tariff number, and what kind of a capacity expansion they will be looking at. That is, again, we like to wait and watch.

So, there is a very minuscule, not minuscule, maybe 10% to 15% kind of an impact, as you rightly said, from the direct U.S. business of ours. But there are many factors which will indirectly affect us because of this kind of a scenario. So, we will have to wait and watch on this front at least for a month till we see what happens on the balance 25% tariff.

The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

My question pertains to, again, the GenX facility where you did highlight the peculiar situation

which is currently there. I just wanted to understand this is prior comments that we will be winning few orders and then the execution can happen in H2. So, now is that situation there?

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Ashish Galkwad:

Amit Anwan: And second thing is you talked about geographical diversification and some other diversification for GenX. So, in the event of 50% tariff, are we also exploring the option that since this was 100% export-oriented unit, we will be looking for domestic orders and which other industry diversification you are talking about, if you could explain in more detail about the GenX facility in the event of tariffs?

Maybe I can take that question, Amit. Thank you for your question. Yes, first of all, we are right now heavily sort of weighing on the U.S. tariffs, and that is why it is important to say that the facility, which Sachin also mentioned earlier, is not just only for USA. It is certified and getting certified for multiple geographies as well. And the customer base that we are trying to target is in the U.S., but also outside of the U.S.

Secondly, we would like to have a proper analysis of the other markets other than U.S. so that we will be able to, in the next call, give you more qualified answers based on our study that we are doing. Because naturally, like us, many other companies are also struggling with these tariffs and we will have to find new geographies to start working on.

The third thing that you wanted to know was about new industries. So, firstly, we were focusing in the last couple of years when there was a lot of discussion around the energy transition and climate action type of projects, they were mostly green hydrogen or blue hydrogen or green ammonia oriented. And somehow those projects are either slowed down or on hold.

And therefore, the other industries which can be certainly looked at and the facility at GenX allows us to manufacture these modules or equipment for them will be the non-ETCA or non energy transition and non-climate action type of industries. And those are the ones that we would be exploring.

As far as the geographies are concerned, we are looking at the Latin American geography, where we already have presence, and, of course, Europe and the U.K. as well.

Second question, sir, you talked about the liquidity challenges faced by our customers. And I am assuming this is, I think we are working with sugar and then grain-based plants. So, why is this arising? And are we sensing any impact on our working capital? Is this a challenge for the current order book? And then what is the exposure of current order book where we are faci

ng

liquidity challenges from the customer?

And second, since now IG has kind of dried up, we at the peak used to get about Rs. 3,000 crore order intake, typically from IG. Are we expecting less than Rs. 1,000 crores since there is no orders and even EBP further mandates will take a lot of time to materialize because of different challenges? So, more clarity on these points.

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Sachin Raole:

Amit Anwan: So, Amit, your first question related to working capital, I must accept and admit that, yes, there is some kind of a strain. We have seen to some extent accumulation of inventory and receivables in this quarter, but not alarming.

Rather, that was the main reason when we took a decision that we don't want to keep on dispatching the goods to our customers without having cash on table. That is what has actually affected the revenue coming down from last quarters of 860 to 640 of this quarter. So, that was a very conscious call which we took, that if we are not seeing the money on the table, we will not continue with dispatches of the goods.

Let's understand what this liquidity problem is. All our customers technically have sanctioned loans from their banks. It is not that they don't have money in that sense, but they have a sanctioned loan. So, these cases are completely backed by financing.

The problem which my customers are facing is very simple. As you know, Amit, that we generally do 40% or maximum 50% of the entire Greenfield project of any of our customer. So, let's assume a project size is Rs. 100 crores and I am doing a project of my component is Rs. 40 crores. The sanctioning of a loan is for the entire Rs. 100 crores.

What bankers are saying that we would like to see the development happening on the project, across the project, and not only what Praj is doing. And if there are any delays in other vendors' work which they are supposed to carry on, or the civil work which my customer is supposedly to take care of, is affecting the disbursement of loan for my customers. And that is the reason why we are working with them. We are helping them to figure it out how they can move forward so that our components can also get dispatched.

That is what has impacted from the execution cycle point of view, what we had mentioned in our opening remarks, that the execution cycle time is getting elongated because of that. But your question is right. We have seen some kind of a strain on the inventory being getting piled up because of the dispatches, they are not happening. But that is a running inventory, so we are not worried on inventory. And we didn't allow our receivables to go completely out of our

hands. And we are working with our customers for recovery of that money, too.

Sorry, Amit, what was the second part of your question?

The second part was on the, since IG orders, we are clocking Rs. 3,000 crores, FY '23, '24, '25, and since there would be absence of IG orders, are we seeing order intake drastically declining on IG front? Since you said there would be only service orders, and I am assuming that the non-ethanol-based or non-EBP20-based order would be maybe Rs. 200 crores, Rs. 300 crores more. I am just understanding.

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Sachin Raole:

Moderator:

Shiwani:

Ashish Gaikwad: Understood. So, I may not be able to exactly give what that number is going to be, whether it is going to be less or more. But we are only right now talking about domestic ethanol. We are also working in other geographies. U.S. happens to be one of that. But other geographies which Ashish was mentioning, especially in the Latin American market, rather this quarter, we got an order, a big order from the Latin American market in the international segment. So, we are looking at not only domestic market, but we are looking at international market.

Rather, let me put it in another way, we are not only looking at U.S. and India, we are looking at other geographies where a lot is happening because

those countries are looking for

increased mandates also. So, there is a possibility of, I may not be able to comment whether it is going to be Rs. 3,000 crores or Rs. 2,000 crores or Rs. 4,000 crores, but there will not be a drop-drop to that extent in which you are looking at.

I don't think that that is the scenario which we are aiming for. We will not be getting into that kind of a zone. Only the composition of my bioenergy basket may change. Yes, there might be some drop in domestic, but we will get compensated from some other basket. That is what we are looking at.

The next question is from the line of Shiwani from Monarch Network Capital Limited. Please go ahead.

Most of my question is already taken up, but a quick one. One is that we have already talked about bioenergy and engineering, but can you give me a sense of what we are doing in the value-added area? When we can see revenue realization kicking in? So, that is my first question. And second question is on diesel-ethanol blending. So, although we have been hearing about it for a long time, but what is the scenario on ground, if you can give us some sense?

Sure. Thanks, Shiwani, for the question. The first one is on the value-added products or co products, as we call them. What we are trying to do here as a technology company is to see an existing asset and get more and more out of that asset. So, therefore, we have add-on modules to an existing plant.

For example, if you have a corn-based ethanol plant, we can provide what is called as a Distillers Corn Oil module, DCO, as we call it. And therefore, the producer can get an extra income by producing that Distillers Corn Oil, which then gets into various applications, one of them being the input for biodiesel.

Also, there is something called as rice protein. So, if you have an ethanol plant that is working on rice as a feedstock, then we are able to extract a good quantity of protein from that, which is human-edible and also something which is very beneficial. So, there are multiple such add-

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Shiwani:

Ashish Gaikwad:

Shiwani:

Ashish Gaikwad: ans that we are working on which will help the existing assets and get more return from those assets. So, that is the first part of your question. The second part ...

So, if I can intervene. So, can you also talk about the Bio-bitumen and bioplastic bit? Because we have been doing CapEx for that. And when we can see the revenue realization coming in for that? I understand most of it is also in the R&D phase, but some visibility or some commentary on that?

Sure, Shiwani. So, for Bio-bitumen, Bio-bitumen comes from our CBG plants right now. And therefore, you know, this is a unique offering that Praj is developing where we are able to give a combined offering of production of CBG as well as Bio-bitumen, which enhances the return on investment and also reduces the payback period for the CBG plant investors. And this is something that we want to take to our customers as a differentiator from Raj.

That also is a value-added product, the Bio-bitumen. And its use, as you know, is in the highways and the road building. We can blend up to 10% to 15% of Bio-bitumen into the fossil based Bitumen. That also helps in reducing the import of bitumen in India. So, it is a good product. It is a good offering, and we would like to promote it more as we go forward.

Bioplastics also, it was a developing technology in the past, but now we have a collaboration with Uhde, who is a part of Thyssenkrupp company, and with that collaboration between Praj

and ThyssenKrupp, we are able to give a complete end-to-end facility for what we call as PLA, which stands for Polylactic acid. And this is a polymer, which is a bioplastic, which is biodegradable. It can be industrially sort of degraded or composting if possible. And that is available right now as a technology. We are making firm offers to some of the customers as we speak. And we are ho

peful that this is the market that will develop going forward.

And on the next question on diesel-ethanol blending?

Sorry, on the diesel blending, an update you wanted. Yes, we also believe just like in the case of gasoline or petrol, we are able to blend alcohol. And that is a very successful program in India, as you know. It is completed before its stipulated time period. We believe that diesel can also have a similar blending mandate. We can blend alcohol into diesel. And as you know, the diesel usage in India is 2.5x to 3x more compared to petrol.

So, that is another pathway for our type of technology, which produces alcohol, that can give a blending into the diesel, which is a drop-in fuel, as we call it. There is no necessity to do anything else. It just blends into the diesel, and therefore it can be used without any problems in the diesel engine.

The other thing I would like to mention here is, while EVs can be popular, electric vehicles, they are for short distances. But the diesel engines, which are used in trucks for long-distance freight

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Moderator :

Vikram Suryavanshi:

Sachin Raole:

Vikram Suryavanshi:

Ashish Gaikwad:

Vikram Suryavanshi:

Sachin Raole:

Vikram Suryavanshi: forwarding, you don't have a very good alternative as EV. And therefore, blending such as what I am talking about, the alcohol blending in diesel, can be really helpful for our nation to reduce pollution as well as to find an alternative to the fossil diesel.

The next question is from the line of Vikram Suryavanshi from PhillipCapital (India). Please go ahead.

Good afternoon, sir. Just wanted to check on this multi-feed distillery opportunity for sugar companies, given their crushing days have come down. How is that fanning out? Should I ask another question or?

Yes, you can go ahead, Vikram. You can ask your second question.

And in terms of opportunities with the new raw materials which are evolving, how is that coming from the bamboo as an opportunity and will it be scalable? And how much time it will take, you can address. I think these are the two questions.

So, on the first question, the states across India are stepping up the support for the bioenergy sector, as you know. And you have seen that in Maharashtra, there is a new biofuel and bioenergy policy that is expected to attract approximately Rs. 28,000 crores over the next 5 years, right? So, there is an impetus being given with this policy here.

The state is offering incentives such as capital subsidies, as you know, interest subvention, 100% GST refund as far as the state GST is concerned, and waivers on electricity and stamp duty as well. So, cooperative mills will also benefit from this equity support and with provisions for the PPP and the BOOT models, the build, own, operate, and transfer models, this will encourage some private investment is what we are expecting right now. Does that answer your question?

Yes, and just you can highlight further on this multi-feed distillery CapEx for the sugar companies, how it is shaping.

So, Vikram, just to answer that question, people are looking at it. They are very, what I can say, very much interested into it. But we have not yet seen a very meaningful kind of order book building out of that. But that opportunity is definitely finding some kind of an attraction for the sugar mill for adding the traditional, what I can say, line for grain too.

So, we are actually discussing with our set of customers. We are holding the seminars and educating them to let them know what benefits they can derive by having this additional line.

So, it is right now more of a development kind of a stage has yet to result into some kind of a concrete numbers for us.

And another question was on how is the opportunity coming for the ...

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Sachin Raole:

Vikram Suryavanshi:

Ashish Gaikwad:

Vikram Suryavanshi:

Ashish Gaikwad:

Vikram Suryavanshi:

Moderator:

S. Ramesh:

Ashish Gaikwad:

S. Ramesh: Sorry, Vikram, your question was related to bamboo. Yes, right now, everyone is talking about it that we can use the, what I can say, the excess land which is available for cultivating bamboo for converting it into ethanol.

Actually, it is a moment. We like to see how this moment catches up and how the development can happen. I can just assure you from the Praj point of view that from the technological side, yes, we are ready to offer those kinds of solutions. And we will see how the opportunity develops under this segment.

And just one clarification I need. Should I go ahead?

Yes, go ahead, Vikram. Go ahead.

This diesel planting, what we are talking as we are primarily looking as opportunity with ethanol with a binder or Iso-butanol?

Yes, I think it is a good question, Vikram. Thanks for asking. We believe that with a binder, etc., it could get even more complicated. So, given a choice, we would say that we should have a material that will easily blend and is a drop in fuel, as we call it. And that is Iso-butanol at this point in time. So, we are doing some experiments with different agencies who can certify it. And the test results are really encouraging. But more we will share with you as we go forward. Thanks for the clarification.

The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead. So, when you mentioned about advanced technology being a profit generator, can you mention some indication of what will be the scale of profit you can do for the next one or two years or what percentage of your earnings will come from that because your turnover may not improve much? Can you give us some sense on that?

Sure. I think what Sachin already covered in the previous answers was that while the current quarter looks extremely challenging, the one that you see the numbers for, but our aim is to go for high single-digit EBITDA percentages. I think that is what we are working on. There is much more action behind it, but if you have to just look at what is it that we are going towards, it is that single-digit high percentage of EBITDA. That is what we are aiming for.

I understand that. But when you mentioned advanced technology, you said it will add to the bottom line. So, it will be difficult for us to estimate EBITDA if we don't get a sense on the top line. So, if you can give us a broad indication of what will be the bottom line you can expect in value or percentage of your earnings for one or two years.

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Ashish Gaikwad:

S. Ramesh:

Sachin Raole:

S. Ramesh:

Sachin Raole: It will be difficult to give an exact percentage. But like I said, it is the high single-digit percentages at EBITDA that we are looking at.

So, in terms of your order details you have given, in terms of the current order book and order inflow, what is the kind of order book and order inflow we would expect, say, by the end of FY '26 assuming some progress in the execution of the orders over the next 3 quarters?

So, Ramesh, we generally don't give any kind of a specific guidance. We basically tell you the scenario, how it is building up and how we are working on that. Unfortunately, we don't give a number saying that, oh, we will do X crores of rupees on order book and Y crores of rupees on EBITDA. Extremely sorry. We don't have a policy of giving that kind of a guidance. Please excuse us on that.

No, the only reason I ask is you see the last three years financial kind of being flat compared to the growth you saw in FY '23. So, structurally, you know, I know you are going through some challenges. So, when do you actually see the growth momentum recover in terms of all the three segments? And do you see some additional traction in the high-purity chemical segments where there is an increase in the share of your overall order inflow? So, at what point in time can we expect some kind of growth momentum to come back?

So, Ramesh, your question is valid. And let

me just tell you why we came out with 2030 kind of

a vision picture. In the most 2023, so seven years kind of a gap which we were looking at from '23 to 2030. That was mainly based on what kind of qualitative changes or the structural shifts which we are going to see in our businesses.

Initially, we were only looking at ethanol, ethanol, and ethanol, and we said that, no, it is not going to be ethanol, but there will be something more which is going to happen over a period of time. And as Ashish mentioned earlier, we are absolutely intact with those kind of targeted numbers for us for 2030. Complexion may change here and there because the business models are also going to undergo a complete change over a period of time depending on how the

market is going to react to our offerings.

Having said that, the growth not necessarily is going to be in a linear form. It will have its own challenges and exactly those challenges we are seeing at this point of time. But we are confident that we will be able to add on to other avenues of growth irrespective of all these current changes which we are seeing at this point of time. So, we are aware about those challenges. We are working on that. And we will see that this growth vector comes into the picture the way which I had already said.

That is what I can say at this point of time, Ramesh, instead of giving you some kind of a numbers kind of a thing, how the entire game is going to get played out over FY '26.

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S. Ramesh:

Sachin Raole:

Moderator:

Shailesh Kanani:

Sachin Raole:

Shailesh Kanani:

Sachin Raole:

Shailesh Kanani:

Ashish Gaikwad: Yes, I appreciate it. I wish you all the best.

Thank you very much, Ramesh.

The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Sir, just one clarification. This is the first time where we are saying that it may happen that EBP program will not get extended beyond 20%, right? We are talking about services or product enhancements, plant enhancements. So, is there a bit pushback from the government side?

Sorry, Shailesh. We are not saying that there is no movement. We are saying that two extreme scenarios. One extreme scenario, no movement at all. Yes. It is from the planning point of view. It is not from the policy point of view. We don't know because there are definitive talks which are going on for increasing the blending mandates. But whether it is going to happen today or tomorrow and whether it is going to happen X% or Y%, we don't know.

We are saying that do we have a plan B ready for if blending mandates doesn't happen. That is what we were saying. We were not commenting on whether there will be increase in blending or not.

So, I just wanted to clarify that because this is the first time, I was hearing something on that front because in the past, correct me if I am wrong, our always commentary has been that the blending would not end at 20% and there is a roadmap ahead as well. So, that remains. There is no change in that.

Absolutely. No, there is no change in that view.

Okay, that's comforting. Sir, second part, on the Mangalore facility, now there has been some delay for last few quarters. We have been discussing for various reasons, right? Some of them are uncontrollable. So, I just wanted to know from the management side, what are the controllables in the sense that how we can kind of control overhead over there or any other measures, any other levers that we have apart from what you mentioned in terms of exploring new products and geographies, the Mangalore facility?

No, that is a fair question, Shailesh. So, yes, of course, there are some controllables that we need to re-look at. First of all, we will have to re-look at our order pipeline, right? Because some of these orders are there. We have made proposals. Sachin talked about Rs. 500 crore worth of proposals still in the play. But maybe some of these will get on board or they will

get delayed.

So, we having analyzed that pipeline, we will have to look at our cost structure and we will have to see where we can, therefore, put those control levels. And accordingly, we will try to readjust ourselves as far as our GenX business is concerned.

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Shailesh Kanani:

Ashish Gaikwad:

Shailesh Kanani:

Ashish Gaikwad:

Shailesh Kanani:

Ashish Gaikwad:

Shailesh Kanani:

Ashish Gaikwad:

Shailesh Kanani:

Ashish Gaikwad:

Moderator:

Aditya Mongia: That is the process that is going on right now. I will not be able to comment on that right away because that exercise is not yet completely done. The tariff scenario is just evolving. And as Sachin mentioned that depending on what happens during August, we will be in a better

position to talk about it in our next conversation.

Fair enough. Just a clarification on that side, when we say Rs. 1,000 crores of firm orders, that means we have backed the order, we are LI, what does it imply?

No, no. I said Rs. 1,000 crores of pipeline, which means the request for quotations had come to us. We have made proposals to our customers who have certified our facility. And now they will be evaluating different bids, including Praj's bids, and then there will be a success out of that. But some projects, because they were oriented towards energy transition and climate action type of projects, those may get held up or those may get delayed.

Fair enough. So, just last question from my side. Any CBG orders we have bagged during the quarter or we are LI for anything? And how is the industry position in terms of meeting the blending targets are ticking next year?

So, on the CBG, if we are selected or LI but not yet announced, I will not be able to comment on that because as you can appreciate that I will not be able to divulge. We have not booked any firm order in the past quarter that we are talking about as far as CBG business is concerned.

And what was your other question? Sorry, I forgot the other one.

So, how is industry placed in terms of capacity to meet the blending mandates which are getting take from January 2026?

I think you are talking about CBG blending?

Yes, CBG blending.

Yes, I think the industry is hoping that it will go in that step-wise approach of 1% to 5% in the steps of 1% each year. And industry is getting geared up for it, both in terms of infrastructure as well as the plants. And we are also aligned to that.

So, my question was, is the pipeline kind of robust? Is the pipeline building up? Or there is ...

No, pipeline is there. Sorry to interrupt, but yes, I think a short answer to your question would be yes, the pipeline is building up and it is looking good.

The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

As in two parts of the first question, both the EBP20 program and how it picks up from here, on what issues is it getting stuck? And again, part B of this question, more linked to the bio CNG

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Ashish Gaikwad:

Aditya Mongia:

Ashish Gaikwad:

Aditya Mongia:

Ashish Gaikwad:

Aditya Mongia:

Ashish Gaikwad: kind of thought process. We have seen certain customers, your peers getting orders most likely at a higher pricing/costing model, which supposedly the ROI is fairly decent for the developer as such, whereas then in that case bio CNG stock. So, yes, those things which are stuck for now on what aspects are they stuck from a scale up perspective?

I will try to address that, Aditya. Thanks for your question. The first one was on EBP20 and what is coming in the way? That was your question, right?

Yes, so expand it from that number. Is it a feedstock issue? Is it a mileage issue? Where is it stuck at this point of time in a discussion with the government?

No, I think maybe I need to recalibrate this. There is no problem with EBP20, which is 20% blending into gasoline or petrol, right? There is no problem there. In fact, India achieved this target way ahead

ad of the ...

I am talking about a further target than 20.

As far as we are concerned and we are going by the science experiments and everything else that we have the data for, there is no technical or any other problem as far as the higher blending of another 7% to 10% that can be added. In fact, the vehicles and the engines that they come up with nowadays is able to take that fuel, which is a blended fuel, up to 30% of ethanol. That is what is my information. So, there is no technical challenge at all. It is a question of how the policy comes out and how the additional blending mandates are announced by the government.

And feedstock may also not be a, yes, that was the other point that you had, sorry. Feedstock may also not be a constraint because there is enough feedstock both in terms of grain as well as sugarcane that can be available to make the ethanol, enough ethanol to meet those mandates.

On the bio CNG front as in ROI is good for developers, 80% CNG prices are ex of maybe Bio bitumen being factored inside and still the scale up not happening for the sector as such.

Well, I think the scale-up earlier was not happening, possibly because many of the plants took time to reach the 100% capacity for which they were designed. But now there is a fair bit of success. On that, I can speak for Praj. And like I said, press mud plants have already reached and exceeded the capacity for what the plant was designed for. And we believe that for other feedstocks, the plants are yet to come, like Napier Grass. There is no plant yet fully

commissioned. So, I will not be able to comment it for those. But we at Praj are confident that we will be able to deliver those capacities.

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Aditya Mongla:

Sachin Raole:

Aditya Mongla:

Sachin Raole:

Moderator :

Sandip Bhadkamkar:

Moderator: And the Bio-bitumen part, that is the second part of your question, we believe that the ROI and the payback period will be even better when we combine the CBG and the Bio-bitumen together. And that is what is a unique offering from Praj.

The second question from my side over here, somewhere there was a comment made on profitability meaningfully improving in the second half of the year. Any specific assumptions in certain sectors that are being taken when that kind of prognosis is being talked about at this point of time?

So, Aditya, the second half, we are seeing that the existing orders which are taking some time in the execution cycle, they will continue to come into this execution period in any case. The execution will start happening on that. Some of the orders from the international market which we received in the March quarter and this quarter; they will start actually full-fledged execution from the second half of this year. So, these are the basic assumptions which we are considering from the improvement in profitability point of view.

Of course, there are other factors, but these are the two major ones which I am right now highlighting because we are looking at, in some pockets, some order booking to happen. We are executing some designing orders for our customers. Those will start giving the numbers from the bottom-line point of view. So, there are many factors which are going to start contributing from H2 onwards.

I will get back into the queue.

Thank you, Aditya.

Thank you, sir. Ladies and gentlemen, due to interest of time, that was the last question for today. I now hand the conference over to management from Praj Industries Limited for closing comments. Over to you, sir.

Thank you, everyone, for your time today. I am sure there are many more questions, but I request you to write us at info@praj.net and we will address your questions. Thanks again for your time, and we look forward to interacting with you very soon. Thank you.

Thank you, sir. On behalf of Praj Industries Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

P

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Call: Dec 2025

Praj Industries Limited

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Date: 10th November, 2025

Ref.: PIL/ANB/L-076/2025-26

Dear Sir /

Madam,

Please find enclosed Transcripts of Analysts' Call of Praj Industries Ltd. held on 6th November, 2025 regarding Un-audited Financial Results (Standalone and Consolidated) for the second quarter and half year ended 30th September, 2025.

This information is given pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time.

Thanking you,

Yours faithfully, For PRAJ INDUSTRIES LIMITED

ANANT BAVARE

COMPANY SECRETARY & COMPLIANCE OFFICER (M. No. 21405) Company Code – PRAJIND
National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor, Plot No. C/1, G

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Page 1 of 20 Praj Industries Limited

Q2 & H1FY'26 Earnings Conference Call

November 06, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Praj Industries Limited 's Q2 & H1FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Purvangi Jain from Valorem Advisors. Thank you and over to you , ma'am.

Purvangi Jain: Good afternoon , everyone and a warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the investor relations of Praj Industries Limited. On behalf of the Company, I would like to thank you all for participating in the Company's earnings conference call for the second quarter and half year ended 2026.

Before we begin, let me mention a short cautionary statement :

Some of the statements made in today's earnings call may be forward -looking in nature. Such forward -looking statements are subject to risk and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by and information currently available to the management.

Audiences are cautioned not to place any undue reliance on these forward -looking statements in making any investment decisions. The purpose of today's Earnings Conference Call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now let me introduce you to the management participating with us in today's Earnings Call and give it over to them for opening remarks. We have with us Mr. Ashish Gaikwad, Managing Director and Mr. Sachin Raole, Chief Financial Officer and Director of Resources.

Without any delay, I now request Mr. Ashish Gaikwad to begin with his opening remarks. Thank you and over to you, sir.

Page 2 of 20 Ashish Gaikwad: Thank you. Good day, everybody. I welcome you to Praj Industries' earnings call for Quarter 2 and First Half of FY '26. Trust all of you had an opportunity to go through our Results for the quarter and the half year ended on 30th September 2025.

Our financial results in Quarter 2 FY '26 reflect our unwavering focus on execution which enabled us to deliver these results despite continued challenges in the external business environment. There are headwinds, particularly in the domestic ethanol segment and in the international market due to the U.S. tariff scenario.

I will now share up

ates on each business segment :

On the domestic Bioenergy business front :

As you know, India has achieved its EBP20 target. With the current ethanol production capacity in the country now meeting the EBP20 requirements, the industry needs new avenues for further growth. Additionally, there are some negative news around ethanol blending. However, the key stakeholders in the ethanol ecosystem like MoPNG, ARAI, SIAM, auto OEMs, and oil marketing companies have already come forward and clarified the points that were raised in the public domain. While there are some early signs of slowdown in the ethanol greenfield projects, we are shifting our focus on the lifecycle services and the brownfield opportunities for the installed base. These include plant enhancements, efficiency improvements, and also other co-product additions in the existing plants. On the execution front, existing project execution cycles are getting extended due to funding and some other challenges.

The international bioenergy front :

There is good pipeline of inquiries from the USA for low carbon ethanol projects. These will benefit from the 45Z tax credits. Currently, we are executing our first low carbon ethanol project in the USA, which is expected to get commissioned by end of this fiscal. In Latin America, there are positive policy developments in Panama and Argentina for blending mandates. Apart from America, Indonesia has announced mandates of 10%. Vietnam plans to transit to E20 by 2026. Many countries from Africa region also are keen to either introduce the blending mandates or increase the current mandates.

On the CBG front :

Compressed biogas, we have started executing our first Napier Grass based project. There is a healthy buildup of inquiries of pipeline based on Napier Grass as well as press mud. However, overall market will further pick up once the national grid for gas and its connectivity improves.

Page 3 of 20 In our services business :

There is healthy order booking for performance enhancers and the solutions around it as well as biogenic CO2 capture solutions.

On the sustainable aviation fuel front :

Our alcohol -to-Jet demo plant at Praj Matrix is now operational and has successfully produced SAF from ethanol. This SAF demo plant is the first integrated alcohol -to-Jet fuel plant in the world. This also is first of its kind SAF demo plant that will boost the customer's confidence in both the SAF technology and the commercial scale investment decisions.

Moving on to the engineering businesses :

On the GenX front, energy transition related projects that were announced in the past are either stalled or currently on hold. We were pursuing these projects very actively. Based on our current analysis, it will take some more time to assess the future of these projects. We have taken some definitive steps now to pivot our strategy by targeting varied customer base across different industries and markets. We are focusing on opportunities in oil and gas, piping, structure and conventional oil and gas markets.

Our brewery business is witnessing some revival in the green field markets based on growing demand. On PHS front, there is good traction for solutions for segments of high-capacity fermenters, complex injectables and blood plasma. New opportunities are emerging from sectors like storage batteries, EVs, solar cells and semiconductors in the high purity water segment.

Overall, despite the challenging business environment, we will continue to focus on controllable factors to deliver good performance in the second half of FY' 26. I would like to reiterate that we are committed to deliver our long-term growth vision.

With this, I conclude my initial remarks. And I would like to thank you all for joining us on this call. We will now be ready to discuss any questions, comments or suggestions that you may have. Thank you.

But prior to that, I would like to hand it over

to our CFO, Mr. Sachin Raole for financial updates.

Sachin Raole: Thank you, Ashish. Good day everyone. Let me take you through the financial highlights for the quarter and half year ended September 30, 2025.

The consolidated income from operations stood at Rs. 8.42 billion in Q2 of FY' 26 as compared to Rs. 8.16 billion in Q2 of last year. PBT stood at Rs. 296.1 million as compared to Rs. 744.4 million in Q2 of FY' 25. Similarly, profit after tax stood at Rs. 192.8 million in Q2 of FY' 26 as compared to Rs. 538 million in Q2 of FY' 25. The changes in the material cost as compared to the corresponding quarter of last year is lower on account of sales mix. Other expenses as compared to the corresponding quarter of last year are higher because of increased execution activity as Ashish has just mentioned. Under-absorption of fixed cost as GenX has also contributed to some extent in the lower EBITDA for this quarter.

For H1 FY' 26, income from operations was Rs. 14.8 billion as compared to Rs. 15.15 billion in H1 of FY' 25. Profit before tax before exceptional items stood at Rs. 392 million as compared to Rs. 1.53 billion in H1 of FY' 25. PAT of Rs. 246 million in H1 FY' 26 as against Rs. 1.38 billion in H1

FY'25. Effective tax rate in consolidated financials is 35% for Q2 of FY' 26 and 37% for H1 of FY'26 because the deferred tax asset which we are creating on the losses of Praj GenX is at lower rate as compared to the tax rate of Praj industries. Export revenue accounted for 46% of Q2 in FY' 26 and of the total revenue, 64% is from bioenergy, 26% is from engineering business and 10% is from PHS business. The order intake during the quarter was Rs. 8.1 billion with 73% from the domestic market. Of the total order intake, 71% came from bioenergy, 16% from engineering and balance 13% from PHS business. The order backlog as of September 30, 2025 is at Rs. 44.2 billion comprising of 65% of domestic orders. Cash in hand as on September 30th is at Rs. 4.37 billion.

I now conclude my remarks and I would like to thank you all for joining us on this call. We would be happy to discuss any questions, comments or suggestions you may have.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Thank you so much for the opportunity. First question, as you did also highlight in your remarks, the challenges pertaining to GenX. So, one thing we would like to understand, how much was the fixed cost absorption in H1 and Q2? And second, we earlier with a plan that we can achieve Rs. 1,500 crore kind of revenue with the current CAPEX which we have done in GenX, what is the thought, any change there? And also update on the US client inspections, are we now not at all considering or have they completely stalled the projects and which is leading us to look for other industries, as you highlighted, especially oil and gas? And will this change the margins for you, since you are now moving the needle to at least compensate for what is what was expected is not happening. So more color on this front.

Sachin Raole: So the question, first question, Amit was related to the fixed cost. So the fixed cost, which we are incurring in the GenX facility is in and around 8.5 crore to 9 crore per month. During this quarter, there was some absorption, but not the full absorption naturally, because the execution, which is right now happening is at a miniscule scale, because order booking itself is at a miniscule scale over there. Your second question was related to whether we are pursuing any new orders in US market or not? Of course, we are pursuing. It's not that market is completely given up. We are figuring it out ways and means of catering to that market, Page 5 of 20 irrespective of whatever is the scenario on the tariff. And we are, of course, d

ealing with few

of our customers based out of US, not only in the GenX business, but also in the bioenergy business. So, it is not that US is completely dried out and no business is expected at all from US. It will still remain one of the important market for us to pursue. So definitely, we will be pursuing that market going forward too. Your third question was related to Rs. 1,500 crore turnover. When are we going to get into that kind of a zone from the capacity utilization point of view? And as Ashish was explaining to you in the initial remarks from his side, that we are reorienting our strategy. First, we believed when we started this facility that the opportunity across the globe, not only from US, but also from the European market is going to come majorly from the energy transition as compared to from the fossil fuel or from the traditional energy segment. But over a period of time, we realized that it is not only going to be or rather there will be less reliance on that segment, but a higher reliance is going to be still on the traditional energy or other segments. So, as Ashish was mentioning in his remarks, we are reorienting our strategy to bring those customers, which anyway we were catering to in the earlier avatar of ours in the CPS business from Praj industries, but the focus was not there. So, we are getting those customers also into our focus and changing or bringing those customers also into our fold. Naturally, this change is taking some time because the facility is new. So initially, when the facility inspections and the audits were happening, our first preference, because as I mentioned earlier, it was on the ETC A segment. So naturally, the first set of audits happened from that industry segment and not from the other industry segment, which is right now happening. So, this changeover will take some time and the achievement of this peak capacity will take maybe some more time. So, the plan, the way in which we are looking at got completely shifted by almost by one year. We were expecting something to happen by next year from achieving this kind of a capacity utilization. Maybe we'll have to wait for one more year. So instead of FY '27, we will see this full capacity utilization happening in FY28.

Amit Anwani: And sir, on collections, I think in Q 1 also you did highlight some challenges there. So, what is leading to this challenge? Is it more sustained for the current execution, which is happening? Can you explain more? Because this is second quarter, back -to-back, you highlighted that the challenges with the collections which are happening. So some more color, as to is it medium term, long term, or are we going to solve it immediately, something like that?

Sachin Raole: Yes. So Amit, we were referring to the challenges regarding the customer's funding arrangement for executing the projects. That projects are not in a position to reach to their financial closure, the way in which it used to happen maybe couple of years back. It is taking more time because the scrutiny has gone up. The equity ask from the project owners has gone up. So, they are taking more time in bringing their equity. So naturally, the debt component is getting a little delayed in arranging. And that is what is putting a pressure on the execution

cycle for our projects. We were not talking about our collection is having some kind of a challenge. We were talking about funding arrangement for our projects is taking some time. So that challenge continued during this quarter also. As you are asking a question whether it will Page 6 of 20 continue going forward also, maybe it will continue for some more time. But during this quarter, we have seen some of the projects which were not moving because of non - arrangement of funding , a couple of projects have actually reached to a financial closure and those projects are coming to execution during this quarter. That is what

we were saying that

our focus on execution has resulted into performance which we have delivered during this quarter.

Amit Anwani: And lastly, sir, on the inflow for H1 is about 1600 versus 1800. And given the challenges which you highlighted, there it is Gen X, EB P20 is over. How one should think of next 12 months of inflow, medium -term and near -term? What would be the contributors? And are we going to see, obviously this year is challenging, at least some double -digit growth in inflows next year again. Are we going to come back next year to some color on the near to medium -term inflows? And from where are we expecting the contribution there?

Ashish Gaikwad: Sure, Amit. So, like we said, the recovery is going to be there, but it is going to be slow. And therefore, the discussion we had on pivoting for Gen X definitely is one of our actions that should result into uptick in the next financial year, the question that you are asking. Also, bear in mind that Praj also has a very diversified portfolio which helps us in such situations. We have the portfolio for industrial effluent treatment and zero liquid discharge. That is certainly a market in India. We also have the pharma portfolio. We are active in the ultra -pure water market. The brewery is also showing signs of growth. So, all of this portfolio that we have in Praj is going to help us in that recovery path for the next year.

Amit Anwani: Any guidance for FY '26 revenue growth and EBITDA margin?

Sachin Raole: We do not give any guidance. That is the policy which we have. We do not give any guidance.

Amit Anwani: Thank you for answering, sir. All the best.

Sachin Raole: Thank you, Amit.

Moderator: Thank you. The next question comes from the line of Sajal Kapoor from Antifragile Thinking. Please go ahead.

Sajal Kapoor: Thank you for the opportunity. First question is on the PHS, high purity segment, that is, we were aiming for, we are still targeting the high -end production capability industries, things like lithium -ion battery production, semiconductor manufacturers. So, what are the primary technical hurdles encountered to meet these very stringent standards? I mean, and what is the current status of the expectations, the discussions purely around lithium -ion battery production and semiconductors?

Page 7 of 20 Ashish Gaikwad: Thanks, Sajal, for your question. The first point that you mentioned is on the high -capacity fermenters or some specialized manufacturing in the pharma. We actually don't have any challenges there. We have the technology. We have the wherewithal to manufacture these specialized fermenters. And in fact, our pipeline for that segment is really in a healthy situation right now. As far as some of the new segments for the ultra -pure water, which are opening up, and I mentioned a few earlier, it will be in the area of semiconductors, solar panel manufacturing and also in the battery manufacturing. There, the market is just developing. It is a new market for India because these industries have not been prevalent in India. As you know, we have already got a strong presence in the pharma market, which also needs ultra -pure water for injectables. The technology is very similar but has a different scale. And we will be working on scaling it up. It's not a challenge, but it's an opportunity for us to leverage our expertise in that area. I hope that answers your question.

Sajal Kapoor: No, that's helpful. There are many elements within Praj. Praj Matrix is a collection of many things other than bioenergy. I know the largest cash flow contribution is still coming from 2G ethanol and bioenergy. But we have spoken about, in our annual report, the bio -bitumen opportunity with or without CBG. We have also spoken about how different our ZLD technology is. So one question, especially on our ZLD technology, because there is competition. There is Triveni, there are many play

ers in this segment. How does Praj's modular state -based ZLD technology create a competitive advantage in winning industrial contracts, especially for clients with stringent timelines and limited installation space? And what differentiates Praj's solution on critical metrics, things like energy efficiency and water recovery rates from competitors in this increasingly important market, the ZLD?

Ashish Gaikwad: Yes. So, Sajal, I think you had initially asked about the Praj Matrix. So , I'll throw some light on that for everybody's benefit. And then we will come to the ZLD technology as well. So first of all, as you know, Praj is a technology innovation -driven company. We keep innovating and bringing new products in the field of industrial biotechnology. And mostly the focus is on the biofuels, advanced biofuels included, and also the biomaterials. So , this forms what we call as Praj's bio -verse or the universe where we produce things from the biological sources and

therefore try to help in the actions around climate change. And to do that, we need a very vibrant and very effective R&D setup. And that is what is Praj Matrix for us and we leverage that for not only the existing technologies and enhancing them, but also introducing the new ones in the future. We call it as the seed planting. And when we sow the seeds of these new technologies, they become saplings in a few years' time and then become a full-fledged tree where we can reap the fruits. So that's the whole model that we follow as far as Praj is concerned.

Coming back to the specific technology that you touched upon, which is ZLD, of course, there is competition. Competition is not bad at all. That keeps everybody on their toes. And we have a very special focus on specific industrial waste treatment in metals, minerals, and mining. We also have done the country's largest project in Indian Oil in a place called Dumad, which is Page 8 of 20 already operational. And the specialty that Praj brings to the market is the project execution capability. We have a very strong project execution capability track record. And also, we can not only just execute the project, but afterwards when the plant is installed, we can provide the operations and maintenance services which are required by the customer because these are special operations. So, when we bring this entire package to the market, there is a strong presence and therefore preference that Praj can generate.

Sajal Kapoor: That's very helpful. Thank you so much for all your responses. Thank you.

Ashish Gaikwad: Thank you.

Moderator: Thank you. Our next question comes from the line of Amitoj Singh from 360 One Capital. Please go ahead.

Amitoj Singh: Hi, sir. Thank you for taking my question. My first question was on the engineering segment. We can see in this quarter, the order intake has been higher year-on-year as well as quarter-on-quarter. So, was this a result of GenX facility taking in more orders as we are pivoting towards conventional industries?

Sachin Raole: Yes, that's right. So, in engineering, the shift we have seen that the reduced orders coming up on the mainly critical equipment side and that was also a part of our orientation because the earlier orders used to come into our other manufacturing facility and now we are shifting into the new one. So, during the shifting, some orders which we had not taken on our earlier facility, that is what the change which we are seeing in the shifting by engineering orders that you are seeing this quarter.

Amitoj Singh: Okay, got it. Thank you. And my next question was on the US order that we took, \$30 million MVR order. Can you tell what is the largest volume share of this order and under which segment will this be recorded? I'm assuming it will be recorded in the GenX facility.

Sachin Raole: Okay, so this order is mainly from the bioenergy segment for providing a technological solution

from our side. I will not be in a position because of our confidentiality with our customers, specific order value for this, even though they declared the full value of this project. But we have a sizable role to play in that because we are providing not only technology but the critical equipment which are required for the technology. Unfortunately, I will not be able to give a specific number to this because of confidentiality.

Amitoj Singh: Got it, sir. Thank you. That's all my questions.

Sachin Raole: Thank you.

Moderator: Thank you very much. Our next question comes from the line of Sani Vishe from Axis Securities. Please go ahead.

Page 9 of 20 Sani Vishe: Thanks for taking my question. This is kind of a follow-up on what Amit asked. So, in terms of the GenX alternate avenues that we are looking for, is there any visibility for the next two quarters, anything concrete development in the other areas that we are looking at?

Sachin Raole: Okay, so this visibility is on the basis of the number of audits and the agreements which we are right now entering into with our customers which are completely coming from a different segment than the earlier segment which we are trying to cater to. So, in the earlier segment, we had almost completed more than 10 audits. The framework agreements were also ranging from 3 to 4 kind of a number from earlier segments. And now in new segment, we are almost completed four audits in the new facility for our customers. So that's the indication. This is like a first step to get into the order booking to happen, which we believe that we should start seeing that kind of visibility coming from Quarter 3 and Quarter 4.

Sani Vishe: Okay, fair enough. And finally, sir, given that there have been some delays in terms of growth that we had expected for 2026 and 2027, do you think we may have to revisit our vision 2030 or at some point of maybe delayed by some extended timeline?

Ashish Gaikwad: Of course, we will have to revisit the path, but I don't think our vision has changed, just to make sure that it is clear. We are absolutely steadfast on the path as far as our new and diversified product portfolio is concerned. And we will continue to therefore work on the new emerging areas like the sustainable emission fuel, the bioplastics, the bio-bitumen that was mentioned earlier. We of course, also are developing our compressed biogas market with different feeds. So, there is a whole host of different activities that will help us. Also, not to mention that the blended possibilities in the petrol are already underway, but there is a larger opportunity for

blending in diesel, and the alcohol blending in diesel is another opportunity that will happen on that horizon that we are talking about. So, there is a lot to expect in the time to come. That's what I would like to share with you.

Sani Vishe: Okay, so it's still doable, is what you mean?

Ashish Gaikwad: Yes, we are extremely excited about it.

Sani Vishe: Okay, thank you.

Moderator: Thank you. And our next question comes from the line of Atul Tiwari from J.P. Morgan. Please go ahead.

Atul Tiwari: Yes, my question is on the possibility of enhanced mandate for blending of bioethanol. So, any color on where we are in that process, both for the petroleum products and diesel?

Ashish Gaikwad: Maybe I'll take a shot at it, Atul. Thanks for the question. First of all, let's establish that while I briefly mentioned about some of the negative sentiments in the market, but all the key Page 10 of 20 agencies, government agencies included, have come up very strongly with facts and figures and provided the rebuttal for all those points raised in the public media. And therefore, ethanol for us is certainly a good fuel to have for the country. It helps farmers. It helps in becoming more energy self-reliant. It helps in bringing down our foreign exchange spend. It helps in re-

ducing

pollution. It also therefore helps in making a pathway for other high-value fuels like aviation turbine fuel when you convert it into SAF. So, we remain quite optimistic about medium to long-term outlook of ethanol getting due attention in the time to come. We don't have any insights about the blending mandates to go from the current levels of 20% to higher in the immediate future. We don't know about it, if it is happening. But in the medium to long term, if we have to share our thoughts, we are absolutely very confident that we will have that.

Atul Tiwari: Okay. And sir, any update on, I think the technical trials were on for blending in diesel. So, any update on that?

Ashish Gaikwad: Yes. So, the diesel blending is going to be a little different than the petrol blending. The component that needs to go in there is isobutanol, not ethanol. Praj has the technology to produce isobutanol at scale. The trials are currently being planned along with the oil marketing companies and other relevant agencies who are experts in this area like ARAI. Praj is a pretty strong participant in all this set of actions which is going on as we speak. And once those results are looked at, validated, it can open up the opportunities for diesel blending as well. And also, as you know, the diesel consumption in the country is at least 2.5x to 3x more because of the transport sector usage. That opportunity can be larger than the EBP20.

Atul Tiwari: And sir, just some color on this isobutanol technology. So, the feedstock is same as ethanol, right?

Ashish Gaikwad: Yes. The feedstock is the same for making isobutanol as well.

Atul Tiwari: Okay. Thank you.

Ashish Gaikwad: Thank you.

Moderator: Thank you. Our next question comes from the line of Shiv Kumar Prajapati from Ambit Investment Advisors. Please go ahead.

Shiv Kumar Prajapati: Thanks for taking my question. So, my first question is on the other expenses part. I believe, including the losses from GenX as well, but still the other expenses are quite high for the quarter. Can you explain why?

Sachin Raole: So, if you look at in our project execution, there are two components. One is the equipment manufactured by us and the procured goods also, which forms a part of our supply, which sits into my material cost. And when I execute the activity on the sites or the execution, even if it Page 11 of 20 is happening at my end, all those expenses sit into my other expenses. So, if you see the difference in this time is on the material cost, which has come down as compared to the last year, because the material cost component or the material related activity was less, but the labor activity that is on the conversion side or on the site side, the activity was on a higher side. That's why my other expenses are on a higher side.

Shiv Kumar Prajapati: Got it, sir. And sir, our gross profit margins have been significantly improved for the last 5 to 6 quarters, like we even touched more than 50% as well. So, what has changed for us?

Sachin Raole: So, if you are comparing with the maybe couple of years back when the material cost was definitely on a higher side, which has come down to some extent, it is now on a very steady basis kind of a thing, one. Quarter-on-quarter, you will keep on seeing these changes because of the sales mix also, because moment I am having more export sales coming up or more engineering orders, engineering in the sense the services order if I am executing, which doesn't have a material cost component. So naturally, it looks like that gross margin has suddenly gone up. Moment there is a higher component of equipment, then material cost goes up. Generally, that's the reason why we keep on saying that look at the composite cost of other expenses and material cost to arrive at the realistic margins for us, because these activities keep on changing and depending on the accounting standards, we

have to keep on accounting those costs into material or other expenses.

Shivkumar Prajapati: Understood, sir. And sir, this order that we got from US of around US D 30 million. So, is this the order that you highlighted 4 to 5 quarters before that 20 plants need to be converted to a lower carbon ethanol kind of a thing? So, is it related to that or is this a different one?

Sachin Raole: No, so it is exactly the one which we had earlier mentioned that we are working on this low carbon requirement of US market and we are working on that order or other. There are multiple inquiries on which we are working on. Then this was the first order which we bagged. This order, by the way, is not of 30 million. 30 million is the overall cost which my customer is going to incur. Someone was already asking a question, what is our proportion? Unfortunately, I can't give you a proportion of that. But yes, this order is related to low carbon. And even in the opening remark, we had mentioned that we are actually executing, this is in an advanced stage, the execution of this order which is going on.

Shivkumar Prajapati: Understood. So, is this the first order that was put into the market and we won it or is it ...?

Sachin Raole: This is the first order which we are executing. So, this is going to be our first commercial demonstration in the US market of this kind of an order which is meant for low carbon. And naturally, it will set a trend for that market. As I mentioned earlier that we are entertaining many more inquiries in that market for this kind of a segment.

Shivkumar Prajapati: All right. Thank you for answering.

Page 12 of 20 Moderator: Thank you. Our next question comes from the line of Vikram Suryavanshi from PhilipCapital. Please go ahead.

Vikram Suryavanshi: Good afternoon, sir. I think most questions are answered. But just on book-keeping side was there any FOREX adjustment in this quarter because earlier we used to report it separately?

Sachin Raole: Good catch, Vikram. But when we were discussing with the auditors, auditors specifically mentioned that you are not supposed to or you are not, as per the standard, you are not supposed to make a mention of that line item, which will only come up at the year end. And that's the reason why this line item hasn't come in the published accounts. But just for the information, this quarter we were having a profit of almost Rs. 3 crore or something on account of fluctuation of foreign exchange.

Vikram Suryavanshi: Understood. And was there any order booking from CBG side during this quarter? Or how is, you highlighted the traction in particularly in Napier grass and press mud, but in near term, what kind of ordering specifically this quarter? How was the scenario?

Sachin Raole: So, Vikram, of course, we just don't give a specific number for this segment. But yes, we do have a CBG order, but it is not for Greenfield. We are working on some kind of a capacity enhancement for the existing plant. And that order is sitting in our order book right now.

Vikram Suryavanshi: Okay. Understood. Thank you, sir. All the best.

Ashish Gaikwad: Thank you, Vikram.

Moderator: Thank you very much. Our next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: Good afternoon, everyone. And thank you for the opportunity. The first question I had was more on the difference in margin movement in standalone and consol numbers. So, just to put a context to this, your standalone profitability has improved quite appreciably on a Q-on-Q basis as the execution has grown about 30% odd. While your console profitability has only shown a small improvement on a Q-on-Q basis in spite of a similar kind of overall uptick in execution. So, I'm a bit confused as to why this sharp uptick in execution is not impacting consol margins beyond the 100 bps improvement that has been reported on

a Q-on-Q basis?

Sachin Raole: So, the change, you are talking about June quarter versus September or September versus September?

Aditya Mongia: So, this is September versus June. And the premise was that your subsidiaries obviously, the issues of underutilization aside, which is impacting both quarters, your subsidiaries or your overseas businesses typically better margins. So, one would have anticipated better traction in consol margins on a Q-on-Q basis. That's not happened.

Page 13 of 20 Sachin Raole: So, pointed, Aditya. But if you look at, there is basically one main reason as compared to June quarter. The September quarter, we are having more execution activity. And that execution activity was having naturally more cost, which is sitting in my other expenses. That was not the scenario in June quarter. June quarter, the activity was on a lower end, but of course, the margin looked lower because the activity itself was on a lower side. So, topline was also lower. So, the change is not getting reflected because of that on the standalone basis. On a consol basis, the change is happening because of the subsidiary Company's losses naturally between June and September is also there, which has impacted my change in the margin between standalone and consolidated.

Aditya Mongia: Maybe we can take it offline, but it seems the standalone is reacting fine on margins. It's a consol that is not.

Sachin Raole: Sure. Definitely, Aditya.

Aditya Mongia: I will go on to the second question. I just wanted to get a sense from you as to how much of your business today, let's say of the Rs. 8.1 billion of inflows that you have gotten or Rs. 16 billion for the first half, how much were linked to bio-ethanol projects and how to think through

them over the next six months or so?

Sachin Raole: Sorry, your voice was a little low, but if I have understood your question, you are saying that in the order intake of Rs. 8.1 billion of this quarter, how much is from the bioenergy?

Aditya Mongia: How much is from domestic bio-ethanol or ethanol projects?

Sachin Raole: Okay. So, the split is definitely not there, but we have a sizable intake also from the domestic market in the bioenergy segment. It is not only international. Of course, international is there, but domestic orders are also there.

Aditya Mongia: So, could you give us a sense of how much? So, see, if the targets are not to be revised?

Sachin Raole: Sure. We will send that number out separately because right now I am not having it immediately on my hand, but we can definitely let you know that.

Aditya Mongia: And maybe lastly, anything that you would want to highlight on the comment made on the pipeline being strong on biogas-based plants, but still, it may take time for us to benefit? And maybe the allied question, anything that is happening on the bioplastics side that you would want to highlight as an opportunity for this fiscal?

Ashish Gaikwad: Okay. So, I will take the bioplastics question first. Aditya, of course, this is a new technology and we have developed it in-house for India. We are talking to both; some of the domestic India customers and some of the international customers, but there is no firm project that we Page 14 of 20 have booked yet, and our business development efforts are ongoing in the bioplastics area. What was your first question? Sorry, I forgot.

Aditya Mongia: Essentially, the context is that when this is linked to the biogas opportunity or CBG opportunity, the more we see through Reliance's annual report and how they talk about things, it seems that the sector is going to see a lot of activity, and you say so in your pipeline as well as it has been seeing traction. Should it translate into sizable orders in this year, this coupled with the OMC JV that we have, or will the wait extend into fiscal '27? And what are the imponderables over here on that we need to kind

of consider?

Ashish Gaikwad: Now we got your question, Aditya. So, yes, we are also quite optimistic about the CBG segment of our business. In fact, we are one of the few companies who have successful installations running at capacity for compressed biogas for different types of feed. And we believe that as the gas economy of India develops, gas generation will steadily increase within the country, and CBG will play a major role in that. Of course, what it needs is for gas to be distributed properly, it needs a good pipeline infrastructure, the national grid for gas, which connects with both the industrial as well as the city gas distribution network. And it is happening as we speak right now. And as more and more segments get connected and there is an evacuation that happens from the plants, more and more demand and supply will get connected. So, this is a steady progress. And, to make the long story short, CBG is an important area for us to focus in the future.

Sachin Raole: And Aditya, just to answer your question related to domestic orders, which are almost in a range of Rs. 300 crores out of the total order book which we had clocked in this year quarter.

Aditya Mongia: So, can these completely dry up in the second half? And if so, are there implications to that?

Sachin Raole: Not necessarily, because what Ashish was explaining about how we are focusing on different elements and segments within bioenergy itself, not only in the international market, but also in the domestic market. The highlight was, yes, there will be slowness in the greenfield projects because the capacity is already achieved. But there will be a lot which will be happening on the technology enhancement, yield enhancement, productivity enhancement, cost reduction, steam reduction. So, there are many, many solutions which we do have for our customer base. That's the segment which will start playing out in a bigger way. Our focus will be majorly on that side. That's what was mentioned in the earlier comment of ours, that it will be on the brownfield side more than on greenfield side. But that doesn't mean it will be completely drying up. That is like an extreme kind of a scenario which is not right now visible, especially the inquiries which we are handling currently.

Aditya Mongia: Maybe last thing, and I will then fall back into the queue. The cash flow from operations was impacted in the first half with the buildup of contract assets happening. Is this something that Page 15 of 20 is going to reverse, or should one think through different commercial terms at which incremental execution will happen? That is the last question from my side.

Sachin Raole: I think by December-January, most of our dispatches under that CIP will start moving out. So, it's a matter of next 2-3 months where we will see the reversal of this blockage of capital which we have seen in this particular segment of contracts in progress. That will start moving out and the scenario on the operating cash flow will change to that extent. So, it's a matter of next 2-3 months because your observation is right. The CIP is little on the higher side because of the execution activity which has gone up during this quarter.

Aditya Mongia: Thank you. I will fall back into the queue. Thank you.

Sachin Raole: Thank you, Aditya.

Moderator: Thank you, Anit. Thank you. Our next question comes from the line of Mayank Bhandari from Asian Market Securities. Please go ahead.

Mayank Bhandari: Thanks for the opportunity. I just wanted to understand how is the impact of the US tariffs on

your business panning out?

Sachin Raole: US tariff, we like to look at into two segments, Mayank. One, the orders which we are currently executing and the business which we are expecting from that market. Currently, all the orders are getting executed without having any issues. And another aspect which we need to understand, the impact of

US tariff is technically not on our account because tariff is supposedly to be paid by my customers. So, whatever orders which we are currently executing are going on as per the plan. Customer is also not changing the execution pattern or execution cycle which we are going for. Going forward, we like to definitely see how it is going to span out and not only from the possibility of new orders, how they are going to come up, we have to also figure it out how we are going to service them also, whether there are any ways and means of figuring it out, how the impact of tariff can get reduced. So, there are naturally, what I can say, there are different options or there are different approaches of handling that kind of a scenario. It will not be proper from our side to explain what exactly we are going to do about it, but there are ways and means, the way in which we are trying to figure it out. So, it is not that US market is not going to be a market for us going forward. We are definitely catering to that segment also, especially what we just mentioned on the low carbon. People are very, very keen on having those low carbon solutions from our side. What has actually happened when we calculated the effective tariff rate and the way in which customers are coming back and talking to us, their payback period is getting affected maybe by 5 months to 6 months because of this tariff. Still, the solutions which we are offering for that market, they are still attractive. So, the impact is not going to be felt very, very badly to that extent, especially in the bioenergy. In the segment of equipment side, that is the engineering side, they are still figuring it out how and Page 16 of 20 what should be the ways and means of handling that. But yes, it is a matter of discussion, a matter of what I can say, figuring it out, the strategy to deal with this kind of a scenario.

Mayank Bhandari: So, are we favorably placed then or competition here from other countries like Taiwan, Korea, China?

Sachin Raole: I will not say whether we are favorably placed or not placed because every order is very unique, every opportunity is very unique. The competition is of a very different nature every time. Tariff scenario is still evolving. We do not know what is exactly going to be the final one for everyone for that matter because every day there are changes which are happening. So, every time we assess the opportunity depending on what kind of a competition is there. So, it is not what I can say a common parameter or common yardstick which we can apply for the US market and US opportunity.

Mayank Bhandari: I think the tariff announced was 26% which was later reduced to 10%. Is that number correct?

Sachin Raole: Which numbers you are talking about?

Mayank Bhandari: Announcement of tariff was 26%. I think this was discussed in last call also.

Sachin Raole: You are referring to the effective tariff rates which might be applicable to for a customer. As I was telling you earlier, there are different ways and means of handling it and every order, the modus operandi of that execution will define the tariff rate. It is not necessarily going to be 26%. In some cases, it might be 17%, 18%, 30% depending on how that specific order is getting executed. So, very, very different. That is what I was explaining earlier. The approaches are very different and unique for each opportunity.

Mayank Bhandari: Thank you, sir.

Sachin Raole: Thank you, Mayank.

Moderator: Thank you. Our next question comes from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Good afternoon, everyone. Thanks for the opportunity and congratulations for the good performance considering the macro environment. So, first question is a little bit to our CBG in terms of number of projects what we have in terms of feedstock, their completion timelines because last time I remember, we were supposed

to complete some project in the month of

October or November somewhere. Can you just give some details on that front in terms of breakup in terms of summary of those projects?

Ashish Gaikwad: We do not have the summary in front of us right now, Shailesh. Maybe we can separately come to you on that. But there are several projects which are ongoing under projects belt right now Page 17 of 20 and they are on different feedstocks and they are at different stages of execution. Some of them are already completed and producing the gas at capacity and the customers are realizing the cash flows through those projects. So, I think that is what is the scenario. The pipeline is also getting developed nicely for the next few years. And as I said, as the infrastructure for distribution and evacuation of this gas develops further in the country, because you must appreciate that most of this generation will happen in the rural or remote areas, but most of the consumption happens in the last city where either the compressed biogas is used in the cars or it gets used for the domestic cooking usage. So, therefore, the industry will develop at a certain pace and we are obviously a key participant in that ecosystem.

Shailesh Kanani: Fair enough. I will take that offline. My second question is with respect to margins. So, we have done very well on the international side. I think we have clocked highest quarterly revenues. So, just wanted to understand, is there any one-off delivery which has happened during the quarter? And second, we have historically always mentioned that the international orders come with 500 bps to 600 bps extra EBITDA margins. So, weren't the margins a little bit subdued in that context?

Sachin Raole: So, Shailesh, the answer which I had given earlier on the margin side that margin gets defined based on the sales mix. During this quarter, I had also mentioned earlier that we had done a couple of service orders which doesn't require material naturally, and this is the deliverable of the drawings and designs for the projects which we do. In this quarter, that quantum was higher as compared to the June quarter or the September quarter. Naturally, almost everything on the topline gets added into my bottom-line because of the services element. Otherwise, my fixed cost is anyway there. And that's the reason this margin improvement starts looking very differently because of the delivery of different kind of orders. Your question related to international is right. International orders have different margins as compared to domestic margins, that's for sure. Going forward, we will have to see how that space is also going to span out as someone was asking a question related to tariff. So, we will have to really figure it out how this changing dynamic is going to have a change in our margin segments too.

Shailesh Kanani: So, just to supplement that, the reason I was trying to understand is because this time around, we have nearly 50% of our revenues coming from international. So, from that context, I was trying to understand.

Sachin Raole: So, if you look at rather earlier, we had mentioned that one of the orders which we are executing currently in the Africa region, region-by-region, our margins are different. Every region is not giving us the similar kind of a margin. Even Africa margin, margins are better than India margin, but not as good as European or American margins. So, naturally, what you are observing, that's right. International contribution or other international revenue is on the higher side. But correspondingly, what we would have got the margin on the bottom-line from the international side is not to that extent.

Page 18 of 20 Shailesh Kanani: And just the other part of the question, was there any one-off or this run rate can be expected

to be sustaining to the second half?

Sachin Raole: There is nothing one-off. It is absolutely the nature

of business which you are into, the jobs

which you are doing, the regions which you are catering to, everything is absolutely same.

There is nothing one-off.

Shailesh Kanani: Can I squeeze in one more question?

Sachin Raole: Please go ahead quickly.

Shailesh Kanani: On the domestic front, if you can give some customer profile, you have mentioned that on the bioenergy, that ethanol, predominantly we have received around Rs. 300 crore s of orders out of total Rs. 800 crore s. So, if you can just give some understanding in terms of the customer profile, what is your interaction with them? Because we do know that there is an oversupply in terms of capacity of ethanol. So, how are they viewing it and how they are assessing it? And also, in terms of the customers, how is the pipeline vis-à-vis last year and this year, if you can do some numbers on that front as well?

Ashish Gaikwad: I think there is a fair amount of data that you can find in the public domain, right? While at the aggregated level, the demand and supply have this imbalance, which means the demand right now is less compared to the capacity available in the country for ethanol. But when you peel the onion, so to say, and get to the details, different states and different regions have different capacities and therefore different demands. So, within pockets within the country, there are still opportunities that are existing. And that is why my colleague Sachin mentioned to some other callers that this is not going to be a complete dry out in the second half of the year, but there will still be opportunities in the capacity additions, enhancements, etc., in the ethanol market. And the customers are also thinking the same. They are, of course, wanting more usage of ethanol, also more pathways, and how to use ethanol for many other purposes other than the EBP20. And I think there is a good discussion happening in the ecosystem of this ethanol market.

Shailesh Kanani: Thanks a lot, sir. That's very useful and best of luck, sir.

Ashish Gaikwad: Thank you.

Moderator: Thank you. Our next question comes from the line of Sandip Sabharwal from Asksandipsabharwal.com. Please go ahead.

Sandip Sabharwal: Mr. Gaikwad, it's good to see that after many, many quarters, we have a more conservative consensus for where you are giving a realistic picture of where the company is going. Because we've been used to having very bullish consensus based on opportunities you have, and then Page 19 of 20 the delivery doesn't come. Now, many people have asked many questions. So as a composite over the last 3-4 years, the company has talked of four big growth opportunities; 2G ethanol, CBG, bioplastics, and sustainable aviation too. So, can you, as a composite answer, actually

update all of us as to where and how you see these opportunities panning out? I know there have been separate questions asked on different segments. So, since you have just taken over, from your perspective, if you can answer, that would be great. Thank you.

Ashish Gaikwad: Sure, Mr. Sabharwal. And I think your observation; we take it as a compliment. We do want to be as sort of transparent and as realistic when we have this dialogue every quarter as possible. And you can, of course, give your feedback as we move forward on our dialogue. Coming back to these new technologies, predominantly Praj has been one of the very significant players in the development of ethanol as a market in India. Our founder chairman was in fact very instrumental. He's known as the ethanol man of India. So, we get connected with ethanol always. But we must realize that along the way, in the last few years, we've done a lot of good seed planting for the advanced biofuels which go beyond ethanol. So first of all, because of this food versus fuel debate that started a few years ago, Praj was one of the pioneers in thinking about waste-to-energy and therefore creating

the second-generation ethanol from the agri-waste. India is blessed as far as agri-waste is concerned because if we can put it to use, then we will be one of the largest producers of the biomass in the country. It's estimated to be around 750 million tons every year. And if we can convert that technology to make ethanol, that will be really helpful for farmers, for the country to become independent in terms of energy sufficiency, and there are many other advantages. I need not get into those details right now. So 2G technology for us is already bought by three oil marketing companies, Indian Oil, BPCL, and HPCL. Indian Oil plant is completely commissioned right now and the trials are ongoing and we are working on some of the initial teething issues that we encountered and we are very hopeful that by end of this fiscal, which is by March, we will be able to get to our target production. So, efforts are on in that area and then it will be followed by the other two projects. As you know, the government also has realized the power of second-generation ethanol and they have recently come up with a policy that people can take these non-food feedstocks and if they make those 2G ethanol, it is allowed to be exported to different countries. That's a very welcome change and this was announced as recent as the September of this year. So we are looking forward to that development. And we believe that there are not too many players in the world who have been very persistent and standing behind the second-generation ethanol technology. Praj has been and I think in the time to come that entire tenacity that Praj has shown will give us an advantage in the global market as well. So that's as far as 2G is concerned. I think I sufficiently talked about CBG and that's a segment that we are also very hopeful about. Gas economy is required for India and CBG really helps in developing that gas economy, reduce the LNG import over a period of time, which is also running into billions of dollars for India. And so, if we produce it using biomass, that will be beneficial to the nation's overall mission as it comes. The third one, the technology that I touched upon very briefly was the SAF or the sustainable aviation fuel. A lot of people have talked about SAF and there are different ways to Page 20 of 20 get to SAF. But the one that will really survive in the long term will be converting ethanol to the jet fuel. That's called E-to-J. And again, in that E-to-J technology, multiple people have talked about it. But I'm really proud to share with all of you that in the country today, we have a real demo facility where on one side when you put ethanol, we can run continuously the plant to get the sustainable aviation fuel that is certified for usage in the airplanes. Now, this has taken some time to develop as a market for various reasons. But there is no doubt in my mind personally and in general in our minds that this is a market that will provide a new path for ethanol to get converted into a higher value fuel. And that is a technology that Praj has. The other thing that Praj also has is not just the technology, but also the engineering capability that will help the customers to construct a commercial-sized plant for SAF. So, that's another advantage that we need to keep in mind when it comes to SAF. And lastly, I would talk about the bioplastics. In that particular portfolio of bioplastics that Praj is working on, the first one that we already have ready as a technology is the lactic acid or the polylactic acid. And we have, again a demo plant based on our research and development efforts, which a lot of people come to visit us and have a look at it because they want to see and touch and feel it. And we have an advantage therefore that we are able to not only demonstrate to them the technology, but also share with them the path to scale it up for a commercial-sized bioplastics plant.

t. We have

some discussions already going on, but because there is no order that we have yet booked, there is still some time before we see the revenues coming from these efforts. So, I thought this some quick overview of some of the technologies. I touched upon the IBA earlier, the isobutanol that will be useful in blending into the diesel. And again, that is a large opportunity that Praj would like to participate. So, this is a bouquet of different and new technologies. They essentially are coming from the bio sources. So, therefore, it's going to be good for the climate change actions. And we have created what we call as the Bio Verse. This is a term that we would like to use going forward, which is actually a combination of the biofuels and the biochemicals and materials all put together. And to implement these technologies, we also have the

engineering and the modular and equipment manufacturing technologies and manufacturing locations that will kind of complete the cycle for our prospective customers. Does that help in getting an overview?

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for the day. I would now like to hand the conference over to the management from Praj Industries Limited for the closing comments.

Sandip B hadkamkar : So, thank you everyone for your time today and questions. If you have any more questions , feel free to write us at info@praj.net and we will be happy to give answers to your questions.

Once again, thanks a lot for your time today. Have a nice day and we look forward to interacting with you in the near future. Thank you.

Moderator: On behalf of Praj Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Mar 2026

Praj Industries Limited

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Date: 17th February , 202 6

Ref.: PIL/ANB/L -100/2025 -26

Sub.: Transcript of Analysts ' Call held on 13th February , 202 6

Dear Sir / Madam,

Please find enclosed Transcript of Analysts' Call of Praj Industries Ltd. held on 13th February , 2026 regarding Un -audited Financial Results (Standalone and Consolidated) for the third quarter and nine months ended 3 1st December , 202 5.

This information is given pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time.

Thanking you,

Yours faithfully,

FOR PRAJ INDUSTRIES LIMITED

ANANT BAVARE
COMPANY SECRETARY &
COMPLIANCE OFFICER
(M. No. 21405)

Encl.: as above Company Code : PRAJIND

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor, Plot No. C/1, G
Block, Bandra -Kurla Complex,
Bandra (East), Mumbai - 400 051 Security Code No.: 522205

BSE Ltd.

Phiroze Jeejeebhoy Towers, 25th Floor,
Dalal Street, Mumbai - 400 001

Page 1 of 18 Praj Industries Limited
Q3 & Nine -Months FY26 Earnings Conference Call
February 13, 2026

Moderator : Ladies and Gentlemen, Good Day and Welcome to the Praj Industries Limited Q3 & Nine - Months FY26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Purvangi Jain from Valorem Advisors. Thank you and over to you, ma'am.

Purvangi Jain: Good afternoon, everyone , and a warm welcome to you all. My name is Purvangi Jain from Valorem Advisors. We represent the Investor Relations of Praj Industries Limited. On behalf of the company, I would like to thank you all for participating in the Company's Earnings Conference Call for the Third Quarter and Nine -Months ended of the Financial Year 2026. Before we begin, I would like to mention a short cautionary statement : Some of the statements made in today's earnings call may be forward -looking in nature. Such forward -looking statements are subject to risk and uncertainty which could cause actual results to differ from

those anticipated . Such statements are based on management's belief as well as assumptions made by and information currently available to the management. Audiences are cautioned not to place any undue reliance on these forward -looking sta tements in making any investment decisions. The purpose of today's earnings conference call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review. Now, let me introduce you to the management participating with us in today's earnings call and hand it over to them for their opening remarks. We have with us , Mr. Ashish Gaikwad, Managing Director, and Mr. Sachin Raole, Chief Financial Officer & Director of Resources. Without any delay, I now request "Mr. Ashish to begin with his Opening Remarks ." Thank you and over to you, sir.

Ashish Gaikwad : Good day, everyone. I Welcome You to Pra j Industries' Earnings Call for Q3 & Nine -Months Performance of FY26. Trust all of you had an opportunity to go through our results for the quarter -ended 31st December 2025.

Page 2 of 18 The external environment remained challenging for Pra j in Q3 of FY26. We are able to deliver a steady quarter -over -quarter performance due to our focus on operation

s. However, we believe things are moving in the positive direction now, which will help our business to perform better in the times to come.

I will first cover the "External Developments" and then I will talk about the updates on the "Praj Businesses" subsequently .

Recently, India announced trade agreements with the USA, EU, and the UK governments. The USA has announced the tariff reduction for Indian capital goods from almost 50% to 18% , and while there will be a zero percent tariff from the exports to the EU markets. This will help our business to build a competitive advantage in these geographies. Also, import of ethanol from USA is not allowed, which is a reassuring news for the Indian ethanol market.

In the Union Budget of 2026, our government has made several announcements. These announcements are expected to create opportunities in the sectors that we operate in. To strengthen the CBG ecosystem, the government announced phased mandatory blending of CBG into CNG for transportation fuel and also in the pipe natural gas for domestic use. The government has also an nounced central excise duty exemption on the biogas and the component of that biogas blended into the CNG. These steps will help enhance the commercial viability and attractiveness of CBG.

The budget also embarked on an outlay of Rs.20,000 crores over the next five years for the development of Carbon Capture, Utilization, and Storage or (CCUS), an important enabler for industrial decarbonization. This opens up opportunities for our CO2 capture solutions. Additionally, strategic initiatives such as the Rs.10,000 crore s Biopharma Shakti Program aimed at positioning India as a global pharmaceutical manufacturing hub and the schemes to promote semiconductor and electronic components manufacturing in India will generate new growth avenues for Praj's water businesses.

This week, our government's public policy think tank, NITI Aayog, released a study report. It is titled "Scenarios Towards Viksit Bharat and Net Zero. " It is an overview. The report highlights the expanding role of biofuels in the net zero journey. The report mentions that biofuels ensure our challenging sectors, particularly the aviation sector, long -haul freight transportation sector, and rural mobility sector, they must have an access to clean fuel alternatives. The report underscores the importance of b io-fuels in energy self -reliance as well. Ethanol, CBG, and other advanced bio -fuels, along with SA F, are set to remain an integral part of the country's clean mobility landscape over the upcoming years. These suggest a positive outlook for our businesses in the near future.

Now coming to our Praj Businesses' Updates .

Page 3 of 18 Our 1G domestic business is continuing to experience a slowdown in the Greenfield projects due to supply and demand imbalance. However, we see strong traction in our Brownfield solutions where our customers are prioritizing the operational efficiency improvements and value -added co -product additions, such as the distillers corn oil. During the quarter, we secured a good number of DCO orders and have a good enquiry pipeline as well.

On the project execution front, existing project execution cycles are still getting extended due to funding and other challenges in the Greenfield project scenario.

Apart from the ethanol, Bio-Isobutanol , or Bio-IBA, the blending with diesel is another growth area that we are working on. I am happy to share that we have made progress in this technology development of Bio-IBA and we believe that our technology is ready for commercialization and scale -up.

In the 1G international market, countries like Indonesia, Panama, Argentina, Guatemala, Costa Rica, and Bolivia , have made positive announcements around increasing the share of bio -fuels in their energy mix. We are engaged in these markets.

On CBG front, slowly but steadily, we are establishing our technolo

gy progress on a variety of

feedstocks. We have already proved the performance of the CBG plants based on Press mud . Recently, we have commissioned two plants using Napier grass and rice straw as mixed feedstocks. These plants have started production and the capacity ramp -up of these plants is underway. We are confident of demonstrating the rated performance on these plants. We will continue our journey of working on these and other feedstocks and we hope that this sector gathers further momentum due to the positive announcements in the union budget. In our "Services Business ," there is a healthy order booking for performance enhancers as well as the biogenic CO2 capture solutions. The customer -installed base of Praj, which is developed over decades, is a source of growth for our services business.

On SAF front, there has been a good appreciation of our integrated ethanol -to-jet demo plant at our R&D center Matrix . In the recently concluded WIN GS INDIA 2026, in this conference, Mr. Man eesh Kumar, Joint Director General of DGCA, made the announcement of this development. While the draft policy of SAF blending is expected in near future, this development is very important from a technology -readiness point of view. Praj has the ready -technology to convert ethanol -to-jet. Currently, we are executing basic engineering orders of ethanol -to-SAF plants for our customers in the USA and we are planning to complete this work by end of this fiscal.

Moving to our "Engineering Businesses ," on the Praj GenX front, after a sharp slowdown in the ETCA, which is the Energy Transition and Climate Action segment, we mentioned about shifting our focus on traditional energy and some of the new segments. In the last few quarters, we Page 4 of 18 worked with a new set of customers to get our Gen X facility audited and certified and also entered into new framework agreements with some of the key customers. As a result of this, I am happy to share that we have received our first breakthrough order for the delivery of the CCUS skids from one of the global oil majors. This order is an outcome of a framework agreement which has potential for more work to come our way.

The Union Budget 2026 -27 introduced a one -time measure allowing Special Economic Zones or SEZs manufacturing units to sell goods in domestic tariff areas as well. This will help in serving the potential market in the segments of data centers and green ener gy initiatives to increase our facility utilization.

On "Brewery Business ," we received a contract for a Greenfield project to set up a large brewery in India. Our ZLD business received a significant order from one of the leading metal majors for integrated plant , offering effluent treatment, water recycle, and ZLD solution. Both the orders individually are valued over Rs.100 crores.

On the "Praj H iPurity Front ," apart from our traditional offerings such as High Purity Water Systems and Modular Process Systems , we are focusing on the precision fermentation area. I am happy to share that we received a key order for precision fermentation from Emb io Limited in Dahej . This order is significant since it is our first contract under the National BioE3 Policy.

Overall, we believe the external business environment has started showing signs of improvement. We look forward to take these opportunities to profitably grow our businesses.

With this, I will now hand over to "Mr. Sachin Ra ole for his Comments on the Financial Performance ." Thank you.

Sachin Ra ole: Thank you, Ashish. Good day, everyone. Let me take you through the Financial Highlights for the Quarter and Nine Months ended 31st December 2025. The consolidated income from operations stood at Rs.8.41 billion in Q3 FY26, more or less same as compared to the September quarter of Rs.8.42 billion. PBT before exceptional items stood at Rs.216 million in Q3 FY26 as compared to Rs.296 million in Q2 of

FY26.

Following the notification of the new labor codes issued by the Government of India on 21st November 2025, the company recogni zed an incremental Rs.3 ,344 million impact arising from the increased gratuity and leave liabilities due to the revised definition of wages and enhanced employee benefits.

Profit after tax stood at Rs. negative 124 million in Q3 FY26 as compared to Rs. 193 million in Q2 of FY26. The overall margins are impacted by almost 1% this quarter due to the reduction in the export revenue.

Page 5 of 18 For nine months FY26, income from operations was Rs.23.23 billion as against Rs.23.7 billion in nine months of last financial year. PBT before exceptional items stood at Rs.608 million in nine months of FY26 as against Rs.2.1 billion in nine months of FY25. PAT of Rs.122.4 million in nine months of FY26 as against Rs.1.8 billion in nine months of last financial year.

Export revenues accounted for 34% of Q3 FY26 , and of the total revenue, 71% is from bio -energy, 19% from engineering and 11% from PHS business.

The order intake during the quarter was Rs. 9.14 billion with 68% from the domestic market. Of the total order intake, 45% came from bio -energy, 42% from engineering and balance 13% from PHS business. The order backlog as of December '25 is at Rs.44.91 billion comprising of 66% of domestic orders. Cash in hand on 31st December '25 is Rs.5.9 billion.

I now conclude my remarks and would like to thank you all for joining us on this call. We would now be happy to discuss any questions, comments or suggestions you may have.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Sani Vish e from Axis Securities. Please go ahead.

Sani Vish e: Thanks for taking my question. First, on the margins. We can see that gross margins are also impacted. Do we see this as one -time and can we expect it to improve? Similarly, employee and other expenses, I think you have managed to reduce strategically. What are your expectations on that front as well?

Sachin Raole: Sorry, your question was not clear, but I could understand that you are asking for margin and the change in the employee expenses. Margin, the way in which if you look at from the cost of material point of view, it looks like that 8% cost of material has gone up. But if you look at the other expenses have gone down. Both these compensates each other and when I mentioned that there is a change in the margin by 1% is including the other expenses , because our project expenses fit into the other e xpenses. So, the execution was on a higher side, supply component was on a lower side. All both put together, if you look at from the margin point of view, then there is a change of 1% in the margin between September quarter and December quarter. Regarding employee benefit expenses, of course, the incremental cost which has come up on the past services account is sitting in the exceptional item and not in this year , and there is some kind of rationalization which we have seen in the employee headcount and e mployee benefit in this quarter based on the last three quarters performance. So, that is the change which we have seen majorly on that account.

Sani Vishe: As you said, you have done rationalization, so it will only go up when the performance improves. Is that the right understanding?

Sachin Raole: That is right.

Page 6 of 18 Sani Vishe: Okay. The second question is on the CCUS order. What are our quarterly expectations and when do we see this coming on the books? And the order book growth that has happened during the quarter mainly appears to be from this order and the bio-energy segment actually saw a decline. So, does it mean that the order intake may taper down in Q4?

Ashish Gaikwad: Yes. So, Sani, maybe I will take that question. Firstly, as you must have noticed that quarter -over -quarter, we have grown about 12.

4% from Q2 of FY26 to Q3 of FY26. Secondly, if you see the mix between the orders, the portion of bio -energy has gone down and the portion of the PHS and the engineering orders has gone up. And the reason for that is what we just highlighted in the beginning that in the bio -energy sector, mostly on ethanol, because of the current imbalance between the demand and supply, the Greenfield opportunities are of course not coming as much as they were in the previous years , right? And so, therefore, although that particular portion has gone down, we have been able to manage the quarter -over -quarter growth by growing our PHS and our engineering sector. These projects are also in a way beneficial , because we are able to turn th ese orders into revenues , because we have seen that the orders in the bio -energy in the last few quarters , were also stalled mainly because of some of the funding issues that our customers have faced in the recent past. So, that is why this is a better situation.

Sani Vishe: Yes, but I am trying to understand the trajectory for Q4. Do you mean that we will be able to sustain this higher level of order intake from non -bio-energy business?

Ashish Gaikwad: Yes, I do not want to make the future statements on the numbers, but we certainly see that the bio -energy, especially on the ethanol side, we will see some subdued trajectory for the new Greenfield projects. What we are going to now work on is the Brownfield projects where the performance enhancement and efficiency improvement projects on the existing plants where we have existing customers is where our focus is going to be.

Sachin Raole: And Sani, if I may add, the CCUS opportunity which we just mentioned, technically it is bifurcated into two components -- one is basically the process equipment which we can provide for the recovery solution , and another one is the ski ds or the modularization solutions. So, we have both the segments in the current order book and this has not happened just from the quarter perspective , we are working on this development or we are working on this segment since at least a year. And in the GenX also we started working when we decided that ETC A is not contributing to our order book and we need to do something else. We started developing the skill sets for these new technologies or new avenues which are opening up. So, it is not only from the quarter point of view, it is actually from the overall growth or the new businesses which we are looking for. So, this is forming a part of that book in any case.

Sani Vishe: Understood. That is great. And any expectations on the run rate revenue or when it can start from the CCUS order?

Page 7 of 18 Sachin Raole: See, I would rather give some kind of a view on the overall GenX story. We were always talking about that GenX will have the order coming up from the larger kind of a number. The change has just happened. This is the first order , and that is also as Ashish mentioned earlier, it is under the larger framework agreement with a specific customer who has approved our facility and given us a clearance for this big order. We believe that this is just the beginning. I will not be able to tell you exac tly what is going to happen in next quarter, but we will have to wait for one more quarter to see how the other customers are going to start placing order on GenX. But this

is just the beginning.

Sani Vishe: Okay, great. Thank you for the detailed answer.

Moderator: Thank you. The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Good afternoon, everyone and thanks for the opportunity. So, I have three questions. The first one, Ashish sir, you in the opening remarks told about we are ready for ethanol blending with diesel on the commercial scale. So, I just wanted to know what things have changed from last quarter and the roadmap over there? My second

question is something what Sachin sir kind of highlighted in terms of order inflow. We have kind of showcased many orders on the PPT. So, can you walk us through any order details like timelines or margins, how would they kind of aid to our profitability in FY27-28? And third is on the Mangalore facility. We had earlier indicated that FY27 would be the year where we would break even. So, any update on the same? That would be my three questions.

Ashish Gaikwad: Okay. So, I will take the first one and then I will hand it over to Sachin. So, the first one that you mentioned was ethanol blending in diesel. That is not what I said in my opening remarks. What I said was we are working on Bio-IBA or Bio-Isobutanol, which is different than ethanol. Right? And there are scientific reasons why this is a molecule that is more amenable for blending in diesel. We can separately get into the details of that. And what we believe is that the transport sector in India majorly uses diesel. And when the government's agenda to use bio-fuels into hard to abate sectors like transportation sector, this can be an opportunity. And should it open up through policy framework, etc., Praj is ready with its technology to make it commercially and scale it up. I think that is just a quick clarification I wanted to make as far as the Bio-IBA is concerned.

Shailesh Kanani: But yes, you are right. But I just was wondering if anything has changed from last quarter, because earlier we always had that view that it is not commercially still kind of viable?

Ashish Gaikwad: Yes, I think this is a continuous improvement process. We keep working on the technology so that the efficiency is improved, the yields improve and the technology becomes better and better. And as we get an opportunity to make the commercial plants, we will be able to further improve on it. But the direction of using a bio-fuel into diesel is what continues.

Page 8 of 18 Shailesh Kanani: And any nudge from the government side with respect to this, because earlier also the commentary has been that there are a couple of issues regarding the same?

Ashish Gaikwad: Yes, I think government is actively thinking about this. It is an alternative that is something being discussed. They have not yet announced anything officially, but certainly, this is being debated right now.

Shailesh Kanani: Thanks, sir. That is useful. My other two questions?

Sachin Raole: Can you please give this second question -- order booking-related? What you wanted to understand, Shailesh?

Shailesh Kanani: So, sir, if you can walk us through any finer details, like in terms of timelines when this order execution will start, and also in terms of margin profile, how would that kind of aid FY27-28 going ahead, basically? And my third question was with respect to Mangalore facility. We had earlier indicated that FY27 would be the break-even year. So, any update on that?

Sachin Raole: Okay. So, Ashish will give you some kind of a highlight on the order booking and the timelines for that.

Ashish Gaikwad: Yes. So, I think we talked about three orders mainly in the opening remarks, Shailesh. I talked about the two orders in the engineering businesses, one which is a Greenfield brewery, and the other one which is a zero-liquid discharge project from a large metal manufacturing company, both of them individually upwards of Rs.100 crores. Now, these project executions have already started as we speak. And typically, our execution period is in the range of about 12-to-14 months. So, we do see the conversion of these orders in FY27. The third one which I talked to you about was this CCUS skids order from an oil major, which is a global order coming into our GenX facility, right? So, it links to your third question as well. We expect that about 50% to 60% of this order will get converted into revenue in FY27.

Sachin Raole: And just to add

regarding the breakeven, what we mentioned earlier, I think we are on the course. We are still seeing that we will be able to do that in the FY27. As I said, this is just the beginning of first order. We are handling a couple of more high-value orders in the different segments for the Mangalore facility. And Quarter 4 is yet to get over. So, depending on how we will close this quarter 4, we will have far more clarity about how we will be seeing FY27 from Mangalore facility point of view.

Shailesh Kanani: Thanks a lot, sir. That's very useful and best of luck, sir

Ashish Gaikwad: Thank you, Shailesh.

Moderator: The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Page 9 of 18 Aditya Mongia: Thank you for the opportunity. A few questions from my side. If I can have some more clarity on why the EBITDA margins are taking a leg down would be useful? Our sense is that your

revenue and backlog are fairly well, reflecting similar numbers of export mix. So, I am not sure why the export mix change is being attributed to a decline in margins? That is my first question. I am going to link to that thing as in where do you see, given your backlog, margins should be stabilizing in FY27, because you would have a fair sense of the backlog and the margins for FY27?

Sachin Raole: Okay. So, regarding the margin, we were talking about what happened in the quarter of December number. Quarter September was having little higher export realization as compared to quarter of December. And that to the composition within these two quarters, we had delivered a little bit more on the Africa market side in this quarter as compared to the last quarter. Africa margins, as I earlier also mentioned, that we are actually executing a very big order. And that order is not only for supply of equipment, but it is also for the construction activity. Because of that, the margins are not generally what we get in the international market, because generally we only do a supply portion in the international market. So, as I said, the larger component within this quarter's export is sitting from the African market. And that is the reason there is a drop in the margin as compared to the September margin. What was your second question?

Aditya Mongia: Just linked up to this, so let us say if it is 5.6%, it has happened for you on the consol operations, as in barring any changes in GenX, should this be a steady run rate incrementally because it appeared to be higher on the counts that you said, should one assume this kind of number?

Sachin Raole: So, we will see quarter-on-quarter improvement definitely going forward. But it will take maybe one more quarter. We will have to wait for Quarter 4 to actually see how this development is going to span out. And importantly, which component of orders are getting executed, and to what extent we are in a position to absorb the Mangalore facility's fixed cost. So, that is what is going to define. Maybe we will have to wait for at least a quarter to say that now on a steadily basis, we will improve our margin on a quarter-on-quarter basis.

Aditya Mongia: Okay. Alongside this, the cash position of the company has been weakening as in if I just see your comments year-on-year, over the last few years, your cash position only has gone down. I think on YoY 6.4 has become 5.9 billion as you said in your remarks. Why would that be happening and how to think through it?

Sachin Raole: Okay. So, if you look at our cash position from Quarter 1, Quarter 2, Quarter 3, has constantly gone up. Quarter 1, we had mentioned that there was some kind of a slowness that affected on the recovery of receivables and the piling up of inventory. But, because the execution focus which we brought in, in Quarter 2 and Quarter 3, the receivables has also started improving and inventory also started getting diluted. Second one, the

larger orders which we are

executing from Kandla, that was also mentioned in the earlier quarter that these are very large Page 10 of 18 orders and those orders will get dispatched over a period of time starting from Quarter 3 and will get over in Quarter 4. So, that liquidation of inventory has also started. But, if you look at Quarter 1, Quarter 2 and Quarter 3, the cash position has improved.

Aditya Mongia: Yes, that I do understand. So, YoY is still down? So, a little bit concerned from that perspective.

Sachin Raole: Sorry, Kandla orders were of a very high value and the delivery cycle was almost 18-months for them. Even though we were having some milestone payments happening in between, but the larger component was linked to the dispatches of the last set of equipment which has just started happening now. And that is how the cash flow position has got improved over the last three quarters.

Aditya Mongia: Maybe just a final question. Thanks for the color over here. You talked about SAF, the design part for the U.S. major happening by March-end. By when will there be clarity as to who is going to get the plant order in this regard? And if any comments that you would want to make on CBG and why the scale-up is taking time? Thank you.

Ashish Gaikwad: Those are too many questions, but I will take those very quickly. So, on the SAF, I mentioned that we are doing a detailed engineering services order which is for one of our U.S. customers. This is going to be over by end of March or probably middle of April at most. After that, the customer looking at the detailed engineering estimations, etc., will take a decision on their investments and then we will know more about it. So, you will have to wait for the Quarter 1 of next year, because that is when we expect the customer to take any kind of decision based on that. Currently, our involvement is only for the detailed engineering. And on CBG, we are making steady progress. If you had a chance to listen to my opening remarks, we said that we are going slow and steady because we are a technology company. We are making sure that the technology works. The Pres mud part is working really well. We have started two more plants which are mixed feed, which is rice straw and Napier grass. And we will continue to give you the updates as we go along. So, we are again encouraged by the union budget and the kind of focus that the government is trying to bring in the sector.

Aditya Mongia: Those are my questions. Thank you so much.

Ashish Gaikwad: Thank you.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, sir. Thanks. So, first question on GenX and congratulations for the order first of all after the

challenges which we had faced. In GenX, one, I would like to understand what is the status with respect to the inspections now? So, earlier we had five to six clients and there was a challenge and this CCS U order which you got. So, I just wanted to understand in terms of client inspections or pipeline of clients, what is the number there? And broadly, in terms of number Page 11 of 18 of orders, if you could at least highlight what one should expect in terms of inflow from GenX next year for FY27? And third portion you highlighted is data centers. I would like to understand what is the addressable market there, what exactly would you like to supply, is it international, domestic use, that would be helpful?

Sachin Raole: Okay. So, the total approvals and audit number has reached to 12 and the framework agreement which we were mentioning earlier are almost now four. Out of that, one has already resulted into an order in this quarter and we believe that this journey should continue now as it has just begun. The idea for next year is naturally from the planning point of view, I am not talking about the numbers which you can look at from the

guidance point of view, but our

target is at least we should be hitting a number on order booking of not less than Rs.500 crores.

That is the target which we have kept for ourselves from the order booking side, and the idea is also to capture as much of possibilities or the opportunities which are there in the first two quarters of the next year maximum. So, that is the picture which we are right now having from Mangalore facility point of view.

Amit Anwani: Right. So, sir, on data center, some color?

Ashish Gaikwad: So, on the data centers there, you must have seen all the buzz around data centers and its growth due to the artificial intelligence and some of the other applications developing very fast. We are specifically focusing on currently the international market, but soon even India can be the place for us to look at it. So, we are assessing that market space. Depending on how much of the scope we can take up, the total available market can vary. Our current focus is on the cooling systems that we have and this is basically to provide the cooling system-related infrastructure, the piping and the frames that go into the data center. It is a precision fabrication type of work which we are quite capable of doing in our GenX state-of-the-art manufacturing facility. But, we are also exploring other areas beyond this that go into the data center where Praj can develop expertise. So, early days we are developing this, but since it is a sector that is growing fast, we are keeping ourselves engaged there.

Amit Anwani: Right. So, second question is on the bio-energy international. Earlier, you highlighted that Brazil was one of the markets where you won orders and you also highlighted the positive policy development with the other markets. I wanted to understand in the first nine months how many orders we won in international? And second, is there an immediate international market probably in the next 6-to-12 months where we might be targeting more order wins there?

Ashish Gaikwad: So, you must have seen in our investors' presentation that order booking for the current quarter, it is about a domestic of 68% and 32% of international. That is the split that we have.

Amit Anwani: Right. So, in terms of new markets, anything which is kind of converting and probably converting to orders for you in the next 12-months, the markets you have highlighted?

Page 12 of 18 Ashish Gaikwad: Yes. Some of these orders will start converting into revenues. I do not have the exact numbers

right now, but yes, these will start converting into revenues.

Sachin Raole: Amit, the markets which we just mentioned, some of them are from the Latin American side and we are already getting some orders from that market because of the increased blending mandates which are getting announced. So, that one is happening. I would not like to say that there is any virgin-virgin market which is not being served by Praj, which is anyway getting served, and we are only increasing our presence over there.

Moderator: The next question is from the line of Sandip Sabharwal from Ask sandipsabharwal.com. Please go ahead.

Sandip Sabharwal: I just want to know more about the 2030 target of Rs.10,000 crores of revenue which was announced by the chairman. Because when that was announced, it was already known that there is going to be a tapering off of the 1G ethanol demand in India. And so, in that context, that target was announced. And since then, the revenue growth has actually flattened and profitability has also come under pressure. So, -

Sachin Raole: Sandip, unfortunately, we are not able to hear you. Can you be a little louder? And your line seems to be having a disturbance.

Sandip Sabharwal: I just wanted to know more about the 2030 target set by Mr. Chaudhari. Because when that target was set, it was already known that there is going to be a slowdown in the 1G side. And even af

ter that, that target was announced. So, how do you see your company moving towards that?

Ashish Gaikwad: Okay. Maybe I can take that and Sachin can add to me. So, first of all, Sandip ji, thanks for the question. If you see, our fundamentals are still the same. And there are strong vectors that will enable us to go towards our ambition to be Rs.10,000 crore company. Now, whether we will

reach there by 2030 or 2031, will depend on a few mandates that were assumed at that point in time. For example, the 1G projections that we talked about, we probably expected that beyond the successful EBP-20 program which is 20% blending in petrol, there is a capacity to go even higher than that. There is flexible fuel engines that can come in or even the vehicles can take up to 100% of etha nol. So, there are other pathways for ethanol that are being worked upon. They will have different inflection points in the future. And we believe that that ambition that we as a company have to reach Rs.10,000 crores and the vision that is set by our chairman, we are working on that step.

Sandip Sabharwal: Is that all? Because you just talked of 1G as an opportunity to get there. I do not think you are going to get there on 1G itself.

Page 13 of 18 Ashish Gaikwad: Yes, correct. So, Sandip, I will give you a little bit more color. I would say as the Bio-IBA sort of

blending gets accepted by both the government and the industry, that opens up a new market in the bio-fuels. SAF is another area where Praj is one of the first companies ready with the technology. We also talked about favorability that is seen in the union budget for compressed biogas, which is a sector that we are a strong player in. I am also encouraged by lowering of tariffs in the key markets for international business that Praj has. So, all of these put together, are very encouraging for us. And what happens over the next four years is going to be something which will be interesting. What I would like you to take away from this discussion is that Praj is ready with as a technology company and we are ready to engage in these new markets and new opportunities. There are dependencies on policies and some of these triggers that I talked to you about. And I am sure that, if not all of them, some of them will fructify and we will be able to march towards the target that was set for 2030.

Sandip Sabharwal: Pardon me for the skepticism of investors. Over the years we see a series of press releases from Praj relating to their technology and how the technology is first-in-class or unique, etc. But I will just give you a couple of examples. Like, Balrampur Chini announced a bio-plastic venture of 2,000 crores. But then the company which is doing that, technology partners are different. You said that your technology on SAF is one of the best. But recently, I think, TruAlt Energy announced a SAF plant where the technology is coming from some other company. It is a big investment. So all that is the thing which concerns us because we see these announcements of Praj being at the forefront of technology, but then we do not see the orders getting translated.

Ashish Gaikwad: Fair point, Sandip. So we cannot comment on the decisions taken by some of the other industry players. For Balrampur Chini, when that project got announced, maybe we had not completed our technology offering. But now we have, and we can certainly be ready for any new opportunity that comes up in the market. And the same thing is true for the SAF technology that we have. So your concern is well noted. I understand the skepticism that you mentioned. But yes, I think in a market there are players and there is competition and there are opportunities that will come up. And what I can only assure you is that we are ready with our technology and our intent to engage in these markets.

Sandip Sabharwal: All right. Thank you.

Ashish Gaikwad: Thank

you, Sandip.

Moderator: The next question is from the line of Amit Agicha from HG Hawa. Please go ahead.

Amit Agicha: Thank you for the opportunity. Sir, my question is with respect to the margins. Can we return to the '24 levels of 10%, 11% and what structural steps are being taken to restore the margin?

Sachin Raole: Sorry, unfortunately question was not clear because your voice is not clear. Can you be a little louder and maybe use your handset?

Page 14 of 18 Amit Agicha: So, my question is connected to the margins. Do you think we can return to '24 levels margins of 10%, 11% and what structural steps are being taken to restore margins?

Sachin Raole: Yes. So two, three things which I mentioned earlier also that majorly the margins are getting impacted because of the fixed cost absorption which is supposedly to happen in our new facility. And as I mentioned earlier that auto booking has already started happening in that facility, and we believe that we will be in a position to arrest whatever is the fixed cost absorption which is not happening. Going forward, we will see that happening which will help us in improving the margin. That is one element. Secondly, naturally the mix of sales which you are talking about. The composition of the segments of the sectors which Ashish has just given a color to, that is what is going to help us in going back to the normal margin scenario. So, the volume, the fixed cost absorption, the composition of sales and the geography. These are the three or four segments at a high level I can tell you is what is going to help us in improving our margin.

Amit Agicha: Are you planning additional manufacturing facilities beyond the current five which we have?

Sachin Raole: Frankly 'no.' Because from the engineering business point of view, actually we had invested for future, not only for the current requirement...of course, the current requirement is also got a little bit postponed. And the additional investment which we had taken into account considering the future growth has already been done. So, we are not looking for building up any facility per se, but to meet these new requirements or new segments which we just

referred to , if there is any requirement on the plant and machinery side, that is what we will get added into. But, otherwise from the factory or land and all that, I do not think that we will be investing anymore.

Amit Agicha: Thank you sir. All the best.

Moderator: The next question is from the line of Dhaval Shah from Infinite. Please go ahead.

Dhaval Shah: Yes, good afternoon. Thanks for taking my question. Continuing on the skepticism part, we have done a lot of announcements like having a JV with Indian Oil Corporation in 2022. And then very recently we announced a JV with BPCL. But then after three, four years , there is no follow-up... no any announcement that what we have done of the JV with IOC?

Ashish Gaikwad: Dhaval, what is your question?

Dhaval Shah: My question is we do make JVs with IOC, then what is the progress on that? We were supposed to start an initiative in that JV. But since it has been around three, four years, there is no progress.

Page 15 of 18 Sachin Raole: Yes, let me answer this question on both the JVs. IOC JV, if you recall, was meant for starting with the SAF project and it was meant for overall bio-fuel scenario. So, as the decision has not yet been reached to which bio-fuel project has to be taken first, the decision is not yet reached to finality on the IOC JV and that is the reason why we have not made any specific announcement on the IOC JV. If you look at BPCL JV, BPCL JV is meant for mainly to start with on the CBG side . And idea was to start this JV only when we are finalizing at least five projects to be taken up under this JV. So right now we are actually short-listing the projects for this JV, where the developer is also supposedly to be

part of it . So, the discussions and negotiations are going on. Once that gets finalized we will definitely announce the further steps under this JV for BPCL. But that is what, I mean, it is a work which is going on right now to give some kind of a finality to this JV.

Dhaval Shah: We do hope that it reaches some conclusion and does not languish like the IOC JV , because such announcements by the chairman and the IOC chairman comes for a picture and then there is no progress , it is very amusing when such dignitaries are involved and then there is no progress.

Sachin Raole: Yes, we can understand your concern , but you will have to also understand that there are multiple other things also which play a role into it . And it is not a simple order which someone has to place on it. It is a different business model which we have to get it evaluated properly , who is going to play, what role and all . As I said, the detailing is going on right now. Naturally, it will get -

Dhaval Shah: I guess four years is good enough time to finalize all those things. One more thing is on the CBG part. Reliance had announced around Rs.65,000 crores investment in Andhra Pradesh. So, are we seeing any traction on that side – whether we are working with Reliance , because previously we had one project with Reliance was CBG. So, Reliance has announced such a big CAPEX in Andhra Pradesh , is there any movement on that side?

Ashish Gaikwad: Dhaval, I will take that question. They have announced a program which is in public domain called Prakasam. And the amount that now you just mentioned. So, their intent is very clear but they have not engaged any vendors or going ahead with that program. We are of course one of their technology suppliers and we are doing several of their plans as well. As and when that opportunity opens up , I am sure we will also have a part to play in that.

Dhaval Shah: All right. Have a good future. Good luck.

Moderator: The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: Thanks for the follow-up opportunity. I just wanted to kind of engage better from you as in the first is that SAF opportunity that got signed with TruAlt and Honeywell . Could you give us a Page 16 of 18 sense as to where we are at par in terms of giving the offering or are the re parts of it that we do not have inside and we could not get into this opportunity?

Ashish Gaikwad: Aditya, well, I do not know what exactly is that arrangement between these two organizations that you just alluded to. We certainly were not involved in that discussion with Tru Alt. So, I will not have any information on that. TruAlt is one of our customers. We have been working with them on other technologies as well. And if they have done this decision in the wisdom that they have, then it will be very difficult for us to comment on that.

Aditya Mongia: I am just trying to get a sense as in what the nature of the contract was. Is that something that Praj could have also kind of delivered on? I am just trying to get that aspect. I am not trying to get aspect or anything else?

Ashish Gaikwad: Well, absolutely. If Praj were to be given an opportunity, certainly , yes. First of all, is there a contract is the question that we may have to find out? Or is it just an announcement?

Therefore, I am saying that it is not for me to comment on these especially for the two organizations that I am not a part of. I am a part of Praj. If your question is , had that opportunity been given to Praj ? Yes, certainly we would have been able to do this project.

Sachin Raole: Aditya, if I may add, we will see many opportunities coming up in the market , because if you looked at the NITI Aayog report also, it is talking about in the energy space bio-fuel is supposedly to play a very large role . So, we will see many opportunities coming up in the space

of

bio - energy. And we will also encounter many enquiries in our way. Now, we will have to decide what makes sense from the shareholders point of view and the commercial sense whether we should go for specific order or not. So, there will be some kind of commercial angle to it also, not necessarily which you referred is having bad. But, going forward, you might come across multiple enquiries, multiple MoUs, multiple so -called orders. Not necessarily Praj will be addressing to all of them. We will address only those where it makes sense commercially for Praj and Praj shareholders.

Aditya Mongia: Understood. A related question as in the same document NITI Aayog somehow does not find as much mention of an EBP program. Correct me if I am wrong when I am saying what I am saying. Does that make you less hopeful of EBP targets been increased from here on and maybe more focus happening on other aspects like on CBG?

Sachin Raole: Frankly speaking, it is not giving us some kind of a negative picture rather it is talking about expanding the entire basket and it is not only restricting to EBP per se. It is talking about something more than that. I think that is far more encouraging instead of only changing our hopes and everything to only ethanol blending. It is talking about CBG. It is also giving some kind of a sense of how flexi fuel can happen, how the additional blending can happen. No timelines are given. That is fine. But at least the roadmap is clear. This is how they would like to march on this in bio -fuel space.

Page 17 of 18 Aditya Mongia: I recall that the tariff issue had limited the customer interest and the ETC of the GenX facility. When you say 12 audits and four framework agreements, is there any revival that you are seeing from the U.S.-based customers for the GenX facility post the tariff changes which have happened?

Sachin Raole: Yes, the first order which we are talking about is from U.S., and a pipeline from U.S. is also very strong. So, we definitely expect and hope that order revival should start happening from U.S. side in any case.

Aditya Mongia: Maybe if you could just mention how many such orders should we be having for us to be having a shot at breakeven?

Sachin Raole: Oh! Breakeven point, if you are asking for GenX, the turnover should be somewhere around ...of course, it completely depends on the nature and the margins. But a ballpark number, you can consider somewhere between Rs.400 crores, Rs.500 crores.

Aditya Mongia: Okay, thank you so much for the response. These were my questions, sir.

Moderator: The next question is from the line of Binesh Jain, an individual investor. Please go ahead.

Binesh Jain: Thanks for the opportunity, sir. I have just heard about one news item which said Aemetis India, so they have started biodiesel deliveries to the oil marketing companies. This appeared on 3rd February, '26. So I wanted to understand how their biodiesel deliveries are different from what we are working with isobutanol and all. So, please explain that?

Ashish Gaikwad: Okay, so Binesh, biodiesel is a different product compared to what we talked about with the reference of bio-IBA. Biodiesel is a product that is made from the bio-sources, which is similar to the diesel, right? And there is already a market there and people are working in those technologies. Praj is not there in the biodiesel market. What can happen is our customers who are our ethanol customers, especially the grain or the corn ethanol customers, they make what is called a distiller's corn oil, and one of the feedstocks that goes into the biodiesel can be from this distiller's corn oil. So, that is the only connection Praj will have as far as biodiesel is concerned. What we are talking about is something similar to EBP-20 Program. That means you can get a bio-fuel like bio-IBA and blend it into the conventional diesel,

right? So like how in a conventional petrol, we can blend bioethanol. Similarly, a bio-isobutanol can be blended into the conventional diesel. And that is a totally different way of introducing bio-fuels into the conventional energy mix. So just wanted to give you a difference between the two. Am I able to explain that?

Binesh Jain: Yes, thanks for the clarification.

Page 18 of 18 Moderator: Ladies and gentlemen, I now hand the conference over to the management for closing comments.

Sandip Bhadkamkar: So, thank you everyone for your time today. In case you have any more questions, feel free to write us at info@praj.net. Thanks again for your time. And we look forward to you on next analyst call. Have a good day. Thank you.

Moderator: Thank you. On behalf of Praj Industries Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2026

Praj Industries Limited

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Date: 03rd June, 2026

Ref.: PIL/ANB/L-017/2026-27

Sub.: Transcript of Analysts' Call held on 29th May, 2026.

Dear Sir / Madam, Please find enclosed Transcript of Analysts' Call of Praj Industries Ltd. held on 29th

May, 2026 regarding Audited Financial Results (Standalone and Consolidated) for the fourth quarter and year ended 31st March, 2026.

This information is given pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time.

Thanking you, Yours faithfully, FOR PRAJ INDUSTRIES LIMITED ANANT BAVARE COMPANY SECRETARY & COMPLIANCE OFFICER (M. No. 21405) Encl.: as above

Company Code: PRAJIND

National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor, Plot No. C/1, G
Block, Bandra-Kurla Complex,
Bandra (East), Mumbai - 400 051 Security Code No.: 522205

BSE Ltd.

Phiroze Jeejeebhoy Towers, 25th Floor,
Dalal Street, Mumbai - 400 001

Page 1 of 17 Praj Industries Limited
Q4 and FY '26 Earnings Conference Call
May 29, 2026

Moderator: Ladies and gentlemen, good day and welcome to Praj Industries Limited's Q4 and FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Ms. Purvangi Jain from Valor em Advisors. Thank you and over to you, ma'am.

Purvangi Jain: Thank you. Good afternoon, everyone, and a very warm welcome to you all. My name is Purvangi Jain from Valor em Advisors. We represent the investor relations of Praj Industries Limited. On behalf of the company, I would like to thank you all for participating in the company's earnings conference call for the 4th Quarter and Financial Year ended 2026.

Before we begin, I would like to mention a short cautionary statement :

Some of the statements made in today's Earnings Call may be forward-looking in nature. Such forward-looking statements are subject to risk and uncertainties, which could cause actual results to differ from those anticipated. Such statements are based on management's belief as well as assumptions made by and information currently available to the management.

Audiences are cautioned not to place any undue reliance on these forward-looking statements in making any investment decisions. The purpose of today's earnings conference call is purely to educate and bring awareness about the company's fundamental business and financial quarter under review.

Now, let me introduce you to the Management participating with us in today's Earnings Call and give it to them for their opening remarks. We have with us, Mr. Ashish Gaikwad – Managing Director, and Mr. Sachin Raole – Joint Managing Director and Chief Financial Officer.

Without any delay, I request Mr. Ashish Gaikwad to start with his opening remarks. Thank you and over to you, sir.

Page 2 of 17 Ashish Gaikwad: Thank you. Good day, everyone. Welcome to Praj Industries' Earnings Call for Q4 and FY '26.

Trust all of you had the chance to go through the results of the quarter and full -year ended 31st March, 2026.

Our performance in Quarter 4 and full year of FY '26 was impacted by several external headwinds. Despite these headwinds, we continue to progress on our strategic vision, which is aligned to the global megatrends of energy security, energy transition, and sustainability. The current West Asia situation has once again

highlighted the need for energy security for every nation. This will give further impetus to the production and usage of biofuels across all agri-rich countries. India's biofuels ecosystem is aptly moving from just the policy intent to the commercial market readiness with coordinated actions across different stakeholders like the Government of India, oil marketing companies, automobile manufacturers, technology providers, and production companies.

Amid global geopolitical uncertainties and recurring energy supply disruptions, India is taking progressive and proactive steps to strengthen our energy security through higher bioenergy usage in transportation fuels.

The Bureau of Indian Standards has now notified fuel specifications for E22, E25, E27, and E30 petrol blends in addition to the E85 and E100, building upon India's successful E20 program. This notification sends a clear preparatory signal to all the players in the ecosystem to be ready for higher ethanol blends and flex -fuel vehicle adoption.

Simultaneously, the government has shared a concrete roadmap of E85, E100 fuel infrastructure development with automobile manufacturers and OMCs. The rollout begins with 150 numbers of E85 and E100 retail outlets across Delhi, Mumbai, Pune, and Nagpur within the next month. This will scale to 500 outlets across major metro regions including Delhi -NCR, Maharashtra, Bangalore, Chennai, Kolkata, and Hyderabad within the next 6 to 12 months, followed by a target of 5,000 E100 dispensing stations nationwide within 24 months.

Automobile manufacturers are responding well to this policy direction with the development of multiple flex -fuel vehicles as well as E100 vehicles. Their commercial launches are also in the offing starting in June. Ethanol is increasingly emerging as a strategic molecule beyond transportation. Its applications are expanding into agricultural machinery and generator sets, reflecting the growing readiness for diversified ethanol usage across sectors. Another major inflection point expected for ethanol usage is ethanol -to-jet adoption for SAF production. A draft policy on SAF is ready and the blending mandates are expected to come in 2027.

Now coming to our Praj business updates.

Page 3 of 17 Our 1G domestic business continued to experience a slowdown in Greenfield fuel ethanol products. We believe this situation will improve after announcement of higher blending mandates.

In the interim though, we experienced an increased demand for greenfield ENA plants. Praj has a clear technology edge for ENA or extra -neutral alcohol. We also see a growing demand for our Brownfield solutions where customers are prioritizing operational efficiency improvements and value -added co -products such as Distiller's Corn Oil or DCO. During the quarter, we secured a good number of DCO orders and have a robust inquiry pipeline.

Our fuel ethanol projects backlog execution front ; the project execution cycle continues to get extended due to funding and other challenges.

We had mentioned in our previous call that our technology for bio -isobutanol or Bio-IBA is ready for commercialization and scale -up. We are expecting our first order in the current quarter of FY '27. As we know, the volume requirement for diesel blending is much bigger than petrol. The use of bio -IBA in diesel blending is going to be a significant step in our nation's biofuels journey.

In the international market, there are some positive developments. For example, the U.S. House has passed legislation that allows nationwide sales of gasoline or petrol with 15% ethanol blend. We are closely monitoring these developments and engaging with the customers since this will result in opportunities for Praj in America's region.

There are also positive announcements in countries such as Indonesia, Vietnam, Kenya, Panama, Argentina, Guatemala, Costa Rica, and Bolivia for increasing share of biofuels in

their

energy mix. Praj has successfully implemented projects in these countries in the past, and we are engaged in these markets for business development.

On CBG front, the capacity ramp -up of a few of our plants using Napier grass and rice straw as mixed feedstock is underway. While there is a good inquiry pipeline for projects based on press mud and Napier grass, there are some delays in order finalization. We are also looking at international opportunities in our CBG business based on our success in the Indian market. Amid rising crude prices, geopolitical tensions, and supply disruptions in the Middle East, India's focus on compressed biogas is becoming strategically important.

Honorable Finance Minister Mrs. Nirmala Sitharaman recently highlighted the concerns around three Fs – fuel, fertilizer, and foreign exchange – reinforcing the need to reduce import

dependence. In this context, CBG offers a strong domestic solution. Produced from agricultural residues and organic waste, CBG can reduce the dependence on imported fossil fuels, while its co-products Fermented Organic Manure, or FOM, and Liquid Fermented Organic Manure, or LFOM, can help lower reliance on chemical fertilizers import. Additionally, CBG can also be integrated into urban pipe natural gas networks to support domestic cooking energy needs. Maharashtra has recently approved its State CBG Policy 2026 with an outlay of Rs. 500 crores aimed at accelerating waste-to-energy infrastructure, promoting circular economy models, and expanding clean fuel production across the state.

Our "Lifecycle Services" business is growing steadily with growing traction for our performance enhancer solutions as well as biogenic CO₂ capture solutions. Our more than 1,000 plants using Praj technology in various parts of the world, including India and overseas, is a source of steady growth for our Lifecycle Services business.

On the SAF front, we are completing the basic engineering order for one ethanol-to-SAF plant for our international customers. We are in discussions for the detailed engineering order for the same plant.

Moving to "Engineering Businesses," in Quarter 4 FY '26, we are pursuing several opportunities. However, owing to uncertainties around raw materials costs and supply chain disruptions, we deferred the final negotiations. Some of these orders will now be reflected in FY '27.

On the Praj GenX front, data center segment is coming up as a promising segment. We are in final discussions with one of our key customers for modularized solutions for the cooling systems for their international data centers.

For our ZLD and PH S businesses, battery, semiconductors, solar panel manufacturing segment is opening up as new opportunity. We are pursuing opportunities where both businesses will offer joint solutions to these customers. We have closed one such order with a semiconductor company in the current quarter.

Overall, we believe the external business environment is going to remain uncertain. However, our strong technology edge in bioenergy and advanced manufacturing capabilities in modularization will help us deliver improved performance in FY '27.

With this, now I will hand over to Sachin for his comments on the financial performance. Thank you.

Sachin Raole: Thank you, Ashish. Good day, everyone. Let me take you through the financial highlights for the quarter and year-ended March 31, '26.

The consolidated income from operations stood at Rs. 8,445 million in Q4 FY '26 as compared to Rs. 8,598 million in Q4 '25. Profit before tax before exceptional item for the quarter stood at Rs. 15.4 million as compared to Rs. 582.5 million in the corresponding period last year. Profit after tax stood at Rs. 116 million in Q4 as compared to Rs. 398 million in Q4 of the last year.

For the full year ended March 31, 2026, income from operations stood at Rs. 31,679 million as

against Rs. 32,280 million in FY '25. PBT stood at Rs. 763 million as against Rs. 2,704 million in FY '25. PAT for 2026 came in at Rs. 238 million as against Rs. 289 million in FY '25.

Export revenues accounted for 36% for FY '26. Of the total revenue, 67% is from bioenergy, 22% from engineering and 11% from PH S business. The order intake during the quarter was Rs. 6,580 million with 79% from domestic market and of the total order intake 86% came from bioenergy, 2% from engineering and balance 12% from PHS business. The order backlog as of March 26 stood at Rs. 43,050 million comprising 66% of domestic order with 78% from bioenergy, 16% from engineering and balance 5% from PHS.

Cash in hand as on 31 st March 2026 stood at Rs. 6.12 billion.

The Board of Directors proposed a final dividend of Rs. 3.6 per equity share at the rate of 180% of the face value of Rs. 2 per equity share for the financial year ended 31 st March 2026 which is subject to the approval of shareholders at the forthcoming Annual General Meeting.

With this, I will conclude my remarks. Thank you for joining. We would now be happy to discuss any questions, comments or suggestions you may have.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin with the question-and-answer session. We take the first question from the line of Naveen from NK Trading Company. Please proceed with your question.

Naveen: So, I am being invested from some past three years and from past three years I am seeing a little bit underperformance in our margins and profits and other things. And even we are being an R&D company with all the innovations we are doing, why we are not able to maintain the margin and we are reducing the margin profits? Can you give some light on that?

Ashish Gaikwad: Sure. Okay, thanks for your question, Naveen. Yes, this is a question on several people's mind, I am sure. So, I will answer that for everybody.

Firstly, as you know, Praj has had a good run when the EBP-20 program was launched and completed well ahead of its schedule. It is one of the most successful biofuels program in India and that was the time when a lot of new Greenfield plants for ethanol have come up and Praj has had a lion's share in terms of making those plants and constructing those plants.

Since that time, capacity that was required for blending the ethanol in petrol has been achieved

and so there is a reduction in the number of plants for ethanol as of now in the current steady state. However, as I mentioned in my opening remarks that there are new blending mandates which are being talked about and we expect that that will have a positive impact on the new capacities to be looked at.

Page 6 of 17 The second thing I would say is during this time, the other business which we have been working on is the Praj Gen X business and we have been investing into that business over the last two and a half, three years to make it ready for a large capacity to serve the requirements of equipment and modular plants worldwide. And because this is a large investment that takes time, there is a gestation period, for the last two and a half years that investment continued. We believe that during this period, we have been able to build some customer base who have approved these facilities and we will be seeing the positive impact of that and the order books in the current year of FY '27.

So yes, you are right, in the last three years, there was stagnation and the profits were also affected because we were investing into Praj businesses and now we should start seeing some uptake from FY '27 onwards.

Moderator: We take the next question from the line of Aditya Mongia from Kotak Institutional Equities. Please proceed with your question.

Aditya Mongia: So, the first question that I had was on 1G ethanol, I wanted to get a sense that for the years gone by, what would have been the level of orde

ring that you would have achieved in this

aspect and how does it compare to the last three years ' average for you? Just trying to get a sense of how much scale down has happened in that part of the business here.

Ashish Gaikwad: I will give you the answer in terms of the qualitative analysis. So , when you talk about 1G, it has multiple components, right? So , it has Greenfield projects and it has Brownfield projects and it has services also that we provide to the customers. And so the amount of the green field projects certainly went down in FY '26 because of what I just now mentioned of the overall capacity. However, we do see multiple opportunities of smaller size for two things. One, which is for enhancing the operational efficiency of the existing plants. The ticket size of those jobs can be smaller, but those are something where Praj's technology and expertise comes into play. Second is our customers are encouraged to go for co -product product ion like the distiller's corn oil for the corn -based plants. And inquiries for those and also the order books for those has also gone up.

So, while the Greenfield has gone down, but some of these other opportunities in the 1G business have been steadily coming in. Of course, like I said, the ticket size of these jobs is smaller.

Aditya Mongia: I just request if the company can start sharing specific numbers because it makes it easier then for the community to appreciate the business and what is changing here. But I will leave that to the company.

The second question that I had was more on the margin front. Could you give us a sense of how much of the quarterly numbers were impacted by out -of-turn price increases that had to be Page 7 of 17 absorbed and what is being done or at what pace should normalcy happen on this front and where can margins then line up?

Sachin Raole: Sorry, Aditya, you mentioned out -of-turn what?

Aditya Mongia: In the sense that the raw material prices that have gone up in recent times, just giving specific, would have had an impact on the company's profitability. So , just trying to get a sense of to the extent that they could pass it on and to the extent that you have to absorb net -net, how much was the impact on margins? And at what period of time does it get addressed?

Sachin Raole: Understood. If you are asking specifically for the quarter, yes, on a consolidated basis, we have seen 3% raw material prices going up. But if you have noticed, the other expenses have come down by 2%. So, it is a composition of both because the activities which get, what I can say, executed during the quarter gets reflected in the numbers of ours. Overall impact is 1 -1.5% additional which we have incurred. More than raw material prices, Aditya, we have the cost escalation coming up in the site execution.

And the reasons what Ashish earlier was explaining on the delays in the execution has impacted indirectly in the cost escalation coming up because the sites are open. They are not getting completely closed on the basis of the work which we are supposed to do in a time -bound manner. And that has actually put a pressure on our cost to execute those projects.

More than the raw material prices, I see the change has happened on the other expenses , which is mainly related to site -related expenses. If you look at YTD numbers, the raw material prices have more or less remained same. That doesn't mean that going forward there will not be any impact coming up. We are very closely monitoring the current scenario. The current situation is a little dynamic. Rather Ashish has indirectly covered that when he mentioned that we actually deferred few order bookings which were supposed to happen in this quarter only because of the raw material price uncertainty and the nature of the contract which we under take, especially on a fixed price basis. So, we said that we will hold on to those contracts or rather the

enquiries and we will close only when we have some kind of visibility on the raw material prices, how they are going to shape up.

In the current quarter, yes, there is an aberration which you are noticing. It is not the result of the raw material prices going up. We like to very closely monitor the scenario in the coming quarters, especially on the basis of what is happening to the disruption in the supply chain. But on the year-end basis, as I mentioned, the material prices have remained more or less in the same range.

Aditya Mongia: Maybe I will round it off with this question. See, margins are cyclical for the business and it seems as if the RM adventure is still ahead of us. In that context, what are the steps that the Page 8 of 17 company is taking to make the cost structure better off or to make the terms of contract more fair to both parties?

Sachin Raole: So, it is contracting with the customer and contracting with the vendor. So, both the aspects we are studying together and figuring it out if we are getting an order and let's assume it happens to be a fixed price contract, then how to lock the prices of our raw material at the same level so that we will not have any impact on that. But as I said, in the current scenario, if the supply chain is completely going to get disrupted, then the situation is going to be a little different and difficult to monitor. But from the contracting point of view, we are trying to get, to the extent possible, the flexibility into our pricing. Earlier, our all contracts used to be 100% fixed price. We have moved from that 100% fixed price to some kind of a flexibility depending on what kind of a sensitivity we will allow to our raw material price changes. But we are monitoring that contracting part also very, very closely.

Aditya Mongia: Could you just share the quantum of orders that have been deferred from last quarter? That will be my final question.

Sachin Raole: So, it is not, I will not call it as an order. I will call it as an inquiry basket. So, this was almost Rs. 300 plus crores inquiries which we did not finalize only because of these issues.

Moderator: The next question is from the line of Amit Anwani from PL Capital. Please proceed with your question.

Amit Anwani: The first question on the GenX, so earlier you were targeting Rs. 400-500 crore possible orders here. And has the deferment happened here also? That is one. And second now, what is the kind of situation with respect to the client inspections and conversions and overall outlook for GenX? And obviously, of course, you have got the data center order. So that piece also would like to understand what could be the possible opportunity for GenX from data centers, modular cooling system, which you talked about, yes.

Ashish Gaikwad: Sure. So, thanks, Amit, for the question. Yes, we have been investing, as I said, in GenX. And one of the investments that we are doing is for preparing ourselves for these new segments that we want to serve. So, the data centers, the hyperscalers as they are called, they require these very specific cooling modular structures, which are piping, et cetera. We have already done the work in FY '26 now. And in FY '27, we want to take those efforts into fruition by securing the orders. And these orders are not one-off. We expect that once we have the facility ready for creating these modular structures, we can continue to repeat those in every few months. So, that is the way we are going ahead. We believe that that will increase our capacity utilization of GenX facility, which is a fairly sophisticated and large facility. And we, therefore, can see some positive results for GenX in FY '27.

Page 9 of 17 Not only just the data centers, but we are also working on other sectors like LNG, which is growing, conventional oil and gas, which is also an attractive segment for us. And therefore, a combination of these three, we

will be able to utilize the capacity at GenX.

Amit Anwani: Can we see the break-even happening in FY '27?

Ashish Gaikwad: Well, yes. We would like to absorb most of the cost and the investments that we have made in GenX. In the next two or three quarters, we will have to book the orders, which we alluded to. And once those are there, then we will be able to revenue those. So, our efforts will be in making sure that we will go towards that break-even.

Amit Anwani: Is this kind of like delay happening from the customer for these orders in terms of finalization?

Ashish Gaikwad: Well, any of these customers, these are international customers, they need to certify the facility from multiple angles. Because this is, like I said, not a one-off order that they place. They look at companies like Praj and then they will certify it for multiple projects that they would like to execute. This process is a long process. We started with a segment which was called an ETC A segment, the Energy Transition and Climate Action segment, which was essentially for green hydrogen, green ammonia, electrolyzers, et cetera. But as you know, that in the last two years, that segment has become a little subdued. And so we had to pivot to the other segments where we can get our customer interactions going. So this is where the data centers, the LNG segment, and the oil and gas that I mentioned come in. And so now with all of this pivoting that I talked to you, we believe that it should be a better path forward for us.

Amit Anwani: And lastly, what could be the ticket size of data center order probably in terms of per megawatt, how much would be your addressable market, which you think with what you got in terms of opportunity outside? And the order which you got, is it from the client or from any OEM who is working with the client for the data center?

Ashish Gaikwad: Yes, so for the sake of confidentiality, we will not be able to talk about the customer per se because we are bound by our obligations. However, depending on the size of the data centers, the order values can vary from as low as Rs. 50 crores to as high as Rs. 150 crores, depending on the size. And as we are negotiating, I would not be able to give you exact numbers right now since this is going on. I have said that we have not booked that order in Quarter 4 of last year, but we expect some good news in the 1st Quarter of this year, FY '27.

Amit Anwani: Lastly, sir, the number on fixed overhead for GenX, how much was it in F '26, employee expense and other fixed overheads at that factory ?

Sachin Raole: So, the fixed overhead run rate is still continuing at the rate of almost Rs. 10 crores per month , Amit .

Page 10 of 17 Moderator: The next question is from the line of Sailesh Ka nani from AMSEC . Please proceed with your question.

Sailesh Ka nani: Sir, a couple of questions. First of all, there are many media reports, you know, indicating about EBP mandate and various percentages. So, my question is with respect to, as per you and your past experience, how things materialize and in what time frame, if, let's say, we go without 25% mandate, how would the TAM for Praj look like and when would this kind of translate into numbers in terms of order booking or revenue? And what should be our key monitorable over here?

Ashish Gaikwad: Good question, Sailesh. So , first of all, it is difficult to predict the timeline for the new mandates to come in. But, as you said, we all read these articles and newspapers, and we know that the West Asia crisis has given an impetus on a different thinking right now. As a nation, we were facing difficulties in importing the energy, overall energy mix, and it includes crude oil as well as gas. So , with all of this, we believe that these new mandates will come in and not only for maybe petrol, but also hopefully for other transportation fuels as well. So, that is the first part. Seco

ndly, depending on what comes first and how much is the increase in the blending, there can be different capacities that will have to be added for the ethanol production in India. We believe that if it is just between 2% to 5%, then the current capacities may be sufficient, but efficiencies will have to be improved and the quality of ethanol will have to be really something that we will have to look at, which is where Praj has a special edge and technology where the purity of alcohol that is used in fuel is important. But if it goes beyond 5%, then even more capacity will have to be added, and that is what we are watching, and we are ready for that type of blending enhancement.

Sailesh Ka nani: So just a clarification on that. So , what we are saying, supposing if there is a mandate for E25 tomorrow, the existing ethanol plants would need some kind of upgradation wherein Praj can help out with the technology. Is that what you are saying?

Ashish Gaikwad: We have both types of offerings, which our customers come to us for. Number one, we can enhance the capacity and the throughput of the existing plants by doing certain technical modifications, or, of course, we can put an entirely new line for the additional production. So , depending on each customer, their ability to fund and their overall direction, we can help them in both, in enhancements as well as the new capacity buildup.

Sailesh Ka nani: So, in terms of technical parameters, there are no upgradations further as such is required in the ethanol, right, for the higher blending percentages?

Ashish Gaikwad: No, no. I think as long as they stick to the blending specifications as stated by the government and the BIS and produce that type of ethanol, that should be good enough. What I meant was Page 11 of 17 that at Praj, with the technology that we have, we are able to absolutely meet and exceed those specifications in the plants that we construct.

Sailesh Ka nani: And other part of it, the way you said that if the percentage blending is only increased by 2% to 5%, maybe we will not have new orders, but existing slow -moving orders might have some financial closure pending, right? So , that can kind of at least the one -time effect would have, right?

Ashish Gaikwad: That is correct, S hailesh. Of course, some of our customers, they have slowed down their execution mainly because of some of those challenges that you mentioned.

Sailesh Ka nani: I will just squeeze in one more question. In terms of order inflows, right, this is the print, what we have got in this quarter is, I think, four years lower in terms of order booking, right? Now, in the earlier remark, you had mentioned that we have deferred a few of the order inquiry pipelines because of the R&D. But how should we think about it going ahead? Would we return back to, say, a band of Rs. 800 crores to Rs. 900 crores on a steady -state basis going ahead?

Ashish Gaikwad: Well, I think looking at the pipeline right now, we believe so. We should be in that range typically, but as we don't want to give any forward -looking statements, that is the right ballpark that one can assume.

Sailesh Ka nani: Thanks a lot. That's helpful. Just one data -keeping question in terms of number of clients who have audited and approved Mangalore facility as on date, and what was that number, say, at the end of third quarter, if you can give some color on that.

Sachin Raole: So, at the end of third quarter, S hailesh, it was around nine, and now we have moved almost to 12 to 13 clients who have cleared the facility for us.

Sailesh Ka nani: Fair enough. Thanks a lot, and best of luck, sir.

Moderator: The next question is from the line of Atul Tiwari from JPM. Please proceed with your question.

Atul Tiwari: So, just a follow-up on the same question. So, as per your own understanding and estimate, now that government has specified technical standards, what could be the likely timelines for

actually ruling out the mandate to take the blending in petrol from 20 % to 25 % or 30 %? Is it six months, one year, or it could be a longer affair, even a few years from now?

Ashish Gaikwad: We believe that it will be not longer than one year, but really to predict it in terms of exact months is difficult for us. We know lots of discussions are happening. There is a right impetus because of external geopolitical conditions, so we are hopeful that it will get done sooner than later.

Page 12 of 17 Sachin Raole: And you must be aware that government has just also invited the public opinion on E85 and E100, and this draft was proposed a month back. So, government has already started taking the right steps in the direction of going to the extent of E100, and they have opened this window for a month for the public opinion. I believe that window will get over by mid of June or something.

So, if that happens, you can fairly assume that how the government is trying to go ahead on the basis of the first step, which they have taken for basically inviting the public opinion, and second one, asking the OMCs to open up E85, E100 outlets, actually starting from the next month itself. So that also is an indication. Frankly speaking, we can just pick up these indications instead of actually predicting when the notification is going to be out. But it gives a fair confidence to us that it is in the offing and it should happen any time.

Atul Tiwari: And for this E85, E100 outlet, could you throw some more color on this? If these outlets sell petrol with such a high level of blending of ethanol, do we have enough base of vehicles to make this at least somewhat commercially viable in the short run for the people who are opening those outlets?

Ashish Gaikwad: Yes, this is a simultaneous set of actions, Atul. So, that is why when I mentioned in my opening remarks that this is an ecosystem which is getting developed as we speak. So, there is, of course, government, there are OMCs who will put up the infrastructure for dispensing E85 and E100 fuel. But there are also the automobile makers which make these different engines which are able to consume this type of fuel. And we also then have players like Praj and the producers who will then cater to the demand that will come up. As far as we know, we are aware of a few companies already announcing their flex fuel vehicles starting June. And we have seen some of those things also. And there are also retrofit kits on existing vehicles that can be adopted to an old vehicle and it can then become compatible for E85 or E100.

So, there are various things that are happening in this particular space and different stakeholders are coming together as an ecosystem to make this entire flex fuel viable for India.

Atul Tiwari: And, sir, my last question, I mean to rule out the mandate beyond E BP20, say to 25 or 30, does the government need to do some more technical studies to assess the impact of that level of blending on engine performance and wear and tear, or are those studies already done and everything is clear from technical standpoint?

Ashish Gaikwad: Yes, this is a good question. A lot of studies and scientific studies have been done and all the responsible and credible agencies have very clearly come out with those reports. I think in the media, there could be people sometimes who can come up with not very scientific and not connected to the facts type of messages, either through social media or other means.

Page 13 of 17 And I think we have to be careful about it because we have seen other countries like Brazil being very successful as far as ethanol is concerned. And we need to learn from these countries like Brazil and Thailand who have been using this very effectively in managing their energy mix.

Atul Tiwari: And these technical studies have given a green light to say what level of blending,

like even

EBP30 has been cleared or only E BP25 as per these technical studies?

Ashish Gaikwad: No, there are different categories of vehicles and it is very clearly defined in the report as to which vehicles will be amenable for what type of blending. When we are talking about the new vehicles, the ones that have been manufactured in the recent times, those will be able to take the E30 also. Like I mentioned in my opening remarks, the Bureau of Indian Standards has now completely notified the fuel specifications for all categories, E25, E22, E27, E30 petrol. And then for E85 and E100, it is a different type of an engine that will have to be used in the vehicle. So, these are technical details, Atul. We will be able to share those because we also follow those reports and those are done by credible agencies like ARAI, etc., in the country.

Atul Tiwari: Good to know.

Moderator: The next question is from the line of Sandip Sabharwal from asksandipsabharwal.com. Please proceed with your question.

Sandip Sabharwal: I have been tracking Praj for many years. We have had phases of high growth like in the 1G era where also the company could not report very high profits because there were phases of raw material price hike, many of the contracts of fixed price. Then the company talked of huge

opportunities in 2G ethanol, in CBG, in SAF. Now when we see CBG and SAF, we already see a lot of investment happening in India. And Praj seems to have a very minimal share in that. So, how are we supposed to track this company? Because you keep on making so many announcements to the stock exchanges on your technical excellence. But when it comes to orders, execution, margins, there were talks of margins of high teens and where the margins are right now. So, how are investors supposed to invest in your company when you are not delivering on things which you are also talking of? And secondly, Mr. Gaikwad was appointed as MD just last June. And now there is a joint MD also appointed. So, what was the requirement for that?

Ashish Gaikwad: So, maybe I will first take your question on 2G, CBG, and SAF, which is important for us to address. And Sandipji, thanks for tracking Praj. We really appreciate your interest for a long period of time. And from time to time when you ask these questions to us, it also gives us insights and what needs to be done in a better manner for us.

So for 2G, I can assure you that there are three projects in the country, and all three are being done by Praj alone. This technology is available only in Praj. And like any new technology, it has a gestation period, and there are challenges that we faced when we launched it. But we are Page 14 of 17 now quite confident that we will be able to use the 2G-produced ethanol, especially for the SAF. You talked about SAF as well. There aren't too many investments in the country, to be honest with you, Sandipji, which have come up. And we are tracking all such investments for SAF. There are international opportunities which are there, and we are very much plugged into it. For example, we are right now concluding an engineering assignment for an international customer, and we expect that this will convert into another order for what is called as detailed engineering for construction of a plant in the time to come.

So, although SAF has been talked about for a while, but the investments have been a little bit subdued in the past few years, mainly because the strong mandates for using SAF in the aviation turbine fuel have been delayed. So, we are ready at Praj, and as soon as those things come up, you will see Praj also being one of the participants in that market.

On CBG as well, if you see, Praj is quite active in that market. We have got technology for different feedstocks that can be used for production of CBG, and we will continue to therefore participate in that market. So, that is the first ques

tion that you asked.

The second question you asked was about the margins. So, let me give you an overview of those margins that you talked about and why they are subdued. Especially for FY '26, I can share with you that our investments in Praj GenX continue, and therefore any investment which has a long gestation period, we have to be a little patient about it, so we continue to invest in that. Second thing was we did experience some escalation of cost in our execution, and that of course impacted our profitability because our revenues remained flat, but the cost of execution went up. And I think Sachin explained that to another question that was asked to us. And the third thing was we did experience some one-time costs which were non-business related in FY '26, and they impacted our bottom line. So, going forward, we would like to learn from these and therefore work on the profitability for a better result in FY '27.

On the MD and joint MD, I think it is essentially because our work has expanded and there are multiple areas in which the company is working on. So, it is more like we both taking on all those work fronts where management oversight and management intervention is required so that we make the company ready for a next five-year plan. And that is the basic intent of elevating Sachin to the Joint Managing Director position and therefore manage the bandwidth that we both have.

Sandip Sabharwal: You are CEO of a much larger company, Honeywell, and that company is also doing very well as all of us know. And my limited point at the end is that engineering companies in general today in India are doing extraordinarily well, like the majority of them. Praj has been around for a long time and has invested in technology, people have invested in technology a lot, and I think ultimately the management needs to work for the shareholders.

Page 15 of 17 Sachin Raole: Sorry, Sandip, it is very difficult to understand. Sorry, Sandip, your voice is cracking and it is difficult to get you what you want to say.

Sandip Sabharwal: So, what I am saying is that engineering companies in general in India are doing very well at this stage. And Praj has invested in a lot of technologies, and right now it seems that the company is working more for the employees because of the kind of investment you have done in the GenX plant and the results for the shareholders are not coming. We are just hoping that...

Ashish Gaikwad: We are not able to hear you again, Sandipji.

Moderator: We will take the next question from the line of Vardhman Lunia from Trisula Capital. Please proceed with your question.

Vardhman Lunia: Hi, Ashish and Sachin, good afternoon. I just have one question. In terms of capabilities, what exactly is the synergy between our bioengineering business and what we are doing for data centers?

Moderator: Vardhman, sir, please proceed with your question.

Vardhman Lunia: Hi, Ashish and Sachin, good afternoon. I just have one question. So, in terms of capabilities,

what exactly is the synergy between our bioengineering capabilities and what we are doing for data centers?

Ashish Gaikwad: So, this is a good question, and it gives us an opportunity to position this correctly. As you know, data centers, which are coming up, especially because of the growth in artificial intelligence demand in various sectors, these are the energy-guzzling infrastructures. They take a lot of energy for the compute power that needs to be provided to the customers, and it generates a lot of heat, and that heat needs to be managed properly so that the data centers can perform their tasks. Where Praj in the short term is working on is to provide the infrastructure that goes into the cooling systems for the data centers, right? And this is specially designed with special material of construction type of skids or the modules that go into the server rooms of the data centers for cooling the server cabinets. So, that is what we are focusing on in the short term.

In the long term, our vision is that we can expand into other areas of the data center and provide technologies. For example, because the energy requirement for data centers is large, it may be advisable that we use renewable energy for such data centers, for medium-sized or large-sized data centers, and that is where we believe that the bioenergy can be one of the options for the data center operators to be used because it is a renewable energy. So, that is where we are also looking at opportunities in the future.

Vardhman Lunia: That is very clear, and great things are happening across the board, and I am sure we will do very well over the medium to long term.

Page 16 of 17 Moderator: The next question is from the line of Arun Zawar, an individual investor. Please proceed with your question.

Arun Zawar: What is the R&D spending which is done in last year, sir, FY '26?

Sachin Raole: In FY '26, total spend is almost Rs. 65 crores, Rs. 66 crores. Out of that, around Rs. 20 crores will be on CapEx, and around Rs. 45 crores, Rs. 46 crores will be on the OpEx.

Arun Zawar: I am asking R&D, sir, research and development.

Sachin Raole: I am talking about R&D expenses split into two parts, where we have spent on the building of our lab, additional equipment which we have taken, worth of around Rs. 20 crores, and on the OpEx side where the demo plant is running, the people who are working in the R&D are there. We have almost 100 scientists working there. We keep on testing different feedstocks. So, I am talking about that expense is almost around Rs. 45 crores, Rs. 46 crores.

Arun Zawar: This Rs. 45 crores, Rs. 46 crores is already sitting in our other expenses, right, sir?

Sachin Raole: Yes, that is right.

Arun Zawar: Sir, when we come to the Q4 margins, do you think that worst is over in terms of margins or still worst is left behind in terms of margins?

Sachin Raole: No, so to be very frank with you, what reason which we are talking about for the drop in the margin in the last quarter and overall in the entire year of FY '26, mainly the execution challenges which we face, we believe that those challenges are actually getting completely over for a reason because the execution cycle for the projects which we are right now executing, the cycle times are a little less. They are not very big cycle times projects because from the Greenfield we are moving to Brownfield, and the sizes of the projects are also very different. So, we believe that the execution challenges are definitely taken care of, and the focus for FY '27 from our side is also going to be more on the operational excellence, and we are completely geared up for that. So, I think to a great extent the worst is over.

Arun Zawar: Sir, another point like other investor also mentioned, we are like lagging in terms of performance in revenues, top lines, margins since last three years. So, would it be fair to tell that management can do a buyback to just give some value to the shareholders rather than giving a dividend and then give some bonus or a split to the existing share value?

Sachin Raole: This is a Board matter, Arun, but we will definitely take this feedback to our Board.

Arun Zawar: Okay, sir.

Page 17 of 17 Sachin Raole: Thank you very much, Arun.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management from Praj Industries Limited for closing comments.

Sandip Bhadkamkar: So, thank you, everyone, for your time today. In case you have any more questions, feel free to write us at info@praj.net, and we look forward to meet you again on the next analyst call.

So, thanks a lot. Have a nice day.

Moderator: Thank you, sir. On behalf of Praj Industries Limited, that concludes this conference. Thank you

for joining us, and you may now disconnect your lines. Thank you.